

TD Power Systems (TDPOWERSYS)

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August 17, 2022

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Sirs,

Sub: Transcript of Earning Conference Call – Quarter ended June 30, 2022

In furtherance of our letter dated August 01, 2022 regarding intimation of earnings conference call, the transcript of Q1FY2023 earning conference call held on August 10, 2022 has been uploaded on the website of the Company at <https://tdps.co.in/investor-relations/investor-services/analyst-investors/>

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

N Srivatsa
Company Secretary

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“TD Power Systems Ltd. Q1FY23 Earnings Conference Call”

August 10, 2022

MANAGEMENT : M R. NIKHIL KUMAR – MANAGING DIRECTOR , TD
POWER SYSTEMS LIMITED
MR. VINAY HEGDE , TD POWER SYSTEMS LIMITED
MS. M.N. VARALAKSHMI , TD POWER SYSTEMS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'23 Earnings Conference Call of TD Power Systems Limited.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectation of the company as on the date of this call. The statements do not guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kumar, Managing Director of TD Power Systems Limited. Thank you and over to you, sir

Nikhil Kumar: Thank you. Good morning, everybody. Thank you once again for joining us today on our Earnings Call. I trust all of you would have received our "Results" and "Investor Presentation."

Now, I would discuss with you TDPS Financial Performance in the Quarter-ended 30th June 2022. I'd like to start the call by mentioning that we have now sold our generators to 100 countries worldwide and our total supplies is 5,400 -plus generators.

Now, let me come to the results. Our total income on a standalone basis for Q1 was 2.06 billion versus 1.28 billion over the same period in the previous year, an increase of 60%. Profit after tax and comprehensive income for the quarter was 194 million versus the profit of 68 million for the same period previous year, an increase of 186%.

Manufacturing revenues for Q1 was 2.05 billion which was 1.25 billion last year, an increase of 61%. Manufacturing of the book including Turkey operations is 13.77 billion, out of which 4.06 billion is our generator business, 9.46 billion is the railways business and 0.25 billion is our Turkey business. Export and deemed exports from generator business is 66%.

Order Inflow: We are very happy to report a big increase in the order inflow during the first quarter over last year, an increase of about 81%. Our total order inflow this current year for India is 2.03 billion. Order inflow from direct and deemed exports is 1.09 billion versus 0.81 billion over the previous year, an increase of 34%.

Projects business revenue for Q1 is 12 million versus 15 million in the same period in the past year. Order book for the projects business stands at 459 million.

Consolidated Performance: Our total consol income was 2.11 billion versus 1.65 billion for the same period last year. Profit after tax and other comprehensive income for the first quarter was

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204 million versus the profit after tax of 7 million, an increase of 111%. Our consol order book is 40.23 billion. We continue to maintain a strong cash position of Rs.1.88 billion.

Now, I will come to the order book market situation and guidance. In the first quarter, we have seen a substantial increase in inflow of orders from all segments of the market, both domestic and international markets have contributed to the big increase in order inflow. We are seeing continued order inflow in July as well as for Q2 which will not only ensure that we reach our previously guided top line, but also start filling the order book for next year.

Let me talk briefly about each segment: Steam turbine, strong demand from India and rest of the world. In India it is CAPEX-driven and globally it is driven by an increased investment in waste-

to-energy biomass and garbage burning plants. Our positioning in this segment is strong and we see sustained order inflows taking place even for next year. Only a small fraction of the inflows from

now on will be executed this year, and the majority will go into next year. We have reached our target for this year in the steam turbine segment.

Gas Turbine: We are not seeing the big impact due to present situation in the shale gas industry as expected. In fact, the shale gas industry has not increased output and is enjoying the high prices and do not want to increase supply. Investments have also been subdued to save gas. However, we have got good orders for power generation from a gas turbine customer in USA and the enquiries book is really strong.

Hydro for this year, we have crossed the internal target. We have picked up a large number of orders execution for next year and the enquiry pipeline is also very strong. We'll close out a few more big orders in the next quarters for execution next year. The main markets continue to be Southeast Asia, Europe and Latin America.

Gas Engines: We have very good orders and forecasts on both our engine customers. We're selling all over the world and there's no concentration of any orders in any market.

Wind Repairs: We have got three orders in the last three months and we have firm inquiries for a few more large orders. This outlet is becoming stronger.

About 55 MW Generators: The market in India has been very active in the past quarter and last two quarters. We have recently booked an order for 90 MW machine for delivery next year and there are a number of other active jobs in the market.

Our TDPS personnel are right now in Germany for training to make a complete rotor in India and this 90 MW would be the first complete made in TDPS generator. Earlier, we were importing the rotor from Germany.

Other New Segments: Railways business is on track with the Indian railways; however, it will take time. I think we can only see the business results next year.

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Synchronous Motors: We have a lot of enquiries and negotiations, but unfortunately we have not been able to report any finalizations to you.

On raw material prices, we're seeing a slight pull back on some commodities, but we have booked materials for the whole year according to the forecast of our customers and we will not see any further benefit this year.

It must be kept in mind, inflation witness to be high, transport costs, wage pressures are still at high levels. Rupee weakness against the dollar has also increased the cost of imports, offsetting some of these relief in commodity prices, but special steels, forgings are still in short supply and available only at high prices.

TDPS is focused on price stability to customers and marketing stability for investors. Maximum such a strategy cannot benefit from small terms from small short-term reductions in commodity prices nor will we get hurt from sudden price increases.

For next year, with the CAPEX in India firmly on the expansion mode, the increased investments flowing in the area of renewables internationally and as well as the new verticals the TDPS has entered, will ensure a solid platform for growth in the next year and the following years.

Guidance: As indicated in our previous earnings call, we continue to hold the guidance which is at below. Manufacturing Business: TDPS India top line of 8.2 billion, TDPS Turkey top line of 0.2 billion, total manufacturing business gave a top line of 8.4 billion, projects business gave a top line of 0.5 billion. We expect to have a gross contribution level between 30% and 31% for this year. All our subsidiaries except TDPS Turkey will be profitable, TDPS Turkey will report operational profits, but continued depreciation of the Turkish Lira to the Indian Rupees will impact TDPS Turkey profitability due to foreign exchange loss in translation from Turkish Lira to INR.

This brings me to the end of my initial remarks. I'll now be happy to address any queries that you may have. Thank you.

Moderator

or: We will now begin with the question-and-answer session. We take the first question from the line of Mr. Mohit Kumar from DAM Capital. Please go ahead, sir.

Mohit Kumar: So, my first question is how do you see the opportunity arising from the Indian railways locomotive and Vande Bharat tender? Is there any tie-up you have done with some OEMs to bid for this particular opportunity?

Nikhil Kumar: Yes, we have currently a supply agreement with a major player in this business, an international company, who has won the Rs.12,000 horsepower electric locomotive projects currently being produced in Madhapur, and they are bidding for all the new projects of the Indian railways the new 12,000 horsepower, the new 9,000 horsepower as well as for the Vande Bharat trains. So,

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the winner is yet to be announced for these packages but if our customer wins, I think we have a very good chance to also get benefited from their success.

Mohit Kumar: Is it an opportunity for us to tie up with the other OEMs, we don't need to stick to one particular OEM, right?

Nikhil Kumar: We are currently focused on this one OEM, because we think they have the best chance and let us see how it works out.

Mohit Kumar: Secondly, is it possible to give the breakup of motor and generator in the top line for TDPS India?

Nikhil Kumar: Right now, it's overwhelmingly generators that are just a few less than Rs.5 crores of motors, I mean, the railways business is traction motors and that as I said would be around Rs.160 crores for the whole year, about Rs.40 crores per quarter the railways business traction motors. The other motor business is less than Rs.5 crores.

Moderator: We take the next question from the line of Jiten Parmar from Aurum Capital. Please go ahead.

Jiten Parmar: On the guidance you have given, I would just like a clarification on that. So, around what you said consolidated, you're guiding for Rs.900 crores, is that right?

Nikhil Kumar: Yes.

Jiten Parmar: I have a couple of questions. What is the maximum revenue you can generate from the existing facilities? And if there is any plan for any expansion or CAPEX?

Nikhil Kumar: At the moment, we can push our utilization capacity to about Rs.1,200 crores and we are continuously investing in automation productivity improvements. So, we will push the Rs.1,200 crores to a larger higher number. At the moment, we have no plans for any Greenfield production facility.

Jiten Parmar: So, my next question was actually on automation and robotics. What is the employee cost? Can it be reduced further and to what extent due to automation and robotics?

Nikhil Kumar: We are increasing our top line without having a proportional increase in the employee cost. We're not hiring any fresh people. And that's how we will get the benefit of the higher savings without increasing our employee cost substantially. Of course, the current set of employees we will have to increase salaries year-on-year. That's a given the market in Bangalore especially for engineers and other management staff is very competitive. So, we have to remain competitive to retain our talent. So, those kinds of increases will take place with existing people but we are not going to add people to increase our top line rather than the investment and productivity and automation will start showing.

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Jiten Parmar: So, my final question is on the Rs.900 crores guidance you've given. How much of it will be exports and how much will be domestic?

Nikhil Kumar: If you take up the traction in motors business, it will be around 60% exports and 40% domestic.

Moderator: We take the next question from the line of Kunal Pawaskar from Tata Asset Management PMS. Please go ahead.

Kunal Pawaskar: My question was around the situation in Europe especially after the geopolitical issues there.

With respect to energy security as it is changing there and every nation having to look for substitutes, how is it helping a company, are there initial discussions that are moving in that direction considering that the company was already strong in Europe on say things which were in waste-to-energy, etc., but how do you see discussion shaping up, are you seeing early signs of business because of those specific reasons after Russia-Ukraine specifically?

Nikhil Kumar: We are seeing increased enquiries in the business that I mentioned in the introduction, waste-to-energy and biomass and also garbage burning facilities. So, these are the three sectors that predominantly use steam turbines. We've seen increased number of enquiries, increased amount of business coming from these sectors. So, interestingly, we are also not seeing any reduction in the gas engine business. So, that's the contrary to what could be expected given there's a shortage of gas in the market, but it's actually we are seeing growth in these sectors and it's very good contrary to our expectations. We have also discussed in detail about the prospects for next year and we don't have any feedback from our customers that there's going to be any reduction of business, in fact, both our Indian customers are predicting steady and strong growth even from next year.

Kunal Pawaskar: Last question on diesel engine generators out of Europe, I mean, there are news reports of cost through diesel engine, power generation being at parity with natural gas. These things may not last, but people are looking at substitutes and backups. Diesel engine generators in particular, any comments there?

Nikhil Kumar: Basically, gas engine generator, diesel engine will be easier to burn compared to gas. So, people will definitely go for dual fuel engines, they won't just put all the money into diesel and then later on next year find that the total investment is a total waste. So, they will go for dual fuel engines, like multiple fuel engines and switch depending on which fuel is the cheapest in the market at that particular moment of time. As far as the generator is concerned, it is the same machine, so I don't think that they're going to get affected by that.

Moderator: We take the next question from the line of Mr. Kartik from Shreyas Advisor. Please go ahead, sir.

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Kartik: So, a couple of clarifications there. One is in the context of segmental outlook. You said that you're not taking any orders for the current year anymore and generally only accepting orders for next year. What part of this would be later on –

Nikhil Kumar: I did not say that. I said most of the orders coming in now would be for execution next year and a small proportion we will still execute this year.

Kartik: Why would that be? Eight to nine months would be a reasonable timeframe for delivery, so I am assuming –

Nikhil Kumar: Seven, eight months is a normal delivery time. We already coming to August end. By August, we will have seven months left for this year. So, a lot of the orders are going into next year.

Kartik: The second question would be on the larger capacity generators that you spoke about 60 MW. So, obviously that's an interesting market, but how do you assess the size of the opportunity over there and what plans over say one-to-three-year timeframe for that business?

Nikhil Kumar: That's an interesting question. So, this market has been dead for a long time and it has revived recently due to CAPEX taking place in the metal sector. So, we are seeing that a lot of waste-to-energy as well as basic power generation, waste to power generation requirements are coming in from the metal sector. So, I think I can answer this question to you in a different way. As long as this sector remains healthy and this CAPEX cycle continues, I think this

part of the business

also will keep the power generation requirement of putting up power generation facilities if these larger sizes will continue. So, it is a captive power plant gain, it is still a waste-to-energy gain, for example, using the waste heat gases from the plant furnaces and things like that. Those are the kind of applications where we are seeing these larger machines being used. But this will not see any market for these machines in the areas of ITPs and things like that. So, it's still captive industrial.

Kartik: What is the maximum capacity you can offer?

Nikhil Kumar: We can go up to 250 MW.

Kartik: As and when you could even service UBT-sized orders if need arises?

Nikhil Kumar: Captive power plants we are saying maybe up to 150 MW, very large captive size and power plants which use multiple units of 150 MW. But it's very rare that you sign captive power plant about 150 MW size.

Kartik: No, I was just saying utility order, sir, assuming that PHL getting your orders.

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Nikhil Kumar: Utility orders I don't think the market is going to come in this 200, 250 MW size for utility. It's going to be only that super critical 500, 600 MW and I don't think any power plants are going to come up in this size for utility application.

Moderator: We take the next question from the line of Dhwanil Desai from Turtle Capital. Please go ahead, sir.

Dhwanil Desai: So, two questions. One is apart from a synchronous motor; we were also developing I think a couple of new products. So, any update if you give on that front, that would be helpful?

Nikhil Kumar: So, these synchronous motors basically go into large irrigation projects in different states in India. There's a very, very large enquiry pipeline running into hundreds of crores. Number of negotiations also taking place. But at the moment we're not seeing any finalization. So, it could be due to funding issues and things like that. Projects are there, enquiries are live but they are not getting finalized. They eventually will. So, these projects come and they go. So, eventually all of these things will get finalized over the next six months to one year and then hopefully we'll get a chunk of these orders coming in and execute them. So, I'm pretty upbeat that we will see a good chunk of orders for next year, I'm pretty upbeat about it. We still have time. And as I said number of projects under negotiation, so one or two of them will click and hopefully move in and we will see a good amount of business coming from this segment for next year sales.

Dhwanil Desai: I think you were developing a couple of new products other than synchronous motor, right. So, I was referring to that if there is any update on that?

Nikhil Kumar: At the moment we have no updates on that.

Dhwanil Desai: Second question, we have cash balance of Rs.188 crores and we are seeing good times now and probably as per our expectation maybe a couple of years need to be good where we will generate 80 to 100 crores kind of a cash flow. So, any thoughts on what we want to do with cash sitting on the book?

Nikhil Kumar: So, first priority would be to deploy the cash in the business. Second priority would be to give the money to the shareholders. Because the cash flow business, of which CAPEX, working capital, all things put together. So, second priority would be to return the money to the shareholders in different ways. So, there wouldn't be share buyback, things like that. So, all these things are on the table. Right now we are focusing on the first priority to see how the business needs the cash and then if the cash is building up, then, of course, we will go to the second priority.

Moderator: We take the next question from the line of Himanshu Upadhyay from Oaktree Capital. Please go ahead, sir.

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Himanshu Upa

dhya: My first question was on aftermarkets. We were thinking about getting significant orders from replacement orders of older generators for windmills and all those things. What is the progress there and are we seeing increased traction or it will take more time, any thoughts on that?

Nikhil Kumar: So, I have given an update on the wind repair business. I said that we are executing three large machines right now and there's a strong pipeline of enquiry for the next few months. So, I think it is a little bit slower than what we expected, but definitely the market is there and we are actively playing in the market. So, I'm not disappointed, I think I'm very upbeat about the new large enquiries which are there which we will surely win a part of it.

Himanshu Upadhyay: How significant can that size be of that business?

Nikhil Kumar: I've given the projections about the size in the market in the past. I think it's hard to say exactly how much is going to come, because in this wind repair business, the machines have to fail and then only it comes to repair. I can't predict how many machines that will fail.

Himanshu Upadhyay: In case of Turkey, what is the progress and PAT and all those things had changed in Turkey, hence the orders were not there much. But are we seeing the market now starting to see some amount of traction or it is slow moving only in the Turkey market?

Nikhil Kumar: Good question about the Turkish market. This year we will make an operational profit, but we continue to have the problem of the exchange translation loss, which is the notional loss, but nevertheless it appears in the P&L statement, that's one problem. The other problem is that the Turkish market due to the continuing currency depreciation is not as large as it used to be in the previous years, it's significantly shrunk by just a few orders in the market. So, we are actually evaluating what our plans are going to be for next financial year. We might even just take a pause and maybe just keep the factory at a very, very low level, of course, just open on a token basis, but not actually do any operations and wait until return to this market recovers and see what happens, but at the moment the market is really bad and there is no signs of any recovery or revival in the market from a macroeconomic point of view also, they continue to have extremely high inflation, they continue to have problems with their currency. So, I'm not so upbeat about Turkey for the short term.

Himanshu Upadhyay: One thing on Turkey. I had asked this a few quarters back about the money what we have. You said you kept the money in Turkish currency only. But is the money –

Nikhil Kumar: No, we have all the money in our Turkish operations in euros.

Himanshu Upadhyay: The profit has been now shifted to euros?

Nikhil Kumar: All our transactions in the Turkish market has been in euros. We take the orders in euros and we receive the payments in euros. We have to report the earnings in local currency.

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Himanshu Upadhyay: So, on our cash balances there, it does not impact much of the depreciation?

M.N. Varalakshmi: No, when you bring them also it will be in euros only, not in Turkish lira.

Himanshu Upadhyay: In case of motors, we had wanted to be in the large motors, okay. So, it will be again an engineering approvals and all those things and how many approvals, is it first only for domestic market or even exports you would be looking for large motors and how many vendors or what is the model you are trying to build for motors business? Some thought from that will just help in understanding your movement ahead on that business.

Nikhil Kumar: I'll try to answer this very briefly. There is not so much of a question in earnings call. So, basically we are in the market for the larger size motors. Yes, we have to get consultants approval

s and we have to get approval from certain large government companies and we are in the process of getting approval, we have the approval from Nuclear Power Corporation, we will get the approval from NTPC. So, we are in process of getting this approval, and as I mentioned, we are focusing in a large, specialized motor business, and we will get a few orders for sure in next quarter.

Himanshu Upadhyay: And the focus is Indian market only currently?

Nikhil Kumar: Focus is Indian market only.

Moderator: We take the next question from the line of Rohit Balakrishnan from iThought PMS. Please go ahead, sir.

Rohit Balakrishnan: So, Nikhil, just a couple of questions. You alluded to it earlier in the call that despite whatever is happening especially on the gas side, you still are seeing very good traction. You've also said that you've spoken to customers and next year is also strong. So, can you just explain that part because whatever one is reading in the media and newspapers and all seems counterintuitive, so just wanted your views on that if you can share?

Vinay Hegde: Initially, there was some problem with the supplies, but we have a major customer for gas engineering in Austria, they supply a lot of sets to Russia. And now there is absolutely no embargo or sanctions on supply to Russia, so rather the business is increasing. So, we are not seeing any problem because of this.

Nikhil Kumar: It's not the Russia, but we are also seeing businesses coming from the gas engine segment from both our customers also for the European market. We've also seen business coming from other places like North America, Australia, some countries in Africa. It's counterintuitive, but people are people ahead with their plans for gas power plants, a small gas captive power plant and of size.

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Vinay Hegde: Due to the shortage of gas in Europe, many countries are going for large biomass plants. So, we recently got one big order for installation in UK. These are all biomass and garbage burning plants. Now, they are expediting those projects because there is a shortage of gas in countries like Germany.

Rohit Balakrishnan: So, biomass and waste-to-energy would be more on the steam side?

Nikhil Kumar: Yes. It's hard to explain. We can't give you a clear answer to why this is happening. It's just that we have raised the same questions with our customers and nobody can give such kind of clear answers as to why it's happening. They said, this is the forecast and this is our expectation and we're not complaining about it.

Rohit Balakrishnan: Obviously, in the country, there are a lot of metros also getting commissioned for various cities, non-metro tier-two cities and also winning the order flow. In the call you mentioned a few quarters back that could be an opportunity but I wanted to sort of get a view on that as well if there's an opportunity there for us for the traction motors.

Nikhil Kumar: There is an opportunity or I don't know there's no opportunity but I think we are going to be focusing with our locomotive partner you could call it, more on the freight side and the high speed train side, and that's where we see our strengths for the larger size traction motors. I don't want to say that the metro business is a close chapter for TDPS, but there is a lot of more discussions taking place on the freight side in the high speed trains.

Rohit Balakrishnan: Nikhil, I missed your commentary on the North American market on the gas side. If you could just repeat that? Sorry, there was some issue at my end.

Nikhil Kumar: What I said was that we expected the shale gas industry just putting a lot of CAPEX and we're not seeing that happen. As a trend, the shale gas industry in the US is not increasing supplies, not making the mistakes in the past for increasing supply which can cause the price reduction, they are enjoying

the higher prices and they are also being very careful in CAPEX. So, we're not seeing that boom what we expected from the shale gas industry. But we're seeing our business increasing in gas turbines in general on the power generation side both in the European market as well as the US market. These would be larger gas turbines of 15 to 20 MW size.

Rohit Balakrishnan: We've held on to our guidance. Q1 is usually the meanest of quarters for us. So, every chance of probably overshooting what you said, just wanted to get your view on that?

Nikhil Kumar: We stick to our guidance. If we have any changes, we will inform everyone in the upcoming phone calls.

Moderator: We take the next question from the line of Alisha Mahavia from Invasion Capital. Please go ahead.

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Alisha Mahavia: Just wanted to reconfirm the ex-railways order book, the balance order book will all be executed in this year?

Nikhil Kumar: Part of it is executed for this year and part of it is going to be next year.

Alisha Mahavia: The aftersales revenue will be over and above this, repairs and –

Nikhil Kumar: Aftersales order book is reflected in the generator order book.

Alisha Mahavia: In the projects business, this quarter has obviously been lean. So, is it a more H2 heavy segment?

Vinay Hegde: Yes, it will be H2 heavy, madam.

Alisha Mahavia: Because for a guidance of Rs.50 crores, we've done Rs.1 crore this year. Just wanted to read.

Vinay Hegde: Yes, yes, it is more such.

Alisha Mahavia: Is it fair to assume because we have raw material book for the rest of the year the kind of margins we've done in this quarter will be sustainable for the rest of the year?

Nikhil Kumar: We have booked our raw materials and we have mentioned for the whole year and we expect price stability in the market. So, we stick to our guidance on the cost competition.

Moderator: The next question is from the line of Mohit Khanna from Banyan Capital Advisors. Please go ahead, sir.

Mohit Khanna: Just wanted to understand a little bit more clearly. Seeing the trend on the margin side and as the aftermarket business is now also increasing its share, would it be fair to assume that the margins that you have reported in last two quarters the double digit margin is the new normal or the new base for the company here on?

Nikhil Kumar: At this level of sales where we are around Rs.200 crores per quarter, one could certainly expect this to be the new normal, because we are talking about doing Rs.820-odd crores for the year, it's about 205 crores per quarter. So, Q1 is more or less exactly at that run rate, 25% of that number and we are certain about our order book and certain about our top line performance for this year of Rs.820 crores. So, there are small variations quarter-to-quarter, but ultimately, we will hit our target. This level of capacity utilization, this level of raw material cost, this level of gross contribution, you could say we will see stability in the earnings.

Mohit Khanna: No, I'm not looking for a particular quarter, I'm just looking at the longer-term trajectory here and given the order book remains on the solid turf, is it a fair assumption?

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Nikhil Kumar: Longer-term, I told already. To your earlier question that we have the capacities to do more within this plant up to Rs.1,200-1,300 crores and we're not going to add manpower, we're going to go for more automation and obviously, we will see expansion in the EBITDA margin taking place, better capacity utilization for sure. That's the thing we will use our operational leverage to increase EBITDA margin. That is clearly in the direction that we're going in. Even if we don't expand the gross contribution by a large level, the major increase in the EBITDA margin will come from the capacity utilization, operational

efficiency. So, there is a limit and we can't just keep increasing the prices in the market and expect that margin expansion will take place with price increases. I think we have reached a limit on that. So, the future is really going to be on how we're going to be able to manage our operations in a more efficient way, and that's where we're going to see the margin expansion taking place.

Mohit Khanna: Just taking a little bit longer term view here, what's your sense that in our business in next three years with the upcoming opportunities and what segments do you think should contribute or should have a larger contribution to the revenue line in next three years down the line, I mean from Rs.820 crores that we're here today, what's your internal target?

Nikhil Kumar: I can't give that number to you, but all I can say is that we have a baseline business what we're talking about of 500 crores where we are today, and there are a number of large opportunities on the table in the railways side, and also on the synchronous motors side, and also within our existing business to expand the business, there's a larger two-pole generator which we talked about, that's also increasing. So, there are a number of opportunities clearly visible to the company to the management and we are well placed and we're going after everything. How many of these succeed and how many of these to what extent? That will become in the final top line and the exact numbers of sales and profitability. If you want me to give a number right now, I can't. The opportunities we are talking about, all of them are large and they deliver great results for the organization, even they are successful in a few of them, you don't have to be successful in all of them to get great numbers. One or two or three if you get also, you see big growth taking place in the overall sales.

Mohit Khanna: What is your sense in the market regarding the sub-100 MW or 30 MW generators especially on the distillery side in the domestic market?

Nikhil Kumar: Distillery side is booming and smaller machines less than 10 MW it will continue to boom because India is talking about higher and higher percentages of ethanol blending in the fuel. So, as long as that policy continues with the Indian government, there's going to be almost unlimited demand for ethanol if this will continue at least for two, three years and then let's see.

Mohit Khanna: How much is the segment contributing to our order book currently?

Nikhil Kumar: I can't give that number exactly at the moment, but it's good.

Moderator: We take the next question from the line of Ankit Gupta, Bamboo Capital. Please go ahead, sir.
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Ankit Gupta: Nikhil, I wanted to understand one thing from you. Some of the new initiatives on the traction motors side, on the railways side, the wind generation or refurbishment side, and other new initiative that we are taking, although they might not be contributing significantly to our top line this year, but let's say on a combined basis in FY'24, can we expect all this new initiative to at least contribute around Rs.100 crores to our top line or it will be like too far of a number, will it be possible to have Rs.100 crores from all these new segments?

Nikhil Kumar: I'm going to avoid that question seriously because it could be a lot more, it could be less. We are working to close out some of the deals and let's see when we actually close up those deals, what those numbers would actually end up being. Could be a lot more. I don't want to put that number on the table. So, it takes a little bit more time for finalization, then it may not be Rs.100 crores. But the deals are not going away, the market is there. Just may take a little bit more time. So, I don't want to answer this question. Let's just be a little bit patient and I think we will definitely have some information

on for the markets and for ourselves definitely by the end of this calendar year. So, let's be a little bit patient for a few more months and we have all the answer.

Ankit Gupta: On the gross margin side, in earlier calls you have expressed your aspirations for targeting 34%, 35% kind of gross margins. So, in current year, we are looking at around 30%, 31%. So, where are we in our journey to reach those kind of 34%, 35% kind of gross margins and do you think that it will be possible to achieve such margins let's say in two year or three years horizon?

Nikhil Kumar: Yes, it could take that long. We have to improve our margins, I would say, we have to increase the service business, we have to reduce the cost of our machines, there's a limit how much we can keep increase in prices in the market too to achieve these higher gross contribution level. So, it will be incremental year-on-year. But the goal of the management as I said is to keep increasing the gross contribution marginally. Greater emphasis is being put on operational efficiency and trying to achieve higher sales without increasing the cost.

Ankit Gupta: My last question was, we have been hearing a lot of news about the locomotive opportunities which are coming up and Alstom can be one of the major parties to get this contract. So, do you think that if Alstom get those orders, we can get a lot of new orders from them as well apart from the existing railways order that we have from them?

Nikhil Kumar: There are no guarantees in life, but we are the front-runner being the existing supplier to them.

Ankit Gupta: Is Alstom also the front-runner in getting those contracts?

Nikhil Kumar: I think so. Yes.

Ankit Gupta: Can that order be as big as the existing order that we have in hand or it will be a smaller one?

Nikhil Kumar: Potentially, they are as large. So, the 12,000 hp kind of is as large, 9,000 hp is also as large. So, let's see who wins.

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Ankit Gupta: Any tentative tender days for order finalization for that?

Vinay Hegde: Tender finalization is in September-end. It may take six months from there.

Moderator: We take the next question from the line of Dhruvesh Sanghvi from Prospere Tree. Please go ahead.

Dhruvesh Sanghvi: First, I would just like to comment on the amazing way you have steered the company from seven, eight years from single product India-dependence to multi-product, multi-country, the way you have done it is amazing. And in the past, we used to sometimes comment that in spite of doing so many things, the sector was not probably supporting and your voice was sounding to that arena and the way you describe in the calls now is completely changed. So, it's really amazing to hear you. Just one part here that the way you have expanded across the globe, have we already reached to wherever we were supposed to reach in this strategy of touching busy customers or if you can give some sense on where are we there that how many more customers are to be tapped where we can reach and potentially further penetrate over the next couple of years?

Nikhil Kumar: Overall market is huge. We have maybe just a single digit world market share in our engines. While the number of OEM customers may not be significantly larger, we do supply smaller quantities to all of them. It's more about how we can cut deeper into them and how we can increase our market share with each of these guys and repeat our overall business. So, there are still a number of challenges that we face in terms of acceptance of our products in many parts of the world, I would say that's number one hindrance, so we're constantly working on how to improve our marketing, how to improve our reach to the customer, directly to end users and try to increase our acceptance level. And as acceptance levels increases more and more, it's difficult

for our competitors to

compete with us on the price , quality metrics. So, I would say challenge is still to cut deep in the market. Long way to go. Lot of scope to grow. I'm not worried about the market size. We just have to keep working hard.

Moderator: We take the next question from the line of Mr. Dipen from DS Investment. Please go ahead, sir.

Dipen: I had a couple of questions. Firstly, just from an understanding perspective, is there a ballpark figure in the sense that per megawatt of power, what is the kind of revenue which we would be generating in terms of supplying our generators, so maybe per megawatt, is there an average, that's just for a broader understanding perspective ?

Nikhil Kumar: No, we don't have that metric in our company, because there are a number of factors that can influence the size of the generator, complexity to generator, and we are not related to the megawatt rating, so we don't actually have that metric in our organization.

Dipen: The second question is relating to your guidance. It's a two-part question. Firstly, we have done about a 25% growth in the first quarter and we are probably guiding towards the 15% overall

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growth for the current year. So, maybe just as I thought what is going into it? And the second part is that we say that we have a capacity where we can reach a revenue of Rs.1,200 crores and you also mentioned in the earlier part that now all the orders which we are taking will be coming in the next year, because they generally take about seven to eight months to complete the order. So, just trying to understand if you already have a capacity to do Rs.1,200 crores, can't we finish a larger number of orders in the current year?

Nikhil Kumar: I would like to just once again comment on things like I did not say all the orders are going to go for next year. Part of the orders are going to be shifted to this year, part of it is going to go for next year. So, we are still booking some orders for this year. Whether we should deliver the machines this year or next year, depends on customer requirement and also what our turbine customer or engine customer wants. So, if they can deliver the turbine this year, customer wants machines this year, we will deliver this year. It's totally dependent on what the market wants and what our customers want. In general, I said, a lot of the orders that we are taking from now, majority of it is going into the next year and a smaller portion of it is coming into this year, that's number one. Number two is our guidance is based on our current order book that we have on hand as of date, and what is the expected inflows we have a relatively small number, has already closed for to reach our target. And after a lot of discussions with our OEM customers, our own internal discussions, we come up with the guidance. So, our guidance is something that we don't want to give negative surprises, we'd like to be positive surprises. So, let's see how it works out.

Moderator: We take the next question from the line of Rajesh Jain from NB Investments. Please go ahead, sir.

Rajesh Jain: Sir, I had three questions. The first one is regarding the gross margins. In your introduction, you had alluded that you would be maintaining 30% to 31 % during the year. But in Q1, we have already done more than 32% gross margin. So, any particular reasons why you are expecting these margins would be lower for the remaining three quarters?

M.N. Varalakshmi: Actually, we have told that we will achieve around 31% to 32% gross contribution over the year. In some quarters, it maybe 30.5% and then next quarter it would be 31%. So, on an average is what you will have to see as a nature of industry.

Nikhil Kumar: I have given the guidance of 30% to 31%.

Rajesh Jain: And we have done already 32.5% during the current quarter. I know this keeps varying every quarter. Is it that we

are not in a position to pass on whatever the fluctuation in the raw material prices to the customer or something like that?

M.N. Varalakshmi: No, we have already passed on is what we have told and we are seeing the benefits we had.

Nikhil Kumar: We have passed on, but basically the historic gross contribution levels of the company at the best of times has been around 32%. So, we are coming close to that number once again. That's

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where the stability should take place on the pricing front also is what I have been trying to allude in a number of questions over this call today. There's a limit on what we can do in terms of increasing prices. We're coming to a region of price stability which we like to keep and maintain the market share. We can't expect gross contribution expansion is going to take place to price increases anymore.

Rajesh Jain: My second question is regarding the direct business with railways where we were to supply some engines for the trial. If you could share what is the current status of that?

Nikhil Kumar: The motors have been cleared for dispatch and we are waiting for the final dispatch clearance on the Indian railways track, in boxes we are just waiting for the final document and then they will be shipped out, then they have to be mounted on a locomotive, and then they could run for six months, then we get approved to bid in a preferred category, where we get higher prices and a higher share of each and every channels.

Rajesh Jain: So, all that could happen only after H2 of next financial year?

Nikhil Kumar: Yes, yes.

Rajesh Jain: My third and last question is regarding the CAPEX part. You have already given how much we can do it from the existing facilities. Just for the information, in case if you have to put up a facility on a short notice, how much time would it take for you to put up that facility which you mentioned that we already have a land, so how much time would the company require to put up a facility let's say to make Rs.300 crores?

Nikhil Kumar: Six to eight months.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Nikhil Kumar for closing comments. Over to you, sir.

Nikhil Kumar: Yes, thank you very much for joining us on our call today and we look forward to communicating with you further over the next few months and definitely at the end of each month. Thank you very much.

Moderator: On behalf of TD Power Systems Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines, ladies and gentlemen.

Call: Nov 2022

November 16, 2022

The Corporate Service
Department
BSE Limited
P J Towers, Dalal Street
Mumbai – 400 001 The Listing Department
The National Stock Exchange of India Ltd .
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
Mumbai 400 051

Sirs,

Sub: Transcript of Earning Conference Call – Quarte r ended September 30, 2022

In furtherance of our letter dated November 02, 202 2 regarding intimation of earnings conference call, the transcript of Q2FY2023 earning conference call held on November 10, 2022 has been uploaded on the website of the Company at https://tdps.co.in/fi_nancials/#earning_FR

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

N Srivatsa
Company Secretary

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

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Q2 FY '23 Earnings Conference Call”
November 10, 2022

MANAGEMENT : M R. NIKHIL KUMAR – MANAGING DIRECTOR – TD
POWER SYSTEMS LIMITED
M S. M.N VARALAKSHMI – CHIEF FINANCIAL OFFICER
– TD POWER SYSTEMS LIMITED
M R. VINAY HEGDE – TD POWER SYSTEMS LIMITED
M R. N. SRIVATSA – TD POWER SYSTEMS LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to the Q2 FY '23 Earnings Conference Call of TD Power Systems Limited. This conference call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal and operator our pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kumar, Managing Director for TD Power Systems Limited. Thank you, and over to you, sir.

Nikhil Kumar: Thank you. Good morning, everybody. Thank you once again for joining us for our earnings call. I trust all of you have received our results and investor presentation. Now let me start by discussing with you the financial performance of TD PS for the six months ended 30th September 2022. Standalone, our total income of standalone basis for H1 INR 4.14 billion versus INR 3.21 billion versus same period of last year, an increase of 30%.

EBITDA for H1 was at 15.89%, including other income. Profit after tax and complementary income for the 6-month period was INR 388 million versus a profit of INR 169 million in the same period of last year, an increase of 130%. Manufacturing revenues for the first six months was INR 3.94 billion versus INR 3.06 billion over the same period last year, an improvement of 30%.

The order book including Turkey operations stands at INR 13.67 billion, out of which, INR 4.43 billion is the manufacturing business and INR 9.04 billion in the Railways business and INR 0.2 billion in the Turkey business. Export and deemed exports, excluding the resi business stands at 61%. Order inflow, we have a total order inflow for the first six months and included 22% over the order inflow over the previous period. Our total order inflow is INR 3.83 billion in the current year versus INR 3.14 billion in the previous year.

Moderator: Mr. Kumar. Sir, your audio is sounding a little muffled.

Nikhil Kumar: The order inflow from direct and deemed exports is INR 2.16 billion compared to INR 1.63 billion in the previous year, an increase of 32%. Project business revenue in Q1 is INR 0.1 million versus INR 0.12 billion in the same period last year. Our total income on a consol basis is INR 4.3 billion versus INR 3.95 billion same period previous year. Profit after tax of comprehensive income in terms of consolidated to INR 385 million versus a profit of INR 242 million.

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Last year included INR 20 million exceptional income of INR 2.42 million, this is an increase of 59%. The consol order book stands at INR 14.08 billion. We continue to maintain a strong cash position of INR 1.97 billion.

Now let me move on to the order book, market situation and guidance, market conditions and guidance. Overall, demand for our products are very strong in India and across the world. The market penetration that we have been able to achieve over the past few years have been instrumental, ensuring that we have an increasing order flow. In addition, the macro conditions are favorable with power shortages, both in India and Europe and increased trust on renewables. For this financial year, we are on track to have around INR 8.05 billion to INR 8.2 billion manufacturing sales from TDPS India, and around INR 0.2 million from TDPS Turkey. We expect gross contribution to be in

the region of 30 % to 31% for this year, which will result in EBITDA, including other income on a standalone basis of around 16%.

EBITDA for H1, as mentioned earlier, is 15.89%. We expect to keep EBITDA at the same level as H1 while slightly improve to 16-plus percent. In Q3, we continue to see a robust order book, which ensures good growth for the next financial year. In general, my commentaries on this point will be more forward-looking in the next financial year, since we had clear visibility for this year. I've already given you a guidance of this year's performance. So now I would shift to focus into next year's business plan.

Let me talk about each segment briefly. Steam turbine. We have strong demand from India and then through the world. This year, we will achieve our highest sales ever in the steam turbine segment. The order book for next year is also very strong with all our major turbine customers forecasting strong builds, which applies to both India and out of India.

Segment of our garbage burning plant, process industry, waste recovery and to a smaller extent, in India within the traditional captive coal-fired power plants. We also have three numbers of large 2-pole generators of above 60 megawatts for next year and expecting an order for at least 2 more. We have completely indigenized the rotor production related to the binder rotor from Germany. And in this, we are competitive as well as profitable.

Hydro. Next year order book is filling up. We have a pending order book for next year, which is almost equal to this year's sales in hydro. There are plenty of new opportunities in the market, and they're actively competing in all parts of the world. We've seen a good year next year for Hydro, politically in Europe and the big push for small hydro and the inquiries have increased dramatically.

Gas engines. We have very good ordering forecast from both our Indian customers. This year, we will have achieved our highest sales that have been in this segment since the history of the company and next year's forecast are showing a significant growth over this year's sales.

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Aftermarket. There's been a lot of effort to develop the aftermarket to repair not only our machine, but also machines of our competitors. This year, we will be having the highest sales for the aftermarket business and we will further expand our footprint next year.

Other segments. Railways, with Indian Railways on track, we have dispatched, the Indian motors, the first six motors to Indian Railways. The next step will be to mount the motors on the locomotives, which we are now arranging. And in the next six months, after successful performance, we will have reached the approval stage, after which we can start bidding in Indian Railways for all their tenders.

IR, Indian Railways new projects all either now on this 9,000-horsepower automotive bid, we are hopeful that our partner customer will win this order. This -- the tender will be open in about a month from now, which is the fast-track project and production should begin in about a year. This project, once again, will give a 10-year revenue outlook for the winner of this bid.

Synchronous motors, we have one order on hand, another one is booked. With this, we expect 50 product sales from synchronous motor for next year. There's still a large pipeline of business in this segment and we will report new order wins as and when we get them.

Market development for special motors is also progressing at a good pace. We have our facility approved by a nuclear power cooperation. A number of jobs are in discussion. We had reported getting approvals from NTPC. We are focusing on special applications and large motor capacities.

With all these developments, we have really excited about growth for next year that we can achieve. The company is well positioned in many segments, new markets all over the world and

we will see steady and strong growth. Tentatively, we're projecting a growth of around 20% next year with a big upside potential. We will continue to invest in automation and productivity to improve operating leverage to grow EBITDA, margins and PAT.

With the growth expected next year and further operational leverage, we will see expansion of EBITDA margins. We will give forecast preview in the next few quarters. All our subsidiaries will be profitable except TDPS Turkey, which has shown an exchange loss. However, due to lack of sufficient business and deteriorating economic conditions in Turkey, we will suspend operations in Turkey from 30 April 2023. This brings me to the end of my initial remarks. I'll now be happy to address all the questions that you may have. Thank you.

Moderator: The first question is from the line of Jiten Parmar from Aurum Capital.

Jiten Parmar: Congratulations on a good set of numbers. My question is basically on the Indian business. We see that domestic is down from comparable quarter last year. May I know the reason for that? I mean, the sales are down, so -- 7%. So, despite of having such a strong order book and were there any execution challenges or what has happened in that? If you can throw some color on that?

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Nikhil Kumar: We can't really measure quarter by quarter. There could be some deliveries that were required in the following quarter and things like that, but absolutely that there is no weakness in the domestic markets and it could just be a function of when we deliver the required as per delivery dates.

Management: It's clearly due to some postponements. That's all. Nothing to worry.

Jiten Parmar: And I couldn't hear properly, but have you – are we looking at higher margins for FY '23, is what I heard? Is that correct then the 16%, which you are guiding for this year?

Nikhil Kumar: We have growth around, I already mentioned we're going to have growth 20% plus. It's also an upside potential. We are in many parts of the market, many segments, different categories. And we have fingers in many enterprise, so as and when we are able to book orders and report the business that we have won, we will see further growth taking place. We're not putting any investment for new capacity, so we will see operational leverage taking place. And so we will have expansion of EBITDA.

Jiten Parmar: My final question is basically on the global slowdown. Are we seeing any challenges because of that or are we going to actually gain market share because of us being cost competitive? If you can throw some color on that?

Nikhil Kumar: So actually, we are seeing a very, very strong demand for our products internationally in all segments, in steam turbines, in gas engines and hydro. We are seeing very strong demand, and the forecast given by all our OEM customers for next year are even stronger than what we have seen this year. So there is a push towards the kind of products that we make, thematic direction. The winds are favorable, I would say now on our side. And our position also, basically we're positioned very well across the world in many, many areas and many, many segments. So we had really captured the market, that it is taking off right now. So we're going to capture that in one of those segments that we operate in. So, we're very upbeat about what the forecasts are like for next year.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investment Managers Private Limited.

Pritesh Chheda: Sir, just one clarification. Until last quarter, we were mentioning that the margins in the business will be about 13%, 14%. Are we saying that margin now will be about 16% for consol for the year? Considering the fact that I think first half, we have done a similar 13%. So I was not sure there. And second, on the

top line growth, did we mention a 20% top line growth next year? Because your lines were not clear.

Nikhil Kumar: Yes. EBITDA margins are, the months that I mentioned was on the standalone basis, not on a consol basis. Because if you take consol basis, the reason, we do have our sales office, our sales offices in Japan and in Germany and US. So we're not going to see the same kind of EBITDA margin from our sales office. Manufacturing business we have said, it is 15.89% for H1. And I have projected that based on the increased sales we will have next year, the EBITDA margins

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will expand. I've also mentioned that in H2, we will have a slight expansion of this current EBITDA margin. We're hoping to cross 16%.

Pritesh Chheda: That's specifically for H2?

Nikhil Kumar: Yes, H2. And for H2, we told 16 around -- around 16 -plus percent. And next year, based on the 20% growth in the projection, it will go even further.

Pritesh Chheda: So basically, half of your business will operate at plus 16% margin next year. And the other half of the business operates at whatever 12%, 13% margin that you're doing. That's how we should read it, right?

M. N. Varalakshmi: Actually, the blended -- it's a blended...

Nikhil Kumar: Yes, when you look at the consol basis, manufacturing business is the main business of the company. And the sales offices are for the generators, but when we report on a consol basis, the performance of unit sales -- the subsidiary companies, sales office also take into consideration.

So you have to look at the EBITDA margin of the manufacturing business as TDPS India, standalone basis to really get the performance of the organization.

Pritesh Chheda: So I'm a bit confused because see, the difference between your standalone and consol is hardly anything. And if you mention that standalone itself will move to 16% margin. Then obviously, the overall margin itself looks even that number, right?

Nikhil Kumar: Varalakshmi, could you please answer this question?

M. N. Varalakshmi: Yes. So the difference between margin on standalone and consol is around 2%. So if the margin

of the standalone company improves, the consol marg in also will improve.

Pritesh Chheda: Yes, perfect. That's what I was looking. So you're looking at 16% for half year and better than 16% next year.

Nikhil Kumar: Yes. In short, yes.

M. N. Varalakshmi: Yes. On a standalone basis, and this will also help in improving the margin on a consol basis.

Pritesh Chheda: Standalone and consol there is hardly any difference, obviously that will reflect.

M. N. Varalakshmi: Yes, around both are the same.

Pritesh Chheda: Now what is the driver of this margin in second half? Is it the gross margin number or is that the execution number, operating leverage?

Nikhil Kumar: It's both. It's mainly coming out of operating leverage to a lesser extent, gross margin expansion.

Pritesh Chheda: It's coming from operating leverage.

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Nikhil Kumar: Yes, mainly.

Pritesh Chheda: And my last question is, sir, what is the progress on that wind turbine business side?

Nikhil Kumar: Yes. I have mentioned that in the aftermarket business, we have done good business this year.

I'm not giving the number. I'll start giving the projection for the aftermarket business from the next earnings call onwards. But we have got a good number of machines, and we have a projection for a good number, very good number of machines for next year also. The progress has been extremely encouraging, and now we are well entrenched in the market.

Moderator: The next question is from the line of Himanshu Upadhyay from O3 Capital.

Himanshu Upadhyay: I had two questions. One was on, I think we have a pretty concentrated revenue. The top three contributes nearly 40% of our revenue, so top 10, 81%. So if the

market situation is improving,

is pricing power, what pricing power your OEMs would be getting? Are you able to also get better, gives you better pricing orders from our OEM vendors? Or how will it happen? Because just some thoughts on that gross margin can be improved 3%, 4% dramatically from here on.

Nikhil Kumar: I don't think that we will be able to increase the prices any further in the market at this point of time. So we will have to reduce the cost, and we will have to work on operational leverage. This is not, the market has reached the stability on raw material prices and other costs, so there is no question on increasing prices to offset cost anymore. But we will improve the gross contribution, as I said earlier, by cost reductions.

But most of the expansion of EBITDA margin will take place through operational leverage. And we are investing in automation, we're investing in productivity to further expand our capacity so that we can continue to deliver higher sales within the same capacity and then further increase EBITDA margins. This is the direction in which we are going. So we want to remain cost competitive in the market. We want to keep market share, and we want to increase EBITDA margins by being more efficient in the factory.

Himanshu Upadhyay: And slightly, to follow-up on the same question. The top three customers who contribute 40% of our revenue. Who would be the exclusive suppliers to how many of these customers?

Nikhil Kumar: And we are -- no, we don't have any exclusive contracts with anybody. We have good market share with these customers, but there is no exclusivity. We have to be competitive and have to deliver high-quality products, and that's how we keep our market share with these customers.

Himanshu Upadhyay: And what would be our market share -- is there a scope to continue to grow our market share at these 10 OEMs who are our launch revenue contribute ...

Nikhil Kumar: There is a lot of scope to grow.

Himanshu Upadhyay: Would we be above 50% for all the 10? Or we will be below or some?

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Nikhil Kumar: No, this is a difficult question to answer like this. Each customer is at a different percentage of the penetration that we have, and it's hard for me to give a generalized answer in that this is 50 or 40 or 30. There is scope to grow the market and it's good to increase our market share with specific OEM customers, and we're continuously working on that.

Himanshu Upadhyay: And then last question, then I'm going for the follow up. The Turkey business, it will be completely shutting down in 30th April. So will there be...

Nikhil Kumar: I mentioned the word suspend the operations, so that means we're going to basically cut our costs down to 0 or to a minimum level. All our assets are going to remain there. We're going to keep our factory over there and -- but we're not going to shut down. We're going to suspend the operations until we see better market conditions. We're going to wait for some time to see if the market conditions improve or not. If the market conditions don't improve after, let's say, six

months or a year, then we will take the next decision for what is appropriate at that point of time.
Himanshu Upadhyay: What is the number of employees in Turkey business or Turkey subsidiary?
Nikhil Kumar: Right now. Less than 10.

Himanshu Upadhyay: Less than 10 employees are there?

Nikhil Kumar: Yes.

Moderator: Next question is from the line of Rohit Balakrishnan from Ithought PMS.

Rohit Balakrishnan: Congrats on the good number, good quarter. Nikhil, I just wanted to understand the synchronous motor part, what you mentioned. Can you repeat that? I could not hear it properly. You said you have one order in hand and something I could not understand. Could you repeat, please?

Nikhil Kumar: Yes. So, I said that we have one order on hand. We have

closed another order at this, and we

expect to do around with these two orders around INR 50 crores of business next year in the synchronous motor segment. And I also mentioned that there is a large number of orders in the pipeline under active negotiation.

Some of them may get finalized in the next two or three months. They may or may not count for execution next year. So, but what we have on hand, we will execute next year. For the orders that we win, may or may not count for execution next year, but orders that we win that don't for execution next year, we plan for the execution for the following year. But there is a very strong, big, large pipeline of orders in the market.

Rohit Balakrishnan: I mean from an order book point of view, would you think that this could be, the order book could be as big as the railways business? I'm not asking the current order book of railways. But the yearly booking that we do for railways at this moment, can this be as big?

Nikhil Kumar: It's not a steady business, Rohit. It's not a steady business like the railways business where we can say a few do exactly INR 120 crores, INR 130 crores, INR 140 crores per year. But it's more
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like there could be a very large order and sometimes we could even with INR 100 crores order in this business. So, it depends on what's in the market at that point of time. But we are in the market, we have got orders now and they're actively bidding for the future quarters in the pipeline. And so it's taking a little bit of time that we have established ourselves in this segment and we are going to be very actively getting orders in this segment in the future.

Rohit Balakrishnan: And just to understand this a bit more, what are the drivers for this? I mean, in the sense for this -- for your synchronous motors. What drives the end market orders eventually? I mean what activity in the economy? Is it agriculture? Is it general infrastructure? Or...

Nikhil Kumar: These are mainly large pumping stations required for pumping the water out of rivers and into reservoirs. So this is for irrigation mainly. So they pump out the water from the river during the raining season and store it in reservoirs so that the farming community can use the water in off season. Especially now when we have had too much, such good rain in India over the past two years, there is a huge push to take out as much of water from the river as possible. Otherwise, it all flows up to the sea. So, we are seeing a very, very strong demand for this product at this point of time.

Rohit Balakrishnan: Are there other use cases also for this? Or -- and are we planning to get into that? Or is it largely whatever use case you mentioned?

Nikhil Kumar: Synchronous motors are also used in industry, but to a larger extent, but not on these sized orders and not for this volume of orders. But this is the main business.

Rohit Balakrishnan: And my second question was on the Indian Railways parts. You mentioned that now they will get mounted on the locomotive and it will take six, seven months. So do you expect FY '24 to contribute some business from Indian Railways, assuming everything goes right? Or it will be more...

Nikhil Kumar: We need to get those motors mounted on a locomotive. So if you take, I don't know, if you take -- when we're on the job, it should happen soon. Six months after that, let's say, we get to know around June, July next year. And then there is enough of time, then we'll get to it in the end of Q1. So, it depends on the tenders that are there in the market. But yes, I am optimistic that we should be able to add some revenues to our business in Indian Railways -- from the Indian Railway direct in Q3, Q4 next year. That's what we're gunning for. Let's hope it happens. Of course the main step is to put the model on a locomotive, it's Indian Railway product

ce large

organization.

So it all depends on how fast we can get that the next step done. And sooner we get it done the sooner we get approved, of course, if the motors work correctly for six months. I think more interesting for us is right now to wait for the outcome of the 9,000 horsepower tender, and we are expecting the results to come in by the end of this calendar year. So we are hoping that are

our current customer bring this order.

Rohit Balakrishnan: And how big is that from your perspective?

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Management: That will be as big as the current order.

Moderator: The next question is from the line of Dhwani Desai from Turtle Capital.

Dhwani Desai: My question is if you can talk a bit about the qualitatively about the impact of what is happening on the Europe energy side on three things. One is the demand for small hydro, waste to energy and gas energy, positive or negative whichever way?

Nikhil Kumar: So at this moment, energy prices are at an all-time high in Europe, extraordinarily expensive per kilowatt hour prices in the market. Of course, this is determined by the fact that gas prices are really high. And so the electricity produced from gas is driving the overall market price because all the prices are set by an exchange.

So at this point in time it is very profitable to have hydro power plants and bid to energy or anything that you're supplying into the grid. So one part of the market is very bullish and there's a lot of money now going into this segment because it's so lucrative. Other parts of this segment is also benefiting from the fact that Europe has to come up with alternative energy production to reduce the dependence on gas.

So that's also driving demand for small hydro, waste to energy, garbage incineration plants and so on and so forth. On the gas side itself, I mean, we are seeing that there is a huge requirement for captive power plants. So, smaller captive power plants that people want to be independent from the grid and just in case there is a blackout or just in case there is an interruption of power. So, people are investing in these small gas engines. And so that's also driving demand. At this moment, I think, as I said earlier, the macro conditions are favorable and they're well positioned in the market.

Dhwani Desai: So this increased traction that we have seeing in all the three segments in Europe, it's largely because of the macro part and or is it also that we are gaining market share, or it's a combination of both?

Nikhil Kumar: Yes, a combination of both. I would say larger growth is coming from the expansion of the market, and we are also benefiting from being -- our production costs are still not so high in India compared to increase the production costs in Europe. So we'll probably be gaining market share also, but it's a combination of both. I cannot determine or tell you exactly how much, what is X and what is Y. It's hard to tell you that.

Dhwani Desai: And second question, Nikhil, I think you mentioned about -- something about the larger megawatt -- 60-megawatt turbine orders and our ability to manufacture that. And you also talked about some nuclear power-related development. So I mean typically, our forte has been less than 30 megawatt. Our focus has been less than 30 megawatt. So has something changed why we are focusing on larger megawatt turbines in terms of market potential or the market activities?

Nikhil Kumar: We're not in the below 30 megawatts. I mean, of course, our GDP is generated on technology go up to 60 megawatts. This has been our core business. Above 60 megawatt we have a license

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agreement with Siemens and we had made an investment a long time ago to produce the larger size generators, but that investment did not materialize into good sales. How

ever, we do have

the products and so I'll let Vinay now speak a little bit how the market is now developing for these larger two-pole machines and where we are positioned. Vinay, maybe you can throw some light on, which way this market is moving and what we are seeing as a business for the next year or two.

Vinay Hegde: Yeah, so we already have three orders as Nikhil said and there are good number of inquiries for two-pole. Unfortunately for the last 10 years because of the pole camp mainly the two-pole business was not good so that's why we could not make good business in the two-pole segment. But for next year we are really seeing a good business in the two-pole segment mainly from our major customer in India.

Dhwani Desai: So just to follow up on that, so you see this as a one-time event or do you think that something which is changing the market which will lead us to help you face a sustained opportunity? How do you guys look at it?

Vinay Hegde: We are seeing a sustained growth in this segment.

Nikhil Kumar: It was 30 machines a year, it went down to zero now it's about five, eight machines, eight, nine machines per year. I think this will be sustainable.

Vinay Hegde: And see, our main competitor is BHEL. Since now we have 100% indigenized the product. Earlier we were importing the rotors from Germany. Now we are making it here. So we have become competitive and we can compete with the BHEL, that's how we are getting orders.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: Just one question. What is the reason for sequential decline in gross margin because I believe at the start of the year-- just wanted to understand the reason for sequential decline in gross margin?

Nikhil Upadhyay: There is a small decline. I think quarter-on-quarter there could be some small variations in gross margin depending on the product mix. But overall, we have given the guidance for the year and we will see an improvement in the gross margins in Q3 for sure. And I've already given the guidance for the whole year. So quarter-on-quarter there could be variations, due to product mix mainly.

Alisha Mahawla: And for the full year we're expecting it to be in the range of 31 to 32%.

Nikhil Kumar: No, I said 30% to 31%.

Alisha Mahawla: And this is excluding other income, because the presentation has other income before gross, when we're calculating gross margin. Sorry, is this excluding other income?

MN Varalakshmi: This will include the operating income. It will include the other operating income but will not include interest income.

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Nikhil Kumar: It will include the other operating income which means things like foreign exchange gains and things like that.

Moderator: The next question is from the line of Ashwani Sharma from ICICI Securities.

Ashwani Sharma: Sir, my first question is what would be our current utilization level? Because what I see is that given the strong order book and the query pipeline also looks very encouraging. But then if you look at the guidance of around INR 800 crores for full year, that looks a bit conservative. If you can throw some light on that, sir?

Nikhil Kumar: This year, we are still keeping our guidance. One of the reasons why we have not been able to increase our sales for this year is there has been a temporary reduction of this year's locomotives for the Indian railways which Alstom is producing. So that knocked out a big chunk of what we could have done above INR 800 crore, INR 810 crore, INR 820 crores for this year. It goes into next year. But in terms of capacity utilization, I said we have capacity around INR 1,200 crore, INR 1,300 crores and we're constantly investing to push it even further to INR 1,400 crore. So, I don't see a capacity problem coming next year at all.

Ashwani Sharma: Secondly, if you could j

ust put more light on the opportunities from motor business, especially from the railways and Vande Bharat. If you can, through some light, how are you looking at opportunities from these two segments?

Nikhil Upadhyay: So the railway business is divided into two parts. One is the business that we get from our large customer. Of course, it depends on which bid they win. And we are currently executing the 12,000-horsepower locomotive for them, making the motors for the 12,000 horsepower locomotive. And there are two more bids that the Indian Railways have put in the market. So one is for the 9,000 horsepower. Those will also be 1,000 locomotives. And there's another 12,000 horsepower, for which the bid is going to open some time early next year. So these are the two major, this is one major segment.

So we are currently executing the 12,000. We are hoping that our customer would bring both or at least one of the two new ones which are upcoming. That will give us for each of the jobs that we add in our revenues equal to what we have, right now from this particular customer. Then there is the Indian railway segment. The Indian railways produce electric locomotives themselves and they buy about INR 1,000 crores worth of electric motors per year. And we want to get a chunk of that. We want to get, my goal is to get 10% of that business at least. So it's going to be a step by step process. The first step is to get the approval. That's the most critical step. So that's where we are right now. But once we are approved, I think we will start bidding. And hopefully, in the next two or three years, we will get to my target.

Ashwani Sharma: and on Vande Bharat?

Nikhil Kumar: Sorry, I missed that.

Ashwani Sharma: Vande Bharat sir, you have a...

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Nikhil Kumar: Yes, Vande Bharat is also in play, but whether we will make these or we will not make, this is not 100% sure. The technology level is high for these motors and it could be that our customer

wants to keep it for themselves, for these high-speed trains.

Ashwani Sharma: So from a longer perspective, let's say next four to five years, where do you see your motor business going, in terms of absolute number?

Nikhil Kumar: I am not going to give a forecast, Ashwani about this. We can take this conversation offline and we can talk one-on-one on this. But I don't have a number right now. I can talk about the motor business for the next four, five years perspective, share on this call.

Moderator: The next question is from the line of Rajat Setiya from Ithought PMS.

Rajat Setiya: Sir, we get 6-7 crores of other income every quarter. So what is the major of that? What is the mix of that?

MN Varalakshmi: We have interest income of around INR 2 crore, INR 3 crores. Interest income on an annual basis to be around INR 8 crores and the other income is because of the foreign exchange gain on account of our forward hedging of euros.

Rajat Setiya: So how much of it is usually considered in the -- is considered operational income and not the typical other income?

MN Varalakshmi: Interest income is not considered as operational income. Rest of all the other things are considered as operational income.

Rajat Setiya: Then how much is that part interest income?

MN. Varalakshmi: Interest income INR 4.5 crores which is not considered as operational.

Rajat Setiya: Sorry, what's the number?

MN. Varalakshmi: INR 4 crores.

Rajat Setiya: INR 4 crores on a quarterly basis?

MN Varalakshmi: No. Half year basis.

Rajat Setiya: And talking about the cost structure that we have in place right now. So how do you see the employee expenses and the other expenses growing over the next one, two years?

Nikhil Kumar: So we see the employee-related expenses growing on an average between 7% to 8% per year, which is, I guess, industry average. The other operational expenses could grow around

5% to

6% per year, depending on the with increase in production. So but the growth in expenses will be far lower than our overall increase in sales. So that's how we're going to get the operational leverage.

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Rajat Setiya: So this other expense that you mentioned 5%, 6%. So right now, it's INR 15 crores on a quarterly basis. You refer to the same number, right?

Nikhil Kumar: Roughly INR 15 crores. Varalakshmi please confirm.

M. N. Varalakshmi: The employee cost is INR 46 crores and other expenses is INR 30 crores on an H1 basis.

Rajat Setiya: So Nikhil, you are referring to this INR 30 crores number, which will grow at a 5%, 6% rate, right?

Nikhil Kumar: Yes. There's not much of variable cost here basically.

Management: Some variable cost is there, but it's not fully variable let say, partially variable cost.

Rajat Setiya: And sir, finally, did we see any decline in the international business in H1?

Nikhil Kumar: I'm not, do we have the number of that right now?

M. N. Varalakshmi: No. I don't have the number right now, but we can take this call offline.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Congratulations for good set of -- decent set of numbers. On the domestic side, how is the situation currently, how are you seeing orders coming up to them? If you can throw some light on the domestic situation?

Nikhil Kumar: Yes, Vinay. Please take this question.

Vinay Hegde: Yes. So domestic side, there is a very good order inflow and good inquiry pipeline also. So market is doing really well in the steel turbine segment.

Ankit Gupta: Sure. And how do you see the domestic side of the business for us in FY '24?

Vinay Hegde: Yes. As Nikhil said, we did the highest business this year in the steel turbine segment. And also, we have seen a very good year next year with some good two fold orders coming in. So we're expecting some good growth in the domestic marketplace.

Ankit Gupta: Sure. And Vinay, if you can talk about two-fold orders that we have, how much revenue it can be contributed to us?

Vinay Hegde: Pardon me?

Ankit Gupta: Yes. How much revenue can the two-fold order that we have bought contributed to our total top line during FY '24?

Vinay Hegde: INR 50 crores.

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Nikhil Kumar: It would around INR 50 crores.

Ankit Gupta: And you also talked about the nuclear power, some developments if you can talk a bit more about this?

Vinay Hegde: Now we are approved by NPCIL.

Nikhil Kumar: Nuclear Power Corporation, of course, there is a large variety of products, the large number of projects that you have in the pipeline they're going to put up a long number of these power plants.

So each of the power plants require a variety of highly specialized motors. So we are now approved and we are bidding for a large of the specialty motors for Nuclear Power Corporation. In addition to that, they also require emergency power generators. And we are also approved for that. So as and when a nuclear power starts ordering for this new equipment, we will surely win some of these orders. It's good, and it would be a very steady, it's not a huge business, it would be a steady business, with very good margins.

Ankit Gupta: Sure. And how big can this order be on an annual basis for us?

Nikhil Kumar: I can't give a number to that, right now.

Moderator: The next question is from the line of Risha Kansara from Molecule Ventures PMS.

Risha Kansara: So I just wanted a clarification. Maybe my line was not so clear enough. So in the last quarter, you mentioned that for FY '23, you'll look at a top line of around INR 890 crores. So that remains unchanged currently also. Correct?

Nikhil Kumar: On the consol basis, yes.

Risha Kansara: And that 20% sale growth guidance that you gave,

that is for FY '24?

Nikhil Kumar: Yes.

Moderator: The next question is from the line of Manoj from Geometric.

Manoj: Sir, can you throw out some light on the new initiatives that you have...

Moderator: Sir, there's a lot of static from your line. Mr. Manoj?

Nikhil Kumar: I can hear him fine. That's okay.

Manoj: So whatever like synchronous motor and all other things new initiatives, they are more gross margin dilutive than our core business or similar?

Nikhil Kumar: Around similar, sir.

Manoj: Around similar? And second, this nuclear, I don't hear it properly, is it domestic thing or export thing?

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Nikhil Kumar: No, 100%, pure domestic.

Manoj: Can this turn into an export initiative also in future?

Nikhil Kumar: Not likely, sir. Nuclear business is -- it's going to be domestic, sir.

Manoj: It could be domestic?

Nikhil Kumar: It could be domestic, only domestic.

Moderator: The next question is from the line of Nikhil from SIMPL.

Nikhil: Just two questions, sir. One is on synchronous motor now. It's been a year, 1.5 years since we launched the product. Based on the performance and the costing, do you see that in a sustainable way, we can maintain a 15%, 20% market share in the domestic market? Or how do you see the opportunities and market share gain for us?

Management: Market share, it's in fact -- I think we could be a round 30% market share. And that would be a good achievement for TDPS.

Nikhil: And secondly, on the maintenance part of the wind turbine for our own installments and competitors, we had launched this new initiative last year. So where we were looking at the refurbishment and interim. So any progress on that side? Have you won more orders or -- because I think a...

Nikhil Kumar: We have won more orders. We have won more order in the repair business. It has definitely increased our overall aftermarket business. I've not given the numbers to this, I'll start giving a number to this for next financial year, how much are we going to do on the overall aftermarket business. But thanks to the wind business, we have the turbine repair business. This year, we are doing the highest aftermarket business in the history of our company, and we are planning to grow this even further next year.

Nikhil: And lastly, in Europe, during the call, you mentioned that because of the issues which are happening, there is a lot of investment for ITP kind of projects and ways to gain a complete change in terms of the energy dynamics. Now if the situation starts improving in terms of the gas cost coming down and things improve, do you see this can sustain for two, three years? Or is it more of a, like is it more of a knee-jerk reaction because of the things which have happened in the near term and probably it will sustain -- stabilize at a much lower level? Just to get a sense

how you are reading the things or what's the feedback you are getting over a longer period?

Nikhil Kumar: The gas infrastructure in Europe has taken 20 years, 30 years to build. And replacing the gas infrastructure will -- or even replacing a part of the gas infrastructure will take, say, not 30 years, but it will take at least 15 years to replace a part of it. It's such a huge dependence they have on gas. So this is not a knee-jerk reaction. They want to reduce the dependence on gas, it compromises the overwhelming part of their overall energy mix. They want to reduce it, they have to make big investments in other areas with a large number of megawatts, which have to

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be put into the market to replace this. It's not going to happen in one year or two years. So there's going to be, just in the beginning of the cycle, I think it will continue at least for five to 10 years.

We're just in the beginning of it.

Nikhil: And incrementally, our

market share in.....

Nikhil Kumar: Your voice is breaking, so I couldn't hear your last sentence.

Nikhil: My question was that if you look at the.....

Moderator: Sorry, sir, your voice is breaking up. Mr. Nikhil is not able to hear you clearly. Your audio is breaking up.

Nikhil: Just one last thing. If you look at the incremental order flow, which is happening, our market shares and incremental market share will be sustained? Like there are more new, other competitors or large, any smaller players who are coming in the market? So are our market shares are sustaining? That's what I wanted to understand.

Nikhil Kumar: Market shares are sustained, market share could have increased slightly. I mean we are seeing almost a 22% increase in the overall order book, 30% increase in the overall order book. So definitely, we will see a 22% overall increase in order book. So we will see part of this market growth, part of it is increasing market share.

Moderator: The next question is from the line of Prolin from Goldfish Capital.

Prolin: I have two questions. One on the export side and the second one on the domestic side. I will start with the export part and where the last question ended in terms of market share. Now in the past, you have mentioned that there is still some apprehension amongst our customers to use our products, right? And that is, in a way, a limiting factor, despite the fact that our price and quality proposition is second to none. So just wanted to understand who are these competitors? And are they also facing some supply side challenges, which is helping us gain market share? Or helping us crack some of these customers who had earlier apprehension about using our products?

Nikhil Kumar: No, nobody is having any supply-side constraints anymore in the market. There is enough of steel and copper and other commodities in the market right now. Our big competitors still remain BHEL, Siemens, ABB, all of the big guys are still there in the market. So for us, that is a question of gradually taking away market share by convincing customers to buy our products. And we have a large number of references, and we are steadily working on overcoming those barriers. It's not going to go away immediately. I think it's still going to take some time. We're not a global brand like Siemens or ABB. So we still have a lot of work to do. But there is a lot of scope for us to grow. And this is our job. This is what we have to do to grow our sales.

Prolin: That is very clear. The second question is on the domestic part. On the question of exports and whatever is going on macro, you mentioned that there is greater focus on captive power. Now in domestic also, I mean, India also, we have seen some power shortages during some of these

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seasons, right? So do think that the focus on captive is coming back, let's say, for example, some of the core industry of cement or metals? Are they looking to put a higher capacity of captive power and rely later to an extent on grid versus what they would have done, let's say, two, three years back?

Nikhil Kumar: Yes. Nobody right now is going to put a greenfield or brownfield investment without a captive power plant. Nobody. That's the situation in India today, and nobody can take such a decision for the risk, even for the next four to five years. There is power shortage and there is volatility of power prices. So people who are putting in greenfield, brownfield pursuant to our core industry will put their captive power plants, and they're doing so.

Prolin: Sure. And I think it's slightly, let's say, two, three years back or four years back, when maybe you are not a power deficit and there was some surplus for some years, is that also what you are seeing on the ground there?

Nikhil Kumar: I don't know if power surplus is -- I never give the sort of surplus contract

s. India is a power

shortage country and will continue to be so for a long time.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Nikhil Kumar: Yes. Thank you for being on this call. If there are some pending questions, we'll be happy to take them after the call on one-to-one basis. If you have any other queries, please get in touch with me or with Varalakshmi, and we'll be happy to answer your questions. And we look forward to interacting with you at the end of the next quarter. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, on behalf of TD Power Systems Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2023

February 14, 2023

The Corporate Service
Department
BSE Limited
P J Towers, Dalal Street
Mumbai – 400 001 The Listing Department
The National Stock Exchange of India Ltd .
Exchange Plaza, Bandra - Kurla Complex
Bandra (East)
Mumbai 400 051

Sirs,

Sub: Transcript of Earning Conference Call February 09 2023 – Quarter e nded December 31 , 2022

Further to our letter dated January 31, 2023 informing you of the earnings conference call, enclosed is the transcript of the said call held on February 09th 2023 .

This is uploaded on the website of the Company at https://tdps.co.in/financials/#earning_FR

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

N Srivatsa
Company Secretary

TD Power Systems Limited
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"TD Power Systems Limited
Q3 FY '23 Earnings Conference Call ."
February 09, 2023

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR – TD
POWER SYSTEMS LIMITED
MS. M.N VARALAKSHMI – CHIEF FINANCIAL OFFICER
– TD POWER SYSTEMS LIMITED
MR. VINAY HEGDE – TD POWER SYSTEMS LIMITED
MR. N. SRIVATSA – TD POWER SYSTEMS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '23 Earnings Conference Call of TD Power Systems Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kumar, Managing Director of TD Power Systems Limited. Thank you, and over to you, Mr. Kumar.

Nikhil Kumar : Good morning, everybody. Thank you very much once again for joining us on today's earnings call. I trust all of you would have received our results and investor presentation.

Now I shall proceed to discuss with you TDPS's financial performance for the 9 months ended 31st December 2022. First, let's talk about standalone. Our total income on a standalone basis for 9 months was INR 6.16 billion versus INR 5.13 billion over the same period previous year, an increase of 20%. Profit after tax and comprehensive income for 9 months was INR 593 million versus a profit of INR 314 million for the same period previous year, an increase of 89%. Manufacturing revenues for 9 months was INR 5.9 billion versus INR 4.93 billion, an increase of 20%. EBITDA margin for the 9 -month period is 6. -- 16.05%, including other income, which includes foreign exchange gains and the same will improve due to increased operational leverage in Q4. Manufacturing order book, including Turkey operations is INR 13.73 billion, which is INR 5.05 billion, manufacturing business, INR 8.47 billion, railways business and INR 0.21 billion Turkey business.

Export and deemed exports, excluding traction is about 61%. Order inflow, the company recorded its highest ever order inflow during the quarter since inception. Order inflow in the 9 -month period is 42% over the previous year period. Total order inflow for this current year stands at INR 613 crores versus previous year's INR 433 crores. Order inflow from domestic market is INR 2.66 billion compared to INR 1.7 billion, an increase of 56% and order inflow from export is INR 3.4 billion versus INR 2. 42 billion, an increase of 40%.

Projects business, revenue for the 9 -month period remained flat at INR 0.14 million versus -- sorry, INR 0.14 billion versus INR 0.13 billion same period previous year. The company is no longer in the projects business. Hence, going forward, all orders booked by a branch office of Japan will be classified under the manufacturing segment, which comprises of generator sales, spare parts and other related jobs.

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Now I move to the consolidated income. Our total income on a consol basis was INR 6.36 billion versus INR 5.86 billion same period previous year. Profit after tax and other comprehensive income for the 9 -month period was INR 599 million versus a profit of INR 378 million. Last year, it also included INR 76 million of exceptional income for the write -back of creditors from our subsidiary company, DF Power Systems, an increase of -- still an increase of 58%. Our consol order book, as discussed earlier, is INR 13.79 billion. We continue to maintain a strong

cash position of IN R 2.04 billion.

Now I'll talk about the market situation and guidance for this year. Overall, the demand for our products in India and across the world is extremely strong. The market penetration that we have

been able to achieve over the past years has been instrumental ensuring that we have an increase in order inflow. In addition, macro conditions are favourable with power shortages in India and Europe and increased trust on renewables.

This financial year, we are on track to have around INR 8.05 billion to INR 8.2 billion manufacturing sales from TDPS India and around INR 0.2 billion from TDPS Turkey. We expect gross contribution to be in the region of 30% to 31% for this year, which will result in EBITDA, including other operational income on a stand-alone basis to be between 16% and 16.25% for Q4 and 16% plus percent for the full year.

Foreign exchange gains have been included in this EBITDA calculation. In Q4, we continue to see a robust order book, which will ensure good growth for the next financial year. In general, my commentary from this point will be more forward-looking in the next financial year since we have already given the guidance and visibility for this financial year.

Let me talk briefly about each segment, Steam Turbine. Strong demand continues from India and rest of the world. The order book for next year is very strong with all our major customers forecasting strong turbine sales with supplies to both India and abroad. Segments are garbage burning plants, process industries, waste heat recovery and to a smaller extent, traditional coal-fired captive power plants. We have secured 2 more orders in the 2 pole segment for a total of 5 machines for next year. We had -- we will have the highest sales in the steam turbine segment this year and looking at the current order book inflow and the projections made by our various steam customers internationally and in India, we are confident we will surpass this year's number next year, which will then result in the highest ever sales for our steam turbine crossing this year's record.

The same goes with hydro. We are projecting our highest order book and sales in hydro for next year. Our markets are 100% export, and we are seeing strong demand coming in from Southeast Asia, Nepal, as well as Europe. Once again, hydro, we are selling obviously all over the world and getting orders from all OEMs within India as well as outside India. Gas engines, we have a strong order book from -- and forecast from both our engine customers.

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Our sales with the second engine customer is increasing rapidly and the progress is extremely encouraging. Recently, we got a number of orders from this engine customer for the US market, which is great progress. Since now they are using our machines in all their bids in their home market. Gas turbines, we are actively involved in a number of orders in the fracking industry in the US. We have recently closed an order. We have not been received the official document for it, but we have recently closed an order, and we expect to have at least 100 megawatts of total orders in this segment for the next financial year.

Aftermarket, we have put a lot of efforts to develop the market for after -- for to repair not only our own machines, but also machines of our competitors. We are expecting the aftermarket business to be in the region of 7% to 8% of our next year sales. This includes our own machines, wind generators, competitors' machines, spares, service and as well as synchronous motor repair. Other segments, Railways, Indian Railways business on track. The motors have now clocked about 4 weeks on a locomotive, which has -- which is now in running condition to the Indian Railways. And we hope that it will all go well up to 6 months after which we will get the qualification.

Indian Railways new projects, all eyes are now on the 12,000 horsepower bid and the results of this bid, and we hope that our customer will win this order. We should know about this by end of March hopefully this year. Synchronous motors, we still have

old on our guidance of INR 50

crores for next year. The pattern of inquiries for these motors and other inquiries for large motors is very large. It's around INR 500 crores. So prospects for us to pick up a section of these orders is very bright for execution for next year. With these developments, we're very excited about next year and the growth that we will achieve. Tentatively, we are projecting at least 20% growth next year, the upside potential. And we will -- we are going almost across the 4-digit to INR 1,000 crores mark in the manufacturing business.

We continue to invest in automation and productivity to improve operational leverage, to grow EBITDA margins and PAT. At around INR 1,000 crores turnover, we will see an improvement of EBITDA compared to this year since our cost will not increase in proportion to our sales. All our subsidiaries will be profitable this year except TDPS Turkey, which has shown an exchange

loss but not an operational loss. As I said in our previous earnings call, with the sufficient business and deteriorating economic conditions in Turkey, we will suspend our manufacturing operations in Turkey by 31st May 2023.

This brings me to the end of my initial remarks. I'll now be happy to address any queries that you may have. Thank you.

Moderator: The first question is from the line of Mohit Khanna from Banyan Capital Advisors.

Mohit Khanna : Sir, congratulations for a very strong set of earnings and your execution during the quarter. I had a query regarding the sustainability of EBITDA margins. Is there any one-off that you have, first

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of all, in these margin share? And then how do you see margins progressing? I think you mentioned it some of this.

Nikhil Kumar : Yes. I think the margins are very sustainable. And the margins are dependent on our sales and order inflow and sales, so -- and our operational efficiency. So we are seeing, as I said, we have had a record order inflow for this 9 months for this year. And Q4 also, we've seen an extremely strong order inflow. So all these things are going to count towards our sales of next year. We have projected that we're going to be entering -- crossing close to INR 1,000 crores -- definitely, crossing INR 1,000 crores of sales next year. Our gross contribution is going to be really, whatever we have projected. So EBITDA margins are sustainable, very much sustainable.

Mohit Khanna : Because -- I'm asking this because if you look at the September quarter, from there, our revenues have come down slightly by around 3%, but gross margins have improved from 20% -- from almost 30% to 33.7% in this quarter. So what exactly is the reason for that? Is it the mix that has changed for us or FX has been accounted for, if you could just pinpoint the reason here?

Nikhil Kumar : No, it's -- I mean quarter-on-quarter, we have different mixes. So we would have had a number of service jobs and aftermarket jobs in Q3. But what we're projecting for the whole year is sustainable.

Moderator: The next question is from the line of Renjith Sivaram from Mahindra Mutual Fund.

Renjith Sivaram : Sir, if I look at the -- in your breakup in your presentation, which you have given, the export is showing kind of a decline compared to last year in terms of the revenues. So is there any particular onetime issues over there that has led to this decline or you see there is some structural trend? Because our order intake as per your commentary in exports is good. So why this reduction in revenue?

Moderator: Participants, please stay connected. Ladies and gentlemen, please stay connected while we join the management to the call. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Nikhil, sir, you may go ahead.

Nikhil Kumar : Yes, please repeat that question. The second one, I missed it out.

Renjith Siv

aram : In your presentation, you had mentioned the numbers that there is a decline in that. So just wanted to understand that is there any particular onetime issue or some hiccups in that? And will that revert back in the next quarter onwards on the export execution?

Nikhil Kumar : So the total exports -- total exports is around -- will be around -- exports deal is 61% of our order inflow. And our total export sales will be 60% of our overall sales. So quarter-to-quarter, there could be some variations, but we will -- it will catch up in Q4.

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Renjith Sivaram : And we are pretty much confident in achieving this year's guidance in the manufacturing, right, or is there any change in that guidance?

Nikhil Kumar : No, I have already said in my earnings calls is that we're going to achieve these numbers and we're going to achieve these numbers.

Renjith Sivaram : And in terms of the order intake flow funnel, if you look at it, like what is your general sense? Because there was some pent-up demand in Europe and US, which we were expecting this year.

So do you expect the same traction to continue in FY '24 onwards as per whatever the discussions that you have with the customers or the funnel that you're looking at, just to get some clarity on FY '24 order intake, if you can?

Nikhil Kumar : Yes. So we are -- as I said, the macro conditions are very favourable to the company. One is in Europe, and there's an increased trust in renewables. So we are going to see sustained demand coming from this sector because it's not possible for them to replace the entire gas, power network in just 1 year or 2 years by other forms of energy production. So certain portion of this will go for renewables and it can go on -- it could go on for years or probably a decade. So we're very confident in the macro conditions as far as Europe is concerned will give us sustained

demand. One is that.

Second is that we have a low market share in Europe, and we have the potential still to grow our business by increasing market share. When it comes to the domestic market, we're seeing the order inflow, for example, for the domestic market 9 months this year versus 9 months next -- last year, is up 56%. So the domestic market is also contributing to our projections for next year. We are seeing strong macro situation in India also, the capex cycle and also the investments taking place in different parts of the economy is increasing.

And we are very upbeat and confident that the Indian market also will provide us sustained growth. In addition to that, we are also getting into the segments of motors and Indian Railways, and we hope that our customer will win this 12,000 horsepower. So there's a lot of things on the table, which will help us to grow our business even further. What we're talking about for next year is not including, for example, anything coming from the Indian Railways because the motor is still under the trial period. We're not talking anything about what would happen if our customer win this 12,000 horsepower railway contract, all those things will go into FY '25.

And we're going to have further initiatives for growth then coming in from these segments for FY '25. So the macro conditions overall are very good. And the company has positioned itself in multiple sectors with multiple products. And these multiple products in multiple geographies, multiple sectors is what is driving the growth.

Renjith Sivaram : And sir, is that Alstom winning that 12,000 horsepower and either or what is your backup plan? Because in 9,000 horsepower, we saw the competition was very aggressive in terms of pricing?

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Nikhil Kumar : There is no backup plan. There is no backup plan.

Moderator: Next question is from the line of Nikhil from SIMPL.

Nikhil : Congratulations on the

good set of numbers. So, Nikhil, one question, if we look at the gross margin expansion for this quarter, there are 2 points which I wanted some clarity. One is like for all these periods, we were seeing a major RM or is it more of a improvement on the RM side, which has supported the gross margin or is it a business mix change in terms of higher replacement and maintenance of the aftermarket, which has supported a margin improvement?

Nikhil Kumar : So the sales are slightly lower in last quarter compared to what we did in Q2. So the increase in gross contribution is coming through a better mix in Q3. And I've always been saying that we will increase our gross contribution marginally going forward by 1 percentage points or 2 percentage points, mainly due to better mix, more -- we're talking about 7% to 8% now of our total business coming in from aftermarket business, which earlier used to be just 3% or 4%. So almost doubling the amount of work that we're doing from the aftermarket business.

All these things are improving our gross contribution. And to a certain extent, we're not seeing any increase in the raw material prices. So we are having a stability in the raw material prices, and that's not giving any adverse effect to our gross contribution. So these things are -- and addition to that, if you look at what's going to happen in Q4, I think Q4 now, we have almost INR 220 crores to do versus what we did INR 225 crores to do versus we did, let's say, INR 190 crores, INR 195 crores in Q3. So this additional INR 30 crores of sales in Q4 will give operational leverage, and therefore, we will see higher EBITDA margins coming in, in Q4 compared to what we had in Q3.

In general, and if you talk about next year doing INR 1,000 crores and making INR 250 crores every quarter on an average, then we're going to have further increase in EBITDA margins due to operational leverage. So I think the trend of -- the trend going forward is strongly towards increasing the profitability of the company. And it's going to be driven by the mix, higher proportion of aftermarket business and operational efficiency and higher sales. This is the way that the company is going to increase its gross contribution -- is going to increase its EBITDA margins and PAT.

Nikhil : Secondly, on motor business, if I have to understand, so if you look at Bharat Bijlee and TG, they also have this motor part of the business. So would we be competing directly with them or would we be operating in the lower megawatt versus where they are operating?

Nikhil Kumar : No, I have a number of times have mentioned that we are only going to be working in certain niches in the motor market. We're going to be focusing on the synchronous motor business, which is large motors starting around 5 megawatts, 6 megawatts going up to 30 megawatts or 40 megawatts, in that segment, we don't see these players as you mentioned in this segment. And

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we are talking about large induction motors once again starting around 3 megawatts, 4 megawatts going up to 15 megawatts, 20 megawatts.

And these will be for very special applications in the nuclear power industry or in the thermal power industry for very large motor pumps and things like that. so we're looking at very specialized products, where the company's technological strength can be used to get -- to deliver the right product, get the right kind of pricing and also be in the market where there's limited competition. We're not interested in being in the smaller size mass market motor business.

Nikhil : And last question, we had some operations in Turkey. So because of this earthquake, any impact or anything you are hearing or how the -- we don't see any...

Nikhil Kumar : No, I mean, in general, I don't see -- firstly, that we don't know what the earthquake has just taken place a few days ago, right? So we don't know

how what the -- but in general, the economy is

weak. In general, they have a foreign exchange problem. In general, they have extremely high inflation. They have very low investment taking place in the power sector. So these macro things are not going to change because of the earthquake.

In fact, some of it, it may become worse. So our decision to sustain the operations over there is the right decision. We may just keep the factory partially open just for after sales service and maybe do some refurbishment jobs and things like that. But very, very skeletal manpower and very, very small costs. We're not interested in -- we have to wait and see how this market shapes up in the next 1 year. It doesn't shape up in the next 1 year, it continues to be in this way, and we don't also see getting meaningful business in the aftermarket business, and we will completely close down. Right now, we're talking about the suspension.

Moderator: The next question is from the line of Himanshu Upadhyay from 3 Capital.

Himanshu Upadhyay : Yes. Nikhil, great set of numbers. I had a few questions, okay. One was on the aftermarket business, which we expect to be 7% to 8% of our revenue. So is it focused majorly in India or it is focused outside India? And what is the competitive scenario in this business? And is there some technical means expertise or approvals required outside India so that you can be a generator, let's say, to do servicing? And yes, any thoughts on the margins also in this business?

Nikhil Kumar : No, the aftermarket business right now for us as far as the repairs and refurbishments are concerned, it is mainly domestic. For our own machines, of course, we do sell spare parts and provide service for our machines internationally. But we're not -- we're not doing repairs, out-of-warranty repairs for our job internationally because out-of-warranty repair would need the machines sitting somewhere in South America. It needs 6 weeks to come here, 6 weeks to go back. It doesn't make sense for the customer to wait. I mean, the machine is sitting in a ship. So repair jobs, refurbishment jobs for international businesses is difficult to get. People prefer to go to local service providers, and we do have local service shops. So we do coordinate and

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the job is done, and we may get -- and we get a certain amount of money from them, but not doing the actual service jobs ourselves. And we're focusing on the domestic market, as I said, we're focusing on our own machines. We're focusing on the large wind repairs. We're focusing on certain types of motors, and we are focusing on spare parts as well. So this is a range of activities right now, which will give us a total turnover, as I said, 7% to 8% of our total next year's sales, and margins are good.

Himanshu Upadhyay : And both gross margin and EBITDA are better in this business?

Nikhil Kumar : Yes. Yes. Once gross margins are good, EBITDA would be good.

Himanshu Upadhyay : And one very wild question, we just want to understand your thoughts. In the peak of last cycle, 2012-2013, our margins on manufacturing touched something like 18% to 20%, okay? Is the scenario possible that we can reach back to those numbers with a much more diversified customer product profile, customer base and more approvals globally, or do you think the competitive scenario environment is such that it is just a wild shot. So some of your thoughts on that will be helpful?

Nikhil Kumar : I think we need to look at -- be competitive in the market also. So there's -- we will probably flat -- I don't know, I don't want to put a number to it. But moving from 16% upwards, we need to get that mainly coming through our internal efficiency and operational efficiency. And expecting to get increased EBITDA margins through better pricing in the market, and that's going to be hard in this environment, es

pecially now when raw material prices have stabilized, and it's not going to be possible to get price increases in the market at this point of time. EBITDA increases are going to take place purely through operational leverage, operational efficiencies. So, we will see incremental improvement from current levels for sure. And beyond that, I don't want to comment at this point of time.

Moderator: Next question is from the line of Rajat Setiya from Ithought PMS .

Rajat Setiya : Congratulations on good set of numbers. Sir, my first question is about the revenue capacity that we will have. I think we have mentioned that we will have a manufacturing capacity of INR 1,400 crores to INR 1,500 crores from the existing plants without much capex. Is that correct?

Nikhil Kumar : Yes.

Rajat Setiya : And aftermarket business, whatever we do, spares and repairs, that will be in addition to this. Is that also correct?

Nikhil Kumar : No, that will be within this.

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Rajat Setiya : Within this. Okay. Understood. And sir, the other question is about the business mix that we will be generating from, let's say, biomass or other waste to energy solution kind of products on the segments?

Nikhil Kumar : No. So the Steam Turbine business is where we do waste to energy, we do biomass, we do cogeneration. So if you talk about total Steam Turbine sales, how much of it is coming from fossil, how much is coming from renewables, I don't know. Vinay, if you -- I think it could be 60%, 70% coming from renewables, 30%, 40% coming -- internationally, it's all renewables.

Management : Perfect, sir. Absolutely, yes.

Nikhil Kumar : Internationally, it's 95% renewables, India, let's say, it's about 50 -50.

Rajat Setiya : Okay. So international -- okay, understood. So biomass sales and other renewables, which are basically, steam, which fall under the steam category. You're saying international is mostly that and India is 50 -50. Understood.

Nikhil Kumar : Yes. All right.

Moderator: Next question is from the line of Jiten Parmar from Aurum Capital.

Jiten Parmar : Yes. So congratulations on a good set of numbers. My question is basically that in the last call, if I remember correctly, I mean there -- is there in my note, sir, that our guidance was INR 890 crores for FY '23. So -- and we have done around INR 630 crores. So are we looking at achieving that number? That is my first question.

Nikhil Kumar : Yes, on a consol basis, we are going to achieve that.

Jiten Parmar : Okay. And so the question is the 9 -month sales growth has been only 10%. We have a very good increase in the margins. So are -- I mean, are orders delayed or what is the reason that our sales growth has been a bit tepid?

Nikhil Kumar : No, could you -- Varalakshmi, could you comment on that? Sales growth has been totally on a stand-alone basis, our sales are up by 20%.

Jiten Parmar : Okay. So that is because of Turkey is what could be the reason, is that?

Nikhil Kumar : No. I mean, 20% increase in the standalone, standalone in manufacturing. So most of our business is mainly manufacturing business. So the subsidiaries contribute -- I mean, they're getting orders for the manufacturing business. So mainly, you can see that our sales up by 20%. I don't...

Jiten Parmar : Because the presentation, you mentioned that 9 -month...

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Nikhil Kumar : Turkey, Turkey last year was very large. You're right. Turkey last year was large, and Turkey this year is not so large. Therefore, on a consol basis, you will not see that much of growth.

Correct. You're right.

Moderator: Next question is from the line of Krishna -- Krishna Kansara from Molecule Ventures.

Krishna Kansara : So, sir, you had mentioned that the order inflow is for the 9 -month is the highest ever. But still, is there any

hint of demand softening and especially on the domestic side? Do you think that there is a slowdown in the inquiry levels?

Nikhil Kumar : No, we are not seeing that. We're not seeing that in Q4, and we're not seeing in the forecast also.

Krishna Kansara : Sir, and my second question is that last month, a leader was awarded with a 1,200 electric locomotive award. So can we expect this to flow to us as well? And if yes, how big can this opportunity be? This is my second question.

Nikhil Kumar : No. We don't know what that company wants to do. We're in touch with them. They have not yet made up their mind whether they want to make or buy. So we have to see what -- how it shapes up. Right now, we are not counting this in our projections.

Moderator: Next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai : Congratulations for a very good set of numbers. 2 questions. Sir, the first one is broadly, our order book is up by 42%. And generally, our execution cycle remains the same. So when you're

guiding for 20% growth next year, are you -- are you factoring in change in execution cycle or do you think you are on the lower side of the guidance to be conservative?

Nikhil Kumar : Lower side of the guidance to be conservative.

Dhwanil Desai : Okay. So execution cycle remains the same, right?

Nikhil Kumar : It's update -- easy to update the guidance and we will do so in the subsequent quarters as we keep talking to the market.

Dhwanil Desai : And another thing, I think you mentioned that next year, we are seeing 100 bps -- at least 100 bps improvement in gross margin and our revenue also is going to be substantially larger. So -- from where we will land at 16% this year on EBITDA margin? A couple of 100 basis point improvement in margin is something which is realistic number to look at?

Nikhil Kumar : Yes. Definitely, the realistic number to look at.

Moderator: Next question is from the line of Megh Shah from Prospero Tree.

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Dhruvesh Sanghvi: Dhruvesh here. So just wanted to understand any plans on the next buyback because now money is flowing and the last buyback is a little bit old now?

Nikhil Kumar : The Board is discussing all the options on what to do with the cash flow that we have. We will keep the market informed. Obviously, the two ways to return money to the shareholders would be through dividends and buybacks, both the options are definitely on the table. We will keep the market informed on which way we want to go.

Dhruvesh Sanghvi: Okay. And Nikhil ji, one more in that connection, because last 5 years, 7 years, you have been consistently adding one or the other line of activity associated to your expertise. Are there enough rooms to have more product lines or more service lines or associated areas? I mean can we expand the target markets of our business over the next 2 years, 3 years?

Nikhil Kumar : Yes, yes, we do. We have a number of -- we have -- we -- this is a constant activity within the company. We have to -- we have to keep looking at ways to grow. So we need new products, we need new activities. We have a few things which we are working on intensively right now. And once they come to the point where we can discuss with the market, we will discuss it with the market. But we are definitely working on new things, no doubt about it.

Moderator: Next question is from the line of Jana k, Individual Investor .

Jana k: Congratulations on great set of numbers. My one query is around the nature of the business that we have. So what kind of partnerships do we have with be it partners like Alstom or somebody else? One. Do we have more partners? And are we also independently bidding for railway orders, the nature of those orders? And what gives us the right to win those orders, either through partners or independently?

Nikhil Kumar : No, so the market,

which is there for the tender, right, for the new tenders for the locomotive business, those are tenders where the party has to manufacture the entire locomotive. And we are nowhere in that business, right? So it will be a global major who is in the business of building locomotive, someone like Siemens or Alstom or Wabtec from the US. So there are a number of -- there's a handful of companies who do this. We have a relationship with an existing company who has got an existing job with the Indian Railways. And we believe that -- and they are making the 12,000 horsepower already for the Indian market.

And there's a second tender coming for 12,000 horsepower. So we hope that they should be in the best position to get the best pricing since they already making this machine. So we hope that happen. Now the second part of the business is the Indian Railways business, where we directly are making the traction motors for the Indian Railways. And I have mentioned that a number of times that for this business , our motors are under qualification. We have put the first 6 motors on a locomotive. It has to be -- and the locomotive has to run for 6 months with our motors without any problems, then we get into the stage of being qualified.

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We are 1 month into that process. We got to wait for another 6 -- 5 more months and hope nothing goes wrong. Once that happens, we will be eligible to bid for all the new tenders and get a certain portion of it and a good pricing. And that's our goal. I think we will see the results of all this taking place, I mean in the -- towards the end of this calendar year.

Jana k: And a follow-up to this, what will give us a right to win these orders? What will be our competitive advantage?

Nikhil Kumar : So with the Indian Railways, you're saying?

Jana k: Yes. Yes. The ones that you are independently targeting through motors.

Nikhil Kumar : These are -- I mean, we have extremely good manufacturing setup, highly productive. And we've invested very good money to produce very high -quality machines. And we have shown this to Indian Railways, and they are excited and impressed by our facilities, and we believe that we can offer a better quality product at the tender prices. In the end, it's about quality.

Moderator: Next question is from the line of Alisha from Envision Capital.

Alisha Mahawla : My first question is a large domestic primary mover has been calling out that there is some slowdown in domestic inquiry. Generally, our demand would also be linked. So are we also slightly returned back and this is witnessing some slowdown in inquiry and hence conversion?

Nikhil Kumar : Vinay, will you take this question, please?

Management : Hello. Madam, can you repeat that question?

Alisha Mahawla : So I was asking that a large domestic primary mover has been calling out that there is slowdown in domestic inquiry. I just wanted to understand that are we also sensing maybe the first signs of the same?

Management : No. Absolutely, there is no -- inquiries levels are not going down, it is rather going up. So we are not seeing that.

Alisha Mahawla : Could there be a specific reason for this deviation?

Management : No. See, we are seeing...

Nikhil Kumar : I think it's hard for us to comment on -- hard for us to comment on what competitors maybe seeing. I think what we are seeing is -- yes, what we're seeing is that there is an increased order inflow taking place from the domestic side. And we are not seeing the slowdown. We are also seeing with a larger machine business about 50 megawatts. There's a lot of inquiries also in that space. That is also a part of what we call our domestic Steam Turbine business. So I think all put together, we are seeing an increase.

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Management : And this year, as Nikhil told, we are going

to have the highest Steam Turbine business sales, and

next year also, we are going to see the same thing. We have a very good pipeline of orders.

Alisha Mahawla : That's great. My second question is on Railways. It's a 2 -part question. One, how much of our next year's growth is factoring in getting some orders won directly from Indian Railways or the tender that's expected to open in March? And second is, generally, how are the margins in the Railway business, because if -- are the margins going to be lucrative enough for us to be able to maintain the kind of margins that we're currently doing on a consolidated basis?

Nikhil Kumar : Yes. The Indian Railways business is definitely will give better gross contribution than what we have with our business currently. Once we get to that stage of being in that category 2 or category 1 supplier, okay? That's important for us to be investing, then you set those prices and with those prices, you make good money. But the 12,000 horsepower, we have to see.

We have to see whether our customer wins it. It's given what happened with the 9,000 horsepower and the price difference which was there between the 2 parties over there is currently throwing a lot of doubt whether they will win this 12,000 horsepower also. And we have to wait and see. It's not in our hand.

Alisha Mahawla : No, I understand that. I just want to know, is this part of our aspiration of the 20% -plus growth that we're saying for '24 or that is excluding this or...

Nikhil Kumar : I have mentioned earlier that we're not counting the Indian Railways business for FY '24. We're not counting the...

Moderator: Sir, sorry to interrupt you, but we are losing your audio.

Nikhil Kumar : Okay. I will repeat. We're not counting the Indian Railways business for next year, and we're not counting the -- any potential win by our customer for the 12,000 horsepower also for next year's turnover. I mentioned that all these things would start to contribute initially when we are successful will start contributing in a big way for FY '25.

Alisha Mahawla : Sure. And just a clarification, while you were mentioning that Indian Railways orders can tend to be better gross margin. This is one. Our products which are currently being evaluated and after 6 months once they are approved, we are speaking about that batteries, right, will be the better margin on a relative basis? Okay. Yes.

Moderator: Next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre : Sir, just wanted to understand your motor business. You just explained that railway is an area, where motors are under development, I mean in the trial, and so maybe by this year -end, we will get a clarity on this. So this motor development, is it only looking for domestic purpose or even export side, we can do some work on the site?

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Nikhil Kumar : No, there are -- there is a traction motor, which is the railway motor, railway business. That's one segment. And then we are talking about the other segments of the motor business, the synchronous motor, which as we said is for the large irrigation project -- segment. We're focusing mainly on domestic. Even the traction motor business focusing only on domestic. And the last, the third part is induction motors, large induction motors for compressors and other applications there. We are not looking only domestic, we're also looking at export.

There are a number of opportunities which we're pursuing. We will definitely be able to tell you about all these things in the 3 months' time or 4 months' time. But we are -- the earlier question whether we're working on new products and new markets, we are working intensively on obviously how we can expand our portfolio within these specific sectors, which will give growth not for the next financial year, but for FY '25. We have to build the pipeline for FY

'25 to grow

another 25% in FY '25.

Mahesh Bendre : So sir, 3-year down the line, is it possible -- reasonable to assume that this business can become significantly bigger than what it is currently now in terms of...

Nikhil Kumar : Yes, it is bigger than what it is right now definitely, for sure.

Mahesh Bendre : Yes. And sir, you said that you would like to stick to the large motors, which are usually industrial. The motor is -- the demand is picking up very strong across the category in India. So we don't want to be -- I mean, what could be a possible rationale?

Nikhil Kumar : No, while the demand is picking up overall, it will generate in the motor business, there is also a lot of capacity and a lot of competition. So it's not like the shortage in the market right now.

The incumbent players will get benefited in the smaller motor business, and it's good for them and -- but we're not interested to get into that.

Moderator: Next question is from the line of Adit from Vibrant Securities.

Adit Shah : Nikhil, and the entire team, I have a few questions. The first one is on a quarter-on-quarter basis, we have seen that the employee cost is down by INR 2 crores. So should we read into that or is it just a quarterly fluctuation?

Nikhil Kumar : Varalakshmi, can you answer that question, please?

Adit Shah : Hello?

Nikhil Kumar : Varalakshmi?

Management : Yes, sir.

Nikhil Kumar : Can you take that question, please? Yes.

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Management : Yes, I've taken the question. It's only a quarterly fluctuation.

Adit Shah : So 9-month trend is what should -- we should look at, right?

Management : Yes. Yes. Correct.

Adit Shah : So broadly, I see that the cost base, the cost structure beyond the raw material has grown by 12% in 9-month of this year. Should we expect the same trend in the coming years around 10% to 12%? Will that be the correct way to look at things?

Management : If the inflationary costs will have to be considered, the employee, the salary increase and even a small increase in the number of people and the revenue expenses, the inflationary part will have to be built in. Around 10% to 12% should be considered.

Adit Shah : So 10% to 12% captures all that or will we need more investments, given the strong growth that we are envisaging?

Management : No, I think that should...

Nikhil Kumar : The small investments are taking place, yes, small investments are taking place anyway. But as you said, 10% to 12%, the entire range of cost increases for us to do this additional turnover what we have projected for next year.

Adit Shah : My second question is actually a clarity on your FY '23 guidance, which I think is around INR 890 crores on a consol basis, but on stand-alone, it is somewhere around INR 810 crores to INR 830 crores. Is that correct? The consol guidance is around INR 890 crores?

Management : Yes, we will do.

Adit Shah : And my last question is on your capital allocation. So one of the base is obviously dividend or buyback. But how is the company looking at expanding the capacities, given that we might -- we are nearing our utilization? So I just want to understand the various options which the management is thinking beyond just a buyback or a dividend?

Nikhil Kumar : So we need to keep aside some money for the day when we need to put up a new plant, right?

And we will put aside some money for that every year until we take a decision to invest. And beyond that, the surplus cash, which is there would be then to some extent, would be again distributed to the shareholders either through a dividend or a buyback.

These are the options that we have on the table. And as we generate the cash and as we come --

look at the visibility of the business and as we come closer to the decision of putting up a new plant and things like that, then we will evaluate all -- what's best for the o

rganization and then

we will do what's best for the company. So that's our thinking right now.

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Adit Shah : Can I take one more question, please?

Nikhil Kumar : Yes. Go ahead.

Moderator: Sorry to interrupt you. I'll request you to come back in the question queue.

Nikhil Kumar : Yes, no...

Adit Shah : Okay.

Nikhil Kumar : Let him ask.

Moderator: Okay. Go ahead.

Adit Shah : Okay. Thank you so much. My last question is on the product development. Just want to understand, as a company, how do we evaluate which products to enter, just to understand the framework, not expecting your pinpointed reply on what products we are entering, but the framework?

Nikhil Kumar : The framework, it has -- one is, it has to -- we need to have core competence in that area or we need to be able to develop the core competence as an extension of the core competence that we already have. That's the first criteria. Then we look at the size of the market, we look at the complexity of the product, we look at pricing, we look at marketing, we look at the serviceability of the product. There's a number of factors will go in before we take a call. But I would say the key factors are, it has to be something which requires our technological ability and -- with which you can get decent pricing. That I think for us a really, really important part.

Adit Shah : So essentially, that basically means rotating machines, right? I mean is that what captures everything of -- about our abilities? Are there something beyond that?

Nikhil Kumar : No, it's rotating machines, electrical rotating machines.

Moderator : The next question is from the line of Manoj Dua from Geometric Securities.

Manoj Dua : I'm glad to hear that our relationship with the gas -- new gas Indian customer is improving and going forward. Can you throw some color on any new client addition we can with the Europe or USA. and any development on that?

Nikhil Kumar : OEM, we don't have any new clients or new OEM addition to report at the moment. We are working on a few things, Manoj, we will -- we should be able to inform the market as I said in a few months from now. Once we bring the deal to the point where we have visibility about the business, we have the agreement signed and then we can answer all the questions that you want to put to in front of us.

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Moderator: The next question is from the line of Rohit Balakrishnan from iThought PMS. Rohit, may I request you to unmute your line from your side and go ahead with your question, please.

Rohit Balakrishnan : So, Nikhil, a couple of questions. So you mentioned -- so one was just answered in the previous participant's call. So I'll ask, the another question was that, so you mentioned that in the motors business, you'll be looking at very niche or very specific applications where competition is not going to be much. So any sense on what kind of opportunity would these be in terms of, let's say, rupee size?

And would this be more like a sporadic opportunity or there is, like, for example, you mentioned about synchronous motors, most sporadic opportunities with irrigation or ponds, et cetera, where that gets created or large construction. So just wanted to understand if there is a general sense on the overall opportunities -- you enlisted a few industries, if you can spend some time on that, that will be helpful?

Nikhil Kumar : Yes. So in general, I think there is going to be a big continuing investment in the irrigation sector as far as India is concerned. And so we will -- we know that there are a large number of projects which are in the pipeline, and we know that it's going to continue to be a big business in India for years to come. That's one. Second is, we also know that there's going to be a big investment in the nuclear power pl

ant business in India. That definitely, India is going to keep adding new nuclear power plants, a big ambitious program is there.

And the -- each of these nuclear power plants requires a number of different parts of the plant, different types of very, very special motors, which we are qualified for and we're bidding for.

And these would be again long -term contracts. So we would have good visibility of orders for years to come once we actually get into the business of making these motors and we're not very far away from that.

We'd probably be able to announce the first order in the next time we speak. And then generally, in the industrial sector, there will be specialized motors, which are required. And the third part, which you talked about the export, we are definitely -- we are looking at the LNG side. We're looking at the compression as well as on the LNG side internationally, that first, we want to be a big business for years to come.

And there is a big requirement for the specialized motors required for compression. And we are actively in discussions with 2 or 3 parties who want -- who are actually engaging with us to make these motors for them. So let's see how everything shapes up, Rohit. We are working towards getting good business for the company.

We want to position ourselves well in the sectors, and we want to entrench ourselves. The sectors are all exciting. There's enough of business, large amounts of business. It's now a question of

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how much we can get from that and how quickly we can get into that. So our team is working full, putting all effort to make it happen as soon as possible.

Rohit Balakrishnan : Sure, just to follow up, Nikhil -- that's very encouraging again to hear. Most of these would be, again, today -- whatever you mentioned today, these would be all imported today or there is -- there are players in India who are making it, let's say, for a nuclear or even for synchronous this kind of orders that you are trying to go after?

Nikhil Kumar : Nuclear, I would say, is imported and domestic share is a major player in this market. Similarly for irrigation projects, it is imported, plus DHL is definitely one of the big players in this market. So we have scope because there's a large -- imports are there right now. And we want to -- and definitely, in India and the government's push on Make in India is helping us to move this process along faster.

Rohit Balakrishnan : Sure. My second question was on the fracking order that you mentioned. In general, can you just share some commentary on how you're seeing that oil prices being wherever they are, do you see that could be a good opportunity for the next, probably next year or maybe beyond that as well?

Nikhil Kumar : I can't look at -- I can't -- it's been so volatile, I don't want to give any comment on that. But right now, at the moment, it looks like there is investments taking place for power generation, and it looks like they may now increase a number of wells they're going to be drilling. And so we have -- we see price for about 100 megawatts, 125 megawatts of orders coming in the next 1 month or 2. Beyond that, let's see.

Rohit Balakrishnan : Sure.

Nikhil Kumar : Keep you updated, Rohit.

Rohit Balakrishnan : Sure. And sir, last question, Nikhil. So we've been very optimistic and order inflow also is suggesting that and order inquiry is also very strong in the domestic market. So just wanted to understand, is there -- I mean from a competition standpoint, I mean, are there more players coming back or that's still not happening? Any commentary on that would be very helpful?

Nikhil Kumar : No, I think in general, the industry is doing well in general, right?

Rohit Balakrishnan : Right.

Nikhil Kumar : So in general, the power business, all the companies in the power business are doing well. And everybody has capacity

. So we're not seeing new players coming in. But it's good that these industries have suffered for so long is doing well, and I hope it continues for a longer time.

Moderator: Next question is from the line of Ankit Gupta from Bamboo Capital Partners.

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Ankit Gupta : Nikhil, if you look at our order inflow on a quarterly basis, so we have broadly been in the range of around INR 200 crores to INR 220 crores kind of run rate for the past 2 quarters, 3 quarters. Given the kind of inquiry pipeline that you have, do you think we can touch INR 280 crores, INR 300 crores kind of order inflow on a quarterly basis, let's say, by next year or at least in the second half, if not in the first half?

Nikhil Kumar : I don't want to give a projection, projection on that. See, I'm not going to give a yes or no answer on that. Obviously, we need to grow our business from the FY '24 level to FY '25 level, and that will have to be reflected in the order inflow. So how much is going to be and how far we want to get with some of these new initiatives and how much benefit we're going to get, are we going

to get lucky, some our -- one of our -- if our partner wins this 12,000 horsepower, there are so many factors that want to contribute towards what we're going to see happening in FY '25. So let's wait on that. I'll answer your question maybe in, if not next quarter, definitely the quarter after that.

Ankit Gupta : And second question was on the margin side, Nikhil. So we have reported one of the highest gross margins in the past 6 quarters, 7 quarters. And that has also resulted in significant expansion in our EBITDA margins. And you have highlighted that you aspire to reach 34%, 35% kind of gross margins over the medium to long-term basis. So given the current prices of raw material, especially copper, do you think this kind of gross margins can be maintained for FY '24?

Nikhil Kumar : No, I don't think I have mentioned 34%, 35%. I have said around 32% is what we are aspiring to. And we will get to 32%. We will see. We can, gain, go to increase it by -- obviously, once it is 32%, the next question is, are you going to get to 33%. So let's first get 32%. We're close to that. We'll get there. With that, we will deliver better EBIT and that plus operational leverage, we will deliver better EBITDA margins next year. Exact numbers, we will give to the market once we have full clarity in the next quarter, probably next earnings call, we will give full clarity on what we expect to happen next year, but it's going to be good.

Moderator: Thank you very much. I now hand the conference over to Mr. Nikhil Kumar for closing comments.

Nikhil Kumar : Thank you for the time today, and thank you for joining this conference call. Please feel free to contact me or Investor Relations team if you have any further questions. I look forward to interacting with all of you once again at the end of next quarter. Thank you.

Moderator: Thank you very much. On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2023

May 16, 2023

The Corporate Service
Department
BSE Limited
P J Towers, Dalal Street
Mumbai – 400 001 The Listing Department
The National Stock Exchange of India Ltd .
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
Mumbai 400 051

Sirs,

Sub: Transcript of Earning Conference Call – Quarter ended March 31, 2023

In furtherance of our letter dated April 27, 2023 regarding intimation of earnings conference call, please find enclosed transcript of Q4FY2023 earning conference call held on May 11th 2023. The said information is also available on the website of the Company at https://tdps.co.in/investor_fincl_rslt.html

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary

Encl; A/a

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

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"TD Power Systems Limited
Q4 FY '23 Earnings Conference Call"
May 11, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings

uploaded on the stock exchange on 11th May 2023 will prevail.

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MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR –
TD POWER SYSTEMS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the TD Power Systems Limited Q4 FY '23 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch tone telephone. Please note that this conference is being recorded.

Now I hand over the conference to Mr. Nikhil Kumar, Managing Director from TD Power. Thank you, and over to you, sir.

Nikhil Kumar: Thank you. Good morning, everybody. Thank you once again for joining us today on our earnings call. I trust all of you would have received our results and investor presentation. Now I would move on to discuss with you TDPS's financial performance for the year ended 31st March 2023.

Standalone. Our full year total income on a standalone basis was INR8.43 billion versus INR7.36 billion in the same period the previous year, an increase of 15%. Profit after tax and comprehensive income was INR884 million versus a profit of INR532 million in the same period in the previous year, an increase of 66%. We are pleased to inform you this is the highest PAT on standalone basis for the full quarter and full year since the inception of our company. Full year manufacturing revenues was INR8.16 billion versus INR7.04 billion. EBITDA margins for the full year were 16.58%, including other operational income. Exports and deemed exports contributed to 58% of the generator business. The manufacturing order book, including Turkey operations stands at INR13.8 billion, of which INR5.61 billion is the generator business, INR8.08 billion is the railway business, which is executable over the next 5

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years and INR0.11 billion for the Turkey business. Export and deemed exports, excluding the railway business is 52%.

Order inflow. Our order inflow has been very strong and resilient, and we're very, very pleased to report an increase of 36% -- sorry, 38% in the order inflow compared to the previous year. Order inflows for TDPS for the current year, sorry, for the last year was INR8.37 billion compared to INR6.05 billion of the previous year. Full year order inflow including Turkey business as follows: TDPS India was INR8.37 billion, TDPS Turkey 0.08, total is INR8.45 billion versus the previous year INR6.4 billion. Order inflow from direct and deemed exports is INR4.43 billion, which is an increase of 20% over the previous year. Full year project business revenue was INR335 million versus INR173 million same period last year. But we would once again like to reiterate that the company is no longer in the projects business, and hence forward, all orders put by Japan branch will be classified into the manufacturing segment, which consists mainly of generator sales, generator spares, service and other related jobs. As a matter of clarification, in the sale of INR283 million in total of INR335 million described above is mainly the generator business service and spares. Order book from the projects business stands at INR106 million, which is now classified as generator business from this point onwards.

Consol. On the consol basis, our full year total income, including exceptional income is INR8.93 billion versus INR8.22 billion in the same period in the previous year, an increase of 9%. Profit after tax, including comp

rehensive and

exceptional income is INR945 million, including a write-back in DFPS a subsidiary of INR6.28 million and profit from the sale of land of INR7.16 million versus a profit of INR614 million in the same period in the previous year. In the previous year, we had a write-back in our subsidiary company in DFPS of INR76 million.

Our consol order book is INR13.91 billion. We continue to have a strong cash position of INR1.89 billion. The company has also generated operating cash flow of INR886 million during the year on a consol basis. The major part of it has been used to pay back the working capital loans, balance over payment of dividends and creditors compared to INR109 million in the previous year. The company is now debt-free, both long term and short term. Anyway, the company did not have any long-term debt previously. We plan to invest around

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INR25 crores in this current year on automation, productivity improvements and software for our design department.

Order book market situation and guidance. Steam Turbine generators. We have seen a huge jump in the order book in this segment on a year-on-year basis up about 55%. Orders have increased both from domestic market as well as export market across the board. The domestic market is seeing a big revival in capex, and we are seeing demand broadly across all sectors. In the export market, we're seeing the same factors playing out as we have been discussing in the past few quarters. Macro factors continue to drive the business, move to renewables, ways to heat energy, garbage burning plants, etcetera. Increased demand for electricity from electric automobiles and in the future, domestic heating, which will happen to change to electricity will provide long-term sustained demand for new power plants in this segment.

Gas Engines. We continued to have robust orders from both our engine customers, and this will ensure sustained demand in this segment for this current financial year. Recently, we won a big order to supply 20 generators to Ireland from one of our Indian customers. Gas Turbine. This segment has a big potential for growth for TDPS and we are actively bidding for more projects with OEMs, wherever we are approved.

Now Hydro. Hydro also we're seeing a massive growth in the business in this year compared to the last year. We will see a growth of about 60% to 70% of our business in this year compared to the previous year. The main markets are Nepal, Vietnam and countries in Europe. Once again, the push over renewables in driving the business in hydro. Moreover, we are pleased to announce the first order from Nuclear Power Corporation.

We have also received the first order for submersible motors, which is a new product for TDPS. Submersible motors are used extensively in municipalities, in sewage and water supply systems. We are also very pleased to announce a large order from Megha Engineering, for 540-megawatt synchronous motor to be delivered in Q2 and Q3 this year. With this supply, we will establish ourselves firmly in the segment and open up the market for further business.

Railway. Next month, the 6-month trial of our motor will be completed with the Indian Railway. We hope everything will function well until the end of next

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month. There are still a few more tests to be completed after the 6-month period is completed and then we have to complete a significant amount of documentation. We expect to finish everything by Q3. And next year, we can see a good ramp-up in this business. As I said repeatedly, the goal is to make this business about INR100 crores business in the next 2 years. New projects from Indian Railways, we are waiting eagerly for the results. And hopefully, our partner customer will be successful to win a few of the upcoming tenders from Indian Railways.

Turkey. We are al

so happy to announce that Turkish government has revised the incentives for locally made generators and made it very attractive for end users to buy Made in Turkey generators. This means the market will open up once again. It may take some time after the elections. The market will open up in Turkey as it's a power shortage country. I expect this year to be _this current year to be very subdued in terms of sales, but we will see the pickup of order booking and from next year onwards we will see their execution picking up once again.

Now I'll finally come to the market conditions through the guidance. As we have been guiding in our previous earnings call, we are projecting growth of at least 20% in this current year with upside potential to reach around INR1,000 crores in the manufacturing business. As of now, we see manufacturing sales to be in the region of INR970 crores definite and INR1,000 crores target. And the reality could be somewhere in between. We will see an improvement in EBITDA margins based on operational leverage.

In H1, we plan to have around 47% of our sales around INR470 crores, of which INR210 crores will be in Q1 and INR260 crores will be in Q2. This is because we have large number of machines -- sorry, we have a number of large machines to be delivered in Q2, and these will be in production in Q1. As I mentioned earlier, we have the 5 big motors of 40 megawatts, which we delivered in Q2 and some in Q3. And those will be in production, they're already in production, and therefore, our sales will be slightly lower in Q1, but will pick up dramatically in Q2 onwards.

This brings me to the end of my initial remarks. I'll now be happy to address any queries, questions that you may have. Thank you.

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Moderator: We have a first question from the line of Niteen Dharmawat from Aurum Capital.

Niteen Dharmawat: Sir, my first question is about the raw material price trends. Some time ago, we had significant raw material pressure, and then there was some price correction that has happened. So, I wanted to take your view on the current raw material price trend. And is it going to help us or we are having some challenges over there?

Nikhil Kumar: We have already booked and bought majority of our major raw materials for this current financial year. We have seen that the prices of steel, for example, have been going up recently once again. And the company has taken a decision to buy the material for rest of the year to avoid exposure to further price increase. So as far as our purchases are concerned and our margin protection is concerned, we have taken necessary steps to ensure that we will not be affected by any swings in the material prices in this current financial year.

Niteen Dharmawat: Perfect. You mentioned about the 20% growth, I suppose, in the manufacturing business. So, what is the consolidated growth that we are planning for the year?

Nikhil Kumar: I think, it would be around 20% around the same right?

Management: Yes, yes. It's the same, sir.

Niteen Dharmawat: Okay. It is this main 20% for the overall business as well, right?

Management: Yes.

Nikhil Kumar: Yes.

Niteen Dharmawat: Would the EBITDA that you're targeting for the overall business.

Nikhil Kumar: Yes, we have -- there will be an increase in the EBITDA margin. We are -- we will give the exact guidance in the next quarter, but we are saying it is going to increase from the current quarter.

Niteen Dharmawat: The current EBITDA margin, will it be sustainable in the current financial year as well?

Nikhil Kumar: I said it is going to increase, right? So.

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Niteen Dharmawat: Yes. Okay. Got it. My final question is, what is the volume growth that you are expecting in financial year '24?

Nikhil Kumar: Around 20%.

Niteen Dharmawat: Around 20%. Okay. Got it.

Moderator: We have our next

question from the line of Andrey Purushottam from Cogito Advisors.

Andrey Purushottam: Congratulations for a good set of numbers, sir. Just as a bit of a follow-up question from the previous one. If you look at the results last year, your gross profit margins have increased considerably. But your other costs, employee, other expenses, etc, have increased slightly as compared -- as a percentage of sales, I think from 16.8% to 17.2%, if I'm not mistaken. Now this suggests that you have not taken advantage of operating leverage in this year. But going forward, again with your guidance of greater EBITDA margins that I suggest, I'm assuming we do not have continued gross profit margin improvement, can we also see some operating leverage has taken in? Just wanted to hear your thoughts on this.

Nikhil Kumar: Varalakshmi, can you take on the question, please?

M. N. Varalakshmi: There has been an improvement in the gross contribution because of the pass on of the cost to the customers. And operating costs are increasing because we need to give some increases in the salary and all.

Andrey Purushottam: So going forward, going forward, will these costs, the employee costs and other expenses move slower than the increase in revenue?

M. N. Varalakshmi: They may not increase in the same proportion as the sales will increase, but there will be some increase. If the sales are increasing by 20%, the operating expenses may increase by 12%, 13%.

Sangita: This is Sangita, Andrey's partner. I had a follow-on question that you guided for the 20% volume value growth for FY '24. Now given where the cycle is, do you think this kind of growth can be sustained in the medium term, say, 3 to 5 years?

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Nikhil Kumar: No, that's a good question, and I don't want to be overly optimistic in saying that this kind of growth will be sustainable. So -- but as far as our company is concerned, we have a strategy to sustain the growth based on diversification of products and diversification of markets. So today, we see order increases taking place by 38% and 48%. That kind of a sustainable -- that kind of a huge growth may not be -- it may flatten to about 20%, 25%. This is my expectation. But the large part of this increase those are also taking place because we have diversified our product range, and we're working in different markets with new customers across the world. So we can expect on a very conservative basis, I'm saying we can expect something like 17.5% compounded growth could definitely take place. Of course, the company is having a target to keep the growth rate around between 20% to 25%. But in terms of giving a commitment, we have always said that we've given a commitment around 17.5% compounding growth.

Sangita: 17.5% compounded growth over, say, 3 years.

Nikhil Kumar: Yes.

Sangita: Okay, okay. And could you give...

Nikhil Kumar: From the upside potential is there because they're giving a conservative commitment based on what we can actually do.

Sangita: Right, right. And could you give a flavor as to what is prompting different clients across different geographies to buy the products from you? Is it part of the Europe-plus-One or China-plus-One or what is the thinking? And is that likely to then convert into a structural trend?

Nikhil Kumar: No, we are not -- see, this China-plus-One is not -- it's not something that we're not affected by the China-plus-One. China-plus-One business is when you have large companies setting up shop in India, versus setting up shop in China. And then manufacturing, getting contract manufacturing done or heading up their own plants, so they can manufacture and then export to other parts of the world. That is a China-plus-One.

We are talking about -- in our company, we have built up our own brand name and we're selling our products, and we have been doing this for the past 10

years. This is not something that we started yesterday or started in the past 2 years once this Ukraine war has started and lastly China plus 1 has become a big news item. We have been in the export market for the past 10 years intensively growing our business, building up our own brand name and creating references across the world. And so our story is a totally different story.

There is a huge market for electric generators in general. And TDPS is probably one of -- probably the only companies coming from a low cost country and competing with established European majors or American majors in their home markets. We still have a long way to go. We have a very low market share, and we are constantly trying to improve our penetration in the market and grow our business internationally. So I see -- plus the macro factors that I talked about in terms of increased electricity demand, I see that there's a good potential for growth for us in the future also.

Moderator: We have a next question from the line of Himanshu Upadhyay from O3 PMS.

Himanshu Upadhyay: Congratulations on good set of numbers. Sir, my first question was, we have guided for revenue something like INR1,000 crores, okay? And if you look at the order book, it is INR590 crores besides railway. And railway, if you do, let's say, even INR150 crores, it reaches INR700 crores to INR750 crores. So do you think a significant -- means we have a significant pipeline, which is not, let's say, ordered to us, but a significant place where we are tender or means we are participating and we are very optimistic on that. Or it is your some understanding with OEMs who are where means the cycle is much shorter. Can you elaborate on that?

Nikhil Kumar: Yes. We have a delivery cycle of between 3 months to 12 months. So if you look at our past track record, we do -- it depends on depends on the year, but we do between INR200 crores to INR300 crores of book and bill within the current year, depending on the year. So we are very confident that this balance INR250 crores will be easily made up.

Himanshu Upadhyay: And one thing...

Nikhil Kumar: We have not declared the April result and also we have had a very strong order book in April. The order booking continues to be very, very strong in May. Of

course, we not declared those numbers. But I can just tell the market that it's been very strong and it's in line with the kind of guidance that I'm projecting to the market at this point of time.

Himanshu Upadhyay: Okay. And one more thing. See, the motors business, currently, we are winning project-level businesses, okay? But is there any thought process that we also start getting OEM businesses, so let's say, a large pump company for which we can be a supplier or a compressor company or, let's say, whatever means the applications are very wide, for large. So, is there any opportunity that we can directly be a supplier to a large OEM for whom motor may not be the core product? And what is the opportunity size in such a business, because earlier even in generators, we were not with so many OEMs, okay? But eventually, we tagged along with some of the OEMs, and it gave us good business, okay? So what is the path for motors business or large synchronous motors to move from here on?

Nikhil Kumar: I don't think that we're going to be -- because, all these motors finally will go towards -- will be coming to a firm, or will be coming to a compressor. It is anyway linked to an OEM business. Some of these businesses are -- we sell to the OEMs, some of them will sell directly to the end user depending on whether the customer wants to split the order business or split the order.

We're focusing on the particular applications, and we're focusing on a particular size is -- not size, but motors are larger in size, and we are focusing on motors, which are above 4,

5 megawatt in in size. And so we have been quite specific as to what we're going after, and we're not going after the motor business below all these sizes because it is a very highly competitive and highly populated markets below these sizes. So we will continue to work on this strategy to work on larger size motors and in niche markets where we have a good chance to display our capabilities and get better prices.

Himanshu Upadhyay: One last question on this only. You see in generators, what would be our revenue from OEMs, let's say, an engine manufacturer or, let's say, gas engine manufacturer or a diesel engine manufacturer currently versus some 5 or 7 years back. So how big is that proportion of business? And is it much shorter cycle than the project businesses are what we may do on the generators space directly?

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Nikhil Kumar: No, I don't understand your question completely, but I -- the generator business is mainly an OEM business and continues to be mainly in OEM business. In terms of percentages, there's no change in what is about 5, 7 years ago in what it is today.

Himanshu Upadhyay: So what I was asking was...

Nikhil Kumar: To the OEMs to the end user.

Himanshu Upadhyay: Okay. I'll join back in queue for further questions.

Moderator: We have a next question from the line of Rohit from ithoughtPMS.

Rohit: Congratulations on very good results. So, Nikhil, a couple of questions.

Recently, I was reading that geothermal is actually a very hot space right now in the U.S. and what's happening in Europe is somewhat, similarly also happening in the U.S. I remember you had mentioned a few quarters about also trying to build up that segment, which is probably largely in Turkey. So just wanted to hear anything, if you're saying something in that market as well and if that market also can be a reasoning opportunity for us like what...

Moderator: I'm sorry to interrupt, Mr. Rohit, can you use your handset, please? It is not audible?

Rohit: Okay. So I just wanted to hear your view that if geothermal also could be a big vertical beyond Turkey. And so that was my first question, actually.

Nikhil Kumar: Yes, the geothermal market, as we see it, is about 500 to 600 megawatts per year right now, could be 800 megawatts per year. And we are actively bidding with the OEM customers and getting some orders. We're not a major player in this market as yet in terms of being -- having a significant market share, a lot of space for us to grow. But we are working with all the top OEMs in the world, and we will get more business, where we got business from Japan, we got business from Turkey, we got business from Central America, we got some business also, now recently, we got a geothermal order from Germany. So we are getting -- we're getting breakthrough orders. It's going to take a little bit more time for us to establish ourselves to get a big market share within this segment on a worldwide basis, but we constantly plugging the way at it.

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Rohit: Got it. That's very good to hear, Nikhil. Also, Nikhil, you mentioned about other new product, a tumultuous motor, right? If you can just talk a bit about - - sorry, I couldn't hear you...

Nikhil Kumar: These motors are -- motors which -- I mean, obviously, they're submerged within the liquid that they're supposed to pump out and it's a very special application. We are actually working on the larger-sized motors where there is no domestic manufacturer today. And most of the motors are imported. So we are extended to be in this segment. All the municipalities require these across India will require these motors for wastewater treatment, sewage handling also for fresh water pumping. So we are -- it's a big market, we got the first order, and let's see how it goes, but we are excited to be in this space.

Rohit: Perfect. I mean, wou

Id you want to sort of talk a bit about what's the size of the market and what you want to sort of go on...

Nikhil Kumar: At this point of time, we are -- let's -- because once I say this is so many crores and next question is how much share do you plan to get from it. So I'll take these questions a little bit later once we deliver a set of motors.

Rohit: Sure. And my last question was it, I mean, I would also like remembering on your balance sheet because I think we've grown very well this year and our inventory has reduced and also like receivables very good show on the overall cash flow. So, I mean actuation a few lately. And so I mean, you're spending INR25 crores, you said, and we have a significant amount of cash. So any thoughts on how do you want to sort of use cash going forward in this year as we are also projecting good growth for this year and also for the next couple of years.

Nikhil Kumar: Rohit, we eventually will have to put a third plant. And whether we have to start to work, start the work partially like buy something land and start the work this year or next year, it depends on how the market grows. If we go to see this 35%, 40% order in flow sustainable for the next 2, 3 years, and we have to put the plant faster than what we had earlier planned. So we are getting there and then depending on how big we want the new plant to be. So we are keeping the money aside right now for the new plant.

Moderator: We have our next question from the line of Dhwanil Desai from Turtle Capital.

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Dhwanil Desai: So the first question is, so this submersible motor thing. So in terms of supply, in terms of customers, do we directly supply to the municipality or is it like on a...

Nikhil Kumar: To the pump -- we supply to the pump manufacturers.

Dhwanil Desai: To the pump manufacturers. Okay. So your receivables are with the pump manufacturers. That's how it works?

Nikhil Kumar: Yes.

Dhwanil Desai: Okay. Okay. And typically, who do we compete with? I mean, who are the major players in this segment?

Nikhil Kumar: Yes, as I said, most of the larger motors are imported and, imported from Europe or from Korea.

Dhwanil Desai: Okay. So no major Indian players in this market? Okay, okay. Second thing, I think you said that we got this order from Megha. I assume it is for synchronous motors. So can you elaborate. So can you elaborate on that? I mean, is this -- I assume that this is more of a project-to-project business and it's difficult to estimate the market size, keeps on varying every year. But how do you see this? Are there many more projects in the pipeline on the bidding stage. Some color on that?

Nikhil Kumar: Yes. This is a short cycle order from Megha. We have to deliver these motors to them within next quarter. So it's good for us also because it gives us a chance to put the 40 megawatt machine, large machine into the market and establish our credentials and get us a supply record. So we are taking the challenge to do it, and we're doing it. The market is -- the pipeline is incredibly large. There are a huge number of projects coming up.

It could be hundreds of crores, of course it's -- as you said, it's -- year-by-year basis, you could see differences in the total amount of business but right now, the pipeline is extremely huge. And business is coming from -- most of the inquiries are coming from Telangana, Andhra Pradesh, Tamil Nadu and Karnataka and Madhya Pradesh. So we expect this to be a really good business for us, and we take -- we don't step back. Once we put the 40-megawatt motors

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into operation, I think we'll establish ourselves firmly as a very serious player in this market.

Dhwanil Desai: Yes. So this is mainly for some hydro projects such --

Nikhil Kumar: It's for pump. It's a pumping business for irrigation pumping projects.

Dhwanil

Desai: Okay. And last question on this NPCIL order that we got. So any -- so are we kind of in terms of certification capability, etc? Are we only planning to address the domestic nuclear power market? Or are we also aiming to tap the international marketing?

Nikhil Kumar: No, we are not planning to go outside India for nuclear. We are -- there's a lot of business within India for nuclear power application, and we are going to stick to. And I don't know whether it's even possible for us to supply to look at power plants internationally given all the restrictions and regulations. So at the moment, we are focusing entirely on the Indian business.

Moderator: We have our next question from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Congratulations to you, Nikhil, and the entire team of TD for fantastic set of numbers. The transformation in terms of the way we have diversified our business over the past two years is commendable. So Nikhil, on the domestic side, if you can talk about, we are seeing a very strong inflow in terms of orders for this quarter. Like this has and last year when you used to talk about the commentary in order inflow, you used to be more bullish on the export orders. But in the last quarter, we've seen very strong commentary and even in your TV interview, you talked about very strong order pipeline from the domestic business. So, if you can talk about what is happening on the domestic side? And how do you see order inflows on the domestic side over the next year or 2?

Nikhil Kumar: Yes. Vinay, are you on the call? Can you answer this question? Vinay is the Head of our Global Sales and Marketing.

Vinay Hegde: Hello?

Nikhil Kumar: Yes. Vinay, please take this question.

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Vinay Hegde: Yes. Okay. So domestic market, as I said, it is still a bullish market, and we are getting very good market and orders on the -- mainly on the renewable segment, biomass power plants, garbage burning power plant. Recently, we got a single order of several machines of 8 megawatts for a biomass power plant from an Indian customer. And also, there is a government joint venture refinery company, from which our OEM has already got 3x48 -- sorry, 2x48 megawatts and 3x37 megawatts, very big orders. So, there is a real boom in the market still going on and domestic market requirement is really as good as the export market for us. We are expecting a very good business in the domestic market, some out to major OEMs.

Ankit Gupta: So do you expect the pipeline to remain buoyant over the next year at least...?

Nikhil Kumar: Yes, I think the capex cycle has just started in India. We are just -- it's not -- we are at the early stages of this capex cycle. And the potential for some country to grow from where we had \$3 trillion, \$3.5 trillion economy to \$5 trillion and then \$10 trillion economy, what's you're planning in the next decade or so. It's entirely feasible that we will have massive expansion, massive buildup of infrastructure and earlier, some -- we talked a little bit about China plus 1, yes, of course, TDPS is not a big beneficiary of China plus 1, but China plus 1 is a real thing which is happening in the market. And a number of -- a lot of people are putting up manufacturing facilities, going outsourcing out of India.

So there's going to be a big demand for putting up the infrastructure, including a big demand for electricity. So I'm a big -- I am very, very bullish about the domestic market. Of course, the export market opportunity for TDPS is also huge. It's not that's going to go away. And we have spent the past decade in building up the market to not going to take our eyes out of it. But we are -- in the domestic market, this is our home market, and we have a leading position in this market. So we are going to be a beneficiary of this market when this market grows the way it's growing right now. I real

ly strongly feel that we are at the beginning of a very large long cycle in India.

Ankit Gupta: Sure. That's good to hear. My second question was on the new product side. You talked about synchronous motors. But what about the new segments like

railways where we have entered directly as well as our association with a large OEM partners. I think the new tender has now been pushed back to August of

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this year. So if you can talk about railway stand-alone, railway business with our OEM partner as well as the refurbishment business, both on wind as well as the refurbishment of our own generators?

Nikhil Kumar: So I think I already spoke in my opening commentary about the railway business, maybe you missed it. As I said, the trial period for these motors which are mounted on the locomotive will end, the 6-month period will be over at the end of June. So hopefully, if we have no incidents until the next 1.5 months, and then after that there will be a significant amount of documentation. There's still a few more tests to be done. I feel that this will go on up to Q3 or so. And then we should have the official approval and we can start bidding for the projects with on a level 1 category or level 2 category supplier.

We plan to make this business into INR100 crores business in 2 years. We are taking in capex. It will ramp up. We'll see some -- we will see the effect -- we will see some effects of it next year and definitely the year after that. So we're going to ramp up this business. The Indian Railways are producing more and more locomotives with a big demand. So I don't see a problem from a demand point of view. On the new projects in Indian Railways, I said, yes, we are waiting for the results. Some of the tenders are being postponed. So what to do. We have to wait and see who will win.

Ankit Gupta: Sure. And on the refurbishment side, how things shaping?

Nikhil Kumar: Refurbishment side things are going as per plan, we are going to hit our targets, what we have said 6%, 7% of sales. So we will do that this year. And I have nothing to report, I think things are going as per plan.

Ankit Gupta: Got you. You were also planning to disclose the market about 1 or 2 products that you were working on. So anything...

Nikhil Kumar: I just said, we have introduced the submersible motor.

Ankit Gupta: Okay. So that is part of that.

Moderator: We have our next question from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: Congrats for good number. First is the book keeping question. Can you help us understand what is the size of our order book on the motor side, sir?

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Nikhil Kumar: Varalakshmi, you have that number with you? It's around -- I think it's around INR100 crores. Including megha...

Deepesh Agarwal: INR100 crores. Okay. Okay. And last year, the same number would be...

Nikhil Kumar: I don't remember the number right now on top of my head.

Deepesh Agarwal: Understood. And what is the revenue level for the year?

Nikhil Kumar: Sorry, what would be the...?

Deepesh Agarwal: Our traction motor revenue for the year?

Nikhil Kumar: It would be INR130 crores.

Deepesh Agarwal: INR130 crores. Okay. The other question is actually, one of the comments you mentioned that you may look to expand the capacity. But if my understanding is correct, your revenue potential from existing capacity to the extend of INR1,500-odd crores?

Nikhil Kumar: I said it will be around INR1,300 crores, INR1,400 crores. And those who depend on the mix and where the products are -- what kind of products we're getting. So if we're going to grow at this rate, I just mentioned that we have to set aside the money for a new plant and we have to think about the new plant at a faster rate as compared to what we're thinking earlier. So that's the thing, that's the shifting -- in our thinking at thi

s point of time that if things are going at this way, then we will put the new plant earlier.

Deepesh Agarwal: Okay. And any thoughts if we go for an expansion, what would be the kind of capex would it be greenfield, brownfield and what would be our investments

and your time line?

Nikhil Kumar: It will be around INR150 crores.

Deepesh Agarwal: INR150 crores. Okay. Okay. The last question is on the margin. There is a sharp improvement in the margin in line with your guidance. Do you -- what is the trajectory you foresee going ahead on the margin front?

Nikhil Kumar: So we will see the margins improving incrementally as we improve the capacity utilization. When we see -- when we put the third plant, the margins could fall back a little bit maybe to 16% levels when we -- in those first years

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of putting the new plant and then once it is full, the new plant margins will go back to 17%, 18% levels we will not be expecting. So I think the margins will be in the range, you can say 16.5% to 17.5% levels EBITDA margin.

Moderator: We have our next question from the line of Apurva from Phillip Capital.

Apurva Shah: Sir, first one on the clarification, sir, is it possible for you to bifurcate manufacturing into generator and the motor segment?

Nikhil Kumar: Yes, it is possible.

Apurva Shah: So can you help me with the number for the current year and for next year, when we are guiding for maybe INR970 crores to INR1,050 crores of manufacturing revenue. What are your other --

Nikhil Kumar: We don't want to -- there's a lot of variability if this takes place during the year, and we need to have the flexibility of saying some business which may have come, does not come, something else come and take this place. So we prefer to keep that flexibility within the management and report the manufacturing business as it block. Of course, we can give some general guidance numbers next quarter. But at this point of time, I'm hesitant to put the number out right now.

Apurva Shah: Sir, I do understand. But the point here is still like the motor is a relatively new business for us compared to generators. And as of now, what we can understand is currently traction motor is the major revenue contributor when it comes to the motor segment. So what is for the synchronous and induction and what could be your growth guidance? So what factors you are building in for 20%, 25% growth rate. So that would just we want to understand.

Nikhil Kumar: Yes, that's a good point. I totally understand. I will put the tentative numbers out next quarter. But I already mentioned in the -- to an earlier question, we have around INR100 crores of pending orders for the motor side. So that will give a reasonable indication of which way we're heading.

Apurva Shah: Great, sir. So we'll look out for that number in next quarter. And sir, my next question is on the hydro, it's a clarification. I think in your opening remarks, you said your hydro would grow may be 60% to 70% in the current year. So is that my understanding right?

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Nikhil Kumar: Yes, it is right.

Apurva Shah: So sir, what was that number in FY '23? Because historically, it has -- the number is 20% to 25% of our total revenue comes from the hydro. So you are saying 60% to 70% growth on that biz, correct?

Nikhil Kumar: Yes. We don't give the segment-wise breakup to that extent.

Apurva Shah: Sir, we do give in the -- our annual report, so we don't have the FY '23 annual report. But if you look at historical numbers, so maybe 20, 25 percentage of our revenue comes from hydro, that's what we can understand from the annual report, that so I'm just clarifying.

Nikhil Kumar: Yes. So you want me to give an absolute number?

Apurva Shah: Yes, sir, if it is possible for FY '23?

Nikhil Kumar: I don't have the number with me right now, but it is -- okay. So i

t will be

somewhere in the region of INR170 crores, INR180 crores hydro.

Moderator: We have our next question from the line of Alisha Mahawla from Envision

Capital.

Alisha Mahawla: Sir, firstly, just a clarification. The guidance that we given on manufacturing for manufacturing revenue of INR24,000 crores, they're saying this is generators plus motors?

Nikhil Kumar: Yes, this is total Alisha.

Alisha Mahawla: Understood. And on the margin side, last 2 quarters, gross margins have been slightly higher in the 30%, 31% that you always said was sustainable, relative to 33%-plus. Do we see any moderation on the gross margin side going forward?

Nikhil Kumar: I think there won't be a moderation. I think -- so I think if you -- so quarter-to-quarter, it could be -- it could vary a little bit, but we -- you can say, it's definitely going to be 32%, and the management is trying to do better than that.

Alisha Mahawla: Okay. So the 32% we did for the full year looks sustainable and operating leverage will help us. Understood. Okay. And just one last question, while I

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know we're not exclusively calling out anything on the motor side, but overall, the margins would be in line with a quarter completion or slightly better?

Nikhil Kumar: Overall, yes.

Alisha Mahawla: In line with the quarter completion. Sir, and the 17% -- and the 17% EBITDA margin that we're talking about is including other vehicle?

M. N. Varalakshmi: Including other operational income.

Nikhil Kumar: Operational income, we're not talking about the treasury income.

Alisha Mahawla: Okay. Got it.

Nikhil Kumar: So the operational income, what we have included the major factor would be the foreign exchange gain, which has come as a result of our forward booking decision that we took last year. And if you remember, last year, the euro was -- had gone as low as INR77, INR78 to the rupee. And we had forward bookings done in the region of INR89, INR90. So we -- the time when the euro was very weak, we had significant foreign exchange gains. This year, it will be different because the euro is already around INR90 -- INR89, INR90, and we had forward bookings are also around the same levels. So this year, what's going to happen is it will be reflected in the sales itself because if it revolves in at the euro at INR89, INR90 and not at INR78 of what we did last year. So the income will show up on the invoice value, and we won't have a huge foreign exchange gains in this current year as we had in the previous year. That's a little bit long explanation, but I think it's necessary to put this out.

Moderator: We have our next question from the line of Shyam Maheshwari from Aditya Birla Mutual Fund.

Shyam Maheshwari: Congratulations to the team on a good set of numbers. I have one question and it's mostly on understanding the business. So when we sell our generators or the motors that we are trying to sell down, do we sell them directly to the OEMs? Or do we also have some sales coming from distributors or channel partners? Yes, sir. So I just wanted to understand about our sales strategy. So do we directly sell our products to the OEMs? Or do we also have sales coming from the channel partners or distributors?

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Nikhil Kumar: So our sales are -- when we sell our generators in the market, you know that it ends up being used in a large industrial complex or an IPP, let's say, that there is an international customer who is putting up a 50-megawatt biomass plant. So the sales will take place, the customer will buy a steam turbine generator set. So he will specify which steam turbine he wants, which generator he wants. There's normally an engineering consultant involved, and there's also normally also EPC contractor who is involved. They also have to meet the needs of the generator make, what they're offering to the cust

omer is acceptable to them.

So for us, as a generator manufacturer, we have to get the OEM of global, EPC

contractor approvals, consultant approvals and also end user approval. So these are the multiple levels of approvals. And this is our sales process, where we have to go out there in the market and we get these approvals before we can win a project. We have to be on this approved vendor lists. And that is a fundamental part of our sales strategy to be on as many approvals as possible internationally. Domestically, we have a very high market share, and we have a huge installed base. So we don't have to fight to be on an approved vendor lists. We grow when the market grows.

Shyam Maheshwari: Understood, sir. Sir, just a follow-up on that. So as you mentioned, we are trying to expand into other geographies, particularly Europe in terms of hydro turbines. So are you facing any stigma being a local Indian manufacturer there? Or are there any challenges that you see forthcoming in the future when you're trying to increase our base there?

Nikhil Kumar: I think earlier in this call, I have mentioned that we have been working on the international market for the past 10 years or 12 years. And yes, we have faced the challenges of establishing an Indian made generator in the international market. So we have worked to overcome that challenge, and we have installed more than 700 machines in Europe right now, for example.

There's still many parts of the market that still -- they still don't automatically accept an Indian made generator, and we still have to work towards getting acceptance in many, many places. And on the other hand, they are also accepted in many places. So we do -- we've seen our business also improved quite a lot in areas that we are in because we have been approved in many, many areas. If we still have a low market share, we have a long way to go.

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We're constantly working on improving our business internationally. So that's where we are today.

Moderator: We have our next question from the line of V.P. Rajesh from Banyan Capital Advisors.

V.P. Rajesh: Congratulations. This is a fantastic year. My first question was regarding Turkey.

Moderator: Mr. Rajesh, can you use your handset mode, please.

V.P. Rajesh: Is it better now?

Nikhil Kumar: Yes. Rajesh, I can hear you, you can go ahead.

V.P. Rajesh: Okay. Great. So my first question is regarding Turkey. Sir, your guidance of this INR1,000-plus crores in manufacturing, how much are you assuming the Turkey business will come back?

Nikhil Kumar: The Turkey will be negligible this year.

V.P. Rajesh: Okay. So that's more like a....

Nikhil Kumar: It could be around INR10 crores.

V.P. Rajesh: Okay. And then the second question is regarding the projects business. So I mean, it does add to our revenues, but on the EBITDA side, it's sort of not really performing to the expectation. So how do you think about that?

Nikhil Kumar: The project business -- if we talk about the pure project business, we do about INR5 crores, INR6 crores per year, which is consisting of spare parts, some overhauling and we're just taking care of the existing supplies that we've made in the past 20 years, we're not doing any new projects. And we have a few people who run this business and it's profitable, and we will continue to do that.

Moderator: We have our next question from the line of Riya Mehta from Aequitas.

Riya Mehta: Congratulations on a great set of numbers. My first question is in regard to the railway business. So currently, I think INR805 crores order book we have. So I just want to know the breakup of the business derived from in partnership with Alstom and independent railway business of us.

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Nikhil Kumar: No. So the railway business is divided into 2 parts. One is the direct business that we have. One is, we alre

ady have an existing order INR800-plus crores of Alstom, which is suitable for the next 5 years, that's an existing contract, which will run for the next 5 years. Then we are trying to get approval of the Indian Railways to supply motors to them for the business, that for the locomotive, the Indian Railways themselves produce. That we are in the approval stage and as then that we will need to first get approval, let me take a little bit more time. And then we will sign directly to the Indian Railways.

The third part of it is new projects where the Indian Railways are putting out tenders for somebody else to make the locomotives like 9,000 horsepower, 12,000 horsepower locomotives there. The traction motors may or may not be outsourced. Like in the case of Siemens, won the 9,000, it's not sure what they want to do, but they may make it themselves. So these are the 3 major parts of the market as far as they're concerned.

And what -- so we have what we have right now, and then we are working aggressively on what we can control, which is a business that the Indian Railway. And the third part of it, the new projects, we don't know what's going to happen. It's out of our control. If our partner customer wins, then we have a good chance of winning some of that business. If they don't win, then we don't get it. So that's how it's going to play out.

Riya Mehta: Okay. So majorly, for right now till Q3 FY '24, we don't get the approvals in place. It will be more driven by the existing order book, which we have.

Nikhil Kumar: This year, only mainly driven by the existing order book for sure.

Riya Mehta: Okay. Got it. My second question is in regards to what the -- so basically, for the -- NW said that we have around INR900 crores to INR1,000 crores of order inflow for the next coming years. So would you give me a breakup of which segments do you see that coming from? Like a more broader definition apart from the manufacturing?

Nikhil Kumar: Segment-wise breakup, we don't give.

Riya Mehta: Okay. So just give me directionally also the visibility and L1, how is it -- like how much is motors or generators and how is export?

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Nikhil Kumar: I will give the breakup for motors next quarter, as I committed earlier in the call. It's important that I wanted to -- need to see where the growth is coming from. I will give the numbers next quarter. I've said that the number right now is somewhere around INR100 crores of business pending order for motors. But I can't give the expected order inflow breakup segment wise. I can't do that. It's giving away too much of competitive information also.

Riya Mehta: Okay. Got it. Got it. And in terms of cash flow utilization, our operating cash flow has increased almost INR88 crores this year and saying that INR25 crores of capex are parked for automation, etcetera. So what would be doing with the cash flow and what capital allocation strategies are we planning to go for?

Nikhil Kumar: I mentioned that we will set aside money for a new plant. And I've mentioned that if things are going at this pace, then the third plant is going to come earlier than what I expected. So we'll wait a couple of quarters, but we're setting aside the money for that. And these things are going to continue to run at this pace, like 38%, 40%. Then, of course, we need to have a new plant much earlier than what much earlier than that what earlier I've been talking about in the past 1, 1.5 years. We just want to be ready for it, and we want to be able to respond immediately and so we will not let the situation where we're running sort of capacity. So we're preparing ourselves with the eventuality that we have to work much faster on this compared to what we were thinking a little bit earlier.

Riya Mehta: And for setting of the new plant, we would take how much time and by when do we expect?

Nikhil Kumar: It would take 9 months to

o a year but -- 9 months to a year, and I mentioned it could be INR150 crores of investment.

Riya Mehta: Right. And earlier we were expecting this to come or start in FY '25, correct me if I'm wrong.

Nikhil Kumar: Sorry, can you repeat the question?

Riya Mehta: So just correct me if I'm wrong, early, we were planning that we would set up a new factory by FY '25, like we'll start by then. So let me know...

Nikhil Kumar: Yes, I'm not putting the date when we're going to start right now also. I'm just

saying that we're going to set aside some money for an eventuality that we have

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to put a factory earlier than what I expected. That's all I'm saying at this point of time. And the question was about capital allocation. And the answer is that money is going to be set aside for setting up the new plant. When? I'm not putting a date for it right now.

Riya Mehta: And in terms of the national election for us coming up next year, generally, we see that there is a lag of activities happening around that period. Do you foresee something like that happening next year?

Nikhil Kumar: I don't think that the story, capex story is going to be derailed. I don't think so. But the political situation in the country is important to have a long-term story, which story as I have been talking about. If we talk about what are the factors I can derail our story, of course, political side-effect can derail the story. So it's important that we -- for the country, I'm saying that the story continues.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand over the call to Mr. Nikhil Kumar for closing comments. Over to you, sir.

Nikhil Kumar: Yes. Thank you very much for a very engaging commentary and discussion today. I look forward to being in touch with all of you and seeing you all in some investor conference or the other or face to face some time in the near future. Thank you very much.

Moderator: On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

August 16, 2023

The Corporate Service
Department
BSE Limited
P J Towers, Dalal Street
Mumbai – 400 001 The Listing Department
The National Stock Exchange of India Ltd .
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
Mumbai 400 051

Sirs,

Sub: Transcript of Earning Conference Call – Quarter ended June 30, 2023

In furtherance of our letter dated July 25, 2023 regarding intimation of earnings conference call, the transcript of Q1FY2024 earning conference call held on August 10, 2023 is enclosed and has also been uploaded on the website of the Company at <https://tdps.co.in/investor-financialresults>.

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary

Encl: A/a

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

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"TD Power Systems Limited
Q1 FY24 Earnings Conference Call "
August 10, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th August 2023 will prevail.

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR –
TD POWER SYSTEMS LIMITED
MS. M N VARALAKSHMI – CHIEF FINANCIAL OFFICER
– TD POWER SYSTEMS LIMITED
MR. VINAY HEGDE – HEAD-GLOBAL SALES AND
MARKETING – TD POWER SYSTEMS LIMITED

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SGA – TD POWER SYSTEMS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the TD Power Systems Limited Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the belief, opinion, and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star t hen zero on your touchtone phone. Please note that this conference is being recorded.

Now I hand over the conference to Mr. Nikhil Kumar, Managing Director for TD Power Systems. Thank you and over to you, sir.

Nikhil Kumar: Good morning, everybody and thank you once aga 0069 n for joining us on our earnings call. I trust all of you would have received our results and investor presentation. Moving on to the financial performance of the company for the quarter ended 30th June 2023. Standalone: our total income on a standalone basis for Q1 was INR2.36 billion versus INR2.06 billion over the same period in the previous year, an increase of 15%.

Profit after tax and comprehensive income for the quarter reached INR291 million versus profit of INR194 million same period previous year, an increase of 50%. Order book of the manufacturing segment is INR13.86 billion, which is INR6.2 billion generator business and motor business and INR7.45 billion railway business.

The projects business has been now cl assified as spares and aftermarket since we don't do any projects business anymore and the pending order in this segment is INR0.16 billion and we had INR0.09 billion on the Turkey business. The order inflow has increased by 16% over last year and the numb ers are as follows. Current year the total order inflow in the first quarter is INR2.37 billion and the previous year was INR2.04 billion.

Order inflow from...

Moderator: We have the line of Mr. Nikhil Kumar connected. Sir, please go ahead.

Nikhil Kumar: Okay. I will start from profit after tax. Profit after tax and comprehensive income for the quarter was INR291 million versus a profit of INR194 million same period previous year, increase of 50%. The order book in the manufacturing segment is INR13.86 bill ion, INR6.2 billion in the regular manufacturing business and INR7.45 billion in the railway business. The projects group has now been classified as spares and aftermarket since we don't do any project business anymore and the pending order is now INR0.16 billion. Turkey is INR0.09 billion.

Order inflow has increased by 16% over last year and the numbers as follows: INR2.37 billion for this year in Q1 versus INR2.04 billion in previous year , Q1. Order inflow from direct and

deemed exports is INR0.87 billion compared to INR1.09 billion previous year. Order inflow in Q2 continues to be strong with INR100 crores booked in July 2023 alone.

Consol: our total income on a consol basis was INR2.24 billion versus INR2.11 billion same period previous year which is up 6%. Profit after tax and comprehensive income for the first quarter was INR261 million versus a profit of INR204 million, an increase of 28%. We continue to maintain a strong cash position of INR2.13 billion.

Order book market situation and guidance.

Market conditions and guidance overall, order book was up by 16%, as mentioned earlier. The domestic order inflow is higher by 58% due to motor orders and some large orders for generators from steel and agro in the domestic

segment. Although export and deemed export was lower than Q1 last year, this was due to some big orders have gone to negotiation in Q1. We are pleased to announce that we have won those orders in export and we catch up with the expected ratio of 55% export and 45% domestic by the end of Q2 or even perhaps in Q3.

Let me now talk briefly about each segment. Steam turbine, we've seen substantial increase of orders from both domestic and export in Q2. In particular, the domestic market continues to be very strong and the order pipeline continues to be very healthy. Here we list some notable orders, which we won in Q1.

We received an order from JAP , Japan for a 22.3-megawatt machine for waste to energy project for installation in Japan. This will be the biggest generator that we're going to be supplying to Japan for installation in Japan. We received an order for 2 units of 48 megawatt and 3 units of 37 megawatts from major steam turbine customer in India for HRRL, which is a joint venture between Hindustan Petroleum and the Government of Rajasthan for a refinery project. We received an order from Siemens U.S.A. for 2 units of 46.35 megawatts for installation in Tijuana, South America. And with this, it will increase our global footprint to 105 countries.

Next important order, we've received an order for 1 unit of 10 megawatt suitable for a hazardous location Zone 2 from Elliott, U.S.A. for a refinery project in India and this will be our first installation in India for a hazardous location in refineries. Gas turbine, we would like to announce an agreement signed with a major international gas turbine manufacturer for making 45-megawatt coal generators.

We have an order to make the first prototype to be delivered end of calendar '24 or early '25.

This has the business potential of about INR100 crores per year. This business will start in calendar '25. However, until then we have a strong inquiry pipeline from our existing gas turbine customers. We are also happy to report another breakthrough order for 18.7-megawatt generator using CO2 for power generation from an Italian OEM. This is a start-up funded by Eni, which is a large Italian company and a few sovereign wealth funds of the Middle East.

It acts as a battery storage during periods of excess power generation and discharges the power during peak demand. Once proven, we expect to have a number of these plants in the European Union. We are proud to inform you that the prototype plant is with a TDPS generator. Hydro:

the order pipeline is very strong in hydro. This year we're going to be almost double last year and next year we expect further growth.

The incoming inquiries are very strong in EU, Nepal, and Southeast Asia. The Indian market for hydro is also picking up and we're expecting strong quarters ahead for TDPS in the hydro segment. Gas engines, we'd like to report that this segment is going as per plan with steady growth as per the forecast.

Motors: We have dispatched the first 40 -megawatt synchronous to a customer in Andhra Pradesh. Now there are about INR75 crores worth of synchronous packages, which will be finalized this quarter. Barring delays, we should get a significant portion of this business since we are well placed in price.

Railways: Our major customer has won the Train 18 aluminium frame for 100 trains. These require about INR275 crores worth of motors. Our customer will float the inquiries around October this year and it should get finalized by the end of Q3 or early Q4.

However, there is competition in this segment for 1 more player and TDPS must compete to get these orders. In addition, we expect to get around 60 motors direct from the Indian Railways for

execution this year. We will keep the market updated about this pipeline. To summarize, all segments are doing well. Our order inflow is moving up strongly.

There's a full pipeline. As

mentioned earlier July was INR100 crores and the inflows for the current month and the future months are showing very, very healthy momentum.

This order inflow will ensure that FY '23 will go as per the guidance and FY '24 will also be solid and will lead to further expansion of margins due to operational leverage.

Guidance: For Q2, we're giving the top line guidance of INR255 crores to INR265 crores for the manufacturing business.

With this top line, we expect the PAT to increase significantly in Q2 compared to Q1 due to operational leverage. At the end of H1, we will be around 47% of the guidance for FY '23. We are on target with respect to our guidance for the current year of around INR1,000 crores as indicated in our previous earnings call on top line as well as margins.

This brings me to the end of my initial remarks. I'll now be happy to address any queries that you may have. Thank you.

Moderator: First question is from the line of Himanshu Upadhyay from O3 Capital.

Himanshu Upadhyay: I would first like to appreciate that we have started giving quarterly balance sheet in the presentation and that's a good practice. One observation is that this quarter our revenue was lower than Q4 FY '23, but our receivables are flat. It means that almost INR40 crores of previous quarter revenue is still pending to be collected. What can we do to improve our receivable cycle? So that was the first question.

Nikhil Kumar: Varalakshmi, will you take this question, please?

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Moderator: Ms. Varalakshmi's line got disconnected. We'll reconnect her.

Himanshu Upadhyay: Can I proceed with the second question then? See, the Top 3 customers of ours contribute nearly 40% of revenue. One of it is railways and the other 2 would be for what segment? And generally the Top 3 remain same every year or they change every year? And what type of long-term agreements we have with them? For the railway, we understand that you have an order book with your customer. For rest of the other 2, what type of agreements do you have with them?

Nikhil Kumar: No, we don't have a long-term agreement with the other 2, but rather extremely long-term relationship with the other 2. So the long-term relationship goes back all the way to 2001 when we started our company and also both our customers started producing steam turbines in a bigger way in India going up in sizes and increasing the market share.

So our relationship with both these customers goes back all the way then and we have grown with them and we have built up big references in India and outside India with them. So there is a deep relationship between our company and these 2 customer companies and we continue to maintain these relationships. So I think that this is how I'd like to answer the question.

Himanshu Upadhyay: Okay. And the Top 3 remain the same only what they are because they were?

Nikhil Kumar: Yes, yes.

Himanshu Upadhyay: Okay. And can you give an idea of how is the pricing environment and any improvement there related to it? The gross margins have improved quite materially in the quarter and the number of units we sold were less in the quarter. Was there some one-off...

Nikhil Kumar: It's a mix. No, it's not a one-off. I'd say that we have been talking about the small expansion taking place in the gross margin so this is mainly due to the mix. We're doing more spare parts business; we're doing more aftermarket business. We have been talking about increasing this part of the segment of our business and this is leading to expansion of gross contribution. There is no price increases taking place in the market at the moment.

The environment for the raw material is quite stable and there is no reason why we should go into the market and demand price increases. So what we're seeing

in terms of gross contribution

is coming from the mix, we think more aftermarket business and the expansion in EBITDA margin taking place due to the expansion in gross contribution as well as operational leverage, which we will now see happening in a bigger way in Q2.

Himanshu Upadhyay: Sir, historically, we have stated around 32% of gross margin, 31%, 32%. Can it be now 35% or 34% new normal?

Nikhil Kumar: No, I think 35% is a stretch. So we are around -- I think 33%, 34% should be I think the new normal.

Himanshu Upadhyay: And just the repetition, is Varalakshmi there, that receivable question. That's all from my side, sir.

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M. N. Varalakshmi: I'm there. So there has been a spillover of the collections to July. That's the reason why you see that the debtor's position continues to be the same.

Himanshu Upadhyay: See what I see is almost INR40 crores of previous quarter's revenue, which is March ending, has not been collected till June end? So more than 90 days. Is this a regular feature or this year only?

M. N. Varalakshmi: No, no. The collections have happened in July. It was in early July it happened. And sometimes there are spillovers, but this is not the regular trend.

Nikhil Kumar: It actually relates to a large LC payment which had a credit period and therefore, it's fallen due in the month of July and we collected that money.

Moderator: Next question is from the line of Ashwani Sharma from ICICI Securities.

Ashwani Sharma: My first question is on the top line. If I look at top line growth, it was just 8% during the quarter.

So you're saying that our top line growth was just a single-digit 8% growth. Is there an execution challenge that we are facing despite the fact that we have a good order backlog?

Nikhil Kumar: No, I think you should go back to my previous earnings call statement where I have clearly mentioned that Q1 is going to be INR215 crores and it is INR215 crores as what I have told you earlier on a stand-alone basis. For the manufacturing business, I mentioned that we have a large number of big machines which have been produced in Q1 which are going to be billed in Q2.

And therefore, this is the reason why we're seeing unequal sales taking place in Q1 and Q2. It's quite normal when you have large projects that you could have larger billing taking place in the subsequent quarter. I highlighted this in the last earnings call because I knew this was going to happen and I expect that the investors are well informed about this.

Ashwani Sharma: Okay. Sir, my second question is on the motor side. I mean just want a clarification. You mentioned about INR275 crore of opportunity for 100 range. Is that the right what I heard?

Nikhil Kumar: I said INR75 crores.

Ashwani Sharma: You said INR75 crores?

Nikhil Kumar: I said our major railway customer has won the Train 18 aluminium frame Train 18 order for 100 trains. These require around INR275 crores worth of motors. Our customers will float the inquiry in October this year and it should get finalized by the end of Q3 or early Q4. This is what I mentioned.

Ashwani Sharma: So in terms of value, I mean what kind of opportunity do you see here, sir?

Nikhil Kumar: The value is INR275 crores, we should get a -- I mean I think either they will split 50-50 or somebody could get 60-40.

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Ashwani Sharma: Okay. And my last question is on the margin. If I look at last 3, 4 years, there was consistent margin improvement which has happened. Where do you think -- I mean is there a further scope for this to improve going ahead?

Nikhil Kumar: So I had mentioned earlier to Upadhyay who had asked me this question little bit earlier that the margin expansion now will take place mainly from operational leverage and not so much from expansion of gross contribution.

Gross contribution could be remaining at 33%, 34%, which is the new normal compared to 31%, 32% that we had earlier.

Now we are not in a position. The market is not conducive for price increases and we also don't intend to increase prices because we want to remain competitive and we want to keep our volumes with our existing customers. So the expansion of the margin will take this clearly from operational leverage and as we do around INR250 crores, INR260 crores per quarter compared to what we did this last quarter at INR250 crores, INR220 crores; then we will see -- correspondingly, you can see the expansion of the EBITDA margin taking place because of that and it will be quite significant.

Moderator: Next question is from the line of Rohit from IthoughtPMS.

Rohit: Congratulations on a steady quarter. So Nikhil, sorry, I think I missed some part of your opening statement so please bear with me. I just wanted 2 things from you. In terms of the new addition you mentioned about a gas engine customer that we've added, can you talk a bit about that?

Nikhil Kumar: This is a gas turbine generator, which is being used in a CO2 storage power generation plant. So basically what they do is they take CO2, they cool it and they keep under pressure using power when the power prices are cheap and low and acts like a battery storage and during peak demand, that CO2 will then release into a turbine and drive the turbine to produce electricity.

And then the cycle is repeated once again and it's a closed cycle so it's a very efficient cycle.

And it's a new concept, which is being tried out by this company and it's based in Italy. They

have very good funding and very good prospects for the future and we are very proud to say that our generator is -- the first prototype plant and this is a TDPS generator.

Rohit: All right. Very good to hear that. Also again I think you mentioned this in the opening remarks, I'm sorry. So this railway orders so you mentioned that this T18 train sets so we are going to participate in? Because you're mostly on the freight side so are we also going to participate on the passenger side? Is that correct?

Nikhil Kumar: Yes.

Rohit: Okay. So that's what you were mentioning INR275 crores worth of orders would be there and you would participate depending on how much we win, 50 or 60, 40, whatever.

Nikhil Kumar: We don't know, we could get 0 or we could get 50, we could get 60. But we have to compete, yes.

Rohit: And if you win, when will this start coming to you in terms of delivery?

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Nikhil Kumar: It will start from FY '25.

Rohit: Got it. And the first one, the gas turbine orders. You mentioned that will be from calendar year '25 and it will be an annual INR100 crore kind of opportunity?

Nikhil Kumar: That's the first prototype plant that will be delivered this financial year. Then the plant has to be proven, but it could end up being 15, 20 plants per year in the future.

Moderator: Next question is from the line of Praveen Motwani from BOI Mutual Fund.

Praveen Motwani: So my first question is what explains this decline in order inflow in the exports front in Q1 FY '24?

Nikhil Kumar: I have actually given explanation for that. I have said that we had some big orders which were under negotiation in Q1 and we are pleased to announce that we have won these orders in export and we will catch up with the expected ratio of 55% export and 45% domestic by the end of Q2. I've already mentioned this. This is the reason.

Praveen Motwani: Okay. Understood. And how margins are different in domestic and exports like what is the spread?

Nikhil Kumar: Exports are slightly better than domestic.

Praveen Motwani: Is there any number that you can share?

Nikhil Kumar: It depends. Yes, I can say it could be 100 basis points or 200 basis points better.

Praveen Motwani: Okay. Understood.

And how is the inquiry pipeline in the hydro front in the domestic market?

Because there are a couple of players announcing projects in the hydro. So if you can just give us some sense, when can we see those orders coming in?

Nikhil Kumar: Vinay, can you answer this question, please?

Vinay Hegde: Yes. So definitely the hydro market in the domestic segment has opened up and we also received in the first quarter a couple of orders and we are also expecting some good order inflow in the second quarter as well. And definitely now I think this trend is going to continue and after long time, this hydro market -- small hydro segment has opened up.

Moderator: Next question is from the line of Dhwani Desai from Turtle Capital.

Dhwani Desai: Congratulations for a very good set of numbers. So my first question is recently some of the major utilities announced very large MOUs for pump storage hydro and if I understand correctly, our synchronous motors are part of that solution. So you said that we won INR175 crores orders and there is much more in the pipeline. So is this a very large opportunity unfolding if you can talk a bit about that?

Moderator: We have Mr. Dhwani Desai in the question queue. Mr. Dhwani, you can please repeat your question.

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Dhwani Desai: Sure. So Nikhil, my first question is around the synchronous motors. Recently some of the large utility groups have announced MOUs for the pump storage hydro and if my understanding is correct, motors are used in those applications. So can you give us some sense as to on per megawatt basis, what is the contribution that our components get? And whatever INR75 crore orders that we got, is it related to the pump hydro and can this opportunity unfold as a recurring thing over next 3, 4 years?

Nikhil Kumar: No. The INR75 crores worth of synchronous motor orders are not related to pump storage at all. These are orders which are coming from the irrigation projects so this is not pump storage. As

far as pump storage is concerned, yes, there's a lot of noise in the market about this. We are yet to see concrete inquiries in the ranges that we operate, which is up to about 40 megawatts to 50 megawatts .

So I'm unable to comment on the actual market size and demand at this point of time. It's quite a big potential, we are waiting for it. We are expecting something to happen and we have the products for it. And as soon as this market picks up with actual ordering in these sizes, we will definitely play a very large role in this. But at the moment, as I said , nobody has really come to the stage of floating inquiries for equipment.

Dhwanil Desai: Okay. Got it. And second thing is on the railway side, you mentioned that we'll be supplying 60 traction motors. So is that going to be FY '25? Is that understanding, correct?

Nikhil Kumar: For this year, we expect to do it this year.

Dhwanil Desai: But this is part of the normal railway tendering where testing was going on for a long time, right?

Nikhil Kumar: Yes.

Dhwanil Desai: Okay. And given all this development, I think even on the – because we have been supplying to gas engine side for a long time, but turbine generators is something which I have not heard from you over many calls. So is this something which is a new segment opening up or something which we are doing earlier and now kind of gone into kind of decline mode and now again reviving? Any update on that?

Nikhil Kumar: No. Gas turbine has not been such a large segment for TDPS although the market for gas turbines is large. We have been steadily increasing our presence in the gas turbine market supplying machines to Solar, which is a big gas turbine manufacturer in the U.S. We also announced last time in the last earnings call that we have increased that we're getting business from Mitsubishi Heavy Industries in Japan where there are also

gas turbine generators. We're getting more inquiries and more requirement from them also.

And then now it's only -- and there's 1 order from the CO2 plant that's also a gas turbine generator and now also, as we mentioned, we have signed an agreement with a major international company for supplying 45 megawatt to coal generator as a prototype, which we'll deliver by the end of next calendar year, early 2025 and then that business also has a big potential to grow.

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For the gas turbine business, we have a big scope for growth. We have a low market share. But it is a large market and will continue to be a big market also in the future given that the world is moving more and more away from dirty fossil fuels towards clean fossil fuels.

Dhwanil Desai: Okay. So our product is more relevant for less than 100 megawatts , right? So we won't be going above 100-megawatt gas turbines. Is that a right understanding?

Nikhil Kumar: So we are concentrating on gas turbines tentative below 60 megawatts to start with and above that size, we are not really competitive. Above that size, we have to supply generators with the Siemens technology and we have restrictions on territories. So we can't supply across the world. But below 60 megawatts , it's with our own machines and that's the business that we're going after.

Dhwanil Desai: Got it. And last question with all these things happening, do you have any line of sight in terms of FY '25 how it's going to pan out?

Nikhil Kumar: Yes. I think it all depends. The orders don't give a very, very good insight about what's going to happen next year. So if we are going to be running at INR250 crores, INR275 crores per quarter order inflow on the generator and motor side, then we should be looking at something like INR1,000 plus crores coming from motor generator plus we have the railway business on top of that.

So I think it gives a good indication of the direction that we should be heading. Of course I can't give a commitment right now. But the way the order inflow is building up, I'm excited and I'm very positive about delivering very solid growth next year also. And this is the right time probably also to talk about once we start hitting this INR1,200 crore level, we have also taken the decision in our Board meeting yesterday to go ahead with an expansion plan. So we have taken the decision to invest INR120 crores in a third plant and we will be starting the investments from October this year. This will be spread over 2 years.

And because we are confident about the order inflow, we need to beef up the capacity. So we should have the first phase of this plant operational around October or November next year. And the second phase will be operational in FY '26. This I think is the surest signs for the market that we are confident about the expansion of the business and we're getting ready for taking the company to the next stage.

Dhwanil Desai: Okay. But your earlier indication of current capacity serving up to INR1,400 crores kind of a number remains, right? So is this over and above that?

Nikhil Kumar: Yes, of course. We are getting ready for -- we can't wait until we hit that number and then start putting capacity. So we have to start the process right now and we have taken the decision in yesterday's Board meeting that we will invest INR120 crores spread over 2 years and build up the capacity for taking the business up to INR1,600 crores – 1,800 crores .
Moderator: Next question is from the line of Alisha Mahawla from Envision Capital.

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Alisha Mahawla: My first question for you is to talk about refurbishment opportunity on the wind generator side. Is there an update on that? How is this segment doing?

Nikhil Kumar: It's a steady business. It's steady, it's not something exceptional, but

it's exactly as per the plan.

We're doing a fair amount of business. Machines have to fail -- so it's not we have the fail before we get some opportunity. But we're doing, every quarter we're doing some number of machines.

Alisha Mahawla: And you said this was the INR100 crore kind of opportunity on that.

Nikhil Kumar: No, it's not going to be INR100 crores a year not for wind repair. The overall repair business we have said, the overall aftermarket business of the company would be around 7% to 8% of our total sales. This will be a part of it.

Alisha Mahawla: Okay. Got it. And on the 9,000 HP locomotive side, you said that you're not sure what the OEM is trying to do maybe source it or maybe look for external sourcing. Is there any update on that?

Nikhil Kumar: No, there's no update. As I said, the inquiry will be floated in October and we need to be competitive and take a big share. So I'm confident we'll do well all I can say at this point of time.

Alisha Mahawla: No, I'm talking about the 9,000 HP locomotive. You're saying for that also it will be floated in October.

Nikhil Kumar: You're talking the one that Siemens won. No news. We have even asked them, but they don't seem to be interested to outsource it.

Alisha Mahawla: Okay. Got it. And just on the gross margins, we used to see 30%, 31%. It is a competitive industry that we are in and now we're seeing 33%, 34% sustainable. So what has changed? When you say the mix has changed, can you give some color to help us understand why this will be sticky number?

Nikhil Kumar: The mix has changed in the sense that I said we're doing more aftermarket business. Earlier used to be 2%, 3%, 4% of our sales, now moving up to 7% of our sales. That's sort of the high gross contribution that's definitely helping us to improve the overall gross contribution for the company.

In addition to that, we have a lot of cost reduction activities within the organization. We are optimizing our designs. We're constantly working on making the machines lighter and more efficient and that also helps in cost reduction activity for the material side and making our machines more efficient. So this and that I would say are the 2 major factors leading to the expansion in the gross contribution.

Alisha Mahawla: Got it. And just circling back on wind side, there's no big opportunity on the domestic side that we're seeing there currently?

Nikhil Kumar: We are talking to a few players, but I don't have anything to report at this point of time.

Moderator: Next question is from the line of Renjith Sivaram from Mahindra Mutual Fund.

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Renjith Sivaram: Congrats on a good set of numbers. Sir, just wanted to get some idea like when we look across the company, a lot of people are talking about the Europe market has kind of slowed down and even when you see your export revenue is also -- export order intake is also showing a muted.

Is that something that you are also seeing or is just a quarterly thing, this export slowdown?

Nikhil Kumar: There's no slowdown on the exports. As I said, we were negotiating some large orders which we won. And when you see the Q2 numbers, you'll be rest assured that the export market is also booming for us.

Renjith Sivaram: Okay. Great. And for the -- I missed out on the initial part. Is there any guidance that you had given for the revenue for this year FY '24?

Nikhil Kumar: We have given. We are sticking to our revenue guidance of INR1,000 crores.

Renjith Sivaram: INR1,000 crores. Okay. And order intake ?

Nikhil Kumar: Order intake I've not given a guidance. I don't have a number right now. I will give you -- I mean we can give a guidance next quarter.

Renjith Sivaram: Okay. And regarding this Vande Bharat plan cycle we had; we are expecting some orders from

-- is that there in our overall outlook at the Vande Bharat?

Nikhil Kumar:

Yes, I think I've mentioned this already that they have on the order, they will float the tender in October, and then we have to compete and win some part of the business.

Moderator: Next question is from the line of Sarika Thorat from Alchemy.

Sarika Thorat: Sir, I want to understand there is 1 media article in month of July saying that Karnataka High Court stays transfer of 2.51 crore shares of TD Power. Can you just throw some light on this particular matter, please?

Nikhil Kumar: I think the company has published on the exchange clarifications as to what is going on. The matter is sub-judice so I'm not entitled to talk about this more than what has already been published by the company on the exchange. All I can say is that there was a hearing yesterday in the High Court and the High Court has passed an order, which we are waiting for the final document to come.

But in general the High Court has passed an order saying that the subject shares, which are 2.5 crores shares, are related to a single promoter entity which is Sapphire Finman and not related to other promoters. So this is a very welcome development as far as we are concerned. So this restricts the entire case to just 1 promoter entity and not to the other and does not relate to any other promoter share.

The notification is out on the High Court website, today or tomorrow we will put it up on the exchange and we will keep all our investors informed about the development. The next hearing for this case in the High Court has been scheduled for 28th of August and we'll keep all of you informed about the progress.

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Moderator: Thank you. Next question is from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: Most of my questions have been answered. Just few questions. Firstly, we were also looking to supply the traction motors for Vande Bharat to Indian Railway through 1 of our customers. So any update on this?

Nikhil Kumar: Yes. That order is still in the pipeline. We are not talking about it. It could take a little bit more time so we'll not mention this. But there is opportunities to align and once it becomes hot, we will get back to you about it.

Deepesh Agarwal: Okay. And fair to say there would be competition even for this?

Nikhil Kumar: There would be competition for all the smaller-sized motors. These larger motors, which are going to the freight locomotives, that's where we have a single source -- that are customized as single source. But for the smaller-sized motors, there is competition, which play. Not lot of competition, mainly competition from 1 single entity which is a large multinational company working in India, so they're basically well enough to compete for these jobs.

Deepesh Agarwal: Sure. You were looking to also scale up the business on the motor end of wind repair. Can you give some color how the progress is happening on the wind repair side?

Nikhil Kumar: I answered this question a few minutes ago on the wind repair side. We're getting steady orders from this segment. We are satisfied with the overall growth. It's part of the 6%, 7% that we're going to do in the aftermarket business. It's going as per plan just now. There's nothing extraordinary taking place, there's nothing terrible taking place. It's going as per plan.

Deepesh Agarwal: Sure. And lastly, on the pump hydro, how can we scale up on the pump hydro? Any color if you can give?

Nikhil Kumar: I mean it's scaling up means they should first do business, right, and we should see the business before we say we're going to scale up. We have the product; we can make the synchronous motor and generators and whatever is required for this. So as I said earlier, there's no actual projects where people are in the ordering stage, lot of it is very conceptual.

It could be also in the first few phases we could see very large projects

coming up so let's say

200-megawatt, 300-megawatt single unit sizes in pump hydro not in the sizes where we operate, which is 40 megawatts, 50 megawatts. So we don't know which way this market is going to develop.

We see some hydro in the large hydro segment in which case we will not have much business at all. If it's going to be in the small hydro business, then certainly TDPS will have a large role to play. Small hydro stops around 50 megawatts. So we have to see which way the market develops, we're not sure.

Moderator: Next question is from the line of Manoj from Geometric.

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Manoj Dua: Sir, power has been a permanent demand of the human being from last many decades and I have seen that power demand changes from like some were hydro, sometimes gas. And what do you see the trend in the short term and medium term? How the power producers are thinking in terms of which area they are more focusing on?

And in general when we read that in California, they are thinking that so many power has to increase because of EVs and all these articles. Can you just throw some broad light what is happening on areas where we are present or even not there? How the power producers are thinking?

Nikhil Kumar: So power is going to be in big demand all over the world not just in India, but also in the developed countries where they are switching over with more and more EV production therefore demand for electricity is going to keep increasing plus bigger is going to be when they start heating. If the laws are passed not to heat homes with oil or with gas, then we'll see another big spike of demand taking place in electricity.

So the demand is going to keep growing, there's no doubt about it. How the demand is going to be met? It has to be met from a mixture of renewables and fossil. As far as fossil is concerned, it's going to be gas.

At least in the Western world, all developed countries mainly if they're to move away from coal, it's going to be large scale gas generation and small -scale generation and renewables. The renewables will come in the form of wind, biomass, garbage burn off plants , waste to heat energy which is a mix you can say.

In India, it's still going to be dependent on coal. Captive power plants is going to be coal for other things like biomass or sugarcane co - generation or things like that. The India story is going to be a little bit different although we are putting in lot of emphasis on both green for more renewables, we can't escape the fact that we do need at least 60%, 70% of our power generation coming from baseload capability and baseload can only be met by coal in India because we have no gas or oil so we have to drive the coal and nuclear. This is how we see it in the future so in the near term. So demand for our products is going to be strong for the next decade or so.

Moderator: Next question is from the line of Neha Agarwal from Sage One Investment Manager LLP.

Neha Agarwal: I just have 2 quick questions. One is pertaining to the continuous replacement demand that you speak about in your presentation. So can you just highlight how much of the revenue is coming from the replacement demand side?

Nikhil Kumar: That's a tough question. I don't have a number honestly speaking on this at the moment.

Neha Agarwal: Okay. But is it that even though it's replacement demand, there is a tendering for it and that's the process or is it more straightforward?

Nikhil Kumar: Vinay, do you want to take this question? Maybe you can throw some light on this in a better way.

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Vinay Hegde: So basically what we are saying is we have around 6,000 machines in the field and as you know, we are a 23-year-old company. And a large number of machines, which are more than 10- to 12 - year-old, and we expect a good amount of busi-

ness to come from this segment for replacement of complete machine or complete rotor or stator. At the same time, there is also a big business for replacing the older machine supplied by our competitors.

For example now we are also bidding a project where there are 5 machines which are 60-year-old. We are building that project with 1 of our customers. That is 1 part. And second part is replacing our own machines. So unfortunately this is an unpredictable market where we can't say that this year, we want to do so many machines replacement. It is a bit tough question to answer, but certainly the probability increases as the machines grow older. So I think only this much we can tell at the moment because we have a large slate of older machines, which are getting older and older year by year.

Neha Agarwal: Sure. But even then, could we then -- would it be fair to say that even in that case whenever there's a replacement demand also, there is going to be a fair share of competitive intensity and it's not that we are most likely to get the order just because the machine was ours earlier?

Vinay Hegde: No. In the case of our own machines, the probability of getting the order is you can say more than 90% because it's going to be difficult for our competitors to match all the dimensions. There are so many things technically, the centre height , the shaft diameter, the cooler location, foundation dimensions and all those things.

We are one of the masters in doing that and we have replaced almost all our competitors' machines exactly matching all the dimensions. That is called dropping kind of replacement. But there is nobody who has this kind of capability who can match all the exact dimensions of our machines and offer a replacement generator. So there we have an edge over our competition. And as I said, we have more than 90% chance of getting that business.

Neha Agarwal: Fair enough. That was very clear. Also on the Turkey side, I had 1 question pertaining to we are having a manufacturing unit there. So if you could throw some light as to which markets, does it cater to and given the recent disruptions in Turkey in last 2 years, have we faced any difficulties?

Nikhil Kumar: Turkish market is at the moment very I could say almost dead, but we have decided to keep the plant open over there because we are keeping this as a safety security for our increasing population of machines that we have in Europe. So we want to have a service centre in case we have a warranty issue, we think we'll have a manufacturing plant where we can offer the repairs and replacement at a very competitive price.

Otherwise we're dependent on third-party service shops and it would be very, very expensive for the company in case we have an incident. But we also have been talking to our customers in the Turkish market and there is a big revival taking place in the geothermal side. And I will ask my colleague, Ramya, who's on this call. She's still responsible for the Turkish market. Ramya, maybe you can throw some light on the Turkish market and geothermal, what people are saying? Is she on the call?

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M. N. Varalakshmi: No, I don't think she's on the call, sir.

Nikhil Kumar: Okay. Vinay, can you just throw some light on the geothermal opportunity? What's happened with Turkey?

Vinay Hegde: So basically the Turkish market we were doing really good business, but of late the government reduced the incentives. So now customers are buying those -- that business has not gone for us.

All the business what our Turkish plant used to get, those businesses we are getting in India plant directly.

But now there is a change and we are expecting a couple of orders for geothermal business, which is now looking up again and we will get couple of orders for the Turkish plant, but not how it used to be before. So all those businesses are

coming directly to the Indian plant, made in India machines.

Nikhil Kumar: The geothermal market is going to pick up. That's the -- we have taken to our customers. And even if you get 5, 6 machines a year on the geothermal side, large generators and the Turkish operation would be back to being very profitable once this market reaches 5, 6 machines per year. So we're already seeing inquiries floating in, coming in and we have started bidding so the market will definitely revive. It may take some time, but I'm pretty sure.

Moderator: Next question is from the line of Riya Mehta from Aequis Investments.

Riya Mehta: My first question is in terms of the independent railway orders which we have received. Could you enlighten more on that and what is the scope going forward?

Nikhil Kumar: Sorry, could you just repeat the question with Indian railways?

Riya Mehta: Sir, we have been -- as you mentioned in your comments that you have received some orders on TD Power has without any partner and you were in the trial phase. So what is the scope there and going forward what are the opportunities that opens up for us and what will be the size do you think? How long -- how big?

Nikhil Kumar: The market is a INR1,200 crore market and it consists of approximately something like I would say 500 to 600 motors per year -- sorry. It's about 3,000 motors per year, sorry. So we are starting with 60, which is going to be the first order that we're getting and we're going to keep increasing the size of this business slowly. So we start with 60, then make it 100, 150, 200. Ultimately the goal is to come to about 10% of the market, which is around 300 machines which is around INR100 crores of business. This is the goal. So 60 is the first step and we will keep gradually increasing our size as we get confidence producing this product and also building confidence with the Indian Railways about our capabilities. I've always mentioned this will take a little bit of time, but 60 is the first big step.

Riya Mehta: And what kind of margins do we see here? And what type of competition?

Nikhil Kumar: It's a high margin product. So the key is to get to that Level 1 qualification stage where then you get that price. The people who are in that Level 1 stage; BHEL, Crompton Greaves, and Siemens,

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ABB; they are the players who enjoy these high prices. We have finished the qualification and we also should get there very soon, but it will take some time for us to build up the volume with Indian Railways. It's going to be a step-by-step process and we would get there because we're doing it step-by-step and we'll keep the market informed about this.

Riya Mehta: Got it. My next question is could you speak more on that?

Nikhil Kumar: About the capex? So I said that we have taken a decision in the Board meeting to invest INR120 crores in a third plant and we will get this plant operational within -- partly in Phase 1 within next 12 months to 14 months and it will start contributing towards reducing some bottlenecks in the capacity in the second half of next year. With this full investment, we should be able to -- after we finish Phase 2 and Phase 3, we should be able to produce INR1,700 crores or INR1,800 crores worth of machines. So we are getting ready for that. We are seeing that the order inflow and the demand situation is compelling us to take this decision to go ahead with the capacity.

Riya Mehta: Right. Current facility were able to produce around INR1,300 crores worth of revenue. So incrementally, the INR120 crores capex would get somewhere around INR500 crores of incremental revenue on a full scale.

Nikhil Kumar: Yes, we can say around INR400 crores. We have 1:3, 1:3.5 so that's why I said around INR700 crores or so.

Riya Mehta: And also in terms of domestic orders so which segment or which sector do you see grow

with

majorly coming from for our products specifically?

Nikhil Kumar: Vinay, take this question.

Vinay Hegde: Yes. Madam, mainly the domestic sector is steel and then distilleries. Also the agro products and chemicals and fertilizers so we got some very big order from agro companies in northern part of India and real big orders for the steel segment and also the distillery segment is also moving where we are getting good business, but all that is small compared to the steel segment. But these are the segments which are really booming currently in Indian market.

Moderator: Next question is from the line of Viraj from SIMPL.

Viraj Kacharia: I just had 1 query. On the nuclear business, if you can just give some update.

Nikhil Kumar: We had 1 order for a nuclear power plant motor, which we have to deliver in October or November this year, and there are a number of new tenders coming up. So we don't have anything to report other than this because all these things take a little bit of time. Everything in nuclear is completely slow, nothing moves fast over there. So there are new tenders, there are big requirements, we have nothing to report in this quarter.

Viraj Kacharia: Okay. But in terms of qualification, the whole certification approval process. We have already qualified with all the major customers.

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Nikhil Kumar: We qualified that's why we got the order. But we need to deliver the first motor and put into operations in October, November this year. Once we deliver that motor, then I think it will open up the business for us completely for more projects.

Viraj Kacharia: Okay. And is your focus only on domestic markets or even export is an area that you would be coming at?

Nikhil Kumar: Only domestic.

Moderator: Ladies and gentlemen, this was the last question for the day. I would now like to hand the conference over to the management for the...

Nikhil Kumar: There was a follow-up question which was required, right? It was a lady who had a follow-up question. Would that want to be taken right now?

Moderator: We got that question from Ms. Neha Agarwal.

Neha Agarwal: Just wanted to know on Turkey when you said that there could be revival. But as of now on a plant basis stand-alone, are we making losses in that unit or we have breakeven sort of?

Nikhil Kumar: Operationally we are making profit, but there is an exchange translation loss. Varalakshmi, can you please explain what happened in the last quarter on the depreciation of the lira and why we are showing the translation loss?

M. N. Varalakshmi: Okay, sir. So there is an operational profit from Turkey. But because of lira depreciation from 4 to 3, that is almost 25% depreciation; all the results have got restated at the current value and this has resulted in a INR1.5 crore of exchange loss.

Moderator: Thank you. Ladies and gentlemen, this was the last question for the day. I would now like to hand the conference over to the management for the closing comments.

Nikhil Kumar: Thank you very much for participating on this earnings call and happy to answer all your

questions. If you have any further questions, please get in touch with us. We look forward to interacting with you i n the next quarter or even some investor conference in between. Thank you so much.

Moderator: On behalf of TD Power Systems Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2023

November 15, 2023

The Corporate Service
Department
BSE Limited
P J Towers, Dalal Street
Mumbai – 400 001 The Listing Department
The National Stock Exchange of India Ltd .
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
Mumbai 400 051

Sirs,

Sub: Transcript of Earning Conference Call – Quarter ended September 30, 2023

In furtherance of our letter dated October 27, 2023 regarding intimation of earnings conference call, the transcript of Q2FY2024 earning conference call held on November 09, 2023 is enclosed and has also been uploaded on the website of the Company at <https://tdps.co.in/investor-financialresults>.

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary

Encl: A/a

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

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“TD Power Systems Limited Q2 FY24 Earnings
Conference Call ”

November 09 , 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th November 2023 will prevail.

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR , TD
POWER SYSTEMS LIMITED

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MS. VARALAKSHMI MN – CHIEF FINANCIAL
OFFICER, TD POWER SYSTEMS LIMITED
MR. VINAY HEGDE – HEAD, GLOBAL SALES &
MARKETING , TD POWER SYSTEMS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the TD Power Systems Limited Q2 & H1 FY24 Earnings Conference Call.

This conference call may contain forward looking statements about the company which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. As a reminder, all participating lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on the touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kumar, Managing Director from TD Power. Thank you, and over to you, sir.

Nikhil Kumar: Thank you . Good morning, everybody. Thank you once again for joining us today on our earnings call. I'll move straight to the financial performance for the 6 months ended 30th September 2023.

For standalone, our total income on our standalone basis for H1 was Rs. 4.94 billion versus Rs. 4.14 billion over the same period for previous year, an increase of 19 %. EBITDA for H1 is 17.86 % including other income, and we will deliver the approximate same during the year versus 15.43 over the same period in the previous year. We would like to again mention that this calculation includes foreign exchange gains, but does not include sale of land or treasury income. Profit after tax and comprehensive income for H1 is 600 million versus profit of 388 million for the same period in the previous year , an increase of 55 %. Order book for the manufacturing segment is 13.23 billion, out of which 6.24 billion is generator motor business, 6.74 billion is railway business, and the erstwhile project business is now grouped under spares and aftermarket, which is 0.09 billion, Turkey business is 0.16 billion.

Export and deemed exports excluding the railway business is 48%. Over the past one year, TDPS and its customers for the railway business have been focusing on indigenization of raw materials used in the motors for the pending order for the 12,000 horsepower locomotive contract. This will give big cost reductions and consequently, the order value could significantly reduce in the region of Rs. 190 crores to Rs. 200 crores spread over the next 4.5 years. But we would like to clarify that this will not impact our margins. Price variation clauses as per the contract will be

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applicable over the next 4.5 years, and this will mitigate the reduction of the order value to a meaningful extent. This matter is under final consideration, and we will inform the market next quarter.

I would like to reiterate there will be no loss of margins since the pass-through has been given only on the actual reduction of raw material costs. Order inflows statistics, order inflow has increased by 28% over the previous year as follows. Current year is 4.93 billion. Last year was 3.84 billion. Order inflow from direct and deemed exports is 2.36 billion compared to 2.16 billion in the previous year. Strong order inflow momentum continued in October also. Exports and deemed exports is 48% of the total order inflow for H1. For Q2, the order inflow from indirect exports, deemed exports was 58% of the total order inflow.

Consolidated . Our total income on a consolidated basis was 5 billion versus 4.3 billion in the same period previous year, an increase of 16%. Profit after tax and comprehensive income for the first half

of the year is 584 million versus the profit of 385 million, an increase of 52%. We continued to maintain a strong cash position of Rs. 2.01 billion .

Order book , market situation , and guidance. TDPS has signed an agreement with B RUSH and Baker Hughes for production of BRUSH generators for the world market and a second agreement for sale of TDPS generators to Baker Hughes for the industrial markets worldwide. BRUSH is one of the most famous and well-known generator companies in the world with a focus on oil and gas, especially in the area of offshore platforms and LNG. TDPS and BRUSH intend to capitalize on the big expansion of the investment taking place in LNG and oil and gas, which is being carried out worldwide to replace Russian supplies. An announcement to this effect has already been given to the exchanges.

Now I'll come to each segment of our generator business. Steam turbine , the domestic market, continues to be very, very strong with robust order inflow from all segments of the market. In addition, we are also seeing strong traction from the international OEMs in the European market. This segment is providing a strong foundation for our growth for next year. Gas turbine, we have a very strong inquiry pipeline as well as orders from our US based customer. We would also like to announce the first new order for 2 to 16 megawatt units with Baker Hughes turbines. This is the first order in this segment with this OEM as a part of the new agreement also and will continue to see larger orders in this segment in the next few quarters.

Hydro , the incoming orders from hydro have surpassed our expectations. Large investments are taking place in renewable energy and hydro projects are coming up in a big way in Europe, Southeast Asia, and Nepal. We expect next year to be the highest in terms of sales of hydro generators since the beginning of this company.

Gas engines, there is some softness in the market being currently observed. However, both our engine customers have been optimistic and are optimistic about meeting the targets for the next year. We expect growth to be muted for 1 or 2 quarters before picking up once again. There are

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some large orders under negotiation, and with some luck we should be able to , if we get them, the numbers will be much better than what we have earlier projected.

Motors, we happily announced that TDPS had delivered and commissioned a 40 megawatt synchronous motor, which is a big achievement for us in this segment. Now with this reference, we have proved that we have the ability to deliver in this market. We also recently booked large orders in this segment in the last quarter. The pipeline for the next year is very strong. This business, motor business, for us will continue to grow at a rapid pace.

Railways, there's been a lack of action in the private sector tenders. Everything seems to be quiet perhaps due to the upcoming elections next year. However, the Indian Railways has a big tender out for motors that are required for their own locomotive production and we expect to do around 80 motors for the Indian Railways next year. After delivery of these motors, TDPS will be in the L1 category. We are currently in the L2 category and the following year we expect to do 200 motors.

Now coming to guidance. We are on target with respect to our guidance for FY24 around Rs. 1000 crores top line on a consolidated basis with approximately Rs. 235 crores to Rs. 240 crores in Q3 and the balance in Q4. So that'll be around Rs. 260 crores to Rs. 265 crores in Q4 on a consolidated basis. Margins will be in line with our H1 performance. We would like to reiterate that margins should be looked on an H1 basis rather than a Q1 to Q2 basis. We have reached around the halfway mark in H1, and we give guidance to hold on to our numbers in H2.

We would like to now first give ini

tial guidance for FY25 . Looking at the order inflow and

looking at the pipeline that we currently have, we can expect a minimum growth of 17 % to 20%

for next year. As far as the legal case is concerned, there are no further updates in the ongoing legal matter other than what has been already disclosed by the company in various notifications to the exchanges. Since this matter is sub judice, I will not be able to discuss any further until the courts provide clarity on the ongoing disputes.

New factory, the company has already paid Karnataka Industrial Development Board 30% of the land value based on the sanction letter for the industrial land and the allotment letter for the land to be obtained in about a week. Construction for the new factory will start in January 24 and we are on track to bring the new plant into operation during the beginning of H2 FY25. We are planning a very modern factory with automation, digitization, Kaizen, pivot and other state-of-the-art manufacturing technologies. This brings me to the end of my initial remarks. I'll now be happy to address any queries that you may have. Thank you.

Moderator: Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Mohit Kumar from ICI CI Securities. Please go ahead.

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Mohit Kumar: My first question is sir, is it possible to predict the potential of the tie-up which we announced today? My related question is how does the pricing manifest for the suppliers' margin expectation and do we need to make any investment for supplying the motor and generators?

Nikhil Kumar: I'll take the last question first. So we don't have to make any major investments. We have basically the generator product. We have all the manufacturing equipment with us. There are some small modifications in the way that they make the machine compared to what we do. So small investment has to be made, but it's not significant. So when it comes to the business potentials, of course, it's a very good question. I think this is the first question everybody will ask. I would like to broadly say that on a conservative basis, there is a broad potential for about 20 million euros of business in this segment for us and it will not come overnight. It will take around 3 years' time to fructify, but we will see orders ramping up. We already have the first order from them for about Rs. 10 crores. Of course, there are a number of projects in the pipeline where now they're bidding with TDPS manufactured generators. There is a large, fairly detailed approval process that we have to go through, which is very important for us. Actually, we'll have to get approved by all the oil majors like Exxon, British Petroleum, Shell, Saudi Aramco, Qatar Gas. These are all the major oil companies in the world. So the approval process also will take a little bit of time, but eventually this business will put TDPS at top end of the market, as far as generators are concerned, and we are really excited about this relationship working with BRUSH in this particular segment. The LNG market and the oil exploration markets are booming. Investments are at all-time high. This is expected to carry on for at least 5 to 7 years. So we are at the right time in this relationship and demand for products is extremely high right now. So we expect a sustained increase of business over the next 2 to 3 years and then reaching a peak say 4 to 5 years from now. So this is extremely important I would say new line of business for TDPS, I would say new sector, the oil and gas offshore market and LNG market and it's going to add margins also. Margins are going to be in line with what we currently have, so it's going to be a good business for TDPS.

Mohit Kumar: My second question is, you said about H2 order inflow can surprise us on positive because large

negotiations are happening. Is it right to assume that they are mostly in railways or is it in the fairly diversified segment?

Nikhil Kumar: No, I said that the order in flow for the railways will be limited, right? So I said there's no action taking place in the private sector tenders as far as the Indian railways are concerned. We're not seeing anything happening in the market right now. We're not hearing anything about these new tenders for 9,000 horsepower locomotives or 12,000 horsepower locomotives. Everything seems to have gone very quiet. So the only thing which is happening in the railway market right now is whatever the Indian Railways themselves need for production of their own locomotives. And we are conservatively putting a number something like 80 to 100 motors for next year. And the following year we have a target of 200. We will do 80-100 for next year for sure. And as far as the other verticals are concerned, the order inflow is extremely strong. And that is the reason why gives me confidence to give the market initial guidance for FY25.

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Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from O3 PMS. Please go ahead.

Himanshu Upadhyay: We got the new orders of let's say this Rs. 493 crores in first half. Can we assume that the percentage of steam run turbines will be less than 50% of incremental orders? And it is far more diversified than what it was five years back or do you think new orders have again started or are

majorly from coal -based generators only? Some thoughts on that ?

Nikhil Kumar: Vinay, I'll take this question, and then I'll ask you to add a little bit comments on this . So look, in India, as I said, the market is highly diversified. So we're getting orders from all segments.

Some of them would be, I would say, base load captive power plants. But there's a lot of ordering taking place in steel and cement, which is all renewable in terms of heat recovery and waste to heat energy basically. I am not able to give you the numbers to break up, but I would say there's still a large amount of business which is coming from the renewable sector, even from the Indian market for the steam turbines. And regarding the ratio and mix, I'll leave the question to my colleague Vinay. Vinay, maybe you can answer what you expect to be in H2 for the mix of order, steam, gas, hydro. Where do you see the mix to be?

Vinay Hegde: For H2, the mix to be mainly in the steam turbine and hydro turbine orders . Indian steam turbine market is still booming, and we are getting a lot of orders from the Indian OEM, and also for exports from the Indian OEM. And we are also getting good orders from our export customers for direct export to countries like UK, Germany, Portugal, Argentina, and all these countries. So hydro turbine also, two markets are really booming, mainly Vietnam and Nepal. So as Nikhil told, next year is going to be the highest ever sales turnover for the hydro segment. And we have very strong pipeline of orders for both hydro and steam segment. These two segments are the major portions of the order book for the remaining part of the year.

Himanshu Upadhyay: So in the last quarter, we said that our rail way's large customer has won a Train 18 aluminium frame. And the requirement of motors can be Rs. 275 crore and the competition will be there.

So has that order been floated by our major customers and what percentage of business have we won from them?

Nikhil Kumar: Inquiries in the market right now, Himanshu , is under discussion. We are actively participating in this negotiation. But it's not yet come to a stage where we can say that we know when it's going to close. And it should close soon, but , I can't give an exact time frame, but it's under negotiation.

Himanshu Upadhyay: The competition is between you two players only , no third player

is there in the market ?

Nikhil Kumar: I as far as I know it is this , but I can't really give you 100% information on this because it could be some other parties also which we don't know of but what we believe is what we have mentioned earlier.

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Himanshu Upadhyay: And one last thing , then I'll join back in queue . Can you also give some idea on what is the level of complexity in generators which are used on large cargo ships and how big is that market?

Because we did some generators for our naval vessel and we expected it to be a big opportunity for us and Make in India is happening. We see a lot of ordering for naval ships is happening or government has given orders in last 2 quarters. So are we getting any larger business from that segment or opportunities in that segment? Some idea on that ? And again, for cargo ships, is that an opportunity or not?

Nikhil Kumar: Yes, so the commercial marine market for generators is a large market. TDP S doesn't have a big penetration in this market. It's another big potential growth business for TDP S. We need to have more references but this is another big potential growth area for TDP S. I'm talking about the commercial marine generator market. Now when it comes to the Navy business in India, Vinay maybe you can explain if there are any inquiries and what Indian Navy is planning to do.

Vinay Hegde: Yes. So for the first set of 10 machines what we supplied to Vizag for the Indian Navy, all the machines have successfully commissioned and now it is running, all the trial runs are over and now we are bidding for one more job. See , these are not a regular kind of business, this is kind of on and off. Whenever there is a tender, we have to participate and now we are participating on tender, it is a fairly good number of machines. And this is going to get finalized maybe in the last quarter of this year. So whenever there is a tender, now we know all the customers are approved by the Indian Navy. So we can participate in all the tenders. So there's one HP tender we are participating currently. And I think by the last quarter, we should get some news on that.

Moderator: Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Just one question. See, some of the capital goods players have started talking about some caution on the domestic order book because of the upcoming elections and the things related. And while we talked about guidance for 25, if you have to understand for the domestic piece, how do you see this election as a speed breaker in terms of order book growth. And if you can just share over the last 10 years, 12 years, have you seen a slowdown which happens at the sector level? Just some idea how you are looking at it ?

Nikhil Kumar: There is a lot of momentum in the market right now in terms of investments. People are making investments based on economic reasons and not political reasons. And there's expansion taking place in steel, cement, paper, fertilizer chemicals across the country. And in my opinion, these things are going to carry on regardless of political outcome for the next 1 or 2 years. Then of

course, whichever government comes to power and the policies will guide the direction for the country as a whole for the time beyond that. But for the short term, that's one or two years, I don't see any slowing down of the momentum.

Nikhil: And second was on the refurbishment. How is the pipeline growing for the refurbishment part of the business? We had a view that this business can become around 8% to 10%. So are we on that journey or any change in the outlook here?

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Nikhil Kumar: I never commented 8% to 10%. I always said around 6% to 7%. I still maintain that. We will deliver on those numbers.

Moderator: Thank you.

The next question is from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

Shyam Maheshwari: I just wanted some clarification on the BRUSH order. I wanted to understand if this is a \$20 million opportunity over a period of years or is it like an annual kind of a number that is potentially possible?

Nikhil Kumar: No, this will be an annual business, but it will take, as I said, it will take some time to reach that level. It will keep growing, but it will take, let's say, 3 years or so to reach that level, but it's an annual business.

Shyam Maheshwari: And when do you expect this to start flowing? Is it possible that some revenues might come?

Nikhil Kumar: I already said it's already got the first order. So it's already started.

Shyam Maheshwari: I just wanted to understand the Indian Railways opportunity. So for the next year is our target market just the Indian Railways, the 80 motors that you're mentioning or is there any other potential orders also that would go to the Indian Railways?

Nikhil Kumar: Look, there have been a lot of discussion, a lot of talks, a lot of things were in the pipeline for other tenders, for Vande Bharat trains and freight locomotive trains. So if those things do come up for ordering next year, then the opportunity will increase for us because we have all been waiting for these things to come to the market. But as of now, we don't know when anything is going to come to the market as of now, although all these things are there in the pipeline. So I'm saying that what we can see right now is this and what we can't see right now, we can't comment and that's where it is.

Shyam Maheshwari: Makes sense. Could you just quantify for us maybe what could be the quantum of these 80 motors kind of that will be supplying? What will be the quantum of that?

Nikhil Kumar: Value keeps changing from order to order, it is not very large but it's around, it varies between around 25 lakhs per motor, so it's all public information anyway so it's not a secret.

Shyam Maheshwari: And just one last question was on some of the new areas that we have entered on your new products, synchronous motors, submersible motors. Could you give us a sense of how these products have been accepted? Are you seeing increased inquiry pipelines for some of these products?

Nikhil Kumar: Yes, I did talk a little bit about this in the opening speech. So we have delivered and commissioned the first 40 megawatt synchronous motor. It's been well. The market is now fully

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aware that TDPS has got the capabilities, we've proven it, and we have recently taken a big order for a project in Karnataka, and there are a number of synchronous motor projects in the pipeline right now. There are also new tenders being issued by Nuclear Power Corporation. We are participating in those tenders. This CAPEX cycle in India is also generating large number of inquiries for other large size induction motors. So the motor market is very active right now. It has got big potential. We are very active. We are bidding across the board. It will do really well next year for sure. The exact numbers will be given a little bit later, but as a motor segment, we will report this separately later, but it is doing really well.

Moderator: Thank you. The next question is from the line of Kuber Chauhan from Anand Rat hi. Please go ahead.

Kuber Chauhan: Sir, my question was on the Turkey business, so can you throw some light on our Turkey business? Where are we and what sort of strategy we will be adopting? And second question was on guidance, I missed the guidance for FY25?

Nikhil Kumar: The Turkey business, there is not much more to report. There are a few limited orders which we have taken. The market is still very subdued. We will still use that facility more as a service center rather than

an for new machine production. This works for us for the moment and we are going to continue with the strategy at least for next year and we will again review the situation

next year to see what we want to do for the following year. That is where and we are taking this decision year-on-year and we still expect this market to come back. So let us see how it develops and for the guidance for FY 25, I have given the first card guidance that our console numbers would have a growth of around 17 % to 20 %.

Kuber Chauhan : Any sort of CAPEX which you are doing ?

Nikhil Kumar : Yes, we have started the CAPEX and it will be on stream in the beginning of H2 next year.

Kuber Chauhan : And any ballpark number for that CAPEX ? Varalakshmi, we have given guidance for that, right, in the earlier through some stock market notifications ?

M. N. Varalakshmi : Rs. 120 crores will be the CAPEX .

Moderator : Thank you. The next question is from the line of Praveen Motwani from BOI Mutual Fund. Please go ahead.

Praveen Motwani : Sir, my first question is if you can just share the domestic and exports revenue for this quarter and for Q2 FY23?

Nikhil Kumar : No, we don't give that split up.

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Praveen Motwani : At least some indication which market reported good growth for you in this quarter or grown at higher rate for you?

Nikhil Kumar : We supply our generators all over the world and sometimes we get good orders from a particular country or sometimes we get from a particular region, different verticals of our business have opportunities coming from different parts of the world. So for example, for hydro, we could have large orders coming from Vietnam or from Norway or from other countries in Europe. We could have big gas engine generator orders coming from Ireland. It is very difficult for us to say there is one country or one thing which is giving us a big growth in our business. It is very widespread and which is good because it provides stability of our business.

Praveen Motwani : And sir, the last question is, you reported 29% growth on year-on-year basis, so how much you attribute to the price and how much you attribute to the volume ?

Nikhil Kumar : Now it is all volumes. There has been no price increase for the past one year, so all volumes.

Moderator : Thank you. The next question is on the line of Dhruvesh Sanghvi from Prospero Tree. Please go ahead.

Dhruvesh Sanghvi : Thank you for performing so well and you have been guiding and constantly giving us surprises on the slightly positive side with order book and all, so thank you. Second is, what can go wrong now considering the things are so good right now and that makes me ask this question over the next 3-4 years that what are the potential risks that we face in the next 3-4 years for achieving 15%-20% growth ?

Nikhil Kumar : That is a really good question and geopolitical events would be a big risk always and this is always going to be something that no one is going to be able to read so far into the future. So what we can all see is something like, we can see 1 year, 1 -1/2 year horizon clearly, but beyond that if you are talking about large risk which could have system effects then I am not in a position to answer that question. I am sorry, it is really hard to say what could be down the line.

Dhruvesh Sanghvi : Just some thoughts around it, if there is nothing which comes, maybe that's the answer. So thank you.

Nikhil Kumar : As I said, geopolitical events, wars, things like that, or political change, those kinds of things are the events that drive change which affect the economies and drive changes, so that is hard to predict and if those things happen, those risks will always be there and eventually all of us will find a way to work around everything and life will go on.

Dhruvesh Sanghvi : One thought which comes

is in the past a lot of people including myself used to worry about the potential change towards the renewable energy and the need for fossil-based ecosystem, because the performance of almost all companies are coming, nobody is asking those things, but are there

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any thoughts which have got updated or that is not at all a worry over a 5-7 year period also or something around that area?

Nikhil Kumar : Five-seven year period definitely, I think that the renewable business is not going to make a big dent in the traditional power market. All this talk about hydrogen and even talking about wind, looking at the way the sector, the manufacturers are getting into periods of getting into weakness on their own financial. That is going to affect the supply situation. Eventually prices of equipment are going to go up and that is going to then again lead to higher prices of power production. So I think that there is no doubt that while renewables also will grow, it will not grow at the rate which we used to grow earlier and I think that we will see the traditional fossil-based fuel still dominating the power industry for years to come. This is my prediction.

Moderator : Thank you. We will move on to the next question that is from the line of Kartikeyan from Suyesh Advisors. Please go ahead.

Kartikeyan : Congrats on this very interesting deal with BRUSH. This is my first interaction with you on that topic, so if you don't mind, can I ask you a slightly detailed question?

Nikhil Kumar : Of course.

Kartikeyan : Sir, the way the agreement is structured is very interesting. It is a 3 plus 2 year kind of a tenure, so is the thinking from their point of view that they will top up their capacities with some additional capacity from you? Why hasn't this been structured as a perpetual arrangement? Why can't you be there, shall I say, back office? Why was the agreement structured this way?

Nikhil Kumar : Nobody enters into perpetual agreements, but it is not a top-up thing. There is a certain line of products, something like below 50 megawatt, where we will be the primary producer of that equipment or the predominant, maybe 90% plus producer of that particular size of machines, and BRUSH will focus on the larger machines. That is the plan. Large corporations have their own policies and how they would like to structure agreements and I think our agreement is in line with their corporate policy and I don't think it has anything to do with it. We have a long-term view of the business and so do they, but they have a policy on how they structure agreements and this agreement falls in line with that policy. I don't think you should read too much into it and perpetual agreements don't exist. So I am not expecting that. We deliver good machines and we do good business, this will go on for a long time.

Kartikeyan : I am extending my luck, are there other such agreements in the pipeline?

Nikhil Kumar : Not like this. These things don't come up. As much as possible, our strategy is to do the business by ourselves and to get into various markets with our own brand name and by ourselves. In this particular instance, the particular sector of these, the oil and gas market is a very large market, there is upstream, there is downstream, but this particular segment of the market, which is more on the exploration side, on the drilling exploration side, that is where BRUSH is very strong.

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And that is, as I said, there is a lot of investment taking place right now in the oil and gas segment to replace Russian supplies, both on the gas side as well as the oil side and so there is a boom taking place in this segment, so both LNG as well as oil and the demand is very strong for the products, and we are at the right place at the right time. This is the general

thinking behind this agreement.

Kartikeyan : Are you replacing another facility, sir? Or is this a fresh arrangement?

Nikhil Kumar : We are replacing a European-based facility.

Kartikeyan : And if I may ask you, would there be a substantial cost saving to BRUSH by sourcing from you?

Nikhil Kumar : I think there would be some saving and I am not sure how much.

Moderator : Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar : Sir, my question is actually in reverse of what Dhruvesh was asking, he was asking about long-term 15% to 20% growth, I was trying to ask, why are we not growing faster because market is growing so well and there are people like Triveni Turbines who are growing 30%-35% in this time, why are we guiding for 17% to 20% growth only for the next year?

Nikhil Kumar : I can't compare myself with others in the market. I can only talk about what we can do and what growth we can deliver and as I said, I tend to deliver realistic numbers and try to do a little bit better than what we deliver. And that is where we are, and this is the track that we are on.

Ankur Kumar : And sir, margin side, is there any scope for improvement for the next year or do you think these 17%-18% are sustainable?

Nikhil Kumar : There is going to be no price increases largely, no substantial price increases which are going to affect margins. So the EBITDA margin improvement will take place from operational leverage, but we are putting in a third plant as we said, H2 next year. So we might not see huge improvement taking place on operational leverage because of the third plant also coming in, fixed cost associated will not give us such a big upward bump in the EBITDA numbers from where we are right now. So holding it at this level is the target. If it can improve by 50 basis points or something, it will be good for us.

Ankur Kumar : And last question, this quarter we did Rs. 270 odd crores, but you talked about Q3, Q4 being lower than this number, so was that conservative or is there any delays?

Nikhil Kumar : We said that we will do around Rs. 1,000 crores for the year, but done around Rs. 494, so we will do another around Rs. 500 crores and I said the breakup will be Rs. 235 to Rs. 240 in Q3 and Rs. 262-Rs. 265 in Q4 and that is where it is going to be. We are already in the middle of

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November, we don't see any fresh order booking taking place in this financial year, where we can improve the numbers significantly. So more or less, the order booking is already fixed for this year and so this is the performance we are going to deliver.

Moderator : Thank you. The next question is from the line of Himanshu Upadhyay from O3 PMS.

Himanshu Upadhyay : See, it is a basic question, in capital goods there are certain companies which get advances from customers also, what type of companies do get advances from customers and let us say substantial 10% -15% and how far away or what can we do to get such businesses, the question is basically that my working capital gets better and better, obviously, our sales to gross blocks has been always good, but are you thinking about in those terms and are we getting the newer businesses whereby receivables and cash cycle is much better than what the historical business we were doing always, some thoughts on that?

Vinay Hegde : So basically, our business is not like B2C. We don't supply our machines to the end customers, but we supply our products largely to the OEMs. So in our cases, in most of the cases, we take advances like in all the cases, we take advances and all our payments are secured. And in case of special projects, we also have stage-wise advances and that is called progressive payment. So it mainly depends on the customer to customer and also depending on the volume of

the business they give, so all the payment terms differ from each customer or each segment, but definitely we also have a system of taking the advance from almost all the customers.

Himanshu Upadhyay : Can it be that we are able to reduce working capital in double digits overall, inventory plus receivables to that much or you think working capital?

Nikhil Kumar : Look, I think we can try to reduce the inventory by operational efficiency. Receivables is more of a market driven situation, so we don't see so much change taking place in the receivable side.

As Vinay said, payments are secured, payments will come. We don't have a problem of bad debts. So what we can try to improve is operational efficiency reducing cycle time. Those projects are always underway in the factory, but those improvements are incremental.

Himanshu Upadhyay : And one last thing, we will be making generators and motors only for oil and gas market, but the customer which is BRUSH SEM stated that they need turbo generators for power, marine, in our press release itself have stated, power, petrochemical and marine etc., where we will not cater to it, is this the right understanding?

Nikhil Kumar : I think that we have two agreements with them. One is making the BRUSH generator for them.

And there is another agreement where we are making the TDPS generator for them. So the BRUSH generator is primarily used in the oil and gas market and of course, it is used in other areas also, but primarily it is used over there and it is more expensive than the TDPS machine. So in other applications, like industrial use, or marine, or other applications, the idea is to use our generator, wherever there is more cost efficiency required from the market side and so we TD Power Systems Limited

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have both the products then in play, and this gives a chance for us to look at a wider range of markets because we have both the TDPS product and the BRUSH product in the kitty.

Moderator : Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to the management for the closing comments.

Nikhil Kumar : Thank you for joining our conference call. If you have any further questions, please feel free to get in touch with our Investor Relations team. We look forward to interacting with you at the end of next quarter or meeting you personally at some investor conference in the next few months. Thank you.

Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of TD Power Systems Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

February 7, 2024

The Corporate Service
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BSE Limited
P J Towers, Dalal Street
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Exchange Plaza, Bandra- Kurla Complex
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Scrip Code: 533553 Symbol: TDPOWERSYS

Sirs,

Sub: Transcript of Earning Conference Call – Quarter ended December 31, 2024

In furtherance of our letter dated January 15, 2024 regarding intimation of earnings conference call, the transcript of Q3FY2024 earning conference call held on February 2, 2024 is enclosed and has also been uploaded on the website of the Company at <https://tdps.co.in/investor-financialresults>.

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

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"TD Power Systems Limited
Q3 FY24 Earnings Conference Call"
February 02, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2nd February 2024 will prevail.

Management:

Mr. Nikhil Kumar – Managing Director, TD Power Systems Limited

Ms. Varalakshmi M N – Chief Financial Officer, TD Power Systems Limited

Mr. Vinay Hegde – Head, Global Sales & Marketing, TD Power Systems Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the TD Power Systems Limited Q3 and Nine Months FY24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

Now I hand over the conference to Mr. Nikhil Kumar, Managing Director for TD Power.

Thank you, and over to you, sir.

Nikhil Kumar: Good morning, everybody. Thank you very much for joining us today on our earnings call. I trust all of you would have received our results & Investor presentation. Now I will move on to the financial performance for nine months ended 31st December 2023. Stand-alone, our total income on a stand-alone basis for nine months was INR7.32 billion versus INR6.16 billion over the same period of last year, an increase of 19%.

EBITDA for nine months is 18%, including other income excluding exceptional and treasury income, and we will deliver approximately the same for the year versus 16% over the same period in the previous year. Profit after tax and comprehensive income for nine months was INR881 million versus a profit of INR593 million, an increase of 49%.

The order book for the Manufacturing segment stands at INR11.48 billion, which is INR6.68 billion for the generator business, INR4.51 billion for the railway business. And the projects group, which was earlier now it's been grouped under spares and aftermarket, which is INR0.12 billion, and they have INR0.17 billion from the Turkey business. Exports and deemed exports excluding the railway business was 56% of our total order book.

During our last earnings call, we had indicated about a reduction in the traction order value on account of cost reduction and the localization of raw material. After final discussion and consideration and negotiation, we would like to inform that the value now stands between INR593 crores and the pending order is now INR4.51 billion executable over the next 4.5 years. We would like to reiterate once again that there'll be no loss of margins since the pass-through has been given only on the actual reduction of raw material costs.

Order inflow statistics, order inflow has increased by 23% over the previous year as follows: strong order inflow momentum continues. This year, 7.62%, last year was 6.16% for the same period of nine months. Order inflow from direct and deemed exports INR4.11 billion compared to INR3.4 billion last year, exports and deemed exports order inflow is 55% of the total order book is 66% in Q3.

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Our total income on consolidated basis was INR7.48 billion versus INR6.36 billion in the

same period previous year increase of 18%. Profit after tax and comprehensive income for the first half is INR818 million versus profit of INR599 million, an increase of 47%. We continue to maintain a strong cash position of INR2.13 billion.

Order book, market situation and guidance. Overall, the order inflow is very strong from both domestic and exports in the generator business. The inquiry pipeline for motors continues to be strong and some breakthrough orders have been secured by a company in the last quarter. Rate of order inflow to support the sales guidance that we have given for next year i.e FY25. We are now expecting minimum 17% growth with an upside poten

tial of 3% to 5% on top of 17%.

Margins will grow faster than sales due to operational leverage.

Now I talk about each segment briefly. Steam Turbine, no change in the market situation compared to last quarter, more than exported to the domestic. We see strong demand in both export and domestic as well as a strong inquiry pipeline. Domestic demand is driven by metals, cement, which is recovering while export is driven by waste to energy and biomass.

Gas Turbine, next year, we will record the highest sales in this segment. We have been successfully penetrating this market with our marquee OEMs. We have three major OEMs now with which we are working. We are still at early stages of penetration in this market, but we're excited about the rapid growth and rapid progress that we are seeing in the particular segment.

Hydro, we mentioned this last time, I'll mention this again. Incoming orders of Hydro has surpassed the expectations. We expect next year to be the highest year for sales in Hydro since the beginning of the company. Gas Engines, the order inflow is back in line with projections and this segment has overcome the softness in the market that we had talked about in the last quarter.

Order inflow execution will be in line with the projections made by the engine makers, and we expect a good growth to take place for FY25. Motors, we continue to make steady progress. In Q3, we secured a large order from a major pump manufacturer for six large 20-megawatt plus size motors for irrigation projects in Karnataka. We have also secured the first order for an oil and gas application in Middle East.

We have got a few large fan motors around 4 megawatts, 5 megawatts in size. So the inquiry pipeline is huge for domestic and there are also a number of niche export opportunities, which we are well placed and we hope to make good progress and get good orders in the upcoming quarters.

So I will just repeat the last few sentences. The guidance, we are on target with respect to our guidance for FY24 with INR1,000 crores top line on a consolidated basis and FY25, we expect a growth of 17%, as mentioned earlier, with an upside potential of 3% to 5% for FY25 based on the current order book in pipeline.

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In the legal case, no developments ever since the commercial court has dispensed its stay order on the shares of one of the promoters. And this brings me to the end of my initial remarks. I'll now be happy to address any questions that you may have.

Moderator: Thank you very much. We will now begin the question and answer session. We have a first question from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is on the -- I don't know whether I get it right. I think the order book is INR1,147 crores, is that right?

Nikhil Kumar: Yes.

Mohit Kumar: So sir, I see the decline in the order book sequentially and the order inflow has also gone -- has increased. Is there something I'm missing on the order book?

Nikhil Kumar: So we have made a correction in the order book for the railway business and that I have mentioned in the previous almost INR200 crores. Correction has taken place on the value of the -- particular order that we have from our major railway customer. That is the reason why you might see a sequential decline in the order book because of this correction.

Mohit Kumar: Any reason for it, sir? Any particular reason for why we have...

Nikhil Kumar: Yes. The reason is I also mentioned this in the earnings call in the speech just five minutes ago that it's due to a -- and as also mentioned in the previous earnings call that we are negotiating the localization of a lot of imported raw materials. And the value per motor has come down because of the localization of some major raw materials.

And that is the reason why the total price per motor has come down and the total order value has come down. But as

far as the margins are concerned, there is no impact on the margins, per motor, we will still make the same money as we have made last time, as we were making in the past.

Mohit Kumar: And this is overall beneficial to us. But yes, the order book looks lower.

Nikhil Kumar: No. I mean the top line will be affected, but we don't see any change in the bottom line.

Mohit Kumar: Understood, sir. And could you just comment on the inquiry side on the domestic and export side, how the things are shaping up? Do you think as you go forward for the next couple of months? Is it going to be a slow in a sense out of finalization, especially domestic market could be delayed? Does it mean that order inflow be substantially impacted in a couple of quarters? Is that a fair understanding?

Nikhil Kumar: We don't see any change taking place in this current quarter that we are in right now. So we see a very strong order inflow in this quarter. And we also have momentum going into the next quarter, right? So that's Q1 by which time, elections are taking place. And I think after that, things will pick up even further if everything goes as per the expectations of the market.

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As of now, I don't see any reduction in any inflows or any introduction of the finalization taking place for us. Plus, we have a very diversified product range and very diversified market base. So, even the domestic market in some sectors has a little bit slowdown and softness, which we're not seeing.

But even if it does, we have so many other areas of business and we're able to pick up orders to keep our numbers.

Moderator: Thank you. We have a next question from the line of Rohit from Ithought Pms.

Rohit: Nikhil, just two questions. On the direct railway business. So if you could basically comment on what's happening there? And any change or anything additional that has happened in this quarter? And also the 12,000 HP order has got delayed. Any comments on that would also be very helpful.

Nikhil Kumar: No. First is the new tenders for new freight locomotives, we don't have any information directly from Indian Railway or through our customers, OEM customers. So we don't have anything new to report on this. Everything is very quiet on that, and there's no clarity which way it's going to go forward.

And as far as direct business from Indian Railways is concerned, we have a plan to do, as we mentioned earlier INR10 crores to INR20 crores in this coming year. I think we will achieve that. So a small percentage of the overall purchase is from Indian Railways. So we don't see a problem to achieve what we want to do for next financial year.

Rohit: And so just -- so I mean, the ramp-up you think would happen in FY26. Is that how we should see?

Nikhil Kumar: Yes, FY26, exactly.

Rohit: Got it. And in terms of some of the newer initiatives like synchronous motors and you were also talking about a couple of other new product additions. If you can talk a bit about that, maybe what kind of top line do these new areas have started to contribute? And how do you see that shaping up? Maybe not in the coming quarters but maybe, let's say, by the end of next financial year or early FY26, what kind of growth -- or what kind of contribution do these new areas will start giving for us?

Nikhil Kumar: So we will definitely see the motor business pick up in a larger way, not just synchronous motors, but also motors for other applications, for the domestic as well as for the export market. We will see that ramping up in a big way this year as well as next year. Then the relationship that we have with Baker Hughes, with BRUSH that will also give really good results for the company, we're also going to see the ramp-up taking place over there.

We have other segments of our business, Gas Turbine generators also with new customers, we are seeing that also picking up in a big way. We see the hydr

o business also picking up in a big

way. So we have a very strong outlook for this year and next year. I'm not going to give

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numbers, but we will see this ramp-up taking place in all these segments in a big way where we are currently, I would say, having very low market shares or low penetration, a relatively new product for us.

Rohit: Sure. And last question, Nikhil. Any other new OEs that we have signed like BRUSH was one

which happened last quarter? I know it does -- it's not like in every quarter additions will happen, but anything which is like very close to signing or anything we are like very confident of?

Nikhil Kumar: We are working with the Gas Turbine customers. I think we have made some breakthroughs so hopefully, we will be able to announce it next quarter.

Moderator: We have a next question from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: Sir, first question is you mentioned in railway, you have done some adjustment to the order book. So does this mean our revenue run rate, which used to be around INR130-odd crores annually from the customer will actually go down to INR90 crores to INR100 crores, but absolute EBITDA will remain same?

Nikhil Kumar: It will come down. It would come down to over INR105 crores to INR110 crores per year because we also have -- we have not factored in what we get is the annual increases, what will the annual increases that we will get over the next four years which is approximately between 4% to 5% that we get based on the index on the price variation clauses that we have with this customer.

But in effect, yes, what you're saying is right, it will be around INR105 crores to INR110 crores and that's, as we mentioned, is about INR450 crores, minus not including the price increases, which we can expect in the four years. But if you just take today's prices, it will be INR112 crores or INR110 crores for the next 4.5 years.

Deepesh Agarwal: Effectively, our EBITDA margin...

Nikhil Kumar: But the EBITDA margin -- but the absolute margin will not change per motor for us.

Deepesh Agarwal: Okay. Absolute EBITDA will remain same. Sir, the other thing is, if I look at the domestic generator order book, it seems there is some weakness out there sequentially. What is the reason for the same?

Nikhil Kumar: No. I mean, I think that there are a number of jobs under negotiation and sometimes it takes a little bit longer to close some deals and we don't close the deal in a particular quarter, we'll catch up in the next quarter. But I'll also ask my colleague, Vinay Hegde to comment, he is on the call. Vinay, could you comment? Is there a weakness? Did you see a weakness in the domestic market? Or it's just based on the timing of order finalizations?

Vinay Hegde: No, the pipeline is really strong, and we are not seeing any slowdown in the domestic market. Absolutely, no slowdown.

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Deepesh Agarwal: Sure, sure. Sir, the other question is on the capex. I guess you were looking to expand the capacity. So now what is the thought process, the time lines to this?

Nikhil Kumar: No, everything remains the same. We have obtained the possession certificate now for the land. So earlier, we just got allotment letter. Now we have the possession certificate, which allows us to start the construction. So now we are on the way to finalize the construction company and will start building of the factory. Already, we are in the process of ordering the various equipment and machines. As we mentioned earlier, it will start sometime in Q3 FY25.

Deepesh Agarwal: Okay, sure. And last, if I can squeeze. By when we expect the revenue to start slowing in meaningfully from the oil and gas customer we added recently?

Nikhil Kumar: No, this was what we mentioned this, the company we're working with. So we already got a number of generators

ordered from this customer and we're bidding for a number of projects with them all over the world. So I think we will start seeing the impact of this in FY25 itself. It's moving really well, and we're getting some excellent -- getting some business which we would not have been able to get by ourselves.

But with this relationship, we are definitely making progress and good revenues will be expected in FY25. I can't give a number to you, obviously, but I will -- and it's going to be quite a substantial number in FY25.

Deepesh Agarwal: Sure. So this is actually factored in our guidance, right?

Nikhil Kumar: So it's factored in, in the sense that I have given 17% as the base case and I have given a 3% to 5% upside potential, I think that it will -- we are most likely going to be somewhere around the upside potential. How much I can't say, but all these things -- all these things will contribute to the upside.

Moderator: We have a next question from the line of Himanshu Upadhyay from Buglerock PMS.

Himanshu Upadhyay: And congrats on a good set of numbers. My first question was if you look at the volume numbers for nine months of generators supplied, it has been flat, okay, but the revenue has gone up by 18%. What should be the right understanding here? Is it the higher wattage generators because of which the selling prices have increased or motors and other segments, revenue contribution have increased quite dramatically.

Because of that we are seeing revenue growth much higher or there are high-end machines in terms of specification or industries because of which the realizations have increased. So some thought on flattish generator volumes and 18% growth on revenue and how to understand that numbers?

Nikhil Kumar: Yes. Varalakshmi, will you take this question?

M N Varalakshmi: Over the megawatt size that we have installed in Q3 is much bigger compared to previous years. Basically, it's a mix of machines that has been sold in the quarter, which has given us better realizations.

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Himanshu Upadhyay: But then if we look for the nine months, that's why I did not look at the -- this quarter. But if you look at the nine months, the numbers are flattish or slightly reduced, okay? So last year, in nine months, we did was 370. And in these nine months, it is 372. But...

M N Varalakshmi: We had installed -- in terms of megawatts, it was 2,500, nine months last year, relatively it's 2,845 in nine months of this year. So basically the product mix that has helped us in generating our revenue.

Himanshu Upadhyay: Okay. And second question on this thing. So are we seeing the demand improving for the higher wattage generators? And what was the demand, let's say, 1.5 or two years' time because what we are selling now or giving delivery would be in a year or two back orders which we might have taken. Any thoughts on that or any clarity you can give?

Nikhil Kumar: No, I don't think -- it's not that there is a trend or something. Sometimes, there are some big orders in the market from these large-size machines, we take that, and some of that could change our numbers a little bit. Sometimes, there are orders for a larger number of TD Power, smaller size rating machines.

So as I said, we have a very wide product range and we have by geographies and we have multiple segments that we're operating in. So we're present in many, many parts of the business. And we can't predict what the market is going to offer to us and which ones we're going to win from that.

So -- sometimes we win bigger jobs and sometimes we win smaller jobs and for us, what's important is we look at the revenue and the revenue guidance that we've given and we have to maintain that -- what megawatts we get and what -- that's for us is the secondary consideration.

Himanshu Upadhyay: Okay. And the numbers what we give for generators supplied so these do not include the motors

portion of the business, if we get to the -- our railway customers and also we sell in the market. These are stand-alone motors...

Nikhil Kumar: These megawatts don't include motors and railways.

Himanshu Upadhyay: Okay. No, I'm saying on the slide 17, what we get the number of generators supplied is purely generators not other segments, okay.

Nikhil Kumar: Varalakshmi, please clarify that.

M N Varalakshmi: These they supply to railway. That comes under a different grouping.

Himanshu Upadhyay: And one more thing. What had -- when does this train 18 will go for production, okay?

Because the finalization of what business we can get out of the main vendor was to get decided. So has that happened? And...

Nikhil Kumar: Could you please repeat the last thing, I just missed that. Could you please repeat what did you say?

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Himanshu Upadhyay: No, I was asking about the train 18. When will that go for production, okay? Because the...

Nikhil Kumar: train 18?

Himanshu Upadhyay: Yes. So because from the main vendor, we were to get some portion of the business for motors and it was yet to get finalized, okay.

Nikhil Kumar: I don't think that they have signed the contract with the Indian Railways as yet. So we don't know what was the reason for the delay, but it delayed. They have not yet signed the contract.

Himanshu Upadhyay: Okay. And...

Moderator: Mr. Upadhyay, I request you to join back the queue, please, as we have other participants waiting. We have a next question from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: And congratulations for a very good set of numbers. So, Nikhil, slightly broader question. I think 3, four years back, we were solely into generators and slowly we are doing lot of work

on the motor side both synchronous and asynchronous. So if you can give an overview as to how does it change the overall size of the opportunity for us. Is the competition very different? And next three to four years, how do we see this mix between the generators and motors evolving? If you can talk a bit about that.

Nikhil Kumar: The Motors business segment is as in terms of market size is many times larger than the generator business in terms of market size. So the opportunity size is very huge. While saying this, we are focusing more on larger sized motors, mainly, say, around 3, four megawatts and above. And we're not looking at the smaller-sized commodity size part of the business, which could be around 80% of the business could be the smaller commodity-sized market. So -- but even the 20% that we're talking about is a very huge market and it has big potential for TDPS to do work in domestic as well as export.

So we have given projections that this will grow until the -- it could reach something like 8%, 10% of our sales in this -- in FY25, and it could be 15% in the following years in FY26. And then let's see, I don't want to draw a straight line into the future. It could grow faster because there are many opportunities coming up even for the hydrogen economy, when you need motors for the large compressors, the compression of hydrogen.

Oil and gas market also is a big market for motors, especially for compression and for refrigeration, especially in LNG business. So opportunity size is fantastic. And this will be -- the motor business will be a key driver of growth for TDPS in the future.

How fast is it going to grow? I mean, as I said, the numbers that we gave to you is what we're looking at for the next two years, and then we will give you guidance for the following years. But a lot of effort has been put in to get into this lucrative and this higher side, higher range part of the business in the next few years.

Dhwanil Desai: Okay. Can you tell me in this higher side, higher range, who are the main competitors, both internationally and in domestic market?

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Nikhil Kumar: Domestic, it is BHEL and there's another company called WEG W-E-G. They are dominant players in the market. They have a big history of being big motor manufacturers. So they are the biggest competitors internationally. It's WEG once again, then there are Siemens, ABB. There are -- there is a lot of competition in the motor business internationally.

What we have as an advantage once again is production based out of India, our high quality and lower production costs will give us an advantage in terms of pricing. And that will be the key factor for us to ensure that we penetrate the market.

Dhwanil Desai: Got it. And second question is, is there any update on the Turkey? Is anything changing on the Turkey side?

Nikhil Kumar: No. Economy is still in a free fall over there. So we are using that -- we are using that thing as a center for TDPS and that's where it's going to be. But the market is still at a free fall right now.

Dhwanil Desai: Okay. So we'll be continuing to...

Nikhil Kumar: We will continue to just hold that facility as a service shop, but market currency in Turkey is still uncontrollable. It's getting worse year-by-year.

Moderator: We have a next question from the line of Rahil Shah from Crown Capital.

Rahil Shah: On a consol level, given this revenue and growth targets you have. So what are your EBITDA margins outlook or expectations to end the year with and also for the next year?

Nikhil Kumar: So we said we will be around 18% for this year, and we are holding that number, say, around 17.5%, 18% next year also. Next year, we will have the third plant coming on stream. We will have additional fixed costs coming in from the third plant. And -- but we don't expect that to have more than a 50 basis points or 75 basis points impact on the EBITDA margin in the short term in say, for a year or so. And then once that plant is fully utilized and generating output then EBITDA numbers will go to 18% and 18%-plus.

Rahil Shah: Okay. And regarding this motor business, which you are focusing heavily on, but you said it will be a key driver in the future. So next year, what is going to be the -- which verticals are going to be key drivers, which gives you this optimism about the growth which you guided for...

Nikhil Kumar: We have synchronous motor business are from the Indian market. We have a number of opportunities coming in from export. In the oil and gas segment, the capex cycle in India also, it's picking up in a big way. All major cement plants, steel plants, sugar plants, paper factories all require large number of motors, larger motors also. So demand is very strong, and we will capture a part of the demand, and that's why I'm confident that we will deliver the numbers what I projected.

Rahil Shah: Okay. And lastly, quickly, you mentioned this new plant. The third plant is -- so you said when it will reach peak utilization, the margins will go beyond 18%. So by when are you expecting to reach the utilization levels?

Nikhil Kumar: I think we will come back to 18% in FY26. And then beyond that, I don't want to give exact number what the EBITDA margin is going to be for FY27. It's a little bit too far away, but we will -- but we expect to come back to 18% in FY26.

Rahil Shah: No, no, I was just asking that, when do you expect the plant to be at its peak utilization?

Nikhil Kumar: That's INR1,800 crores -- with that plant, we get to INR1,800 crores capacity. So that would be three to four years from now, yes.

Moderator: We have a question from the line of Vp Rajesh from Banyan Capital Advisors.

Vp Rajesh: Most of my questions have been answered, but just a couple. What was the motors contribution to the nine-month revenue in this year so far?

Nikhil Kumar: Very little.

Vp Rajesh: And when you Nikhil talk about INR1,800 crores revenue after the third plant is ramped up. Th

at would seem a very low growth from what you have guided for fiscal '25. So are there any more other growth levers in the revenue in the interim, right? Because from, let's say, next year, you're doing around -- sorry, INR1,200 crores kind of revenue.

And then, three, four years out would be INR1,800 crores. So that would sort of slowdown that you have been doing in the last few years. So I'm just curious if there are any more growth levers aside from the third plant coming up?

Nikhil Kumar: Yes. I feel that it's really too early to give such a definite forecast for the next up to INR1,800 crores and say exactly when it's going to take place. We need to size the plant in a way that it makes sense for us, and we also need to size the plant in a way that we get the maximum capital efficiency for the investment that we been making. So that's why we have sized the plant that way so we can get to these levels.

I hope we can get to INR1,800 crores in two years from now, three years from now. It's not that we're going to stop our efforts to get to that level to that number as soon as possible. But what I'm guiding is around 17% to 18% compounded sales growth year-on-year. So based on that, I think we will get there in three years.

Vp Rajesh: And just lastly, on the capex side, what's the capex outlay for next year? Or if you could just discuss that.

Nikhil Kumar: Varalakshmi, this year, next year, can you give the outlay? Yes. We just wait for her to get back on the call, and we will answer this question, Rajesh.

Moderator: We have a next question from the line of Vivek Kumar from Bestpals Research and Advisory LLP.

Vivek Kumar: Can you throw light on this gas in here? Two customers we have Jenbacher and Caterpillar. I think any new customers or how is the demand? What is your view on how this segment will shape up for us?

Nikhil Kumar: We are getting good business from both of them. And I don't have any particular comments. We have good growth coming in from them from both of them for the next financial year and the order inflow is pretty good. No surprises this way -- positive or negative from this segment.

Moderator: Thank you. Sir, we have Ms. Varalakshmi back on the call.

Nikhil Kumar: Yes. Varalakshmi, there was a question from Mr. Rajesh. He wanted to know what is the capital expenses, expected capital expenses this year and next year?

M. N. Varalakshmi: Okay. This year, it could be around INR40 crores, and the rest, balance, INR80 crores next year.

Moderator: Should we move on to the next question, sir?

Nikhil Kumar: Yes.

Moderator: We have a question from the line of Dipen Shah, an Individual Investor.

Dipen Shah: Nikhil. I just had one question as a follow-up to what you mentioned in the opening remarks. You have said that you received some breakthrough new orders during the quarter that seems very exciting to me. So is it possible to throw some more colour on what kind of breakthrough orders you have received and probably the potential in those orders?

Nikhil Kumar: In the Motor business, right?

Dipen Shah: Sorry?

Nikhil Kumar: I mentioned in the Motor Business.

Dipen Shah: Yes. You mentioned some breakthrough orders you have received in the business. So yes, if you could just...

Nikhil Kumar: I mentioned this. This is -- we have received a large order from a big pump manufacturer for a large irrigation project, six numbers, 20-plus megawatt motors for a large irrigation project in Karnataka. We received an order for a big motor for the oil and gas industry in Middle East.

We have received a few orders for large fan motors for the steel industry around four, five megawatt capacity. So these are the big breakthrough orders that we have achieved.

Moderator: We'll take the next question from the line of Rohit from ithoughtpms.

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Rohit: So Ni

khil, just -- I think in a couple of quarters what you talked about us winning some business from an Italian company, which does some solid CO2, etcetera, and it was like a new application for our kind of equipment. So if you can -- I mean, how is that pressing and has that sort of -- any sort of opening up of new category, et cetera, for us, if you can just maybe talk about?

Nikhil Kumar: Yes, we have delivered the generator and they are in the process of commissioning the plant and once they commission the plant and proof of concept is shown then I think the business will pick up. But I think there are some delays on the customer side and putting this into operation. We have delivered the machine, we are waiting for them to commission the plant.

Rohit: I mean, just from an overall point of view, I mean, is that -- could that sort of bubble up and become big for us in the coming years of this sort of -- this proof of concept becomes...

Nikhil Kumar: It will be big means it could be around 10 machines per year, 10 plants per year, that's what we expect, but it is still a sizable business. So -- but it will take some time for it to ramp up to that level. Right now, this company has to show proof of concept. And that's what they have to do and they are in the process of doing that.

Rohit: Got it. And on the steam side, I mean, any comments on the waste to energy opportunity? I mean how is that coming along? Is that -- I mean, any comments if you can or Vinay can share?

Nikhil Kumar: For the domestic market?

Rohit: Yes, yes, for the domestic market.

Nikhil Kumar: Vinay, any garbage burning plans for India. Can you give some comment.

Vinay Hegde: There are many jobs we have already got and there are good number of inquiries. So it's going good. It is not only garbage burning plants but also from other biomas plants. So there is a steady growth in this sector as...

Rohit: Would it be possible to broadly share what percentage for order book would be from this segment? A very broad number would be okay.

Vinay Hegde: From the steam turbinr segment, if you talk about the garbage burning, it will be around 8% to 10%.

Rohit: Of overall steam order book?

Vinay Hegde: Yes. Overall steam segment for the domestic...

Moderator: We have a next question from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Sir, motor business, just you mentioned that the contribution is very negligible and we have received many orders now and there is a great thrust on this business. So maybe three years

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down the line, is it -- I mean, is it possible that we can generate maybe 20%, 30% of our sales from motor business?

Nikhil Kumar: So I said next year will be around 10% -- 8% to 10%. And the following year, we hope to make it 15%, FY26. So...

Mahesh Bendre: Okay. So three years down the line, this business could have huge runups. I mean...

Moderator: Mr. Bendre, give me a moment, please. Mr. Nikhil Kumar's line is disconnected. Please wait while he rejoins. Mr. Nikhil Kumar?

Nikhil Kumar: Yes, I'm back. The call is really bad today.

Moderator: Sorry, sir. Mr. Bendre, can you use your handset mode, your voice is a little soft.

Mahesh Bendre: I'm audible now?

Moderator: Yes, please go ahead.

Nikhil Kumar: Yes, yes, Mahesh.

Mahesh Bendre: Yes, sir. When you were discussing about the motor contribution, you mentioned that the next year could be 10%, then after that could be 15%. But three years down the line, do you expect

-- I mean, there is a huge runway for this kind of business?

Nikhil Kumar: Runaway, I don't want to use the word runaway, Mahesh, but I think that there is -- the market is definitely, as I said, much larger than the generator business, much, much larger -- generator business in general. And of course, there's no competition also.

But there are certain sectors which are going to grow very rapidly like hydrogen co

mpression.

Oil and gas business is going to grow very rapidly. And our products, we are gearing up our products, putting machines into these segments so that we can be part of the growth. It can be 30%, 40% of overall TDPS, it can be. Market potential is definitely there and we are going to go after it. But if you want to give me guidance today, I can't give you guidance today on that.

Mahesh Bendre: No, no. No guidance, sir, I'm asking and you just mentioned that...

Nikhil Kumar: But potential to reach that -- potential to reach that level of output, 100% is there.

Mahesh Bendre: Yes. I mean you said that the -- we'll manufacture the motors two megawatt and above which is like a 20% of the total motor sales in India. So that segment is how bigger? I mean the 20% part is what, 3x, 4x?

Nikhil Kumar: Yes. But if you talk about the world's business, total megawatt, it could be, I don't know, could be \$20 billion.

Mahesh Bendre: For India business...

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Nikhil Kumar: It's a huge market.

Mahesh Bendre: For India business, sir?

Nikhil Kumar: India, I don't have the size right now, Mahesh, to tell you that market size.

Mahesh Bendre: Okay. But that will be definitely higher than the generator market for India?

Nikhil Kumar: Yes, definitely bigger than generator business in India for the moment, yes.

Moderator: We have a question from the line of Mythili Balakrishnan from Alchemy Capital Management.

Mythili Balakrishnan: Great set of numbers. Just a couple of questions. One, if you could help us with the market share in the domestic generator market. How has it changed? Has it been broadly stable for us?

Nikhil Kumar: Yes, we have a very high market share, continues to be stable.

We hope to -- and we will keep fighting to keep it stable.

Mythili Balakrishnan: Got it. At those high levels?

Nikhil Kumar: Yes.

Mythili Balakrishnan: And in terms of the OEM versus direct, would there be anything to sort of tell us in terms of that share?

Nikhil Kumar: No, it's largely OEM business.

Mythili Balakrishnan: Okay. Coming to the railways part, right? If you could just sort of help us give us some direction in terms of what was expected there. Obviously, we have the direct business, which will come. But are there any other orders or anything else that is there on the railway side that we would be able to participate in?

Nikhil Kumar: Railway business from the private sector railway business, it depends on our key customers, winning some of the tenders which are there in the market, which were there in the market, which -- so hopefully which is there in the market.

But there has been a lot of action in this very private sector tendering for quite a long time on, we can say for six months. We've not seen any major movement taking place, any new orders being taken for the large freight locomotives, either in 9,000 horsepower or 12,000 horsepower.

So right now, there's been only one 12,000, which Alstom won almost five years ago and I think last year Siemens won an order for 9,000. Other than that, they were opposed to be atleast three more, but we're not seeing that action. And even Vande Bharat trains and the ordering for that is also we're not seeing any action on that in the market.

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But based on the budget yesterday, I think thrust is going to be given once again to railways.

So it will pick up maybe it will pick up after the elections. The chances of all these things happening will be clearer once we, I think, once we cross the elections.

Mythili Balakrishnan: Got it. And in terms of this Vande Bharat orders, et cetera, we would be participating in tariffs or through the OEMs again?

Nikhil Kumar: No, we are making OEM motors. So we've been working with one major OEM. That's where we see our biggest chances to get the business. Other competitors in the market hav

e their own

motors and they need not buy from us.

Mythili Balakrishnan: Got it. And also to check with you on the export part of the business, is there any impacts from these whole situation which is happening in the Red Sea?

Nikhil Kumar: Yes. Shipping costs have definitely gone up for -- and the time has gone up for many of our customers. It's not so dramatic where it's affecting the business. We may have to shorten our delivery cycles by two weeks to three weeks to remain competitive and that we can do. But we have not seen the cost go up to the point where people are saying that it's changing their buying decisions.

I mean the increase in the freight rates right now, it's still nothing compared to the increase in the freight rates that took place post-COVID. At that time, the freight rates basically went up 300%, 400%. And still, we did not see that business was getting affected to the point where we're kind of losing the orders in the international markets because of freight rates.

Now the freight rates because of the Red Sea problem maybe up by 15% or 20%. And the time is a little bit longer because it has to go from under and go through Africa. But on a fundamental level, the amount of new capacity which is coming into the shipping industry, those are enormous, which is keeping the prices under control.

Moderator: We have a next question from the line of Aditya from Securities Investment Management.

Aditya: Sir, on a tie-up with BRUSH, what kind of scale can we expect in two to three years of time?

Can it become a INR50 crores to INR60 crores kind of business from there? And secondly, sir...

Nikhil Kumar: Yes, much more than that. I don't want to give you a number, but definitely much more than what you are saying.

Aditya: And sir, just on a broad basis so on a yearly basis, what kind of business can BRUSH generate? And what kind of market share are we targeting with them?

Nikhil Kumar: No, amount of business, I can't comment, but margins are in line with what we're getting from the rest of the market. The potential is definitely more than what we've talked about. I can't give a number to that right now.

Aditya: Okay, sir. And what was the thought process behind addition of BRUSH MD to our board?

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Nikhil Kumar: They were looking for a high-quality manufacturer to make these machines below 50 megawatts. Right now, they have one factory in Czech Republic, where they make the larger size machine from 60 to 400, and they are booked for the next three years in that factory, so they're completely full. They wanted to -- so they're looking for someone to make the smaller size machines for them.

Of course, we also wanted to make sure that this is not a short-term thing. So we have made the agreement in a way that we will have a long-term agreement on this for these products.

And yes, so that's how they came to us, but they chose us because of our high-quality manufacturing capability.

Moderator: We have our next question from the line of Himanshu Upadhyay from Buglerock Pms.

Himanshu Upadhyay: My question was on the margin side. We seem to be very comfortable that -- of 17% margins. But a few years back, we were at 10%, 11%, okay? So is there a significant improvement in the product mix and hence the margins we are expecting to be much higher? Or you think this is purely economies of scale. And yes, the sustainability of these margins you mentioned going ahead?

Moderator: Mr. Upadhyay, please stay connected. We have lost the connection of Mr. Nikhil Kumar. He was asking you a question. Mr. Upadhyay, can you please repeat your question?

Himanshu Upadhyay: Yes...

Nikhil Kumar: I got the question -- so, Himanshu, I think the question is -- I think I'll answer very quickly. We have increased our EBITDA margins from cost reduction activities from operational leverage and from intelligent buying of raw materials and

to some extent, we have also got

price increases. Price increases won't take place any further. We will see probably stabilization of raw material prices. Our cost reduction activities will continue and our operational leverage

is going to continue. So we will see upside potential for the EBITDA margin. We don't see a big potential for any downside.

Himanshu Upadhyay: And we expect the gross margins to remain around 33%, two years back around 29% to 30%.

Nikhil Kumar: Yes, 32% to 33%. Yes.

Moderator: We have a last question from the line of Prolin, an Individual Investor.

Prolin: And just wanted to congratulate the entire team of shifting from just a generator company to also being a significant player in the high-voltage motors. So congratulations to the entire team on that. I just have one question. I want to double click on some of the initial comments that you made on some of the demand tailwinds that you are witnessing in your core steam generator business and partially this was answered. But I just wanted to understand that in domestic market, is the demand coming from very broad set of sectors you called out metals and cement and waste recovery or waste heat recovery. But is this much more broad-based? And can you also touch upon how did this biomass opportunity can be given the fact that there

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has to be some mandatory blending into CNG in the biomass part of it? So can you call out how -- I mean, can biomass be as big as waste heat recovery in terms of size of the opportunity?

Nikhil Kumar: Biomass will not be as large as waste heat recovery. Waste to energy is garbage burning plants potentially can be as large, if all cities or municipalities in India start burning garbage instead of putting it in the ground or creating huge garbage piles, then we will definitely -- that potential is definitely there, but whether it will actually happen or not is a different question, but the potential is there.

Although I mentioned a few sectors, the key sectors for that in the growth, we're seeing orders coming in from chemicals, from paper, from fertilizer, from ethanol also, we are seeing the market. We're seeing a broad based demand from all parts of the market. So and we still believe it is at the initial stages and we will see that after the elections things are going to be, we will probably move to the next year. It's already moving at a good rate, but I think after elections, a lot of people who are waiting on the side lines will jump into the market further. And the potential for the -- in domestic market to grow from INR3 trillion GDP to INR5 trillion GDP is a big, big potential, big, big growth opportunity for our country. Things will happen. And they will see a huge requirement for power generation from all parts of the market, from industry and consumer. So TDPS, we are highly -- we have a high market share in our range of products. We will be a part of this entire growth cycle that takes place in our country. Export is on top, you can say but India will be the shining story for us.

Prolin: Sure. And just on this waste to energy for any municipality, right? I mean, is there a very attractive payback period for any municipality to put up a plant? Is it like a five to seven years where you can get back the money that you have invested and that makes it a very attractive investment? Any comment on that side of things?

Nikhil Kumar: I don't know the financial dynamic for that particular sector, I can't comment on that.

Prolin: Sure. And on the international side, right, again, sticking with the steam generator side of your business, you mentioned waste to heat there as well and biomass there as well. So is this demand largely coming from Europe? And last two winters, right? We have seen that they were not severe, the gas prices have come down and gas was a primary source of energy for a lot of use case in Europe

e.

So is that urgency to diversify the energy consumption or supply of energy a little bit less versus what it was couple of years back where the gas prices had shot up? Any reduction in intensity that you are seeing, especially from European market when it comes to waste to energy, biomass or anything like that?

Nikhil Kumar: Nothing in Europe moves quickly. There's a lot of regulation and everything moves at its own pace, but the number of projects which are coming up in this sector, especially with energy are enormous biomass, waste to energy is enormous so and also hydro. So the structural shift towards more renewables is there. It will take place, but it will take place slowly.

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It's just not going to be a vertical line upwards. So year-on-year, we're going to see increased business. I think that is better for us to have a long cycle with sustained growth rather than to

have a very short cycle with explosive growth. What we're seeing is a structural shift. So that means the longer cycle with slower growth, but there will be growth.

Prolin: Sure. And just one last question. You also mentioning that hydrogen compression and there, there would be some motors, which would be required, right? So do we have already some products which we are prototyping? And how different those...

Nikhil Kumar: We have the products.

Prolin: You already have a product, okay.

Nikhil Kumar: Not -- I mean, we -- the products are a little different, but we have the products.

Prolin: So you already have the product in your kitty, right?

Nikhil Kumar: Yes.

Moderator: As there are no further questions, I now hand the conference over to Mr. Nikhil Kumar for closing comments. Over to you, sir.

Nikhil Kumar: Thank you for joining our conference call and had a good time today answering all the different kind of questions. Please feel free to get in touch with me or my Investor Relations team if you have any further questions. We look forward to interacting with you once again at the end of next quarter or in between in some Investor Conference. Thank you.

Moderator: Thank you, sir. On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

May 29, 2024

The Corporate
Service
Department
BSE Limited
P J Towers, Dalal
Street
Mumbai – 400 001 The Listing Department
The National Stock Exchange of India
Ltd.
Exchange Plaza, Bandra - Kurla Complex
Bandra (East)
Mumbai 400 051

Sirs,

Sub: Transcript of Earning Conference Call – Q4 and Year Ended March 31, 2024

In furtherance of our letter dated May 8, 2024 regarding intimation of earnings conference call, the transcript of Q4 FY2024 earning conference call held on May 24, 2024 is enclosed and has also been uploaded on the website of the Company at [https://www.tdps.co.in/investor - relations/financial -results](https://www.tdps.co.in/investor-relations/financial-results)

Kindly take the above on record.

Thanking You,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

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“TD Power Systems Limited
Q4 & FY '24 Earnings Conference Call ”
May 24 , 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 24th May 2024 will prevail.

TD Power Systems Limited - Management:

Mr. Nikhil Kumar – Managing Director
Ms. M N Varalakshmi – Chief Financial Officer ,
Mr. Vinay Hegde – Global Sales and Marketing Head

TD Power Systems Limited
May 24 , 202 4

Moderator Ladies and gentlemen, good day, and welcome to the TD Power Systems Limited Q4 and FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Now I hand the conference over to Mr. Nikhil Kumar, Managing Director for TD Power. Thank you and over to you, sir. Nikhil Kumar : Thank you, and good morning, everybody. Thank you once again for joining us today on our earnings call. I trust all of you would have received our results and investor presentation. Now I will discuss with you TDPS's financial performance for the year ended 31st March 2024. First stand alone, our full year total income on a standalone basis was INR10.07 billion versus INR 8.43 billion over the same period previous year increase to 19%. EBITDA for the full year is 17.66% including other income, but excluding exceptional and treasury income versus 16.18% over the same period in the previous year.

The company has spent INR 32 million towards a one-time VRS scheme during the quarter INR20 million towards backlog, gratuity payments to contract and temporary workmen as required by the new labor code and provided INR 17 million towards royalty payments on account of sale of two full generators under the license agreement, all of these resulting in a drop in EBITDA margins during Q4. Profit after tax and comprehensive income was INR 1,223 million versus a profit of INR 884 million in the same period of the previous

year an increase of 38%. Order book for manufacturing segment is INR11.89 billion out of which INR 7.4 billion in the regular manufacturing business, INR4.18 billion in the railways business and now the spare and aftermarket business the project business is now INR0.15 billion. The Turkey business is INR0.17 billion.

Exports and deemed exports of the generator and motor business excluding railway orders is 64%. Order inflow statistics. Order inflow has increased by 24% over the previous year as follows. Strong order inflow momentum continues in this quarter on both domestic and international markets the order inflow from direct and deemed export is INR5.9 billion compared to INR 4.44 billion in previous years; export and deemed exports order inflow is 57% of the total orders.

Consolidated

Our total console income was INR10.17 billion versus INR 8.93 billion an increase of 14%. Profit after tax and other comprehensive income for the year is INR 11.56 million versus a profit of INR9 9.5 million an increase of 22%. We continue to maintain a strong cash position of INR2.22 billion.

Now I will come to the order book market situation and guidance.

Overall, the order inflow continues to be very strong from both domestic and export and our generator and motor business. The rate of order inflow will support the sales guidance that we have given for this present year FY '25. We continue to hold our guidance -- initial guidance with minimum 17% growth with an upside potential of 3% to 5% on top of 17%.

Most likely, we expect the number to be around INR 1,200 crores console for FY '25. Margins will grow faster than sales due to operational leverage. Margin growth will be 3% to 4% more than the sales growth due

to operational leverage. As has been the trend this year we expect about 46% to 47% of the revenues to be achieved in H1 and about 53% to 54% in H2 based on delivery patterns of our customers in this year and larger machines in H2. H2 will be stronger than H1.

For Q1 we expect the sales of INR 2.5 billion to INR2.6 billion console and for Q2 we expect the sales to be INR2.9 billion to INR 3 billion console. Market scenario. The market in all segments except railways is very strong both internationally as well as domestically. The domestic market is limited to mainly steam turbines and motors, but in both segments we are seeing strong order inflow in Q4 – sorry in Q1 and a strong pipeline for orders of the rest of the year. The sector is driving the growth domestically are cement, steel, paper and sugar. In the international market, the order book is driven by bumper orders in the segment of hydro gas turbines and gas engines. The gas turbine and gas engine business are strongly driven by demand in oil and gas, data centers for artificial intelligence and grid stabilization power plants. We are seeing huge increases in orders received in these three segments and the pipeline is very strong for this year as well as for next year.

In addition, all these three have big potential for sustained business in upcoming quarters and years. Hydro in Southeast Asia, Nepal and parts of Europe continues to be booming with a strong pipeline of orders and inquiries. In the motor business, we continue to grow the business at a healthy rate. And this year, we hope to cross the INR 1

billion target for order inflows. We are also getting a number of export orders from Middle East and is providing great references to build our business for the future. We're compensating on oil and gas, water utilities, lift irrigation, nuclear power plants and large motors required for fans, pumps and compressors.

Lastly, the sector that disappointed us so far is the railways business with almost no action, almost no, I would say potential for closing any deals in the next quarter also. Perhaps things will change after the election. This brings me to the end of my initial remarks. I'll now be happy to answer your questions that you may have. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Viraj from SIMPL. Please go ahead.

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Viraj : So, the question is largely if I look at the consolidated minus stand alone the subsidiaries. I think there's a swing of almost INR 10 crores in this particular quarter. So, were there any one-offs in there?

Nikhil Kumar : Yes, Varalakshmi, can you please take this question?

M. N. Varalakshmi : So, we had a dividend income from a subsidiary Turkey office and when we are showing the consolidated numbers we will have to eliminate this. So that was around INR 42 million. So that is one of the numbers mainly that is the reason.

Viraj : Okay. The difference is almost INR 10 crores so were there any one-off expenses or currency related provision.

M. N. Varalakshmi : There was also a INR 40 million loss basically on account of depreciation of Turkish lira from INR 4.3 to INR 2.58. These 2 are the main reasons and are contributing to almost INR 9 crores.

Nikhil Kumar : Yes. The Turkish subsidiary continues to suffer from the problem of rapidly depreciating Turkish lira. And when we translate -- even though we're having operational profit from that subsidiary when we translate the currency back into Indian rupees due to 40%, 50% drop in the value of the Turkish lira compared to Indian rupee within the quarter then we have to suffer the translation loss.

And this has been going on for now quarter after quarter because the Turkish currency is also

depreciating at rate of about 70% per year.

And we have no choice but to report it as per the accounting standards even though we actually have operational profits from the Turkish subsidiary.

Viraj : Hello so this is more of a notional loss rather than a cash loss, right?

Nikhil Kumar : Yes, it's a notional loss. Yes, it's only a translation loss.

Viraj : Okay. Fine. And in terms of the capex you give the guidance for the growth and margins, but in terms of capex, I think you were looking at the new facility. So, given the kind of inflows you're now seeing, is

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there any revision in terms of the capex which we'll be looking for '25 and '26?

Nikhil Kumar : No, we are sticking to the plan. So, we are putting up a third unit. Construction we are going to start very quickly and we will spend -- as we have mentioned earlier, we are going to spend INR 120 crores for that plant. We have other capex for the existing two factories which will -- which is approximately equal to depreciation every year. That will also continue.

And we will spend this investment over 2 years this financial year and next financial year. We don't have -- we will not be short of capacity. And we will make sure that we will deliver every single order that we

receive.

Viraj : Okay. And just last question. In terms of the announcement we had made in Q3 regarding the tie-up with BRUSH, so by when do we expect us to kind of start commencing the orders?

Nikhil Kumar : No, we have got good orders from them already. We're delivering some machines this year. And the pipeline is building up. I have no doubt that this will be a good relationship for TDPS. I'm not going to disclose the numbers, but it is going well.

Viraj: Okay. I will come back in queue. Thank you.

Moderator: Thank you. The next question is from the line of Pramod Dangi from Unifi Investment Management LLP. Please go ahead.

Pramod Dangi : Thanks and hi Nikhil ji. Sir my question is on the quarter -- quarter 4 see if I look at the volume of the generator supplied it actually went down year-on-year. And for full year also it went down for both export as well as domestic. Sir, anything which -- is there any order which got postponed to or delayed to the quarter 1 this year? Because I'm comparing this with the numbers of the Triveni turbine which had a very good quarter as well as full year. So is there any context?

Nikhil Kumar : Volume should not be the benchmark, Pramod. We had, in Q4 -- we had produced 4 machines, large two pole generators these 90

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megawatts and 60-megawatt machines. Those are very high value, but the number is much lower. So I feel that it is -- and in other segments also, for example, in hydro, they have been producing a large number of bigger megawatts generators. So that will lead to a higher value but lower volume. I feel that volume is not a good measure of what kind of mix that they're getting.

Pramod Dangi : Okay. So just a follow-up. Is there any shift happening in terms of the megawatt or in terms of the -- so that this trend can continue and we should ignore if this happens in the future as well?

Nikhil Kumar : Yes. I would recommend to ignore it because we don't measure of our internal -- when we do internal reviews in the company we don't look at volume. We look at the value, we look at megawatts into a number of poles. That's something that we look at internally. But we are confident that when we have larger generators, our margins also tend to be better, because we get better pricing for larger machines. So we are seeing the -- this year, in this financial year, we will not have so many 2-pole generators as we did last year. But next year, again, we are seeing a big buildup of orders for 2-pole generators already in the pipeline. We have a good

healthy order book forming for 2-pole next year. So it's difficult for me to say that every year is going to be the same.

This year, we will have more smaller ratings compared to larger ratings compared than last year. Next year, we're going to have more larger ratings and hopefully, we'll have larger ratings and smaller ratings next year which can be a boom. But year-on-year, we -- it's different. And I think that is one of the strengths that we have in the sense that we are in different markets with different products with a very highly diversified product range. So when something goes up and if something goes down, we are able to balance out the numbers by being present in different parts of the market.

Pramod Dangi : Sure. Got it. And lastly, in a competition sense, in this year and last year, did we lose market share, did you gain market share compared to the overall industry growth in India specifically?

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Nikhil Kumar : India, we have maintained market share for sure. No doubt. And internationally, we are gaining market share. We are growing, and our international business is growing much faster than the growth in the international market. And particularly, I can say that in the gas turbine and gas engine segment, the out growth is extraordinarily high.

What we're seeing this year compared to in the previous year. Also, in hydro to be honest with you. In these 3 segments, all our businesses export -- 100% export in hydro, gas engine and gas turbine. Growth has been extraordinary and coming from different regions. And the gas business is coming from I would say good stabilization in power plants which is when countries move for more and more renewables. They need to have this stabilization in power plants where they start up the gas engines, whenever there's a drop of production of solar or wind, then you need hundreds of megawatts to come on to the grid instantaneously to support the grid and to stabilize the grid. Those can only come from gas engines or gas turbines. So, we're seeing one big part of the market coming in that.

Data centers for artificial intelligence, there's explosion of demand coming in this area. Some of them require hundreds of megawatts from backup power. This is a big provider, once again, when you have gas turbines and gas engines. And then, of course, hydro, one of the reasons for our increased sales is that earlier, we were restricted by our relationship with Voith, where we were selling our machine only through one big German OEM, but now we are free from that relationship since '21.

And now we are really seeing the effect of that freedom where we're able to address different parts of the market all over the world and getting orders from different parts of the world. So, hydro has also grown tremendously for us last year to this year, and the pipeline and the forecast for next year is also extremely strong. Very upbeat about this -- about the international business for TDPS.

Pramod Dangli: Yes. Thanks helpful. All the best for the next year.

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Moderator: Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy Capital Management Private Limited.

Mythili Balakrishnan : I just had a couple of questions. One, you mentioned that some royalty had increased, and therefore, that had also impacted margins. It would be useful if you could sort of elaborate on the same of why has it sort of increased. And on an ongoing basis, what will be the outlook on this front?

Nikhil Kumar : Yes. These large generators, what we call above 60 megawatts, we have a license agreement with Siemens. And as I mentioned earlier in my response to Pramod that we produced more 2-pole generators in Q4. And that's why we have to pay -- we have to pay royalty to Siemens for our 2-pole generators and where we produced them.

I also mentioned a little bit earlier, we don't have many -- we have only one machine, only one 2-pole generator for this financial year. But next year, again, it's building up -- the volume is building up for much larger numbers. So this year, we won't see a big royalty outflow.

Mythili Balakrishnan : Which is FY '25, you do not expect...

Nikhil Kumar : Yes, FY '25. Yes, we have -- we have one big generator in Q2, and we don't have anything in Q3 and Q4.

Mythili Balakrishnan : Okay. So, in terms of margins, can we still maintain the 17.5%, 18% range in...

Nikhil Kumar : Yes. We will definitely maintain. In fact, we will do better than that this year because we will have operational leverage. We are still operating on -- we don't have a third plant up and running. So we're still operating out of two plants. We'll be able to produce 20% more from these two plants, and we're going to have better margins for sure.

Mythili Balakrishnan : Got it. I wanted to check with you on the railways orders. If you could

just comment a little bit on both the direct orders as well as what is happening on the OEM contract that we have?

Nikhil Kumar : The OEM contract that we have is running. It's got a life until '28...

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Mythili Balakrishnan : You have INR100 crores , INR 110 crores run rate for that?

Nikhil Kumar : INR100 crores or INR 100 crores plus for about 4 years, so it's running.

But other than that, there's nothing happening in the Asian market for the railway business, and that is the biggest disappointment for us.

We expect and we hope that things will pick up after the elections.

Mythili Balakrishnan : Got it. But I just wanted to check with you that we were in the process of getting our products approved by the Railways, right? And...

Nikhil Kumar : Yes. That is -- that, I have given a guidance of about INR15 crores to INR20 crores this year, and that we'll do.

Mythili Balakrishnan : Okay. On that, there is no...

Nikhil Kumar : Yes, it's not material on a INR 1,200 crores sale. But yes, that we will do.

Mythili Balakrishnan : That will happen?

Nikhil Kumar : And then let us see how it -- yes, that will happen. But in this segment also, we are finding that there is a lot of pricing pressure coming in.

And people have dropped prices dramatically in this particular segment, which is direct business with the Indian Railways. So we are hesitating to take on a larger volume because it does not make any sense for us to do so and to grow in our margins. So we are also just doing that minimum amount to be alive in the business, not going aggressively full into this business because the pricing is very, very tight at the moment. And we have no idea about that.

Mythili Balakrishnan : Right. And in terms of capex for FY '25, we are still looking at an INR80 crore s number just for this year?

Nikhil Kumar : Between INR80 crores and INR 90 crores will be the outflow for capex this year.

Mythili Balakrishnan: Got it. I will come back in the line for more questions. Thanks a lot.

Moderator: Thank you. The next question is from the line of Niteen S Dharmawat from Aurum Capital. Please go ahead.

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Niteen S. Dharmawat : Most of my questions have been answered, so just one more additional question that I had is about the raw material price trends.

Where do you see this now? Is it stable or is there any change which would impact the next couple of quarters for us?

Nikhil Kumar : Yes, a good question. We have seen a dramatic increase in the prices of copper in the past 2 or 3 weeks. It is now around USD 11,000 level.

But thanks to our hedging strategy, we have copper booked until about Q3 this year. And we are already talking to our customers for price increases. If prices of copper hold on like this,

we will demand

price increases so that we don't have a margin impact coming in from Q4.

How these copper prices, whether it's a speculative bubble or whether it's a sustained price level, we don't know. But yes, at the moment, copper is a big red flag for us. Other than that, other materials are pretty benign.

Niteen S. Dharmawat: Thank you and wishing you the best.

Nikhil Kumar: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from Buglerock Pms. Please go ahead.

Himanshu Upadhyay : My first -- my question was on the third plant what we are going to do. So what will be the capacity utilization required to breakeven? And is

there any worry that what happened with -- when we started a new plant in FY '11, '12, and the capacity utilization was low, we felt -- it became difficult to utilize the plant and profitability took hit, how difficult it will be. What is your thoughts on that?

Nikhil Kumar : Himanshu, thank you. Really good question. So , I think that the lessons of the past have definitely influenced the decisions of the present. There's no doubt about it that we are not going to -- we're going to do our very best not to be in the same situation that we were 10 years ago or 12 years ago.

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But of course, the company is also in a very, very different position in the market compared to where we were in 2010, '11. Back then, we were only a domestic player, largely domestic player. We did not have these different segments, different products, different reaches and different references all over the world. Now TDPS is a very different organization with a large variety of products, different markets, different OEMs and presence and branding all over the world.

We are seeing -- we are putting up the capacity in two phases . We're putting in an investment this year, we're putting in another investment next year. So even to that extent, we are hedging that to see that, okay, we put first phase, then the second phase will go through once we see the sustained demand taking place.

So, as I said, the lessons of the past influence the decisions today -- of today. Obviously, we don't want to get into the same situation that we were in 2011. But at the same time, it is very important to realize that we're not a same company today as we were back then. We're a totally different organization. And I think this will be the biggest -- this is the biggest change in how the outcome will happen in the future.

Himanshu Upadhyay : Glad to hear that. And one more question on the motors business.

See, in this business of generators, we have tied up with many OEMs, okay? And last time, you stated that oil and gas, we are seeing a lot of capex in Middle East in many places. And some of our OEMs are -- who are into the gas engine and buyers for generators, they are also into the compression segments, okay?

So, are we also thinking of getting those OEMs or empanelment with those OEMs for their motor usage? Or motors would like to independently build? And how difficult is to get into those OEMs for motors or being a motor supplier to those OEMs -- large OEMs globally?

Nikhil Kumar : We are building our business in motors, I would say, fairly rapidly. So , as I said in the call, in my earnings call speech, we will be in line may be this year to reach an order booking level of about INR 1 billion. So, business is coming from different segments, it's coming from an oil

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and gas business, it's coming from Middle -- maybe from the Middle East, it's coming from water supply schemes, it is coming from lift irrigation schemes, so the synchronous motors.

It is also coming from induction motors for large application, industrial use, may be fans, compressor pumps. So, we are setting ourselves in different

segments of the market. We're still very much at the stage where we're building references and building credibility. And I think -- but the growth has been extremely good and extremely positive. And we will keep growing our business incrementally in all these sectors. So, to answer your question, is it difficult? It is difficult. But TDPS has the capability to make these larger machines and TDPS has the

references and large generators across the world, so it's not difficult to convince a technical buyer that, having made a 30 -megawatt or a 40 -megawatt generator, that we can make a 10 or 20 -megawatt motor. It's not difficult to convince a technical buyer or a technical end user. That -- this is the capability of the organization.

That way, we are, Himanshu, we are -- as I said, we are growing the business incrementally and we will have good results on this segment for sure. This will be a key part of our -- the motor business will be a key part of our growth -- is a key part of our growth plan and will play an increasing role in the product mix of the company in the future.

Himanshu Upadhyay : Okay. Thank you from my side and I wish to see INR 1,800 crores sales in 3 years or the full capacity utilization of the third plant.

Moderator: Thank you. The next question is from the line of Shyam M. from Aditya Birla Mutual Funds.

Shyam M: Congratulations on a good set of numbers. Just had a couple of questions. Firstly, on the order inflows, while they have grown very strongly over FY '24 numbers, domestic inflows for this quarter are down about 15%. So, I wanted to just kind of sense check from you, is there some sort of a slowdown you are seeing in the domestic market? Or is it largely been finalizing the orders has been slower and

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probably the inquiry pipeline is there? So just a little bit of understanding around that.

Nikhil Kumar : Vinay, can you take this question?

Vinay Hegde : Yes. And you are very right. The inquiry pipeline is very, very strong and it is only a matter of other finalizations, which are getting a little bit postponed by a couple of months, mainly this is -- the election, which is going on and the last two phases are there, and this is I think going on for the last 2 months. So that is why you are seeing a little bit lower order booking for this quarter. But definitely, there's a pile up of active inquiries. I think all of them are going to get finalized in Q1 or early Q2.

Shyam M: Understood. Understood. And my second question was on the newer segments that we are targeting, the newer products such as the synchronous and the submersible motors, while you are guiding that we'll probably look to get about INR 100-odd crores of inflows in this financial year. I wanted to understand, which particular product is going to drive that trend, is there any particular product that you see getting higher acceptance in the market from the new products that you have released?

Nikhil Kumar : This year, it will be more induction motors in terms of order inflow compared to synchronous motor because synchronous motors is mainly used in large irrigation projects, which are State government funded. So those are patchy. They come and then -- one large order will come and then there could be a large gap of time and then the next order will come.

And that's how this particular market functions. The -- so it's inconsistent and lumpy. It's better to have. So, we are focusing a lot on the other parts of the industrial side of the market, oil and gas, where the demand is more consistent and so this year, we are focusing in order inflows mainly on the induction motor side.

And we're once again focusing on large induction motors, more complicated products. Nuclear Power Corporation also has a large number of tenders out there. So the INR 100 crores business the

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inflow for this year will be in areas, which are not related to lift

irrigation scheme for other areas.

Shyam M: Understood. And just get a sense check how much was this inflow for FY '24, the motor business?

Nikhil Kumar : 30 -- 30 or 40.

Shyam M: Thank you. Those are my questions. All the best sir for the upcoming year.

Nikhil Kumar: Thank you.

Moderator: Thank you. The next question is from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal : My first question is on margin. Sorry, I joined late, if this is repetitive. Your other expenses and employee costs both are up. I believe your royalties increased, but why the employee cost would be up significantly in this quarter?

Nikhil Kumar : Yes, Varalakshmi, please answer this question?

M. N. Varalakshmi : Okay, sir. We had a VRS scheme for workman and which resulted in INR32 million of cash outflow. And we also had an INR20 million of cash outflow on account of the backlog gratuity payment, the contract and temporary work as required under the new labor laws. So, these are two reasons, and these are onetime payment only.

Deepesh Agarwal : Understood. Understood. Sir, then how much capacity with the third plant will add to us. So, I guess you highlighted we typically are put in INR1,400 crores, INR 1,500 crores of a capacity in terms of revenue potential. When you add the third plant, what should we think about the capacity addition in terms of revenue potential?

Nikhil Kumar : So we are -- you should think -- we are looking at something like INR1,700 or INR 1,800 crores total capacity potential once the third plant is up and running full stream. So, the third plant, as I've probably mentioned in earlier earnings calls or maybe an individual one-to-one

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meetings with all of you, that it's going to be mainly a component plant.

So, it's going to be supplying components, subassembly to the main plant and the main plant, which is currently producing those components and subassemblies that activity will be shifted to the new plant. In addition, we'll be adding more capacity for components and subassemblies in the new plants freeing up space and capacity in the main plant for more final assemblies testing and so on and so forth. That's the general structure of how they're going to be setting up our manufacturing in the next 2 years. But overall, the capacity will go up to around INR 1,800 crores. And we're keeping it extremely flexible so that it can -- depending whether it's motor, generator, large sizes, lower sizes, whichever way the market moves, we should have the ability to respond, and we should be able to produce whatever the market wants.

Deepesh Agarwal : Sure. And what is the status on ramp up of that oil and gas orders execution and LM250 gas generator?

Nikhil Kumar : LM250, we -- so we have to produce one generator for LM250 for a customer and in the US based customer that will be delivered by the end of this year or early next year.

Deepesh Agarwal : Okay. And oil and gas?

Nikhil Kumar : Oil and gas business is -- for us, the gas turbine business is booming for the another US based gas turbine OEMs. We are producing, I don't know, now it's going to be -- it's a big business this year. We also added through our relationship with -- even though we signed a relationship with the company called Baker Hughes last year, that's also adding on to gas turbine business in the oil and gas segment. So, overall, gas turbine business in the oil and gas segment is really, as I mentioned earlier, in my earnings call speech, dramatic increase is taking place for us in the increase in the gas turbine business and is sustainable because we are -- it's a new market for us, and we are --

and the opportunities are really huge in this segment for TDPS. So growth will take place.

Deepesh Agarwal : Sure. And lastly so it seems there could be some ordering in the nuclear. So , in terms of our PQs and all we are complete ly qualified in most of our segments or we are still having the kind of a gestation period in the PQs for the nuclear?

Nikhil Kumar : Nuclear, we are still not qualified for inside dome. We are still working on -- we are only qualified for outside the dome. So, we are working on the PQs for getting qualified inside dome as far as nuclear is concerned. In other parts of the market also, I can say that we are still in the process of building references and building capability.

We may have a prequalification, but prequalification only then allows you to bid but still customers who want to do make machines, they should run, they should work, and they should have the satisfaction.

So, we are still in the process, I would say, not PQs, but establishing credibility and trust with the customer. It will take time but we are building up the business step by step, and I'm happy with the progress so far and I'm also excited about the potential for the future.

Deepesh Agarwal : Fair to say in next 2 years , 3 years, possibly we can get the complete PQs out there even inside dome for the nuclear?

Nikhil Kumar : That's the goal but we need to first put these outside dome motor and we need to run, the customer needs to be satisfied than they'll give a chance to go inside dome. The supply from our side can take place to Nuclear Power Cooperation, but things don't move so fast over there. So, I can't commit to you that we'll have everything done. We'll deliver but then they have to use it. And then once they use it and once they're happy with it, I'm sure we will get opportunities inside dome.

Deepesh Agarwal: Sure. Thank you and all the best.

Moderator: Thank you. Th e next question is from the line of Ashish Ag garwal from Sundaram AMC. Please go ahead.

Ashish Aggarwal : Sir, just most of my questions have been answered. Just one thing. In other expenses, excluding the royalties in royalty fees, still the other expenses seem to have increased substantially on a Q -on-Q basis.

And even on an average basis for last few quarters, it has been hovering around INR15 crores, INR 16 crores a quarter. So if you can just explain what is the reason for this increase? And secondly, on the gross margin front, gross margin seems to have increased substantially. Is it just the product mix, whic h has helped us?

Nikhil Kumar : Varalakshmi, you will take the questions for the expenses and then I will explain -- I will take the question for the gross margin. First, you can go, Varalakshmi.

M. N. Varalakshmi : Sure. Yes. So apart from the royalty payment, there has been increase in the sales, which has also related in some variable selling expenses and travel ling consultation charges increase. A couple of expenses all put together are leading to this volume increase.

Ashish Aggarwal : Okay. There we re no one -off apart from the royalty?

M. N. Varalakshmi : No, there are no one off.

Ashish Aggarwal : Okay. Got it. And on the gross margin, sir?

Nikhil Kumar : Gross margin, we are getting into more profitable parts of the market, and that is reflecting -- that is reflecting in the pricing and also these large 2 pole generators that we produced last year, making the complete generator in -house, the rotor has also been extremely profitable for the company.

In general, with more and more business coming from o il and gas and

export. We are very confident that we're going to be able to hold on to these gains in the gross contribution and also increasing service business, increasing the aftermarket business and service business also helped the cause to increase the gross contribution. So

earlier,
what we need to hold on to 32%, now is 33%, 34% is the reality.

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And the company needs for to constantly keep kind of go in 35%. So, the goal to keep the increase in gross contribution incrementally will be major thrust for management incrementally.

Ashish Aggarwal : So next year what we have indicated it's a combination of both gross margin improvement as well as the operating leverage am I right?

Nikhil Kumar : Yes.

Ashish Aggarwal: Got it. Thanks sir.

Nikhil Kumar: Thank you.

Moderator: Thank you. The next question is from the line of Nilesh Doshi from Prospero Tree. Please go ahead.

Dhruvesh: Dhruvesh here. Hi, Nikhil ji. I just wanted to broadly understand that 1 year back probably around May we had a meeting where you had broadly indicated that you're probably gearing up towards a much larger goal rather than the intermittent 15% and 20% growth now. So can we say that now the structure is in place to probably achieve INR1,800 crores to INR 2,000 crores range over the next 3 to 4 years. Of course, plant and capacity will match but ultimately, the structure has to support us considering the kind of markets that we are in today?

Nikhil Kumar : And that's a very difficult question to answer. Of course, we are putting in the infrastructure to grow at a much higher rate. And we're also entering into different segments in the market and different products, and we hope that we can grow. What we're committing is something 17% to 18% plus every year. And this was the committing. The goal is to do better. But if talking about commitment, that's the commitment.

Dhruvesh : Got it. Sure. And second, when and if the railway orders to your customers come? How large can this opportunity become, let's say, once it stabilizes in terms of the recurring revenues that can happen from this area? Is it like INR100 crores, INR 200 crores thing or no, over time, it can be much larger?

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Nikhil Kumar : Generally, if we do enter into such kind of contract, it could be -- it will not be a 10-year contract but it could be between INR 70 crores to INR100 crores business per year for 3-year period to 4-year period, each of those contracts?

Dhruvesh : Okay. And there can be more than 4, 5 such or no I mean, just to understand the signs of...

Nikhil Kumar : Yes, there can be but we don't see. There was a hope that we would see that kind of thing where we would see multiple railway contracts coming in for freight locomotive. We were all talking about another 9,000 horsepower, then we're all talking another 12,000, then we're all talking about another the 6,000 and nothing has materialized.

So, then we were -- so which way is the freight locomotive market going to move, which is the rating, who are the players, we don't know as it stands. Even with high speed trains Vande Bharat everything we were expecting more tenders to come in the market, but I think everything has come to a halt. So, we were at one point time looking at multiple revenue streams from all these new initiatives, but nothing is happening at the moment. So, it is all that 0.

Dhruvesh : Right. And last small one, when it comes to pumped hydro because there is a lot of talk and chatter about it. Is this real in India in terms of a possibility of much larger...

Nikhil Kumar : Pumped hydro is real, but right now, all the action is in the very large sizes in the 300, 400, 500 -megawatt size power plant. Those are machines which are much beyond the capacity of TDPS. Eventually, they should come down to smaller sizes when it comes to the level that we have power plants to, let's say, 40, 50 -megawatt, 60 -megawatt type of machines, single unit, then we will definitely be a part of that action. But right now, the market is not come down the those size of pumped hydro

dro is mainly taking place in the large -- very large size power plants.

Dhruvesh: Okay. Thank you sir.

Nikhil Kumar: Thank you.

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Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai : So, my first question is, it seems that last 4 years, 5 years, we have traveled this journey from a single product -- single geography focused company to multi-product, multi-geography company. So earlier steam turbine used to form the base of the business contributing INR300 crores, INR 350 crores kind of revenue. So now that we have into multiple products, synchronous motor, induction motors and many more segments. Sir, do you see 3 or 4 segments contributing a base business of INR200 crores, INR 300 crores? And if so, if you can name some of those segments?

Nikhil Kumar : Steam turbine business continues to be a very, very critical part of our future business. It is still a, I would say, an indispensable part of our business. India is a big driving factor. And with India, with more investment taking place in India, and we expect in the next once the election is over in the next cycle of capex investments to further accelerate, this product will continue to be a very vital part of TDPS. But at the same time, we need to have other products, which are going to be equally large. I see the gas business as gas turbine, gas engines would be equally large. Hydro is already approaching the size of the steam turbine business for TDPS. And then I think the motor business is the next business where we also wanted to come to this level of size where we're talking INR200 crores, INR 300 crores. So, we have a way to go. We have a road to travel on.

So it's not that we have already done all these things, but we're definitely on a road where these numbers are achievable. And everything will happen incrementally step by step, step. And but the potential is there, the market is there, and TDPS right now is in a good position to achieve these numbers. It's all I can say, the potential for us to take each segment to that size is 100%, it is there.

Dhwanil Desai : Sure. Very useful. And so, any new products other than the synchronous and induction motors, any new thing, which...

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Nikhil Kumar : We have new products but we're not going to -- we're not in a position to be disclose to the market at this point in time. We are definitely working on new things, and we will -- as and when they are at the point where we can announce it to you and then answer all the subsequent questions that normally come with that announcement, then we will definitely answer.

Dhwanil Desai : Sure. Understood. And second question, I think one change that we

are witnessing is...

Moderator: Sorry to interrupt, Mr. Desai, may we request to use your handset, please?

Dhwanil Desai : Yes. So , my second question is you mentioned in your commentary and even overall environment, we have seen that the larger megawatt capacity and turbine is coming back because of the way the power environment is kind of that , we are moving from surplus to shortage s. So, we had built that capability of future for larger megawatt and far than 50, 60 megawatts. So , are we seeing any uptick in that segment? Are we re-orienting cater to that demand because that also is a reasonably large demand? Any thoughts on that?

Nikhil Kumar : Vinay, you can take this question since you are in the market.

Vinay Hegde : Can you just once again repeat that question?

Dhwanil Desai : So, I was saying that overall environment...

Nikhil Kumar : Do we see -- do we see the large above 60 -megawatt market , given the power shortages during the situation in the country and outside the country, how does the market look for these large sizes

and where do we fit into this?

Vinay Hegde : Yes. Larger size inquiries are not much if you're talking about any thing above 60 -megawatt to 200 megawatts. There are very few inquiries but the numbers are increasing below 60 megawatts.

Dhwanil Desai : Okay. So 30 to 60 is the traction.

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Vinay Hegde : Yes, 25 to 50 -megawatt the numbers are more. But between 60 to 200 meg awatts, that could be 4, 5 machines per year.

Nikhil Kumar : Okay. The international market for the larger generators above 60 - megawatt is a big market dominated by just a few players.

Dhwanil Desai : Right. Because the context to this question is the oil and gas.

Nikhil Kumar : We have licensed product -- we have licensed products, so we are not free to sell these machines all over the world. So , there are restrictions for us to go into this market in a very big way because we don't have our own product. And so, I think we will always have our hands tied because of this particular reason. I want to look at this large two-pole market outside India. That's the problem of having licensed product.

Dhwanil Desai : Okay, okay. But you are not thinking along the line of developing some of your own products for oil and gas rigs, which are much larger megawatt requirement?

Nikhil Kumar : I mean, we -- above 250, no. I mean that's not -- if at all, we -- right now, we are in this agreement with Siemens, anything that changes we will keep the market informed about it if there is any change in direction as far as the large two -pole market is concerned.

At the moment, where we are the limitation that we have, as Vinay said, the market in India could be 4 to 5 machines per year. And that's where we are. So , we are focusing our activities on our own products, our own technology where we have completely to do what they have to do. It makes no sense for us to concentrate on products where we have our hands tied behind our backs.

Dhwanil Desai: Understood. Thanks. Very useful. That's it and all the best.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre : Sir, at a broader level, is it possible to share what -- I mean, out of the total revenue, how much came from generator how was from the motor? Broad...

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Nikhil Kumar : We will share this, Mahesh, on the motor business record a significant

part of the revenues. Once it starts increasing, then we will share this number with you. I think we should be able to do it this year. But let it grow to a size where it's meaningful then I'll share it. I already shared earlier on this call a little bit about the order inflow and I've shared about how the order inflow is growing. I think that can give a direction as to when the revenues also then become real.

It gives a sense of direction how the revenue growth is also going to take place for the motor business for us. And then once it reaches that level, then we will surely be happy to report it.

Mahesh Bendre : And on, sir, order book side, the contribution from railway has -- I mean, probably from INR800 crores to now it has come down to INR400 crores. So will this remain -- I mean how the contribution of railway...

Nikhil Kumar : Yes, we -- of course, we are searching for another INR 100 crores per year business from railway because we just had a life only for another 4 years. Of course, we have time. We have another 4 years. But this INR400 crores become INR300 crores, become INR 200 crores, INR100 crores and 0. So we need to find another INR 100 crores contract.

So we are -- one is to look at India and another part if you look at outside India. We're looking at all the options, looking at different opportunities outside India also. But the pressure is on us to find another fine answer

that we need to have to replace this INR 100 crores business per year with some other INR 100 crores business per year. We have 3 years, but time is running fast.

Mahesh Bendre: Sure. Thank you so much sir

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to management for closing comments.

Nikhil Kumar : Yes. Thank you, everybody for joining us on this call. We are always available for any further questions. So please feel free to get in touch

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with us. We look forward to interacting with you once again at the end of the quarter . I look forward to meeting many of you individually in some investor conference. Thank you very much.

Moderator: Thank you. On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

August 21, 2024

Dear Sir/Madam ,

SUB: TRANSCRIPT OF EARNING CONFERENCE CALL – QUARTER ENDED JUNE 30, 2024.

In furtherance of our letter dated July 26, 2024, regarding intimation of earnings conference call, the transcript of Q 1FY20 25 earning conference call held on August 14, 2024, is enclosed and same has been uploaded on the website of the Company at www.tdps.co.in .

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

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“TD Power Systems Limited
Q1 FY '25 Earnings Conference Call ”
August 14, 2024

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TD Power Systems Limited - Management:

Mr. Nikhil Kumar – Managing Director
Ms. M N Varalakshmi – Chief Financial Officer ,

TD Power Systems Limited
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Moderator : Ladies and gentlemen, good day, and welcome to the TD Power Systems Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

Now I hand over the conference over to Mr. Nikhil Kumar, Managing Director for TD Power. Thank you, and over to you, sir.

Nikhil Kumar: Thank you. Good morning, everybody. Thank you once again for joining us today on our earnings call. I trust all of you have received our results and investor presentation. Now let me get into the details about the TDPS's financial performance for the quarter ended 30th June 2024.

Our total income on a consolidated basis was INR2.77 billion versus INR2.24 billion, an increase of 24%. Profit after tax and other comprehensive income for the quarter is INR356 million, versus a profit of INR261 million, an increase of 36%.

We continue to remain a very strong cash position of INR2.26 billion.

Our total stand -alone income for Q1 was INR2.66 billion versus INR2.36 billion over the same period last year, an increase of 13%.

EBITDA for the quarter is 17.35%, including other income, but excluding exceptional and treasury income.

Profit after tax and comprehensive income for the stand -alone for the quarter is INR312 million versus a profit of INR291 million in the same

period to the previous year, an increase of 7%. We have had a

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temporary cost increase due to large deployment of temporary workmen, additional subcontracting in the quarter due to union issues. However, the situation is largely mitigated in Q2, and we will see a tapering and dissipating effect of this in the following quarter. Outlook for Manufacturing segment is INR12.15 billion, out of which INR7.88 billion is generator and motor, INR3.94 billion is Railways, spares, and aftermarket business of INR0.16 billion and the Turkey business is INR0.17 billion.

Export and deemed export business for us, for our motor and generator business, excluding railways, is 66%. Order inflow has increased by 25% over the previous year as follows: Strong order inflow momentum continued in this quarter also, both from domestic and international markets.

This is the highest order booking in the history of the company. It had an order inflow in the current year of INR2.97 billion, and the previous year, we had an order inflow in the same first quarter of INR2.37 billion. We have extremely strong growth in the export business from gas turbines, gas engines and also from motor. Order inflow from direct and deemed export is INR2.14 billion compared to INR0.87 billion in the previous year. Exports and deemed export order inflow is 72% of the total order inflow for Q1.

Now I move to order book market guidance. Our market conditions, overall, the order inflow continues to be very, very strong from both domestic and exports in our motor and generator businesses. This rate of order inflow will support the sales guidance that we have given for the present year, that is, FY '25.

Most likely, we expect the number to be in the region of INR1,200 -plus crores. This is a growth of 20% in top line compared to the previous year. Margin growth will be faster than sales growth due to opera

tional

leverage. Margin growth will be in the region of 3% to 4% more than the sales growth.

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Now coming to order booking scenario, domestic market. Order booking in the domestic market in Q1 was weak. We have seen the slight pause during the first quarter due to the election effect. We had a very strong pipeline, but orders were not getting decided.

Now halfway into Q2, we can see the pickup in order bookings and the strong uptake in the domestic order inflow. However, in the international market, it's just the reverse case, our ordering in Q1 was driven by big orders in the segment of hydro, gas turbine, gas engines as well as motors.

The gas turbine and gas engine business is strongly driven by demand in oil and gas, data centers, artificial intelligence, grid stabilization power plants. We are also seeing big orders coming in from Ukraine for gas engines since war-affected country has severe power shortages. Both our major engine customers, gas engine customers have asked us to be ready for a huge increase in order volumes for next year. Hydro in Southeast Asia, Nepal, and parts of Europe continues to be booming with a strong pipeline of orders and inquiries. The Indian market is also slowly picking up, and we have some orders from Himachal Pradesh and Karnataka.

In the Motor business, we continue to grow the business in a healthy rate and this year, we will definitely cross INR1 billion order inflow. In

particular, we're getting a lot of export orders from the Middle East and to providing great references for us to build our business for the future. We are also executing orders for motors to be used in hazardous locations for the oil and gas market, which will open the door for big orders in the future. In general, they're concentrating on oil and gas, water, utility, lift irrigation, nuclear power plants and large motors required for fans, pumps, and compressors. In the Railway segment, we are waiting for a change in the business scenario in the domestic market. However, we are pursuing a number of exciting export opportunities, and we will come back to you after we have some success in this segment.

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We are close to half-way point in the financial year and so the majority of the incoming orders has start moving into next year, FY '26 for execution. Based on the order inflows that we had in Q2, we have reached the order bookings required to meet our targets for this year. Looking at the trend in pipeline, we are extremely upbeat about the numbers for next year. More guidance will be provided in the upcoming quarters.

Lastly, export markets continue to be the driving force for our growth. It covers more products for TDPS and more geographies. We also have more OEMs.

Some of them are giants, and we have a much larger market to address. While the domestic market will always be important to TDPS, much larger opportunities lie outside India and more sustainable demand. We are guiding for about 65-35 or 70-30 as seen the ratio of domestic -- sorry export order inflow to domestic order inflow for the next 4 to 6 quarters.

This brings me to the end of my initial remarks. I'll now be happy to address any queries that you may have. Thank you.

Moderator: Thank you very much. The first question is from the line of Rahul Jain from JM Financial PMS. Please go ahead.

Rahul Jain: Congratulations on a good set of numbers. I have 2 questions. So at what capacity utilization are we trading right now? Sir I see when the generator supply in the last 8 quarters has been in the range of 120 to 130 approximately. And when -- so when do we see volumes inching up? Or will the year be more of a realization-led growth?

Nikhil Kumar: No, I'm sorry. I think the numbers that you have are wrong. Varalakshmi, can you

correct numbers on the total number of generators?

Rahul Jain: Generator supply. Yes.

M. N. Varalakshmi: Generator supply. I just give you the number, just a second please.

Nikhil Kumar: This is not a realization-led growth. We are producing more machines...

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M. N. Varalakshmi: 6,419 generators.

Rahul Jain: When I see on quarter-on-quarter basis, it has been in the range of 120 to 130 generators supplied.

M. N. Varalakshmi: 122 was during...

Nikhil Kumar: So if you see larger generators, we will have a higher value, and we have a lower number. So I think...

M. N. Varalakshmi: In terms of generators.

Nikhil Kumar: Yes. So I think I have answered the question. This is not a realisation led story. We might have produced larger machines in Q1 this year compared to Q1 last year and so that will have a higher value. We are running pretty high on capacity utilization right now. And our new plant will not be ready until H2 next year. Of course, we have capacity, and

we will not let go of any orders or let go of any growth opportunities just because of the situation. We are doing everything to push the capacity utilization in order to increase capacity within the existing plants until the new plant is ready. At the moment, we're quite full.

Rahul Jain: Sure, sure. Sir, my second is like, I know you have explained a few things very well on the demand side, but we wanted more color on the same. So when I see your order book breakup, analyze it over the past few quarters, domestic order book has been largely flat, whereas export order book has been scaling up quite well. So on the export side, which markets I am saying in the past 3, 4 quarters, and which are the markets you expect to see demand continue to be healthy?

And on the domestic side, how is the demand shaping up for you? So in which product segment or which markets are you seeing good traction?

Nikhil Kumar: As I mentioned in the earnings call speech, for us, exports present a much larger opportunity because we have more verticals. We are working in the gas engine business, gas turbine business. We are geothermal, then we have the traditional steam turbine, hydro, and we're also looking at export opportunities for traction motors outside

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India. So definitely, for us, the export market is a much larger opportunity, and we are seeing more growth coming for us from these segments. In particular, we are seeing very, very big growth taking place in gas engines, gas turbines and hydro.

And looking at the pipeline of orders that we have, the indication that has been given by the OEMs for next financial year, they have asked us to be ready for big number increases. So we are expecting that the volume of business for exports will continue to be sustainable and will grow significantly for next year, indicated volumes have been given to us to be prepared. And all I can say is that it's extremely exciting, and we will have extremely good growth next year also.

Rahul Jain: On the domestic side?

Nikhil Kumar: On the domestic side, yes, okay. So the domestic side we had a little bit of a drop in Q1. We are seeing the market picking up once again in Q2. Overall, for us, the market is not going to grow in the same -- it's going to grow, but it's not going to grow at the same rate as what the export markets have grown for us. So it's where it is. We're not losing any business on the domestic side, but the domestic market has to recover from the first quarter and then overall for the year, a recovery from the first quarter numbers and then show some level of growth is what we can expect, but it's not going to be the big growth that we're seeing in the international market.

Rahul Jain: So we will maintain our market share in the domestic market and exports?

Nikhi

I Kumar: Yes, market share is not a concern point, it is growth in the domestic market, which is a concern point.

Rahul Jain: It's across the industry. That's it from my side and all the best.

Moderator: The next question is from the line of Jonas Bhutta from Birla Mutual Funds.

Jonas Bhutta: Congratulations. So if you can sort of break it up into 2 parts. If you can talk about the strategy in the railway piece, as we head into the sunset

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of the existing contract that we have with Alstom in terms of supplies over the next maybe 3, 4 years. There were expectations that they win some orders on the locomotive side, which have been delayed. Then

we had this opportunity come through in terms of our traction motors. So where are we in the journey of either scaling up our railway business beyond the current INR100 crores, INR120-odd crores kind of top line. How should we think through of this opportunity over a 3 - to 4-year period? That's my first question.

Nikhil Kumar: Yes. Alstom has not won any order. They were L1 for the high-speed trains and then they gave up that order -- we knew about this 6 months ago, even though it was out in the news yesterday. We knew about this long back. There are no fresh tenders coming up for freight locomotives in the near horizon. So we are pursuing a number of export opportunities. I can say that -- all I can say at this point in time that it is fairly advanced, and we are very optimistic.

So we are looking at the export opportunities to replace this current job and current order that we have and also to provide growth for us. Both these opportunities will be long-term contracts, it will not be for 10-year contracts, but it will be more in the region of 4 - to 5-year contracts. We expect to close them in the next, I would say, 4 to 6 months' time. But it's going well, and we are very well placed.

The second option for us is to produce motor -- traction motors for the Indian Railways for their production of freight and passenger locomotives. But as I've been mentioning in various conference calls, this market is extremely brutally price competitive for the past few quarters. And we have been largely staying away from that market because it does not make sense to make machines at those prices. Nevertheless, we are producing small quantities and putting them into the market and remaining active in that segment, not withdrawing completely. So our strategy is to just be active to a minimum extent and then once the prices recover, to go a little bit more aggressive in that market.

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The opportunity size is still there for that segment. It still can be INR100 crores market for TDPS. But as I said, we really can't control the price war which is taking place. More realistic, I would say, is that some of the things we're working on right now on the export business will fruitify and we will be happy to announce this to the market when it does happen.

Jonas Bhutta: Sure. The second question was around motors, the Synchronous motors. There, if you can talk about what our development plans are.

We did have a good FY '24 for that business, but the scale-up plan was going to be a lot larger. Can you talk about the progress there? And if you can couple that with because it is limited by question. So on the export gas engine side, while you mentioned the existing 2 clients have asked you to sort of ramp up production for next year. But we were also trying to crack a third OEM? And what is the progress on that?

Nikhil Kumar: In synchronous motors, while we had a good year. Last year, this business is still -- it's financed by the states and the irrigation projects of state. Payment terms are always a question mark and something that we are very careful about. So we don't start projects, or we do

n't start

manufacturing until we are clear about payment terms.

This year, for this financial year, although we have orders, we are not very clear about money and so we not really starting in a big way with these projects. We're going to be making some motor, but it is not going to provide the growth that we had expected. But having said that, the large motor market is -- it's a big market internationally as well as domestically, and we don't have to worry about a drop in the synchronous motors business. If you say that, okay, now we have a problem. We don't have a problem. We have enough opportunities outside India as India has been making good progress, and they're going to build up the order book with extremely good order as I said in oil and gas, water utilities and also nuclear power.

This continues to be a thrust, we will cross INR1 billion order book in this year. And I will give the guidance for next year for the motor business, but it's in line with our expectations, what we have projected

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over, I think last year, when we gave predictions about the motor business.

Coming to the gas engine business. For the gas engine customer, we have not been able to crack into that business. So it's -- they have decided to continue with the existing supplier.

Moderator: The next question is from the line of Pramod Dangi from Unifi Investment Management.

Pramod Dangi: Yes. My question -- first question is on the domestic market. If you can throw some light on the domestic market, what is generally helping over here. See, we are big on the steam generators in domestic market. So other industry is not growing at all in terms of the captive power plant? Or is it that the captive power plants are growing, but they are going into a different technology like solar or something else? What is really happening over there?

Nikhil Kumar: That is not happening, Pramod. I don't know. That's for sure, we cannot have captive power plants with wind or solar. That's definitely not taking place. The growth from point of view we now -- the growth has already taken place for the past 2 years in the domestic market, we've seen quite a lot of growth taking place. And so we're talking about growing from a much larger base. So we do expect something like, I don't know, 8%, 10% growth in the domestic market.

Pramod Dangi: Okay. Okay. But it's not like something -- it's not like -- because when we look at the Coal India's number, when we look at the total power situation in India, everybody talks about this power shortage at least in the last quarter.

Nikhil Kumar: There is the power shortage, for sure. And industries, all greenfield projects are putting up captive power plants for sure with steam turbine, that was for sure with no other technology which is available. It's just that the rate is not that 20 -plus percent, 25% per year. That growth rate, we're not seeing in the domestic market.

Pramod Dangi: Okay. Got it. And secondly, on the new export for the railways, you said that we are pursuing a few order or one order in the export market for

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the Railways, which is expected to come maybe in 2 or 3 quarters from here. Is it with similar kind of OEM which we are getting today? Or is it in a different altogether different OEMs.

Nikhil Kumar: I just gave a very brief information, Pramod, and that's all I would like to share at this point of time. As I said, we're very optimistic and upbeat about being successful in this. But until we get the more information, I would like to keep it at this level right now. I hope you don't mind.

Moderator: The next question is from the line of Rohit from iThoughtPMS.

Rohit: Very encouraging to hear whatever is your comments on the opportunity that you're seeing, especially in the export markets. I just

wanted to sort of try my luck and see what are you seeing for the next year? I mean this year; you are pretty confident of achieving your numbers. But just next year, if I can sort of get something from you for next year, FY '26.

Nikhil Kumar: I think that probably we have given on an average, we have said that we're committing as a minimum baseline case, 17%, 18% top line growth so -- on a year-on-year basis and of course, the management goal is to exceed that. So this year maybe exceeding that number. And

I will give guidance – the exact guidance for next year a little bit later. But as I said, the base case remains as the base case and the management's intention is to exceed those numbers to the maximum extent possible.

Rohit: Got it. And as we do that margins from wherever we will end this year, you've already said margins will grow faster by 300, 400 basis points than revenue. So that would continue in the next year also if you are able to exceed this expectation?

Nikhil Kumar: Until we start the third plant, this will be the case. When we start the third plant, obviously, there'll be some very short-term setback on that. We won't have the same differential between the margin growth and the top line growth, we'll have increased cost from the third plant. But the increase in volumes after a while will offset that, and we will come back to that trend. So except for that short, maybe 1 year or so period, third

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plant will be ramping up. That is what I think for that particular for 2-year 3-year perspective, it will be able to start delivering once again on that promise.

Moderator: The next question is from the line of Suhrid Deorah from Paladin Capital.

Suhrid Deorah: Congratulations. It's been an excellent performance. I just wanted to understand with the new plant coming online, what will be the maximum revenue you can achieve all put together.

Nikhil Kumar: At this point, we are talking something like INR1,700 crores, INR1,800 crores. But once we have that plant like we have done for the existing plants, we'll find ways to push that to the maximum possible, maybe even past INR2,000 crores when we come to that stage. But right now, the plan is to take it to INR1,700 crores, INR1,800 crores to the third plant.

Suhrid Deorah: And you wouldn't -- I mean, I guess we indicated timeline to hit that number about 2 years from now.

Nikhil Kumar: I have given the guidance to the very -- a little while ago. Rohit asked my questions about a question about the top line growth. I've given my thoughts about the baseline case. And -- of course, the goal of the management is to always exceed that base line case. And based on that, we can do the quick calculation, and then you can see how many years it takes to get to that number.

Suhrid Deorah: Got it. And recently, there was some news of about some findings about strikes of the plant. Could you just tell us if there's any impact meaningful to talk about [inaudible].

Nikhil Kumar: Yes. The union has given a strike notice on the 3rd of June. And we as management, prepared ourselves that if the union goes on strike that we would need to find a way to run the factory. We got an injunction order from the court that allow us to keep the factory open when they were on strike. And the union was barred from interfering with the operational activities and movement of people, materials, et cetera.

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So based on that, we prepared ourselves by hiring temporary people and getting prepared for the eventuality that they will go on strike because once union goes on strike, then by law, you're not allowed to - - you are prevented from hiring temporary workmen from that point of time onwards. So whatever you have to do, you have to do it before they actually go on strike.

Now

they have not gone on strike. The strike notice is valid for 6 weeks. So the 6 weeks' time has expired, but it was given on June 3. They have

not given a fresh strike not ice. There continues to be a migration of people out of the union and who have accepted the terms what the management has set. There's been a steady trickle or steady flow of people who are coming out of the union and accepting our offer. We expect that the steady flow or steady trickle will continue for some time and then it may reach a point where it may just simply increase because the other option for the union is that this dispute or raised settlement will go to the court, labour court. And once it goes to the labour court, nobody can expect a resolution for at least 3 to 5 years. And we don't want that, and certainly they don't want it. So I think in the next 2, 3 months or so, there will be a resolution to this matter.

Suhrid Deorah: My questions are on the lines of what you've been alluding to earlier on export growth being stronger. Your order book INR1,200 crores, I don't know if I had this split here. Is it 70% of this also exports?

Nikhil Kumar: No. So you have to take out the Railway business which is right now INR3.94 billion and the rest is the motor, generator business. And that pending order book is 66% export. The order inflow for the first quarter was 72%.

Suhrid Deorah: [inaudible ...] So is like the company is turning to go to export markets?

Nikhil Kumar: What we see right now is that we're seeing a very extraordinarily high demand coming from gas turbine generators, gas engine generators and hydro. Very, very high demand, very, very high pipeline of jobs. And I mean, some of the numbers that we are talking about are really, really big for next year.

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So the growth for the company is definitely going to come in these segments. Then we have called steam turbine which is growing. Geothermal is so growing for us in the domestic market, which is growing but it's not growing at the rate at which our export markets are growing. So therefore, the ratio was going to get more skewed towards export for us, although the domestic market is also growing.

Suhrid Deorah: I have a question. I'm asking from a position of ignorance. Europe was connected, so Ukraine would have been connected to Russian piped gas sources. Post to war, I'm guessing those pipelines are now closing, we are trying to get alternative sources. So is that already in place, whether you're getting supplied gas from different locations, and they are now using your turbines to generate power?

Nikhil Kumar: I'm not sure where they are getting the gas from. It could be getting the gas also from LNG terminals, which were installed in Europe that they get gas from. But whatever it is, there is a huge demand for gas turbine and gas engine power plants right now from the Ukraine. The basic powering structure has been destroying and they need electricity badly and a lot of it. So we have seen from our OEM customer indications of large orders coming in from Ukraine.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: Sir, first, a clarification. Did you say that the third plant is coming in '26 H2? I thought we were expecting it in...

Nikhil Kumar: It could be FY '26, H2, yes.

Alisha Mahawla: Has it been delayed by...

Nikhil Upadhyay: Next year, September -- next year, October, so we will be commissioning, September -October we will be commissioning the plant.

Alisha Mahawla: Has that been delayed. Were we earlier expecting it in H2 of this year?

Nikhil Kumar: Yes, it's delayed by about 3 months.

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Alisha Mahawla: Also, any update on the tie-up that we've done with BRUSH earlier last year, what kind of orders i

nflow we are seeing on that? And how big can that become?

Nikhil Kumar: So while the potential for that still remains exciting, the base at which it is growing is not something that I am happy with, or my team is happy with. The potential to remain large and will remain large, but large companies -- working with large companies, there's a lot of inertia and it just takes a longer time. So we're going to give it that time. It's still that the potential for that opportunity is there. It's not going -- it's not gone away. But we need quarter-on-quarter, year-on-year growth and the numbers, then we need to get -- it's not happening there, then we need to find other ways to grow and that's what we're doing.

Alisha Mahawla: What kind of order inflow we have seen from them YTD?

Nikhil Kumar: No, I don't give individual customer order inflow numbers, I'm sorry.

Alisha Mahawla: Sure, I understand. Next, I wanted to understand you've been mentioning in the call that we're seeing good demand from the international market. But with the rise in freight cost, how we are seeing that? Can that impact our margins temporarily? Container unavailability. Can that impact our execution? Any thoughts or color that you would like to share?

Nikhil Kumar: With the problem in the shipping industry?

Alisha Mahawla: Yes.

Nikhil Kumar: I think transit times are a little bit longer and we are factoring that into our delivery times with our customers? People are asking us to cut our delivery sometimes in 1 or 2 weeks, and that's not a big deal. We can do that and that's what we are doing. I don't -- we don't see shipping costs. I mean they might have gone up, but we don't see them growing to the level that it was in the past post-COVID. So I think there's a lot of supply of container capacity coming into the market, which is keeping a check on prices. But we're not really -- we're not seeing any concern in this area at the moment.

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Alisha Mahawla: So the increase in freight cost currently is not alarming for TDPS?

Nikhil Kumar: Most of our contracts are ex-post contracts for us. So we are not paying for this freight cost. Most of our customers have long-term shipping contracts with the shipping lines, where they negotiate for price stability. So we're not seeing them coming back to us and saying that it's become uncompetitive for us to ship from India. And we're not hearing this from anybody as yet.

Alisha Mahawla: Understood. Last question, any comments on revival in Turkey. We were hoping that maybe this year things can pick up? Is there any sign of that or at one point we were considering shutting that plant altogether? Any thoughts there?

Nikhil Kumar: Yes, we have filed the termination notice with the -- with our to shut shop over there temporarily to pack all our equipment and leave it on standby in a warehouse. So that plan is now in motion. There are opportunities which are available in the market for some orders, but it's too small for us to think of keeping a factory open just for some small business. So we are -- we'll probably make those machines from India and ship if from India. So at the moment, the decision is to put everything, all our equipment in to a warehouse and then wait for some time. But in effect, it means that we are suspending operations, not closing, but suspending operations.

Alisha Mahawla: Understood. And just one last clarification of the third plant, capex still continues to be INR120 crores or any revision in that?

Nikhil Kumar: Yes, INR120 crores plus/minus around that number.

Moderator: The next question is from the line of Karthi Keyan from Suyash Advisors.

Karthi Keyan: A couple of questions. One would be on the gas engines and gas turbine of course. Would you know the final destination for these? You

mentioned Ukraine as one of the areas. So can you talk about very strong orders for next year? Would you be aware of the destination? Geographical destination?

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Nikhil Kumar: Generally, you can say that the machines are going to go into Australia, U.K., Argentina, U.S. market and Ukraine generally. That's why I would say a big demand is going to be there, where we could say, probably 50%, 60% of demand is going to come from these 5, 6 countries. And the rest is going to be from all over the world.

Karthi Keyan: And given that you expect a substantial increase in volumes for next year, would you be upping your investments in automation because that's one of the points you highlighted when the plant, has it happened also.

Nikhil Kumar: No, no, no. We are not changing our investment plan. We are going to flog the assets right now that we have in current 2 plants, we'll add maybe the night shifts, and we will find a way to not to lose a single order and produce more from the same 2 plants. And then once the third plant is up and running, then we will have some relief in terms of - for the current 2 plants.

Karthi Keyan: Yes. If you will allow to ask you a slightly ticklish question. Given the labor issues, both in terms of the strike as well as all the political launches around, how do you think about -- and of course, the inflation aspect, how exactly do you think about this problem, say, in the near term and a relatively longer term basis?

Nikhil Kumar: Look, I think that a wage negotiation has to be -- there is always the question of give and take. And there are 25 years of industrial peace in our with very, very good relationships with the union. Now unfortunately, this time, we have a very militant group of people who are demanding something which is very, very unrealistic. We had a number of rounds of conciliation with the Deputy Labor Commissioner and Assistant Labor Commissioner in Karnataka to resolve the issues and the feedback that we have, the offer that we have made is very -- already very generous.

So I have no doubt that what we're offering from a financial perspective is generous and it is a balance between keeping our expectations of the workmen and also keeping a reasonable balance on the salary

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increases and the capability of the company to pay has always focus on which we have approached this thing.

And that also does not work for workers' salaries, it also works for management salaries. We have to use the same kind of balancing act when it comes to management salaries, where we have to expect, balance expectations of the people with the ability to pay and the financial performance of the company.

So I'm also looking at medium, short term, medium and long term, which way its direction is, what is the flow of the graph basically. We will find a solution because basically, the financial package is generous. So we will find a solution. And I said there is a trickle of people who are -- every week who are moving away from the union and joining us and taking the package. So it's over a period of time, this will just -- it will fall apart, fundamentally, because the financial package is good.

Karthi Keyan: Okay. And the reservations kind of thing becomes a headache. How do you think about that aspect?

Nikhil Kumar: I don't think that we are subject to reservations.

Karthi Keyan: Okay. Okay. Last quick question is it coming from how...

Moderator: Sorry for interruption. May we request you to return to the question queue.

Nikhil Kumar: I'll take the last question. It's okay. Go ahead.

Karthi Keyan: I was asking you about the retrofit opportunity [inaudible ...]

Nikhil Kumar: It's a part of the overall market plan, the retrofit opportunity, and it's a part of the business plan. Nothing exceptional. I don't think it is anything exceptional, some

thing to talk about right now.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.

Shrinidhi Karlekar: Congratulations on a good set of numbers. Just one question from me. Sir, so would you know which are the end market industries that are

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driving the strong demand for gas turbines and gas engine generators in the exports market?

Nikhil Kumar: I just answered this question. The last question was just this, but I'll repeat it too once again for you.

Shrinidhi Karlekar: Yes, apart from the Ukraine.

Nikhil Kumar: Yes. I just mentioned the four of other countries, but I will again do it for your benefit. I had said it will be...

Shrinidhi Karlekar: No, not the countries, like the application of the machine which is used in.

Nikhil Kumar: Application?

Shrinidhi Karlekar: Yes.

Nikhil Kumar: The application would be based on power generation, for example, in Ukraine would be basically based for power generation. And I would say, in some countries would be grid stabilization where you need to have these gas engines coming into the grid when there is a drop of renewable power generation, then for grid stabilization you need to have hundreds of megawatts of power coming instantly on to the grid. That would be one major application.

Then third major application, what we're seeing is power -- basic power and backup power for data centers which are mainly driven by the artificial intelligence in investments taking place by -- taking place in America. And that will obviously spread over to other countries where people would want to have -- the countries would like to have their own data centers in their own countries versus we completely depend on the U.S. for also data storage, so this will continue for many years to come. And when there is emergency power. So these are the main applications for the work in gas engine turbine generators.

Shrinidhi Karlekar: So it looks like kind of a structural demand for a few years, right, not like onetime demand?

Nikhil Kumar: Yes. Definitely.

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Shrinidhi Karlekar: And sir, sir, on...

Nikhil Kumar: Ukraine would be, as dictated, few years, it is not going to be a huge demand for the next 10 years at this rate, but at least 2,3 years. And then this will shift to something else.

Shrinidhi Karlekar: Right. And sir, does we still have application in the core industries? And are you seeing demand from the core industries in business?

Nikhil Kumar: Which country you're talking about?

Shrinidhi Karlekar: Mix of oil and gas, refineries, steel, does your product goes into -- like your end-product goes into those applications? And are you seeing demand from those markets?

Nikhil Kumar: In India?

Shrinidhi Karlekar: No, global.

Nikhil Kumar: Vinay, may be you can answer this question, please if you are there?

Vinay, are you on the call? My colleague Vinay Hegde. Okay, I don't think he's on the call. So in India, definitely, the base of all the industries, steel, cement, refinery, everyone requires pay -for-power from steam turbines and that's where the demand is definitely coming from. Internationally, the demand for steam turbine generators is not -- is more from the point of view of renewables. So we see waste heat recovery, garbage burning plant, biomass power plants, it is waste heat recovery. And that's where the demand is coming from an international perspective and wherever process plant requires steam for the process like paper manufacturing, something like that, then you would need to have steam turbine generators. So that's the industrial application from an international perspective. India is all over the place because captive power is required for powering of the industrial complex itself.

Moderator: Next question is from the line of P

Praveen Prakash Motwani from Bank of India Mutual Fund.

Praveen Motwani: Sir, I have 1 -- sorry, I joined a little late. So what is our guidance for revenue guidance and margin guidance for this year and '26?

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Nikhil Kumar: We have given a revenue guidance of INR1,200 crores. We have not given the margin guidance.

Praveen Motwani: And sir, for '26?

Nikhil Kumar: We had said that the margin -- we said the revenue growth will be around 20%, and we said that the margin growth will be 3% or 4% above the revenue growth. This is what we said.

Praveen Motwani: So margins would be maintained, right? What numbers that...

Nikhil Kumar: I said the margin growth would be 3% or 4% more than the revenue growth.

Praveen Motwani: Understood. Okay. Correct. And sir, one more question is if I see your consol number, you have reported close to around 32% PAT growth year-on-year. But on the stand-alone number, the number is more or less like not grown to that much. So what is the reason?

Nikhil Kumar: Yes. So I think I really have to -- since you joined later -- we would really have to go back and repeat what I've already said 2, 3 times. So I would prefer to answer your question offline. I'd be happy to answer your questions once again after this call.

Moderator: Next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Sir, my questions have been answered. Thank you so much.

Moderator: The next question is from the line of Pramod Dangi from Unifi Investment Management.

Pramod Dangi: My earlier question was answered. The other question which I had was on the LNG. We were in the previous some call, we have spoken about the LNG opportunity in the U.S. and Europe. And a lot of capex happening over there. Any update on that? Were we able to tie up with the OEM? And how do we see this?

Nikhil Kumar: The product qualification is still going on in certain parts of the market, Pramod. We are getting some business for TDPS generators in this market. But the growth in this particular segment is, as I said a little bit

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earlier, depends on our relationship with the multinational company, which we have tied up with. It's not happening at the speed at which we earlier thought. The opportunity is still very large and still is there, but it may take -- it will take a little bit longer time, but it is there, for sure.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Nikhil Kumar: Thank you for joining us on the conference call. If you have any further questions, please feel free to get in touch with the Investor Relations team. I look forward to meeting many of you next week over various investor conferences which are taking place in Mumbai. I look forward to a face-to-face interaction with many of you. Thank you very much.

Moderator: On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

November 5 , 2024

Dear Sir/Madam ,

SUB: TRANSCRIPT OF EARNING CONFERENCE CALL – QUARTER ENDED SEPTEMBER 30, 2024.

In furtherance of our letter dated October 18 , 2024, regarding intimation of earnings conference call, the transcript of Q 2FY20 25 earning conference call held on October 30,2024 , is enclosed and same has been uploaded on the website of the Company at www.tdps.co.in .

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

The Corporate Service
Department
BSE Limited
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Mumbai - 400 001
Scrip Code: 533553 The Listing Department
The National Stock Exchange of India Ltd .
Exchange Plaza, Bandra - Kurla Complex
Bandra (East)
Mumbai - 400 051
Symbol: TDPOWERSYS

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"TD Power Systems Ltd. Q2FY25 Earnings Conference Call"

October 30 , 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th October 2024 will prevail.

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR , TD
POWER SYSTEMS LIMITED
MR. VINAY HEGDE – TD POWER SYSTEMS LIMITED
MS. M.N. VARALAKSHMI – TD POWER SYSTEMS
LIMITED

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the TD Power Systems Limited Q2 FY'25 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as of the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kumar – Managing Director for TD Power Systems Limited. Thank you and over to you sir.

Nikhil Kumar: Good morning, everybody. Thanks for joining us today on our Earnings Call . I trust all of you would have received our "Results" and "Investor Presentation."

I would now like to discuss with you the TDPS's Financial Performance for Six Months ended September 30th, 2024. We've had an exceptional half year with the highest ever revenue, highest EBITDA margins, highest ever PAT and highest ever order inflow.

On a consol basis, our total income was Rs. 5.89 billion versus Rs. 5 billion, an increase of 18%. Profit after tax and other comprehensive income for six months is Rs. 764 million versus Rs. 584 million, an increase of 31%. We continue to maintain a strong cash position of Rs. 2.35 billion.

Our total income on a standalone basis for H1 was Rs. 5.77 billion versus Rs.

4.94 billion over the same period the previous year, an increase of 17%. EBITDA for six months is 18.41% versus 17.44% previous period, including other operational income but excluding exceptional and treasury income. Profit

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after tax and comprehensive income for the six months is Rs. 720 million versus the profit of Rs. 600 million over the same period in the previous year, an increase of 20%.

“Order Book” : The order book for manufacturing segment is Rs. 12.34 billion, regular manufacturing business is Rs. 8.33 billion, Rs. 3.7 billion in the railway business, spares and aftermarket is Rs. 0.14 billion and Rs. 0.17 billion in the Turkey business. Export and deemed export constitutes about 71% of the order book excluding the railways.

“Order Inflow” : The order inflow for the quarter is INR 3.6 billion. This is the highest ever order booking in the history of the company. Order inflow has increased 41% on a Q2 to Q2 comparison basis and 33% over H1 -to-H1 comparison basis. The H1 order inflow total for the current year is INR 6.58 billion versus the previous year INR 4.93 billion. Strong order inflow momentum continues to drive our top line.

Now, I will talk about the “Order Book Market Situation and Guidance.” The order inflow continues to be very strong from export in our generator and motor businesses. We expect the order inflow in Q3 to exceed the number in Q2, leading to a new record order book for the company.

We are pleased to revise our top-line guidance for this financial year from INR 1,200 crores to INR 1,250 -1,275 crores which will result in an overall growth of 25% to 27.5% compared to the previous year. Margins will grow faster than sales due to operational leverage. Margin growth will be around 2% to 3% more than the sales growth.

“Market Scenario.” The domestic market has been flat in terms of order inflow from a Q2 to Q2 basis. This has reversed the shrinkage that has taken place in Q1. Effectively, if you look at H1 -to-H1, the drop in the domestic order inflow can be attributed solely to Q1.

Steel and cement are still ordering large

ge power plants up to sizes of around 100

MW, and we expect the market to be driven by these two sectors. Ethanol, sugar , chemical is showing no growth, but there's still a base level demand.

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Overall, we are factoring 3% to 4% growth on domestic market for the next year, that is FY'26. We are expecting new tenders, four railways and we are certain to see two large tenders in the upcoming months. However, business for these railways tenders will be realized only in FY'27.

“International Market.” We have extremely strong growth in the order book in export businesses from gas turbines, gas engines and motors. Order inflow from direct and deemed exports for the first half is INR 4.78 billion compared to INR 2.36 billion in the previous year, which is more than double. Exports and deemed exports order inflow is 73% of the total order inflow.

This shows the overall strength of the company in all geographies all over the world, presence in multiple sectors like gas, hydro, traction, clean energy, like biomass, heat recovery, etc., More importantly, we are cutting deeper into the market and winning greater market share due to greater acceptance of our products.

And coming to the “Specifics,” we are seeing a big increase in business in gas engines and gas turbine generators. There's a huge growth taking place in fracking, data centers, AI server farms, grid stabilization and to a smaller extent, the demand coming from Ukraine. Due to this overall demand, we are seeing a huge increase in orders, and we are completely booked out for this financial year.

Our factory is running seven days a week, three full shifts and we are completely full and customers have asked us to be ready for further growth next year and we have had detailed discussions with them on allocation of capacity and load plans.

Geothermal plants is another area of huge growth potential. We have received an order this year for 3x43 MW for a large geothermal power plant in the US for phase -I. Now, the same company is in the market for 1,000 MW in phase - II. We have signed PPAs with major IT companies and have indicated a 1,000 MW a year demand. Since we are in the pilot project, we do have a good chance to win these orders in the future.

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"Traction." As announced, TDPS has signed a five-year contract for the supply of traction motors to a major international company. There's another such contract under negotiation in which TDPS is very well placed and we hope to announce this order early by the end of this quarter, Q3 or definitely in Q4.

"Hydro." The order inflow continues to be strong. All hydro orders are export. In general, the export business is a key driver for our growth for generators with big orders coming in from gas, hydro and traction. In the US, the demand is due to an increase of consumption of electricity and Europe is due to the change in energy mix, leading to more demand for gas engines, gas turbine and hydro generators.

In the motor business, we are on track to achieve the numbers that we have indicated earlier. We have a plan of INR 80 crores this year and INR 160 crores next year. Once again, the markets are mainly exports and we see a big pipeline of orders from the Middle East and India.

TDPS also has won a small order for supply of motors to Indian Railways for the last stage of qualification. We expect full qualification sometime next year and ramp up of volumes in FY'27.

"Turkey." We are going to receive some large orders from Turkey after a long pause in the market. All generators are to be delivered next year. We will keep the market informed. However, it is certain that the Turkish plant will deliver good numbers in next financial year.

In conclusion, we are poised for another round of growth. We have exciting opportunities in fr

ont of us and we are gearing up to meet the demand with our new and existing factories. We have just a small fraction of the overall world market share and the growth potential is huge. On top of this, we are still bullish in the domestic market, and we strongly believe that we have strong growth coming after a short pause. India is still a power deficit country, and the macro situation of power has not changed. All large industry needs captive power plants. When the domestic market booms again, our new capacities will fill up very quickly. We are not refusing any order that comes our way, and we will

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exceed the guidance that we have given for FY'25 as well as FY'26. This brings me to the end of my initial remarks. I will now be happy to address any questions that you may have.

Moderator: We will now begin the question -and-answer session. The first question is from Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, you spoke about the demand from international markets given the gas and projects that are coming up. So, is it possible to just quantify it in terms of what kind of opportunity we see over the next three years?

Nikhil Kumar: It would be difficult for us to give you such a large long -term view guidance on the market, Mahesh. What we are seeing is that we are seeing the expansion of the business taking place in the gas turbine and gas engine business and our OEMs have asked us to ramp up the capacities based on the next year's demand, which is significantly higher than which we are going to be doing this year, and they are also projecting that something for '26. So, I think we will not be able to give you exact numbers right now, but definitely it's -

Mahesh Bendre: No, no, sir, I was not looking for the number or guidance. I was just asking if we like the last five years compared to that, over the next three years, how many power plants might be coming up in Europe or any capacity addition you see in terms of captive power plants that are going to come up in international market?

Nikhil Kumar: I don't have that number of power plants, Mahesh.

Mahesh Bendre: But that will be a substantial number, sir?.

Nikhil Kumar: Yes, it's a substantial number because it's being reflected in our growth. So, what we are seeing from our OEMs is that we are seeing one is that we are moving towards the core of their businesses, earlier, we could have been a little bit more on the fringe side, now we are moving completely to the core of their business. So, we are really getting into projects where earlier we may not have got the customer approval or our name may not have been on the approved vendor list, now we are getting more and more acceptance, and we are cutting

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deeper into the market. One part is that we are seeing that we are getting more into the core of the business. Second is that there's also a big increase in the demand from the OEM side. So, both these factors are driving the big volume growth that we are seeing for our business. I can't give you an exact number of how many power plants.

Moderator: Next question is from Ganeshram Rajagopalan from Unifi Capital. Please go ahead.

G Rajagopalan: I just had a few bookkeeping questions. The first one is on the other operational income. So, what sort of driving the growth, if you could just explain where that Rs. 3 crores of income is coming from? And then the second one is just on the new plant, right. When it does get commissioned sometime next year, what sort of impact should we assume on margins like will we have to hire a completely new workforce for that plant, if you could walk us through what you're thinking in terms of commissioning that new capacity?

Nikhil Kumar: The first question will be answered by Varalakshmi. I will

answer the second question.

M.N. Varalakshmi : The other operational income includes the foreign exchange gains for the forward bookings that we have done, mainly that amount .

G Rajagopalan: And to what extent would that deal?

M.N. Varalakshmi : Almost fully.

Nikhil Kumar: Coming to the second plant, the second plant will be operational in stages. So, we will start ramping up the capacity in stages. We have three big buildings and once the first building is ready, we will commission that. Second, third, we will have to hire new people, but the hiring process will start in Q4 itself because they will have to be trained. So, we will start training them in our existing plants and then once the new plants are ready, they'll be shifted over there. Of course, there's some experienced people also will be shifted over there. So, there's going to be a mix of new people and experienced people in the new factory. There could be a temporary increase in cost, but since many

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people are coming in at entry level trainees, the impact may not be so high in relation to the increase in the top line. We will give more detailed numbers about this during the February earnings call. But as I said, because the people are coming in at entry level positions, the impact may not be so large.

Moderator: Next question is from Jainam Jain from ICICI Securities. Please go ahead.

Jainam Jain: The question I had is what would be the top line, bottom line and CAPEX guidance for FY'25 and '26?

Nikhil Kumar: Yes, FY'25, we have given a top line guidance of INR 1,250 to 1,275 crores. We have done INR 76 crores net profit in H1. But we have done something like only 46%, 47% of the total sales. So, with 53% of the sales taking place, 52% of sales taking place in H2, we will see more margin coming in, in H2 compared to INR 76 crores what we did in H1. And the CAPEX that we will spend this year would be INR 80 crores.

Jainam Jain: And FY'26?

Nikhil Kumar: FY'26, we have not yet given the initial guidance. We will give the guidance in February, but tentatively in earlier calls we have given 17% to 18% top line growth as being the compounded growth. I think we will definitely exceed that. So, we will give you firm guidance in the February quarter, but it's definitely going to be higher than what we have earlier guided.

Moderator: Next question is from Himanshu Upadhyay from BugleRock PMS. Please go

ahead.

Himanshu Upadhyay: My first question was what is the increase in labor wages, and have we settled with labor union, and for how many years that settlement has happened?

Nikhil Kumar: No, we have not settled this matter with the labor unions, Himanshu. The matter has been referred to the labor court. And these things take a lot of time once it goes to the courts. So, it could take a year maybe or more to settle this issue. And regarding the increase in the labor cost, I will just ask Varalakshmi to talk.

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M.N. Varalakshmi : Yes, we have made a provision for 8% increase, which we have offered to them initially. So, that has been taken care in the wage cost.

Himanshu Upadhyay: One thing, in this Turkey where we talked that good growth is possible in next financial year ahead. If I look at the order book is that INR 17.4 crores and last quarter it was INR 16.6 crores. So, are we expecting new orders win there and hence good growth in future years ?

Nikhil Kumar: Yes, we are negotiating, and these are going to be coming in Q3 or definitely early Q4, but they are sure. We have completed the negotiation. We are only waiting for the documentation to come through before we can announce the orders for the market , but it will come for next year .

Himanshu Upadhyay: Is the product segment remains the same what we were earlier making in Turkey, or the product

segment itself is new?

Nikhil Kumar: These will be generally primarily geothermal generators and there will be a few hydro projects. I can say it could be to the tune of € 3 to € 4 million for next year.

Himanshu Upadhyay: We have seen gross margins improvement to 36% and the highest EBITDA margins. Can you give some idea on what is leading to this improvement -- are we seeing raw material price change or the product mix change itself is also happening or what could be the drivers? And how sustainable are these numbers and what would be our future expectations on gross margins, if you can think if you can give some idea?

Nikhil Kumar: We always give a guidance of around 33% to be the gross margins and we do better than that. So, we are still going to say that. That is you can take 33%, 34% as being the gross margins and the company will try to do better than that.

This has been driven by product mix, this has been driven by more export orders, larger machines and also we are getting better prices because the factory is also full. So, we are able to negotiate better prices and overall this is leading to a better, better gross contribution .

Moderator: Next question is from Deepesh Agarwal from UTI AMC. Please go ahead.

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Deepesh Agarwal: One question I have is on the traction motors. I think last week you put up press release on the order win on export side injection motor. Can you help us understand how is the scale up expected and is it with the existing customer only?

Nikhil Kumar: No, this is not with the existing customer, this is a new customer. It's a large multinational company, it's a large power company based out of CIS region.

We need to deliver the first set of motors. We have mentioned INR 18 crores as the first trial order in April or May next year, and then they'll be sent for qualification and then we'll ramp up to start somewhere around Q2 or even Q3 next year and we are looking at something like INR 60-70 crores per year business for around five years. We should see some numbers coming in.

Definitely maybe INR 18 crores first we have the order on hand for next year, maybe another INR 20 crores will come for FY'26 and then FY'27 onwards, INR 60 crores per year will come.

Deepesh Agarwal: And are we looking at a similar such opportunity in international market?

Nikhil Kumar: Yes. So, I have mentioned in the earnings call speeches, there's one more opportunity that we are very close to announcing. Of course, the contract signing may not happen this quarter, but it will happen next quarter, and that is with an existing customer and this is again for the export market. This is taking a little bit more time because we are negotiating with multiple entities

across the world, and it's not always possible to get the right time, and the negotiations are taking a little bit longer for the contract, but we are the chosen party. But until the contract is signed, we really can't announce it. We hope that we should be able to do this. Target is to finish this quarter before the Christmas holidays. If we don't do it, then I think it will be done in Jan.

Deepesh Agarwal: I think you were also positive on the domestic traction motor ordering. Anything happening out there now?

Nikhil Kumar: Yes, so we have heard from very reliable sources that the current factory where our customer is currently building the 12,000 horsepower locomotive, is also 26% owned by the Government of India by Indian Railways. They have to do something to that facility after FY'28. So, we have got very reliable information

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that there are two more tenders coming up for freight locomotives and we should be hearing about this I think in the next month or so.

Deepesh Agarwal: In the remarks, you also mentioned 43 MW of geothermal order now you are

executing and there is a possibility of 1,000 MW geothermal order is also in the market. I want to understand how is our capability to cater to such large orders of say 1,000 MW?

Nikhil Kumar: There will be multiple units leading to a total of 1,000 MW. So, it will be multiple units of 40 MW or multiple units of 80 MW. It will be either 80 into 12 or it will be 40 into 24.

Deepesh Agarwal: And usually the realization in geothermal would be comparable to your hydro business?

Nikhil Kumar: No, we make much better margins in geothermal. It's a very special machine.

Deepesh Agarwal: Would it be possible for you to quantify roughly per MW kind of a thumb rule??

Nikhil Kumar: No, because it's too customer-specific and it's confidential information for the company, so we don't want to give this number out.

Moderator: Next question is from Khush Nahar from Electrum Portfolio Management. Please go ahead.

Khush Nahar: I have one question. The new plant that we are planning to establish, what would be the revenue potential at peak utilization from this plant?

Nikhil Kumar: We are putting in an investment of about INR 120 crores and the investment ratio is 1:3.5. So, we should get another around INR 400 crores of turnover from this plant.

Khush Nahar: Sir, any guidance over the next 3-4 years what kind of growth you're targeting assuming towards 20% EBITDA margins, what type of top line growth?

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Nikhil Kumar: Earlier, we have given conservative guidance of around 17% to 18% top line growth, but we are definitely in a situation where we are going to revise that, because this year itself we have already given a revised guidance of 25% to 27.5% and we will give a revised guidance for next year. So, I have already said it will be better than 17%, 18%. But the shift to higher guidance for a little bit longer period, I will do that when we talk in February. We do want to give a fairly accurate picture of where we are in the market, obviously, the numbers are much better, the company is doing a lot better, we are in a better position worldwide for getting better orders, obviously, we would like to communicate this to you. It's going in that direction very positively is all I can say. Exact numbers or more accurate numbers will be given when we talk next quarter.

Moderator: Next question is from Manoj Dua from Geometric. Please go ahead.

Manoj Dua: My question is on Turkey. The potential was there in Turkey in the past itself, but there were some problems due to some reason this quarter was not coming, and we have to stop it down. What are the fundamental changes that have happened in an overall market in Turkey or is it the customer-specific order that it went?

So, I want to understand what change has happened in the Turkey market.

Nikhil Kumar: The Turkish market is a power deficit country. So, there is a requirement for more power plants. It's also one of the largest geothermal markets in the world because they have a lot of sites where geothermal power plants can be set up. They have those reservoirs. It's a gift of nature. They could not put up those

power plants, mainly because they had very high inflation in the country and they had very highly depreciating currency. So, when they had to borrow in euros or dollars to put up these power plants and get paid for the electricity in Turkish Lira, the depreciation of the currency was so rapid and so large that it was not financially feasible for them to repay any debt which was in euros or dollars. That situation is now changing because inflation is stabilized, and the currency is stabilized to some extent. So, the market is reviving once again. Manoj Dua: What is the size of the order and is it from one customer or more customers? Nikhil Kumar: No, these are multiple customers, and I have given an indication that initial

ly
we are looking at something like € 3 to € 4 million next year top line.
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Mode rator: Next question is from Kiran from Table Tree Capital. Please go ahead.

Kiran: I have two questions, one strategic, one operational. So, the strategy question, Nikhil, is I mean I am getting a sense of Déjà vu being an investor for a longer period of time. In 2011 -12 we put up a new capacity of 50 to 200 MW and then the cycle kind of peaked out, right. So, in this scenario, I hope it doesn't. But in terms of your conversations, again, I am not looking for any number per se, but more on a strategy persp ective. In your conversations with your clients, OEMs and other customers, we've gone from single product, single geography, single segment in the last 12, 13 years to multi -product, multi -segment, multi -geography kind of a company which is fantastic, righ t. Because we are putting up the new capex , so if you can just tell me, are you seeing a sense of peaking out in the next year or so in terms of orders and in terms of the cycle kind of peaking out or the client that you're talking to, are basically saying that this is going to continue for three to five years, numbers, just on the conversation basis?

Nikhil Kumar: This is a good question. I think that this is something that obviously we asked this question 100 times within our factory before we put up new capacities because we have been influenced by the past. But you're right. But one thing is we are a multi -product com pany, multi -geographies, multi -verticals and we are working with different OEMs across the world. So, what we see is that especially in the gas turbine, gas engine business is that this is more of a structural kind of demand which is coming driven by artif icial intelligence data farms where different kinds of numbers have been thrown around, but wherever you read, wherever you see, talk about demand for electricity from this sector alone, we come across huge numbers like 200 to 400 to 500 GW of power requir ed just for this segment. And this cannot be met by large, let's say, gas turbine power plants in the region of say 200 to 400 MW because there are only a few companies making them, they are all booked out for the next three to four years. The large part o f this demand is going to come, be met by the smaller sizes between 20 and 50 MW, and that's what we see, that's what our customers are also saying, our customers, meaning our OEM customers. So, we feel that this cycle in this particular segment itself is going to be a big driver for growth. Then, of course, there is oil and gas , there's fracking. The TD Power Systems Limited
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replacement for Russian gas is still a continuing issue in Europe. So, America is going to be a major supplier to Europe for gas. So, there's going to be more exploration taking place. That is also driving demand for these smaller sized gas units. Then there is the grid stabilization units. So, these are the structural demand is coming from these things. We believe that this is not the p eak, this is actually probably the start or middle of a cycle where we are seeing this demand playing out for many, many years going forward. On top of that, the renewable push, hydro, is always going to be there and the domestic market while today it coul d be a little bit subdued, I don't think by any standard it has gone. Probably there is some backlog from the elections that took place earlier this year, but the market is strong, it's going to come back, India is a big economy, we plan to double our GDP in the next five to seven years. So, we are going to need electricity. And this demand for electricity in India is going to continue for some more time. Then we have a motor business where we are

just starting to grow and it's a much larger business compared to much larger business

compared to the generator business. So, we have a lot of scope to grow over there. I believe that we are in the very unique situation where we have multiple areas to grow, and I think that we have multiple areas to keep sustainable growth for a longer period of time. By no standard I believe that we are in the middle of a bubble.

Kiran: A question, Nikhil, then is, because when you talk of data centers, you guys keeps talking about nuclear, you guys keeps talking about solar, using winds. Are these opportunities or all these variations like especially nuclear, is it a variation of a steam turbine for us, how it translates to us?

Nikhil Kumar: Whatever people are talking about nuclear, right, so yes, there's an order being given for nuclear 500 MW. That's what we know. And that's going to be delivered somewhere around '28, '29, '30. It's far away. The technology has not yet been established. What's really happening is if you see that there's such a huge demand for electricity, we are talking about, as I said, 300, 400 GW of power that these large companies who are driving this demand, they are trying everything. They said, they are signing PPA with geothermal. This big geothermal opportunity I talked about. The PPAs are being signed by guys like Google, Microsoft, Meta and so on and so forth. So, they are putting their
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fingers in geothermal. They are putting their fingers in small nuclear there. But today their requirement is being met by gas. And so they are talking about changing the mix in the future. But these technologies and scaling up to the level that they want is going to take some time. They want everything to be done in the next five years or seven years, right? So, I don't see things like small nuclear and everything really affecting the medium-term demand from our point of view even if it does become a success and I hope it does become a success, because they are talking about unit sizes of 75 to 80 MW. TDPS can make these generators. So, if this technology does become widespread, that small nuclear becomes a commercially viable thing. Then it's a huge new sector of demand for TDPS because we are right there in this 80 MW range and we will deliver those machines then for the next, I don't know, 20 years.

Moderator: Next question is from Rahil Shah, who's an individual investor. Please go ahead.

Rahil Shah: My question is regarding while the EBITDA for the first half is impressive, the cash flow from operation have been weaker due to increase in inventories and receivables. Can you please explain why the inventories are so high? Also, whether inventory is largely in raw material or in finished goods?

Nikhil Kumar: The ramp up in production is taking place. We are ramping up our production to a very high level. So, we had to secure the raw materials because the factory is running so full that we cannot afford any disruption of time due to logistics issues or getting raw materials. So, we have booked up raw materials. Second is that as far as electrical steel is concerned, which is a major part of our total buying, we are buying from outside India and there are indications that the imports of steel may be restricted next year, there are strong indications that we have and domestic steel is far more expensive compared to the steel that we are buying from outside India. So, in order to avoid a situation where we are stuck with buying expensive steel which will definitely affect our margins we took a decision to buy a lot of steel even for next year, not only to cover the demand for the next two quarters, but also to cover a large part of the demand for next year just to protect our margins and also to protect our supply situation. Now, this has eaten up a lot of cash. So, the ratio of the increase in inventory,
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about 58% is in raw materials and 42% is work-in progress, there's hardly any increase in inventory due to finished goods.

Rahil Shah: My second question is we understand that the motors business segment is growing at a robust pace. Where are we getting these orders from and how

sustainable is it? What's the growth outlook for next three to five years on this segment?

Nikhil Kumar: We are getting the motor business in exports and domestic and we are focusing on the larger sizes. Export, we are focusing on oil and gas , compress ion, hydrogen and things like that where we see very good scope for growth, the market is simply huge, could be \$ 10 billion or even more. So, our share is miniscule. Any growth that we show, although may be impressive for us, is still a drop in the ocean as far as the overall market is concerned. Plus, we have domestic, then we also have the synchronous motors which from time-to-time, we get some there are some big orders in the market. So, all these put together is driving the growth for our motors. So, we said INR 80 going to INR 160 for next year and. I don't want to give a guidance for FY'27, but it's going to be another big increase for FY'27. There's a lot that we are doing to establish ourselves in various parts of the market. This motor business will I grow for TDPS. It can be as large as the generator business and that's what we are trying to make it.

Rahil Shah: My last question is, are we still investing in robotics and automation as we did over last three to four years?

Nikhil Kumar: Oh, yes. In fa ct, the new plant will have more of it. When you put up a new plant, you have a chance to design it exactly the way that you want without having any constraints of disrupting production and putting in new processes and things like that. So, the new plant i s going to be just as much as automation as possible. We are going to have more robotics, more automation, more efficiency, and we are going to use all our knowledge, all our experience to put up the most modern and most beautiful factory that we can think of.

Moderator: Next question is from Nikhil from SIMPL. Please go ahead.

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Nikhil: My understanding could be a little bit off, but just one thing, if we go back two years, when the commodity inflation was very high , at that time we had repriced our contract s in such a way that commodity was a pass -through for us, so that our margins could sustain around 30%, 32%. Now today when we see the steel prices are low, is the realization also fallen for us because initially in one of the questions you said, our prici ng today is like we are getting better prices. Have the prices become independent of the commodity prices now?

Nikhil Kumar: I don't see a big correction taking place in electrical steel prices or copper or other special forging steels and things that we u se compared to post -COVID. We see the prices more or less flat or in some cases like copper, it is maybe even higher. So, we are arguing with anyone who talks to us on these lines, saying that, no, please show us the proof and there's no reduction no relief for us in terms of raw material prices. Our gross contribution expansion is taking place due to better product mix. Export has always been more profitable for us compared to domestic. So, more better product mix. And also doing more aftermarket w ork and things like that is also leading to better margins for us.

Nikhil: So, in one of the previous questions you said we are getting better prices because our plants are running full -

Nikhil Kumar: In some cases, definitely. When we are bidding for new jobs, sometimes we are not so desperate to take this order. In some cases we are getting. See, the better gross contribution is a summation of a number of small things, there's no one or two big things. It's 2.2% for this reason, #1, 0.3% for

reason #2, 0 .3%

for reason #3. So, it's a number of smaller reasons, which overall accumulates in getting say 1.5% better.

Moderator: Next question is from. Alisha from Envision . Please go ahead.

Alisha : Just a clarification. The new capacity you said will come in pha ses. Is the phase -I of first building expected in H1 of '26 or H2?

Nikhil Kumar: Around May, June for the first, July for the second, August for the third.

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Alisha : The new plant should be operational by H1? Great. So, the next question was Turkey plant has been shut since the last more than one year. Will it require any investments because we are witnessing an uptick in orders again and I

believe that we were almost like to liquidate that plant?

Nikhil Kumar: No, no, we had taken a factory on rent and we had just basically lock the door, we just shut everything, now we open the door, we clean everything and start.

That's basically what it is.

Alisha : So, no incremental investments will be required to ramp up the operations?

Nikhil Kumar: No.

Alisha : Sorry, I must have missed this, but any update on the brush order that we had won a couple of quarters ago?

Nikhil Kumar: Vinay, do you want to talk about the brush business, especially the generators that we are supplying with our own design?

Vinay Hegde: Yes. Brush business is going good and we had the top management visit last week and they have given some good indication for next year and the first order we have already tested and dispatched and we have a couple of more orders under execution and we are expecting 3-4 orders in this Q3 and so far it is going very well and for next year business they have given a good indication of business with TDPS design machines.

Alisha : So, in light of everything that we've been seeing, the brush orders expected in Q3, the Turkey orders expected in Q3, the incremental gas engine orders expected in Q3, we are expecting very strong inflow in H2?

Nikhil Kumar: Yes, I already gave indication in my opening remarks that we had INR 360 crores order inflow which is the highest ever for the company in Q2. I have already said they are going to exceed that in Q3.

Moderator: Next question is from Rohit from iThought PMS. Please go ahead.

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Rohit: Just two questions. On the traction motor side, we got this order of INR 300 crores over five years. You mentioned two things. One, there is a similar order that you may eventually get and also in terms of the Indian railways order, which is sort of getting over in the next couple of years, there also you may get something. So, will we have enough capacity, or will the new plant then probably take care of that so in case all these things get fructified? And then also I think in your presentation you mentioned that you started to win something from the Indian railways as well. So, if you could maybe explain that a bit? I am not very clear if the capacity will be enough, if you can just maybe explain that?

Nikhil Kumar: Once the qualification is complete for these jobs, we may need to have a separate facility for traction business... completely separate facility, meaning a separate building only for the traction business. It's in our planning and we will execute on that as soon as these qualifications are completed and we have passed this test and then putting up that additional shop is not a problem, we will do it... we will have to do it. These traction motors tend to be small machines, so we don't need a big building with a very heavy crane capability, and it can be put up very quickly in say three to four months' time . It's in our plan and we are just waiting for some milestones to be crossed. And once we are 100% sure that business is going to come, we'll make the investments.

Rohit: That you think is like 2 -3 quarters

away or more than that?

Nikhil Kumar : Maximum two quarters away. I mean definitely we will have the investment decisions taken by Q1 next year. Look, I think the way things are going, Rohit, is that we have the lineup, right, we have the business, we sign the contracts, we have to make the prototypes. And once the prototypes are cleared, then the volume production will start. So, just be a little conservative, we are waiting for the prototypes to be cleared before we take the decision to put the factory. But, after the prototypes are cleared, we will have some six months time to ramp up and so we will do it that way. But we are not going to let go, we have the prototype orders, we are not going to let this go, we will make it successful.

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Rohit: The second question was geothermal. So, you mentioned that you've done some orders in the US. I think 3 -4 years back you talked about getting some strategic customers like you got in gas engine. I mean just wanted to get a sense on that. Is that something that is happening, I mean earlier in the call you

mentioned that like the entire space is sort of going crazy in terms of demand, whether it is this energy, whether it is geothermal, everything. So, I am just trying to understand, are you also trying to get some strategic customers so that you have like a steady stream of business in those verticals as well or is it just a bit too early to think about those things?

Nikhil Kumar: Our OEMs who are bidding for these larger geothermal plants in the US are the same ones that we have developed and working with us for the past four or five years. Because the generator is coupled, it is sold with the turbine by these OEMs to the end user. But these larger size geothermal facilities what we are talking about, these are based on a different method of drilling, which is they are using the same techniques as fracking, horizontal drilling to exploit the wells and get more heat out of these wells and better utilization of the geothermal wells and power. It's a very interesting technology. I can name the end user also, there's a company called Fervo, that's the end user and it's very well known in the US right now what they are trying to do, you can check on the internet and it's all available. TDPS is the generator vendor for their phase - I prototype power plant and they have signed the PPAs with a number of large, as I said IT companies. There will be others who will do the same thing down the line. So, it's not this technology is not rocket science, but they are the first to do with this. So, I think this geothermal market in the US has a lot of potential.

Rohit: I think a few quarters like you talked about winning an order from a startup which is backed by a global oil major on the carbon capture. I think you supplied motor to them. How is that ramping up, anything that you want to share on that?

Nikhil Kumar: It's going to get commissioned this month or next month and then they will start ordering some more.

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Moderator: Next question is from V.P. Rajesh from Banyan Capital Advisors. Please go ahead.

V.P. Rajesh: Just on this traction motor that you're talking about, the capex you're planning, is that part of INR 150 crores CAPEX or that would be separate?

Nikhil Kumar: No, no, we will need the new capex for next year if we have to do these things, we will have to have incremental capex over the INR 120 crores that we have talked about.

V.P. Rajesh: And then you talked about getting some orders from Japan for waste to energy. So, is that similar to what you had gotten from Germany a couple of years back, and if you can just give a little more color around these two opportunities?

Vinay Hegde: These are the same waste to energy power plants. Basically, now we have got one o

order from Singapore for a waste to energy plant. This is also mainly for a data center which is being put up by Google. There are many such power plants are going to come in the market because everybody is moving towards carbon net zero and these countries like Japan and Singapore they also have the limited land available. So, they have to use the waste and generate the power by using that. There are many projects coming up like this and Japan is the main market for us as of now and we are getting good amount of orders from Japan and this Singapore one is mainly for the data center from Google. These are mainly coming for cloud computing, artificial intelligence and digitalization. These data centers require huge power and they also have to have carbon reduction demand they have to meet. So, this serves both purposes. So, it has good potential.

V.P. Rajesh: So, one question is that we are getting opportunities from data center coming up in the export market, but data centers are coming up in India also. So, is there any specific reason why we are not getting those orders or are we getting those orders? I just wanted to check that.

Vinay Hegde: See, there is a data center coming up from Reliance, but the problem is in India this waste to energy this market is not matured. There are a few plants commissioned in India and there are many in the pipeline. That is one issue.

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And there is no gas available in India for putting up the gas power plants. So, these data centers in India still they depend on either the grid and as a backup they go for huge diesel power plant. So, we also have got some good enquiries from data centers for the backup power plants which they use diesel power plants, for example, Reliance is coming up with a very big data center, we have those enquiries. But these things are going to take time and they can't go for these kind of renewable energy in India, either they had to go for solar or wind that is again connected to the national grid and they get the power from the grid.

Nikhil Kumar: But you will not have guaranteed power with solar and wind. So, what we are seeing in India is still diesel and diesel means it is 1-2 MW size. That is not the core area of business for TDPS.

Moderator: The next question is from Manav Singhal, who's an individual investor. Please go ahead.

Manav Singhal: So, I wanted to understand what the market size for hydro generators as well as the gas engine generators? And since we are going at these segments in the rapid phase for the last 3-4 years, are the market for these segments also growing at a rapid pace globally?

Nikhil Kumar: Yes, it is difficult to get exact number on this growing market, but definitely both the hydro market and the gas engine business world market is growing at more than 10% per year. And we have estimated the gas engine business market, I don't have the exact number, but it could be around a billion dollars in our sizes itself, and hydro could have been something like \$ 500-\$ 600 million market and growing very rapidly. So, there's a lot of scope for us to grow within these spaces.

Manav Singhal: My other question was that we have been installing these generators from 2000 onwards and it's been 25 years for us since then. So, other than that, are we also seeing traction in the aftermarket segment? And also would there be a replacement demand coming soon in the future?

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Vinay Hegde: You are very right. But we started in 2001, and the volume started picking up from 2008, 2009 for our own machines. But we are not focusing on our own machines which are not quite old and these machines what we produce are very robust machines, but there is a potential for machines supplied by others like BHEL and other our competitors and Chinese machines which have

been

supplied in India, there are good potential of machines. If you see, our aftermarket business is also growing at 20% to 25% and recently we have got some very good orders outside India for replacing our competitors machines that we do on regular basis and there are very good number of enquiries, we have already participated in the tenders, there are some government jobs, one big hydro project we are now executing, there are three machines in that project. So, we are seriously focusing and since last three years we have started looking at this market and it is yielding results. So, there is a good market for not only our machine for replacing and upgrading and refurbishing our competitors machines as well.

Moderator: Due to time constraints, we'll have to take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Nikhil Kumar: Thank you very much, everybody for joining this call. We have answered a lot of questions today and it was a very active conference. We thank all for your time. I wish you all a very, very Happy Diwali and your families and we look forward to meeting all of you in some upcoming investor conference face-to-face in the next couple of months. Thank you very much and see you next quarter.

Moderator: On behalf of TD Power Systems Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2025

February 12, 2025

Dear Sir/Madam ,

SUB: TRANSCRIPT OF EARNING CONFERENCE CALL – QUARTER ENDED DECEMBER 31, 2024.

In Continuation of our letter s dated January 24, 2025 and February 04,2025 , regarding intimation of earnings conference call, the transcript of Q 3FY20 25 earning conference call held on February 07,2025 , is enclosed and same has been uploaded on the website of the Company at www.tdps.co.in .

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

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"TD Power Systems Limited
Q3 FY '25 Earnings Conference Call "
February 07, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 07th February 2025 will prevail .

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR –
TD POWER SYSTEMS LIMITED
MR. VINAY HEGDE – GLOBAL HEAD, SALES AND
MARKETING -- TD POWER SYSTEMS LIMITED
MS. M.N. VARALAKSHMI – TD POWER SYSTEMS
LIMITED

TD Power Systems Limited
February 07, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the TD Power Systems Limited Q3 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone .

I now hand the conference over to Mr. Nikhil Kumar, Managing Director of TD Power Systems Limited. Thank you, and over to you, sir.

Nikhil Kumar: Thank you, everybody. Good afternoon. Thank you once again for joining us on our earnings call. I trust all of you would have received our results and investor presentation. Moving on to the financial performance for the 9 months ended 31st December 2024.

Consolidated : Our total income on consol was INR 9.43 billion versus INR 7.48 billion same period in the previous year, an increase of 26%. Profit after tax and other comprehensive income for the first nine months of the year is INR 1.21 billion versus the profit of INR 0.88 billion, an increase of 37%. We continue to maintain a strong cash position of INR 2 billion .

Standalone: Our total income on a standalone basis for 9 months was INR 9.02 billion versus INR 7.32 billion over the same period in the previous year, an increase of 23% . EBITDA for 9 months is 17.45%, including other income excluding treasury income. Profit after tax and comprehensive income for 9 months is INR 1.09 billion versus profit of INR 0.88 billion in the same period of previous year, an increase of 24%.

Order book of Manufacturing segment is INR 13.09 billion, which consists of INR 9.6 billion manufacturing business and INR 3.33 billion railway business. Sales and aftermarket is INR 0.13 billion and INR 0.03 billion is Turkey business. Export and deemed export, excluding railways orders is 66%.

The order inflow for the quarter is INR 4.07 billion, highest ever since the inception of the company. Order inflow has increased 52% quarter -to-quarter and 40% in the 9 -month to 9 -month comparison basis. 71% of our quarterly order inflow is exports, while 29% is domestic. We have seen some traction in the domestic order inflow during the quarter.

Domestic order inflow for the last 3 quarters has been percentage -wise 28%, 27% and 32% , that is INR 81 crores, INR 96 crores and INR 130 crores, respectively.

Order book, market situation and guidance : The order inflow continues to be very, very strong from export in the generator and motor business compared to the previous year. The order inflow is still mainly dominated by exports, but over the past 3 months, we have also seen the domestic order inflow increase. The increasing trend of domestic order inflow is also part of Q4, which augurs well for steady growth in the domestic market. The domestic market order inflow in absolute numbers has been increasing gradually, as mentioned before, INR 0.81 billion in Q1, INR 0.96 billion in Q2 and INR 1.36 billion in Q3.

On a 9 -month to 9 -month basis, the order inflow of domestic is still down 10% compared to last year, showing the overall situation is relatively weaker. However, one should look at the increasing trend, and we see the increasing trend continuing in Q4. So we are confident of domestic demand holding up for FY '26, although for TDPS it is exports that is the main backbone of the business.

In international market, 9 -month to 9 -month ba

sis, the export order inflow has

increased by INR 3.5 billion from INR 4.01 billion to INR 7.52 billion, which is an 88% growth. We have extremely strong order growth in the order book and export business from gas turbines, gas engines and motors.

Exports and these exports inflow is 71% of the total order. This shows the overall trend of the company in all geographies over the world, presence in multiple sectors like gas, hydro, traction, clean energy like biomass, heat recovery, et cetera. Most importantly, we're cutting deeper into the market and winning greater market share due to greater acceptance of our products.

The gas engine and gas turbine business continues to be driven by demand from CHP, that is combined heat and power plants, AI, server farms and data centers, grid stabilization units and Ukraine. Demand is extremely high. Future forecasts are extremely high for the next 18 to 24 months. This is important. We have received renewed commitments from all our customers that the investments for AI in the next 18 to 24 months are intact, and there will be no changes in the trajectory of power capacity addition in the U.S. In fact, with the hold on all wind projects in the U.S., no capacity addition is forecast to come from gas turbines, which will be positive for TDPS. We're working around the clock at the moment. And once the new plant comes in, we will have some relief on capacity.

We have received orders from the Turkish market recently in Q4 for EUR 0.46 billion (the order value was inadvertently mentioned as INR 0.46 billion during the call, however the correct figure for orders received is INR 0.26 billion as mentioned on page no. 13) for execution in FY '26. This is the first large order after a long time. There are more inquiries in the pipeline, and we can expect steady business to come from Turkey in the quarters to come. All orders from Turkey are denominated in euros, so we stay immune to high inflation from the local market.

Motors : we have given some highlights of our motor orders in the investor presentation. These examples show that we are continuing to make inroads in the market with references in establishing our brand name and credentials.

These references will trigger larger orders in the future. We are the foundation laying stage and increasing our footprint in India and worldwide.

The motors business growth is going as per plan. Once again, we would like to mention the approximately INR 0.5 billion order we got from Nuclear Power Corporation in Q4, which is a big breakthrough order for TDPS. In general, the export business is the key driver for our growth for generators and motors with demand coming in from multiple markets and multiple verticals.

In particular, the gas segment, both gas turbines and gas engines are exceptionally high and will continue to be so for the next 6 to 8 quarters. The future growth will be enhanced by traction motors, motors and other new products as and when they are introduced. Guidance for this year, FY '25 will

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continue to be INR 12.75 billion and initial guidance for FY '26 will be INR 15 billion with an upside potential based on the current order inflow rates. In conclusion, we are poised for another round of growth. We see exciting opportunities in front of us, and we're gearing up to meet the demand with our new and existing factories. We have just a small fraction of the world market share and our growth potential is huge. On top of this, we are still bullish in the domestic market, and we strongly believe that there will be growth coming after a shortfall.

India is a severely power deficit country and the macro situation on power has not changed. All large industries need captive power plants. This brings me to the end of my initial remarks. I'll be

now happy to address all the questions that you may have. Thank you.

Moderator: The first question is from the line of Bobby J from Falcon .

Bobby J : Yes. My question is, what would be the impact of high storage battery systems on your generators? Because right now, some of your generators are used as backup supply. But if batteries do this job, then what would the impact be?

Nikhil Kumar: Batteries are forming a part of the overall power installation. But the overall demand for power is still so high that batteries are still a very, very small percentage of this mix. Batteries also tend to be more expensive. So we don't see the battery business, at least for the next 6 to 8 quarters, impacting our business at all.

And just to continue that batteries can only store power and deliver power for short periods of time as backup, whereas if you want to have backup power for longer periods of time or you anticipate that there could be a peaking demand and things of that, the batteries is not the ideal solution. You need to have regular power generation from gas. And so there are increasing number of critical applications where you cannot risk having limited capacity from a battery.

You need to have the backup from gas. And so we are seeing that the demand for our products is not really impacted at all from this battery solution. Yes, the battery to some extent of the market is going over there, but it's not coming into the large -scale power generation that we are involved in.

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Moderator: The next question is from the line of Ganeshram from Unifi Capital.

Ganeshram: Congratulations on your performance. Great set of results. I have 2 questions, please. The first one is broadly on the guidance that you provided to us, right?

Typically, Q4 tends to be a stronger quarter than Q3. So if I extrapolate it, then I think that INR 1,275 crores number is sort of -- we can easily achieve it or we can slightly exceed that.

But is there something that I'm missing? That's the first part. And the same on the guidance that you've given for FY '26, right? So if my understanding is right, the new capacity can churn about INR 400 crores in revenue. So if it comes in second half next year, that's INR 200 crores just from the new facility

and about INR 1,300 crores from the existing facility.

So basically, the execution needs to be on spot, so it's able to run at 100% capacity from the day it's commissioned or you have to build an inventory, right? So which way -- how are you going to basically ensure that we'll be able to achieve the guidance that we've sort of set out.

Nikhil Kumar: Yes. Thanks a lot. Thanks. Good point. So we hold on to this year's guidance of INR 1,275 crores. We're running flat out, but we have certain limitations on how much more we can produce. But we're holding on to the guidance for this year. For next year, the INR 15 billion is an initial guidance.

And looking at the way things are going, we're definitely going to do much, much better than that. And we will upgrade the guidance in the upcoming quarters. But looking at the way the order inflow is continuing to be, looking at the demand for the products, it's going to be a most likely scenario. So we will start commissioning our plant -- new plant around middle -- stage-wise around middle of Q1, and then it will be fully in line in Q2. So we'll start seeing increases in our production in Q1. We see increasing in our numbers in Q1. We'll see the further increases taking place in Q2. So execution is critical. We have to complete everything on time. The orders are there. Customers are demanding the product that will be delivered on time. So we are under pressure. And we are working around the clock, not only in our factory right now, but also working around the clock to make sure the new plant will be commissioned on time. So we

have to make things happen.

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Ganeshram: Okay. Maybe I'll connect offline just with a few more details on that. And just broadly, a second question, if you don't mind, is the order book inflow, I read in the presentation, you mentioned the current inflow of about INR 400 crores per quarter would be sufficient for us to deliver on guidance, which I'm on the same page as you.

What I'm trying to understand is, would I be right in saying that you continue to expect a larger part of this INR 1,600 crores annualized would come from exports, some moderate growth from domestic. Then you have the railways, some portion of it running out, but I can see you won something in Germany, right? So how should we think about it as a whole? If you had to sort of mentally break down the INR 1,600 crores, where would you see that split be and actually?

Nikhil Kumar: INR 400 crores is the current order inflow. So if you annualize it, yes, INR 1,600 crores. But let's say, we're talking about INR 1,500 crores, which is the current guidance. From that, while current guidance, the railway business will still be only INR 100-120 crores, which is the current Alstom order or current order for the e-Loco project in India.

The export jobs will -- although they will start by Q3 FY '26, I mean the volume production will start. We'll not see significant numbers coming in from this business in the next financial year. So we are not factoring that in. We have to start, but it will not be in full swing. The full swing will start really in FY '27 (wrongly mentioned as FY'26), both for the German market as well as for the U.S. market. So those numbers will then go into '27 (wrongly mentioned as FY'26).

The other products, that means the motor and generator business will then have to deliver something like INR 1,400 crores to achieve the initial guidance of INR 1,500 crores. And looking at the current inflow rate of INR 400 crores per quarter, which is excluding traction, I think you're right.

As I also said, we will definitely upgrade the guidance. We have a lot of margin. We have a lot. We don't have a problem. We're not going to have a problem with numbers. We have to get our plant in place and start producing more.

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Moderator: Next question is from the line of Anand Trivedi from Nepean Capital .

Anand Trivedi: Congrats on a good set of numbers. First question I had is, are you all at all exposed to the U.S.? And if so, are these some tariffs, do you expect them to impact you?

Nikhil Kumar: Our exports to the U.S. will be something like 8% of our overall turnover. And the products that we are exporting to the U.S. to our OE to the gas turbine manufacturers over there have a 2 -year qualification, which is required for any other generator manufacturer to, let's say, replace us in the event that duties do come in. We've been talking to our customers about this.

And right now, we're all waiting to see whether the Trump tariff will also apply to India or not. It may or may not, we don't know. If there is a tariff coming in, then for the short term, that will have to be passed on to the market. It will have to get passed on to the market. In the longer term, we will have to see where we can manufacture where the duties will not apply.

But essentially, our customers with us and we don't expect the disruption of the business to take place. They're with us . And they also cannot afford to requalify a new product. It takes a lot of time. They make a huge investment for it. So for the machines for the turbines, which we are qualified for, for the moment, I think that the customers will run with us. Short term, if the pay duties, they pay duties. But medium term, we will have to be with the customer and TDP S will have to find solutions.

Anand Trivedi: Got

it. You also mentioned that 70% of your order book is export and domestic has been relatively slow. Can you just talk about why that is the case given there's so much opportunity for power in India?

Nikhil Kumar: The demand for power in India is extremely high, but it depends on the investment climate. Everything depends on the investment climate, right? So if investments are taking place, then the power capacity addition will take place. Our business in India is relatively narrowly focused to the steam turbine business and the steam turbine business is mainly for captive power plants for large industries.

So in that sense, it is dependent on investment. If that investment slows down or whatever -- for whatever reasons, then this business in India for us also will

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slow down. But what I said is we're not seeing the businesses collapse. We're just seeing the business is tapering off from a higher level of growth to more moderate levels of growth. But nevertheless, it is growing. And we're seeing that in our order inflow quarter -on-quarter from Q1 to Q2 to Q3, the absolute numbers have been increasing .

So we're not worried about the domestic market. We're just factoring in the lower growth level. And we believe that having a steady 8%, 10% growth level for a longer period of time is actually healthy for the market.

Anand Trivedi: Got it. And last question from my side. As the exports mix in your business grows, do you see margins also going up from the current 17%? Or do you think margins are healthy where they are?

Nikhil Kumar: The margins -- export business, of course, margins will be where they are. We are very heavily exposed to the euro. We have a lot of sales in euros. So currently, the euro is relatively weak against the dollar. It's like at 1.03, 1.04. It was 1.1, 1.12 just 6 months ago.

Although we have hedged currency forward, the relative weakness of the euro does affect margins. So , with the forward covers and everything, we are going to be in line with whatever margin projections we have made. We have the third plant coming up. We have been already hiring for the third plant. So you will see that some of the costs associated with that are now already being booked by the company.

We have been hiring, we've been training people. I would to put a cap on the EBITDA margin. So I would say factoring something like 17.5% or taking to say between 17% and 18%, I think, would be where we're going to be for this financial year.

Next financial year, of course, once things are running at full pace and we

absorbed all these costs, and we're going at full capacity, I think the margins will once again improve. But let's talk about that towards the end of '26 and '27. But for now, I think 17.5% is a realistic margin.

Moderator: The next question is from the line of Piyush Sevaldasani from Sundaram Alternates.

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Piyush Sevaldasani : Congrats for a great set of numbers. My first question is on the gross margins. They have slightly come off this quarter to, I think, 33%. Can you help me understand, is this because of the forex which you were mentioning?

Nikhil Kumar: No, I think there are a number of reasons. It is a small shift in the gross contribution level. When we have a varying product mix and some quarters, we may have more aftermarket business, some quarters a little bit less. So quarter -on-quarter , to be delivering exactly the same gross contribution is difficult.

But overall, we look at our performance for over a 6 -month period or a 12 -month period. And there, we have given the guidance for gross contribution. It will be what it is. So please, quarter -on-quarter is due to these fluctuations in product mix, currencies, et cetera, et cetera.

Piyush Sevaldasani : Also we had talked about in the last con

call that we will be hiring a lot of junior level employees in the first quarter, but the ramp -up of the capacity will happen in third quarter. So would the margins be impacted for the next year, if you can help us?

Nikhil Kumar: No. As I said, I just spoke to Anand and said that you can please expect something between 17% to 18% EBITDA margin, 17.5% would be realistic to put in for next year, considering all the costs that we're going to have, considering the ramp -up, considering the product mix and everything. So it should not be just on a quarter -on-quarter basis. I think looking at the first snapshot at the end of H1, we would give a good idea. We do have top line. We have strong order inflows from all sides. We have big pending orders. We have top line. So we have to execute. And with the top line will come operating leverage and growth. So I'm not at all worried at this point.

We have to execute number one. We have to deliver to our customers. And we have put our plans in place, get our quality right. So there's a lot that we have on our plate right now. And margins will follow.

Piyush Sevaldasani : Sure, sir. My last question is on the domestic order inflow. I think it has seen good recovery this quarter. If you can help me understand what are the sectors you think are driving the recovery? And what do you think about domestic order for the next year ?

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Nikhil Kumar: The sectors are steel, cement . The normal steel particularly continues to be strong with a lot of ordering taking place in steel still for waste heat recovery, also for basic power generation. And 8%, 10% domestic growth, domestic market growth is what we have factored into the plan. If it accelerates well and good, we'll be happy.

Moderator: The next question is from the line of Rahil Shah, an individual investor.

Rahil Shah: Congratulations for a great set of numbers. I have three questions. One, starting with for last past few quarters, we have been reporting a strong order inflows. Can we assume that the existing run rate of this INR 400 crores per quarter is the new base for the next 4 to 6 quarters?

Nikhil Kumar: We can certainly say that would be the new normal of the average order inflow for the next few quarters. In some quarters, we could have greater than INR 400 crores. In some quarters, it could be a little bit less because we are present in multiple sectors, multiple geographies, multiple products, we win some large orders, then in those quarters, you will see a spike. But yes, it's going to be the new normal, INR 400 crores could be taken as being the new normal.

We do expect this to be the average order booking considering, let's say, 2, 3, 4 quarter average.

Rahil Shah: Understood, sir. Understood. Sir, my second question is around given the rate of the order flows that we have, it is very much possible that the upcoming third factory will get fully utilized by mid -FY '27 level. Are we planning to add the fourth facility in FY '27 itself? And what will be the amount of capex involved if we do so?

Nikhil Kumar: No, we are not going to be putting a fourth facility. In fact, we have identified huge potential for us to use our existing facilities in a more efficient way using Japanese methods like Kaizen and lean manufacturing, single piece flow. There's a lot that we can do, further automation. There's a lot that we can do to get more out of these existing assets after we finish this investment this calendar year.

I personally believe that at least up to maybe 2, 300 or so, we will not need a fourth plant. So any decisions which have to be taken will have to be taken

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only after '28, which is quite a way from now. After we put in this investment, the focus immediately is going to be on getting this investment up and running.

And parallelly, the plans are already going on, on how do we improve throughput, how do we reduce cycle time, how do we reduce inventories, how do we implement lean manufacturing, how do we increase automation and manufacturing excellence is going to be the theme on how to get more output from the existing assets.

And that obviously will lead to better EBITDA margins, operational leverage, better financial performance. And that's the direction they're going to be taking after this investment is over. We're not going to rush into the fourth plant until we completely flock these assets.

Rahil Shah: My last question is the company has recently announced a few orders in traction motors. How big can the traction motor business become for TDPS in the next 3 to 4 years? Can we expect the traction motor segment make a big inroad in the international market, similar to what we have achieved in gas engine, turbines and hydro segment?

Nikhil Kumar: Short term, yes, we have an upcoming order from the European market. We have an upcoming order from the U.S. market, and we're also supplying to CIS countries. So, we would like to stabilize the production. The moment we stabilize the production and we're delivering high quality, these businesses to these customers itself will increase.

So, we have a good scope to even let's say, doubling what we have projected to the market. We have that scope potentially, if we do a good job. So the focus of the company is going to be to deliver high-quality products to the existing to the new customers, and then we have the potential to ramp up the business even further. Look, it's around INR 1 billion, INR 1.2 billion right now. It could be potentially 3x the size.

Moderator: The next question is from the line of Kuber Chauhan from Anand Rath.

Kuber Chauhan: Congratulations on good set of numbers and appreciated on the good numbers as well. My question is regarding the Turkey order inflows, as you mentioned. I just wanted to know that is it more sustainable and how the demand is looking from the Turkey?

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Nikhil Kumar: So the business has started once again from Turkey. So after a long time, we have picked up this one order. It's around EUR 3 million, so somewhere around INR 0.26-0.27 billion. And there are a number of other inquiries in the pipeline. I feel that the market is going to slowly revive and slowly come back. To what new normal, I think early days for me to give a strong prediction. But there is action once again in the market. And we will be happy to report more

order inflows. We're active once again in the market. We are well established. We're still the only manufacturer in that country, making large generators. So whatever business comes from that country where we need made-in-Turkey machines will come to us. And let's wait. I hope the market recovers further. But it looks like looking at the inquiry level that the pipeline is again filling up.

Kuber Chauhan : Understood. And with the new capacity coming in line, so when can we expect the full utilization in which quarter we can expect.

Nikhil Kumar: Sorry, could you repeat your question?

Kuber Chauhan : Capacity coming online in next financial year. So ...

Nikhil Kumar: The new capacity will be partly in Q1, partly and the rest will happen in Q2 next financial year.

Kuber Chauhan : Okay. So peak utilization would be in Q2 of next financial year, right?

Nikhil Kumar: The plant will be fully ready by end of Q2, and we will see the full impact of the capacities in H2 next year. We partially commissioned one part of the plant in Q1 and the rest in Q2 and then the ramp-up will take place, and you can say the full impact will be felt in H2.

Moderator: The next question is from the line of Ankit Soni from Sharekhan.

Ankit Soni: Congratulations on good set of numbers. So just wanted to understand on the one thing, do we have any further update on the domestic traction motors order, which we were expecting?

Nikhil Kumar: No. No updates. Sorry, no updates.

Ankit Soni: Okay. Fine.

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Nikhil Kumar: We have been asking, but unfortunately, we have nothing new to report. But also conversely, we're not depending on that for our growth or replacement of what might happen after '28 when the existing order runs out. We're not waiting for that to happen. We have made alternative plans.

And if that when that stops, all the things we're doing right now will take over that. And we have 3 businesses, one to Europe, the U.S., one to CIS. So if the Indian repeat order comes, great. If it doesn't come, it's okay.

Ankit Soni: Okay. Understood. Sir, another question on the nuclear plant. What would be the strategy domestically with recent announcement in the budget for nuclear plants and all, what would be our strategy? What would be the target addressable market? And what would be the total BOM for the particular plant?

Nikhil Kumar: Okay. Look, I think the nuclear power plants have a long gestation time. So it could take even 1 decade to build a new nuclear power plant. So the only thing what we can say is that it will be a long sustainable cycle for nuclear in India for maybe decades to come. For us, we are focusing right now, we are focusing more on the existing nuclear power plants, the machines which need to be replaced.

And there's a lot of old Russian equipment in the existing nuclear power plants and the business that we're getting right now are basically replacing existing equipment, and there's a lot that can be done in this part of the market. And gradually, we are moving from out of dome and now the attempt is to get inside the dome. We are fully qualified outside Dome and getting into the qualification for inside Dome, then we get automatically approved for the new power plant also.

And all I can say is that nuclear power plant business for India motor business will be a steady business that we're going to get year-on-year. It's going to be part of our overall portfolio. But it's going to be a long cycle. And for us, it's important to be one of the key suppliers, motor suppliers to NPC.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Wanted to understand on the motor side, INR 120 crores of order book, which is there on the railway side. So how should one see the execution from this

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piece over the next 3 years? And what could be the incremental order flow that can come from this division?

Nikhil Kumar: I think I just answered that. But I mean, we have an order from the European market. We have an order from the U.S. market. We have an order from the CIS market for traction motors. These 3 are going to be the main focus of our production and sales for the next 2 years at least, and there's a scope, as I said, for us to -- if everything goes well and we achieve the full potential, to be around INR2.5 billion to INR3 billion, and that's the goal of the company to take it to that level.

Mihir Manohar: Sure. Understood. Second question was -- we see the advancement which is happening on the Gen AI side. I mean given this now. But do you see any impact on data center side of the demand which you are getting?

Nikhil Kumar: No. Actually, so there is no change. In fact, just this morning, there's a headline article, headline article from the Financial Times newspaper where all the big large tech companies have reaffirmed their capex commitments for AI, notwithstanding the fact that DeepSeek is there, and they feel that as the costs keep coming down for AI, there's going to be a wider and larger implementation base.

So it becomes

more accessible as it becomes cheaper. The overall power demand as forecasted and the investment that they forecasted are going to -- no one is backing off. And that's from the end user side, the actual IT company, the tech companies. Our customers, the gas engine and gas turbine guys, -- they have clearly told us that there's no change in the demand situation for the next 18 to 24 months.

And whatever forecasts that are there are in place to have the capacities ready and they are saying that the thing is that most of them have got long-term commitments, they have advances, non-refundable advances. They have these contracts locked in. And since there's no letup of the investment from the tech company side, which is confirmed by the newspaper article today from the Financial Times, we believe that there's going to be no change in the situation for us also going forward.

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Moderator: The next question is from the line of Himanshu Upadhyay from BugleRock PMS.

Himanshu Upadhyay: The order which we got in Turkey is after the quarter end. Is that the right understanding?

Nikhil Kumar: Yes, it's going to come Q4, Himanshu.

Himanshu Upadhyay: And we had to restart that plant at Turkey. So have we started the process? And...

Nikhil Kumar: Yes, we have order to deliver, we have restarted the process. It's not difficult, Himanshu.

Himanshu Upadhyay: Okay. And just a color in the besides railway business, in terms of hydro, gas and steam, how balanced is the portfolio in terms of product profile wise? And is that the right metrics you would like to look at the business? Or it would be more of customers or OEMs whom you look at is that a better mix of understanding the diversity of business? Some thoughts on that geography. So how are you looking at the thing? So my question was on --

Nikhil Kumar: Yes, how do you want me to answer this?

Himanshu Upadhyay: No means how balanced would be on the fuel side? Will it be now -- at one point of time, steam was a predominant business, okay? But will it be that equal share of these 3 businesses? -- hydro, gas?

Nikhil Kumar: So Vinay, you are there on this call, right? Can you please answer this question? How do you see the balancing of these segments?

Vinay Hegde: In the coming years, I think steam and gas segment are going to be the dominating segment followed by hydro segment. This year, we'll be doing the highest turnover in hydro. But hydro is a long cycle project because from the DPR to implementation, it takes much, much longer time than the other segments like steam or gas. And it's also a cyclic business.

And we are not seeing a big growth in the next year, but definitely, we are

going to grow in double digit in hydro. And there are also many refurbishment jobs we have bid for. And in a couple of jobs, we have already become L1. But

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as I said, these hydro jobs take much, much longer time as compared to the steam or gas segments.

Nikhil Kumar: Just to add the hydro business, as Vinay said, is a long cycle business. Growth is there, but it's not at the same rate as what we're seeing in the gas business.

So if we're talking about growth, number one growth is coming from the gas side. Number two, growth coming from the steam turbine side. Number three growth coming from the hydro side.

And then, of course, the traction businesses and motor businesses are relatively new businesses for us coming from a small base. There, of course, the growth is for the company percentage-wise is at the highest level, percentage-wise. So in terms of growth, I think hydro would be towards -- for a company portfolio, it will be towards the lower end.

So when Vinay talks to double digit, say, 10%, 15% growth, that will be at the lower end compared to all the other product categories where,

of course, the

growth is much, much higher.

Himanshu Upadhyay: And in domestic market, it would be still majorly steam only? Or there also you are seeing some traction on gas side generators. I'm talking about domestic.

Vinay Hegde: Domestic is mainly steam as of now. We have some small jobs in gas engine generators, but gas business is almost negligible. But there are many hydro power plants coming in India, small hydro below 25 megawatts. We have already received 3 projects, and these are good value projects.

And there are a number of projects in the pipeline like all the Northeastern states, now they are opening up for the hydro. Otherwise, as on today, Otherwise, as of today, the main dominating segment for us in the domestic market is the steam turbine market.

Moderator: The next question is from the line of Ganesh Ram from Unifi Capital.

Ganesh Ram: I just want to follow up on what I was sort of going with. On the margin front, right, so my understanding was at some point that procuring steel was getting a bit difficult and we were building up the inventory. So as things stand right now, how much of our top line would sort of be secured in terms of inventory?

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That's the first part. And then the second part is on the staff cost, right? So we have about INR 32 crores in this quarter. So as in FY '26 Q1, you start adding more staff and gradually ramp up that plant, how will the staff cost sort of evolve? And what would be the associated depreciation impact we should expect?

Like when would the depreciation of the new plant sort of start hitting our financial statements? That's just the first part of the question, and I'll come back for the second.

Nikhil Kumar: I don't have the project-specific details at the tip of my fingers. I think we will take this conversation. We can have another call. But here, basically, the investment, up to now, we have spent around INR 0.4 billion on the project. And we still have the majority of the money is going to be spent, I would say, INR 1 billion is going to be spent starting from, let's say, part of it is going to be this year, let's say, 0.2 to 0.8 are going to go to next year.

And so we'll see the full depreciation. So it's going to be, you can say, 30% of depreciation will start taking place this year. I'm not even sure we can do that because we're not commissioning anything. Most of the depreciation will start taking in next year. We get a commission before we depreciate. And the investments taking place so far, even this 0.4 billion mainly land investments taking place already in construction.

And those you cannot take depreciation immediately. We will see the full

depreciation impact coming next year. The manpower hiring has already started. So we already have some costs associated with that in our existing balance sheet and in our existing P&L. I don't have the exact numbers on how the ramp -up is going to take place right now in front of me.

Ganesh Ram: Okay. Okay. No problem. I'll take that question offline where it probably would be better. And then just one more, if you don't mind. This is more of a clarification. So my understanding is our existing plant can go up to INR 1,300 crores.

The new plant can take us to INR 400 crores. But then with efficiency improvements, you're saying you can bridge the gap from INR 1,700 crores to INR 2,300 crores. Would that be the right interpretation? Or have I?

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Nikhil Kumar: Yes, INR 1,250 crores is the existing capacity, and INR 1,800 crores is the planned capacity. And say, we are expecting something like another 20% output more from the 20%, 25% more approximately from efficiency improvements.

Moderator: The next question is from the line of Kiran V. from Table Tree Capital.
Kiran V.: Very heartening to k

now, because 4 years back, I still remember the con call where you said we don't have 9 months of visibility. Now we have 24. So fantastic progress. And Nikhil, I have a more strategic question. In terms of synchronous motors and induction motors, right? So now that we've cracked the gas engine and steam and hydro and various other segments, the next big focus, at least in my mind, at least, is induction and synchronous motors, which is a multiple of this gas engine opportunity in terms of market size. So how do you see us scaling? I know we have won some marquee orders. I did read the investor presentation. But how do you see in your own mind, can this be an INR 500 crore, INR 700 crore revenue business in the next, whatever, 2, 3 years, or will it take much longer to reach that kind of scale? How does the business stack up from now to then essentially?

Nikhil Kumar: The plan is to take it to that level in not 2, 3 years, but 3, 4 years, for sure.

Kiran V.: Got it. Are these orders, the marquee orders that you put in the investor presentation, are these like the base orders on which we're going to win major business?

Nikhil Kumar: You see when you want to get into a large compressor market or large pump market or something like that, the first question customer will say business in the oil and gas industry where you supply motors to API qualification, API standards, and hazardous locations. See, we're going after a lot of these very specialized applications.

We're going after motors where there's a lot of engineering involved and where the specification is hard. Obviously, prices are better because we want to go after that higher -margin business. The question people always ask is where your reference is. And although we may have a lot of references in generators, people want to see actual motors also working. So when you look at our list of

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orders that we have got, and we have delivered orders delivering some of these machines, then we'll have the references.

Once you have the references, then it opens up the order book. And for all the new inquiries that come, new plants, replacements, et cetera, it just opens up the whole business potential for that particular segment for that particular application.

So we will see a manyfold increase in the motor business once these are commissioned, once it's successfully commissioned and we have those references and all the sites that we're putting in these motors are all really high -profile marquee customers, high -profile customers. So we can use this, and we will use the references extensively to build to get more business. What we have

done, the orders that we have got in the motor business it's really exciting, and it's going to have a big potential.

Kiran V.: Got it. And I'm presuming these are slightly higher margins than our existing business, Nikhil?

Nikhil Kumar: Yes. It's good margin business, I would say. And I know that once we crack this market, we get larger volumes, which will overall improve the margin profile of the company because these are highly specialized products.

Kiran V.: Got it. Last question from my side, Nikhil. We are hearing all the other manufacturing companies who are in the export business, especially to the U.S. exports that they need to set up something in Mexico, something in the U.S., some facility in the U.S. So, point number A, out of the INR 1,500 crore revenue will eventually reach in FY '26, what percentage of revenue would be from the U.S.? And point number B question is, have we heard any of our clients talk about setting up that facility in the U.S. so that they can procure it easier, better, make in U.S. and all that stuff?

Nikhil Kumar: No. So I mentioned earlier in the call that for FY '26, something like 8% of our exposure will be U.S., 8% to 10%. So we are in close contact with our tur

bine

customers in the U.S. about any potential duties that may come. They're also fully aware of it. If it is 10%, I don't think there's going to be any change. If there's 20%, then we may look at options.

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We also have a plant in Turkey. So there are ways. We have options. I think putting a plant in the U.S. will be the last option, because how long will the tariffs last, and putting a plant in the U.S. or making things in the U.S. is really expensive. Maybe even if there is a duty of 20%, maybe even still more expensive to make in the U.S., even though you have a 20% it will be cheaper to make in India and pay the 20% duty. So let's see how it works out.

Let's see what comes. We are in close contact with our customers. We are watching the situation very carefully. We're not going to lose the business even if the duties come. So as I said earlier, short term, customers will pay and they will pass through that.

Moderator: The next question is from the line of Rohit from Ithought PMS.

Rohit: Just one question, Nikhil. I just wanted to hear your views on the geothermal market that we were going after, especially in that context, U.S., anything happening there? So that is something that I wanted to understand.

Nikhil Kumar: There no progress in terms of new orders. We are actively bidding for new projects in the U.S. and they are under finalization stages. We are in the race.

We are in the final list of approved vendors, and we are hoping that we will win. We are very well placed, and we're hoping that we'll be able to probably announce something in Q1, hopefully. There are big projects coming up in the U.S. in the gigawatt category, kind of projects coming up in the U.S.

Rohit: So when you're saying 8% for the next year, what you have in your mind?

Nikhil Kumar: Not factoring any new projects in the U.S. Those orders come, then we will revise our guidance for that.

Moderator: The next question is from the line of Anand Trivedi from Nepean Capital.

Anand Trivedi: As a follow-up, just wanted to see if the data center space, you spoke about that. But is there any sense to how big that opportunity could be in the next 3 to 4 years?

Nikhil Kumar: Yes, there is a sense. I mean we know that the overall power demand up to 2030 for the U.S. market is going to be around 100 gigawatts. That's the number which is in the market. And the current share of gas business in the

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U.S. is something like 48% to 50%. Now this new 100 gigawatts, there's a lot of discussion as to which fuel is going to take the primary amount of business from this. And so there are different scenarios being worked out.

So now that wind projects have been more or less put on hold by the Trump administration, there is a thought that the gas business is going to dominate the 100 gigawatts. And to what extent we don't know, but it will be at least, in my opinion, more than the existing share that gas has in the overall power mix for the U.S., which is more than 50%. So that's a lot of additional business only from the U.S. market. And this will keep everybody busy for a long time.

Anand Trivedi: So clearly a big opportunity for you.

Nikhil Kumar: It's a big opportunity. It's a very big opportunity. Not just for us. I mean if you look at all the large power companies like Siemens Energy and they all booked out for the next 3, 4 years on this AI business. GE Verona, Siemens Energy, they're really doing well.

Anand Trivedi: Sir, the last question from my side. You talked about using these Japanese techniques to sweat your assets more and become more efficient. Your current inventory days are around 140, 159. Do you see that coming down?

Nikhil Kumar: But part of it is due to the large stocking of steel and copper, not due to manufacturing inefficiencies.

But we will bring it down even if we are going to stock. So we will look at cycle time reduction, it will come down. So the goal is to bring it down. But whether we can do without stocking of inventory of steel and copper, that will once again depend on the supply situation. And if there's stability in the supply situation, then I would love to stop buying and holding the material because that will free up so much cash for us.

Moderator: The next question is from the line of Rahil Shah, an individual investor.

Rahil Shah: My first question is what is the update on the existing supplies of traction motors to Alstom for the 12,000 HP locomotives? Would this order get renewed after FY '29?

Nikhil Kumar: As of now, we have no information on any renewals.

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Rahil Shah: The next question is, we have been giving regular orders in the motor segment. How big is the global market for customized motors? What are indicative global market share and which geographies are we supplying? Can the motor business exceed the generator business in the next 5 to 6 years?

Nikhil Kumar: I gave a number, something I mean I said that we're going to grow it to INR 6 billion, INR 7 billion in the next 3, 4 years' time. So potentially, the market is very large. It is 10x to 15x the size of the generator market. So potentially we can make it as large as a generator business for us. That is the goal of the company.

Higher growth is going to come from the motor business for us compared to the generator business over a period of time. And right now, our market share is just not even in the percentage of decimal point percentage in the worst case. So we are nobody in the motor business right now. We have a lot of scope to grow.

Rahil Shah: So my last question is, we haven't spoken about the wind turbine generators for the last few years. Is there any possibility of getting large orders in the near future? Or we have completely given up the segment?

Nikhil Kumar: We're not completely given up. I think now and then we get certain inquiries and we follow up on that and we come to the stages for negotiation and contract negotiation. And unfortunately, we have not been able to close those contracts because, once again, we come to the liability clauses, which makes me uncomfortable and puts the company under a big risk.

So if we are able to get a customer who is willing to sign something which is better for us, then we will close those contracts. But looking at the nature of the wind business and the nature of the contracts which are over there, it's unlikely that we will make big inroads into this business. So I'm not banking on the wind business for our growth, although now and then we have inquiries, we're talking to big people in the market, but I don't see this in my plan for the near future.

Rahil Shah: Sir, in the data centers and AI, are we supplying gas engine generators or gas turbine generators to them? And to which OEMs we are supplying this?

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Nikhil Kumar: So we are currently supplying to a large U.S. -based OEM. And I don't want to mention the name, but it's a large U.S. -based OEM. And it's the gas turbines because the large data centers, large AI, they require large -scale power generation. So the machines tend to be 15 to 20 megawatts.

We're in the process of getting our machines qualified for 45 -50-megawatt size machine, which we're delivering by the end of, let's say, towards Q3. And once we qualify for that 50 megawatt, our business will, again, I would say there's a big potential for us to even double our business in the AI sector in '26 and '27. We are putting a lot of effort and to see how we can advance the qualification of this 50 -megawatt product. but we have good forecast from this customer once we qualify. There

is a lot of things in the pipeline and 100 gigawatts that I talked about earlier is a huge market. We want to grab a larger portion of it, and we will.

Rahil Shah: Understood, sir. Sir, just last question. What's our role in geothermal generators in the data centers? So earlier there was a question about geothermal. So as I said, geothermal, large geothermal plants are coming up in the U.S., gigawatt size, 1,000, 2,000 megawatt size. And mainly they have PPAs mainly with large IT companies.

So we expect that the business geothermal will continue for us and will be a large part of our -- but as I said, we have to win that business, right? We have to win that business. And it's not right now at the point where I can say, okay, we have won this business. The market is there.

Moderator: The next question is from the line of Viraj, an individual investor.

Viraj: Congrats on a great set of numbers. I just had one question that of late, we have been hearing a lot about small and medium -sized gas turbines that are being run on a mix of hydrogen and LNG gases. I mean, are we capable and approved to supply generators for hydrogen -based turbines?

Nikhil Kumar: Yes, our gas turbine customers are progressively making turbines with hydrogen mixed with natural gas. And we have our products in the pipeline, which will run with this fuel mix. So they are all getting ready for the hydrogen future, and we are also getting ready for the hydrogen future if and

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when hydrogen becomes cheap enough to be used as a fuel for power generation.

Moderator: The next question is from the line of Ajit Sethi from Eiko Quantum Solutions .

Ajit Sethi : Sir, can we assume we can do INR 2,400 crores revenue in FY '27?

Nikhil Kumar: No.

Ajit Sethi: So any sort of revenue guidance for FY '27?

Nikhil Kumar: We have projected something like a compounded 20% growth. And we will upgrade the performance as and when we see the -- once we come closer to those dates. But right now, we will commit that we can do a definite 20% compounded growth year -on-year.

Ajit Sethi: Okay. My last question is what will be our capacity after the expansion?

Nikhil Kumar: INR 18 billion.

Ajit Sethi: Okay. And EBITDA margin, what we can do?

Nikhil Kumar: Around 18%.

Moderator: The next question is from the line of Bobby J from Falcon.

Bobby J : Could you talk a bit about what is driving the growth for European gas turbines? Is it lack of supply? Or is it demand? Because the economies aren't growing really. So what's really driving that?

Nikhil Kumar: In the European market, the demand is for grid stabilization units, CHP combined heat and power plants. And also, there is a data center market also in smaller sizes where you need -- it's not gas turbines, but it's gas engines in the European market, especially Ireland is a big center for data centers. We have been getting steady business and increasing our business in Ireland for data centers.

So the market is quite -- the dynamics of the market are quite different from the U.S. market, but demand is high based on these factors and grid stabilization units have a big requirement. For example, this year, we're

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supplying 100 machines of 5 megawatts of the U.K. market only to grid stabilization.

As more and more countries have a larger proportion of their power mix coming from renewables, they will need more and more of these grid stabilization units. So this is a fundamental change taking place in the market. And the irony is that the more you have, more renewables you have, the more grid stabilization power you need to have because when the sun doesn't shine or the wind doesn't blow, you will have hundreds of megawatts coming off the grid instantly.

And you need to start these engines within 5, 10 sec

onds and pump in these

hundreds of megawatts into the grid and then run them for a few hours, pitch them off and the production of wind or solar picks up once again. So this demand is structural, is going to keep changing. It's going to keep improving, and this is a long-term requirement. So the factors driving the European market are quite different from the U.S. market. The U.S. market, the power demand is coming out of AI.

Bobby J : Understand. But in Europe, don't they have their own local suppliers for the generators?

Nikhil Kumar: They do, but we compete against them and we're winning business.

Bobby J : So it's all tender based. You don't get repeat orders from the same customers. You had to win each tender for each business ?

Nikhil Kumar: No. So our business is to the prime mover companies like engines or turbines. And they, in turn, bid with the generator for projects. But let's say, it's a large utility or it's a large data center company. So those will be repeat orders. A utility may say, buy, let's say, 100 machines with stabilization units this year, you may not buy it again next year, but you may buy the following year. So that's how the business runs.

Bobby J : Right. So you have a direct relationship with the prime movers. You don't have to bid for tenders with that?

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Nikhil Kumar: So, it's really a doable market for us. We were not dependent on a single country or something like that. So different countries have the requirements coming up at different points of time, and we have a global reach.

Bobby J : What I specifically wanted to know was, do you have to bid through tenders with the prime movers? Or are they -- or do you just continually get repeat business?

Nikhil Kumar: We get repeat business.

Bobby J : And the prime movers have to bid for tenders, right...

Nikhil Kumar: Correct.

Moderator: The next question is from the line of [Vimoksha from Goyamlabdh Fintech .

Vimoksha: Sir, regarding the international market, can you provide more specific details about the types of projects driving the increased demand for the gas turbine and the gas engine? Like is it -- what is the growth [inaudible]

Nikhil Kumar: Sorry, can you repeat the question? I could not hear you clearly. There was some problem with the line.

Vimoksha: Can you provide more specific details about the types of projects, which drives the increased demand for the gas turbine and the gas engine?

Nikhil Kumar: I don't know how to give more specific information. So there could be AI data farm data center, which requires 100 megawatts or 150 megawatts from large tech company and they need 5 units or 10 units or 15 megawatts and then they will buy it from our customer generator -- can you hear me? . So that's all I can

say in terms of specific information.

And there could be a utility who wants to buy a grid stabilization unit, 500 megawatts. That's how the business goes. I don't know how to give you more specific information. And I can't give you customer names and things like that right now. So we're not allowed to share confidential information.

Vimoksha: Okay. Okay. So what are the typical margins for the geothermal projects compared to the hydro?

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Nikhil Kumar: Geothermal projects have better contribution. But again, project to project, it varies, but they have better gross contributions compared to our regular gross contribution.

Vimoksha: Okay. And just last one is like what is the expected revenue potential and the peak utilization for this new facility, which is coming in after Q2?

Nikhil Kumar: So we have capacity which is INR 18 billion, which we put up should be ready by end of H1. And then we have given initial guidance for INR 15. So 15 by 18 would be the capacity utilization that we will have. I increase

the guidance

beyond 15 then it could be the number that we will have to calculate and as we increase the capacity from INR 1,800, we said we can go to INR 2,300, then we will see then the capacity obviously will go up.

We have already experience in doing this. If you remember, we have increased our capacity from INR 700 crores, INR 800 crores to INR 1,200 crores of automation and other improvements that we made in the factory. So we have experience in doing this and how to push the envelope and how to push the assets, and we will do it once again.

Moderator: The next question is from the line of Raj Sada from Finvestor .

Raj Sada : Congratulations for the sort of numbers, so my question is, for the raw material prices we already know that we have topped up our raw material for FY '26. So how is raw material prices moving forward?

Nikhil Kumar: So we see a stable raw material environment for us for next financial year. And if the prices go up or down, then we will have to then see the situation for the following year. But FY '26, let's ...

Raj Sada : Okay. And I'm kind of liking like a shareholder that we are seeing already in the investor presentation, the highest PAT, highest revenue, highest EBITDA, highest order inflow. So are we on track to post another highest quarter this quarter?

Nikhil Kumar: Can you please speak slowly I'm not able to understand what you're saying ?

Raj Sada: : Sir, I'm asking, sir, in investor presentations from last 2, 3 times, I'm kind of liking this commentary like highest EBITDA, highest revenue, highest PAT,

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highest order inflow. So are we on track to deliver again highest quarter like Q4 FY '25?

Nikhil Kumar: In Q4, yes.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Nikhil Kumar: Thank you, everybody, for joining us today on the conference call and presenting us with a number of detailed questions and interesting questions. We will look forward to interacting with you at the end of next quarter or we'll be happy to meet up with you next few months during some investor conference. Thank you very much.

Moderator: Thank you. On behalf of TD Power Systems Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 19, 2025

Dear Sir/Madam,

SUB: Transcript of Earning Conference Call – Q4 and Year Ended March 31, 2025

In furtherance of our letter dated May 6, 2025 regarding intimation of earnings conference call, the transcript of Q4FY2025 earning conference call held on May 13, 2025 is enclosed and has also been uploaded on the website of the Company at <https://www.tdps.co.in/investor-relations/financial-results>

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

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Exchange Plaza, Bandra- Kurla Complex
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Symbol: TDPOWERSYS

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"TD Power Systems Limited
Q4 FY '25 Earnings Conference Call"
May 13, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th May 2025 will prevail

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR – TD
POWER SYSTEMS LIMITED
M S. M.N VARALAKSHMI – CHIEF FINANCIAL OFFICER
– TD POWER SYSTEMS LIMITED
M R. VINAY HEGDE – GLOBAL HEAD, SALES AND
MARKETING – TD POWER SYSTEMS LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the TD Power Systems Limited Q4 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

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during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Kumar, Managing Director. Thank you, and over to you, sir. Ladies and gentlemen, due to technical issues, Nikhil, sir will connect us shortly. Now we have Varalakshmi ma'am. Please go ahead.

M. N. Varalakshmi: Good morning, everyone. Thank you once again for joining us today on our earnings call. I trust all of you would have received our results and investor presentation. Now I would like to discuss with you TDPS financial performance for the year ended 31st March 2025.

Moving on to the financial performance for the 12 months ended 31st March 2025. On a standalone basis, our full year total income on a standalone basis was INR12.88 billion versus INR10.07 billion over the same period previous year, increase of 28%. EBITDA for the full year is 17.46%, including other income, excluding exceptional and treasury income versus 17.59% over the same period previous year.

Profit after tax and comprehensive income is INR1,530 million versus profit of INR1,223 million same period previous year, an increase of 25%. During the year, the company has provided for diminution in the value of investment of INR30 million, being 50% of its investment in its subsidiary, DF Power Systems Private Limited.

Order book. Order book of Manufacturing segment is INR13.68 billion, INR10.12 billion regular manufacturing business, INR3.16 billion railway business, space and aftermarket, INR0.11 billion and INR0.29 billion Turkey business. Exports and deemed exports, excluding railway order is 62%. Order inflow statistics. Order inflow for the quarter is INR4.13 billion, highest ever since inception of our company. Order inflow has increased 43% Q-to-Q basis and 41% over a Y-o-Y comparison basis.

Current year order book is INR14.79 billion, previous year order book, INR10.51 billion. 68% of our quarterly order inflow is exports, while 32% is domestic. Domestic order inflow for the last 4 quarters have been 28%, 27%, 32% and 40%, which is INR81 crores, INR96 crores, INR130 crores and INR153 crores, respectively. Order inflow from deemed and direct export is INR9.85 billion compared to INR5.9 billion previous year.

Export and deemed export order inflow is 68% of total order. On a consol basis, our total income on a consol basis is INR13.02 billion versus INR10.17 billion, an increase of 28%. Profit after tax and other comprehensive income for the year is INR1,734 million versus INR1,156 million, increase of 50%. We continue to maintain a strong cash position of INR1.99 billion.

Order book, market situation and guidance. Market conditions. The order inflow continues to be very strong from exports in our generator and motor business. We give our initial guidance at INR1,500 crores with a strong upward potential given the sustained order inflow as well as the third plant commission coming on stream in H2 of this financial year.

EBITDA margins will be in the range of 18% to 18.25% with an upward movement potential. Market scenario for domestic market, Looking at the entire year of FY '25 versus FY '24, the TD Power Systems Limited
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domestic part of order inflow has increased from INR4.41 million to INR4.6 million, 4% growth. However, the rate of growth has moderated.

or...

Nikhil Kumar: Sorry, everybody, I think that we got disconnected. So the rate of growth in the domestic market is just 4%, and we are factoring in 4% growth in domestic market for this year also. The market in India is still a single-dimensional market in captive power plant business, so it depends on brownfield and greenfield private sector investment. Biomass and garbage burning plants are relatively underperforming in terms of potential ver

sus actual.

In the hydro market in India, we're expecting some large orders in the refurbishment sector. If these are successful, we can see double-digit growth for the domestic market in terms of order inflow for FY '26 to be executed in FY '27. For TDPS, it is the export business, which remain backbone of the business.

International market. We have extremely strong growth in the order book in export business from gas turbines, engines and motors. Order inflow from direct and deemed exports has increased by 3.95 billion from 5.9 billion to 9.85 billion, which is a 67% growth on a year-on-year basis. These numbers are a clear evidence of our business results. Exports will continue to be a growth driver for the future as we have many more applications which are our generators in the international market compared to India.

We continue to win orders in gas engines and gas turbine generators. There is a huge growth in fracking, data centers, AI server farms, grid stabilization units and, of course, Ukraine. The demand is simply huge, and the market growth presents the company with the most exciting growth opportunities ever since its inception.

For example, the new German government has called for expedited installation of 20 gigawatts of gas power only for grid stabilization. The recent blackout in Spain and Portugal has suddenly increased awareness of grid stabilization and what can happen when the grid is overly dependent on renewable power.

AI farms and data centers in the U.S. continue to be a huge market with massive requirements, and we are very well positioned with our OEM customers to be a part of this exciting growth. Coming to traction, we're underway to deliver prototype units for Germany, U.S. and CIS countries. we have firm volume contracts for FY '27, and we will see a sharp increase in this segment in FY '27.

Hydro, the order inflow continues to be strong and steady. The new mission business is all export. As I mentioned earlier, there are a number of refurbishment jobs in the market in India, and we hope to win a few of them. In general, the export business is the key driver for our growth for generators with big orders in gas, hydro and traction. We are participating and winning business in larger AI data farms, AI server farms, data centers.

And this year, we'll put larger generators into the market up to 40 megawatts, even 45 megawatt size. And this segment of the market is equal to the size compared to the market where we're

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currently operating in. So this will open up a huge market potential for TDPS in FY '27 and beyond.

In the motor business, we are on track to achieve the numbers we indicated earlier. Once again, our markets are mainly exports, and we see a big pipeline of orders in the Middle East and India. Turkey, we have received the orders from Turkey after a long pause in the market. We deliver the generators this year.

It is certain that Turkish plant will deliver good numbers and profits for this year. However, the outlook for the Turkish market is very bleak, and this year could be the last year of operations in this market. As the company enters new markets and more complicated applications, there is a clear need for advanced talent to design new machines and meet the stringent requirements of new applications.

TDPS is going to set up a design center in the U.K. initially with two or three highly qualified individuals who will be responsible for developing new generators and more products for the future. In conclusion, with the new plant and more opportunities coming our way, we're well positioned to exceed our guidance of INR15 billion for this year.

We are also focused on FY '27 and new products in large generators, large motors and, of course, execution of the traction motors for Europe, U.S. and the CIS countries, which will drive the company towards the INR 19 billion to

INR 20 billion mark in FY '27.

This brings me to end my initial remarks. I'll be happy to address questions that you have.

Moderator: The first question comes from the line of Piyush Sevaldasani from Sundaram Alternates.

Piyush Sevaldasani: Congrats for great set of numbers. Sir, my first question is on the margins. We have seen an improvement in the margins for this quarter. Can you help us understand on the gross margins, is this 36% sustainable? And also on the staff cost, which has been controlled really well. I was under the impression that we are hiring new people for the new plant. That's why there would be an increase. So is that incremental cost capitalized? That's why we are not seeing this?

Nikhil Kumar: No, who will incur capitalized staff cost, that is not at all our accounting policy. We are hiring people, but that is mainly at the blue collar level at the moment. So we are not going to see big increases in the numbers immediately. But the white collar hiring will start now. And then we will start seeing some increases in the employee costs coming in this year.

Coming to the gross contribution margin in general, they have been delivering fairly consistent numbers for the past few quarters. So it's sustainable in this range for sure. Of course, 1% here and there, it could vary from quarter-to-quarter.

Piyush Sevaldasani: Sure, sir. And sir, my second question is on the working capital. So the net working capital days has seen an increase this year. So that is leading to weak operating cash flow. So how should we think about it going forward?

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Nikhil Kumar: Yes. We had to take certain very drastic decisions. For example, when the copper prices dropped recently, we purchased a lot of copper, and we also bought a lot of electrical steel because we saw prices were coming down. When the whole turmoil for duties and everything, Trump duties, Trump tariffs was in the market, so we saw a buying opportunity.

So we have purchased a lot of material. We will see a big improvement in the operating cash flow starting from Q1 onwards. We will see because we'll not be buying steel and copper, we'll be consuming from inventory. Second reason is that we, of course, March is always a very heavy month for invoicing.

So those will end up in receivables, but collections are now taking place in Q1 and Q2. So we will see the cash flow numbers dramatically improving in Q1 and Q2. By the end of H1, we will show very good cash flow numbers, by the next quarter, we will tell you exactly what it's going to be for H1.

Piyush Sevaldasani: Sure, sir. Sir, just last one question. On other income, we have seen a sharp jump of INR10 crores, if you can just help me on that?

Nikhil Kumar: Yes, that is mainly foreign exchange gains. Varalakshmi, please, you can maybe take this question

M. N. Varalakshmi: Yes, due to foreign exchange gains, we had a lot of forward bookings.

Nikhil Kumar: Yes, we have been exploiting the opportunity, which has been created with the euro. In the recent times, the euro had become very strong against the rupee, almost going up to INR96, INR97 levels. We could also get a benefit of that in Q4. So we have exploited that opportunity with our forward rates and hedging.

We will continue to take the benefit of this for this entire financial year. We have used that narrow window of time to book a large number of forwards with very, very favorable rates. So the company will get solid foreign exchange gains coming from forward booking from Europe for this entire financial year.

Moderator: The next question comes from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: Congratulations, Nikhil and team for the good numbers. My first question is, Nikhil, if you can explain us what is the share of revenue coming from U.S.? And what is your view of the potential impact of the tariffs after that 30 -- 90 days pause?

e?

Nikhil Kumar: I think that India is close to finalizing some kind of a trade deal with the U.S. And I don't think that India or the whole world is going to get back to those huge duties, what Trump was initially proposing. But even if it does, the U.S. market for our products are all outsourced from outside the U.S.

So there's no U.S. manufacturer making anything above something like maybe 10 to 12 megawatt. There's one person who's making up to about 12 megawatt, but he's completely booked out. So there is the smaller machines, of course, we have competition, but there's one

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player, but as I said, he is booked out. But all the larger data centers, AI business, the machines are imported from Europe.

So as long as Europe and India have comparable tariff rates, I think that there's going to be no big advantage for one country versus the other for the U.S. customer, there's going to not be a big advantage for buying from India or buying from Europe in terms of tariffs. Of course, if India is able to finalize the deal faster and we have lower tariff rates compared to Europe, then we will see a big advantage for us, and then that will correspondingly result in more orders for the company.

These are all highly uncertain things. They change from week to week. And as far as our customers are concerned, they need to import generators. They know that they have to pay the import duties. It's not coming on to us. Demand is very, very strong. Our OEM customers have started making all their contracts, passing on these import duties to the end users. They also are unaffected by this right now. Demand continues to be strong. So I feel that TDPS will not be affected by this for the U.S. market at all.

Deepesh Agarwal: In the opening remarks, you mentioned that you are setting up a design center in U.K. If you can throw some more light and need for it and what potential benefits it can bring for the company?

Nikhil Kumar: Yes. we are developing our own design for larger machines up to 100 megawatt. And these data center applications are also moving towards the larger sizes where each unit could be 30, 40, 50 megawatt in size. I mean, we need to upgrade our technology levels quite significantly to be able to compete in this space. We need better talent. We have identified talent who can do this. And these people are located in the U.K.

So we have decided now to put up the design center over there. So they're not only talented, not only very capable in the large generator space but they're also very capable in the large motor space. And they can also help us in our current designs in optimizing the designs and optimizing weight, efficiencies and things like that. So we will also see benefits coming downstream of our products in terms of cost optimization. I would say, the potential of what we can do with these extremely talented people is quite large. We see big benefits coming into the company downstream with this design center.

Deepesh Agarwal: Sure, sure. And last question, what percentage of our revenue would be dependent on data centers and AI farms? And in terms of your interaction with the customer, what is the commitment in continuing those investments? Are they concerned about the new tech impacting the future investments?

Nikhil Kumar: No I don't think right now, the market is completely on fire, and there's no slowing down. There is a fight for capacity. People who are putting up these data centers are fighting for capacity.

They are booking up capacity from OEMs like gas turbine manufacturers, gas engine manufacturers, generator manufacturers. That is the situation right now.

Booking capacity for FY'26, booking capacity for FY'27 so that is what is happening, and there's no signs of this slowing down as the applications and the use of AI keeps getting more and more widespread, the demand for this power is getting m

ore and more and more.

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Plus grid stabilization, what happened in Spain and Portugal has really opened the eyes of people in Europe, especially what can happen when they are very good power in the grid. I'll tell you, it's about something like 25%.

Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very good quarter and a fantastic year. My first question is, sir, given where we are, so what is our revenue guidance and order inflow guidance for FY '26 broad outlook?

Nikhil Kumar: Well, I said INR1,500 crores is the first guidance for FY '26 with a strong upward potential to improve the numbers and we see based on the order inflows that we are with what we are seeing.

Order inflow guidance will be something like between the region of INR1,600 crores to INR1,700 crores for the year.

Mohit Kumar: Understood, sir. My second question is, of course, you have just in the presentation mentioned that you have got 225 megawatt gas turbine generator order from data center, right? What is the time line for delivery of this order? And are you working with only with 1 OEM right now?

Nikhil Kumar: In the next 12 months.

Mohit Kumar: And are you working only with OEM? Is there a possibility of adding more OEM as we go forward?

Nikhil Kumar: There are only 3 big OEMs in the world who make these gas turbines. So we are working with all 3 of them. But one of them is having a very large market share and the other 2, smaller

amounts, but the one that is having the largest market share is our most important customer, and that is the customer from where we are getting the most amount of business.

Mohit Kumar: And last question on the domestic, I think you mentioned about hydro generators, right? I'm assuming these are all old machines. Is the single generator could be a sizable order, maybe get to 100 megawatt or are these are smaller-sized generators?

Nikhil Kumar: Vinay, can you answer this question, please?

Vinay Hegde: Yes. These are smaller-sized machines, what we call as small hydro, which is in the range of up to 35 megawatts, not more than that.

Moderator: The next question comes from the line of Mythili Balakrishnan from Alchemy Capital Management.

Mythili Balakrishnan: A couple of questions. I wanted to get a sense from you of what is happening on the railway side. You had mentioned earlier that more than domestic, we are looking more at exports. So could you just elaborate a little bit on what are you seeing in terms of orders? And is there any traction there?

Nikhil Kumar: The domestic side is fairly dormant, let me say, I don't want to use the word dead. So there's nothing new coming up in the domestic market. So we have been focusing our attention on TD Power Systems Limited

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opportunities outside India. We are focusing on 3 opportunities, one in Europe, one in the U.S. and one in CIS countries. All 3 are active.

We have contracts for all 3. And as I said, we'll be developing the prototypes this year. We have the orders for the prototypes. So they are being built right now. And the volume production will start by Q4. And so we should see the full revenues coming in, in next financial year.

Mythili Balakrishnan: And just to get a sense, these are prototypes and should then we test it?

Nikhil Kumar: Yes, they will be tested, put the locomotives and then they'll be tested. And that's the plan for this year. But these are fairly established designs, so we don't see a problem in meeting the full requirements. And there's been a lot of quality checks done along the way. We'll be successful in meeting the requirements.

Mythili Balakrishnan: Got it. And also, I wanted to check with you, when you spoke about larger generators and sizes, what is the competition there? Is it done in-house by the OEMs currently? Or is there someone

else who is providing? And just if you could give us a little bit of an indication of the competitive landscape?

Nikhil Kumar: Actually there is just one big competitor in this range, which dominates the market. And the market is also looking for a second player. So I think that we are in the right place, right time.

And it's a huge market and just one single player dominating the market, so there's scope for us. All I can say is we are seeing a big scope, but we need to have the right product in terms of being able to compete against the party who is there as a market leader. We've got an extremely good product, and we need to do some work to get there.

Mythili Balakrishnan: Got it. And the last question is on the CapEx. Could you just help us with the time line of when do you think this is coming on board for us and how to sort of think about it? You mentioned H2. Just to get a sense of some time lines on that.

Nikhil Kumar: We have already started by the end of this month May, we will start commissioning the first shed, the second shed and third shed, all the equipment and everything, all the trials and everything will start. So we are more or less on schedule. When we see the impact on our numbers, we'll start seeing that only towards H2. Started installing machines and commissioning machines and the first shed has already started.

Moderator: The next question comes from the line of Ganeshram from Unifi Capital.

Ganeshram: Congratulations on a great set of numbers to the whole team. Most of my questions have been answered, Nikhil, but I was just trying to understand this thing in Turkey. The order inflows have improved. But did I hear you right in saying that this would be the last year of operations in that market?

Nikhil Kumar: Most probably.

Ganeshram: Okay. Could you just help to understand that?

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Nikhil Kumar: They've changed the calculations for local content once again. Of course, it will not be applicable for this order, but it will be applicable for future orders. I think it will be almost impossible for anyone to meet those new guidelines.

And there are no inquiries in the market. And with these new guidelines, local production will become very expensive. And even with the incentives, it will be cheaper for someone to buy an

imported machine. So it's quite senseless what's going on over there in terms of these regulations. Now it's been totally overregulated. So I don't see a future in locally made machines anymore. And so after we finish this order, we will consider just shutting down the plant. There's no point in having any cost over there anymore.

Ganeshram: No, I totally understand. So would there be any one-off impacts that come from it? That's the first part. And second thing I mean, if they're not making it locally, would it still be attractive for us to export there out of our manufacturing base here?

Nikhil Kumar: Yes, It will be all imported machines as far as Turkey is concerned. And we have a very strong market presence, very strong brand name in that country. So whatever gets imported, probably we'll be still very competitive in the market. But Varalakshmi, there will be hardly any impact on the balance sheet, right, if we stop the plant over there?

M. N. Varalakshmi: Maybe around INR3 crores, INR4 crores the investments that we have done. We'll try to bring back them.

Nikhil Kumar: But we have those reserves also, right? So it will get nullified.

M. N. Varalakshmi: Yes.

Ganeshram: Understood. That's very clear. The second thing is I went through that exhaustive list of wins and the hydro leap of orders, the nuclear orders. There's quite a lot happening for us as we've been aware for some time, right? Is there anything new this quarter that you think has come up that you haven't had previously that could scale up quickly? Or is a very large addressable growing market beyond the

AI data centers and server farms and motors?

Nikhil Kumar: No, asking for too much, right? we have this AI for this grid stabilization, I think, this will become very large. So what has happened in parts of Europe, in Spain and Portugal has really shocked everybody in the continent. So all governments are now really relooking at gas power to stabilize grids very seriously and ordering is going to start.

Of course, the problem is that once again, everyone is again competing for the same capacity for gas turbines and gas engines, which is completely oversold for the AI market in the U.S. So that's the situation right now. There are a huge demand coming from grid stabilization units and AI for larger gas units, but there's no capacity. So a good thing, of course, we're right in the middle of all this.

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So also the demand situation is going to be very strong for foreseeable future because these are 2 fundamental things which are driving the demand, which is going to be sustainable for some time.

Ganeshram: Yes. Yes. And maybe just the last question from me is on the tariffs, right? I just want to get a bit more nuanced here because I know there's a lot of moving parts. One thing I was asking is if U.S. is importing a lot of these generators from Europe, are they primarily importing this from the U.K.? Or is it from outside the U.K.?

Because my understanding is they have a Free Trade Agreement going on there. So that's the first part. And the second is, if the cost of importing these generators go in and even if the OEM is passing through these costs, how much is the effective impact for the demand, right? Like is there going to be an impact on second or third order impact on demand because of this?

Nikhil Kumar: The cost of the power unit, the power plant from the overall data center or overall AI server farm is estimated to be something like 5% to 6% of the total cost. If you take the cost of the servers, land, water, whatever, everything, all water systems, everything put together is something like 5%. So even if it goes upto 20%, it is 1% of the overall cost. It's nobody cares about it.

Moderator: The next question comes from the line of V.P. Rajesh from Banyan Capital.

V.P. Rajesh: Yes. I was just saying by March '26, what kind of ramp-up can we expect? Will it be, let's say, closer to 80% or so? Or will that happen in fiscal '27?

Nikhil Kumar: It will happen in FY '27.

V.P. Rajesh: Okay. And then secondly, on the railway business, if you can just touch upon that, what has been the progress on that particular order?

Nikhil Kumar: I just spoke about it a few minutes ago, but I'll repeat myself.

V.P. Rajesh: Sorry, I missed that.

Nikhil Kumar: Yes. So the railway business in India is fairly dormant. There's nothing much happening over there. And we are focusing on 3 orders that we have with Europe, U.S. and CIS. We are building prototypes this year. Testing will take place this year and volume production will start by about Q4, but the impact will be felt in FY '27. And these are something like 3- to 3.5-year contracts that's starting from FY '27.

V.P. Rajesh: Got it. And just one clarification. You said your business is now 25% because of the AI and data centers in the U.S. Is that the right way to understand it?

Nikhil Kumar: Approximately, it will end up being around that number, 20% to 25%.. But if we penetrate with

the larger machines in FY '27 into that market, then this share could grow.

Moderator: The next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives.

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Prolin Nandu: Yes, Nikhil, I apologize if my questions are repetitive. I joined a bit late. My first question is on motors, right, and the margins that you intend to earn there, right? See, in generators, we have a very dominant position. We have been doing this

for years.

Motor relatively is a newer venture for us. So how comfortable are we to earn -- I'm not asking you the specific number, but to earn a similar margins in our motor business as well? That's my first question, Nikhil.

Nikhil Kumar: We are going after markets only where we can earn good margins in the motor business. We're not going after the market where the margins are bad, the market where the margins are bad is a huge market. But we're not going after that market, we're going after the market where the margins are better. So we will be in the market where we can deliver good margins.

Prolin Nandu: Understood. And my second question is these 2 tailwinds that you mentioned. One is the gas-based AI data centers in U.S. and what happened in Europe in terms of power shortage. Now if I think about to cater these 2 tailwinds, are we approaching these 2 tailwinds in a similar manner as we approach some of the other avenues of our revenue?

Where I'm coming from is that is it still part of the entire package of turbine and generator which go together or the way to probably approach this market is slightly different than our traditional routes?

Nikhil Kumar: The way is the same. The prime mover companies, turbine manufacturers, engine companies will get the orders, and we are tied up with them, and we'll get some part of the business.

Prolin Nandu: Okay. Understood. Can I just add one follow-on, if that's fine?

Nikhil Kumar: Yes, yes, go ahead.

Prolin Nandu: Yes. So just to understand this whole blackout that happened in Spain and Portugal, right? And you mentioned that as a tailwind. I mean, is it like a particular part of the grid, which was not doing well and which was something related to, let's say, having some of the excess generator capacity at a few places in the grid?

- can we pinpoint as to what was wrong there? And I mean, whatever is the cause, is that the main reason for, let's say, this tailwinds that you mentioned? Can you just give some more color on this aspect?

Nikhil Kumar: What happened was that there was a sudden drop in renewable production in the grid something like 4 or 5 gigawatts came off the grid instantly because the wind stopped blowing, some stopped shining in different parts of Spain and Portugal. And that caused a complete outage because there was nothing that could come and replace that 5 gigawatts of power instantly. So overall, the grid everywhere one by one by one just collapsed.

Nikhil Kumar: This is a domino effect that takes place when something like one part of the grid just completely collapses and the remaining part of the grid cannot meet the demand, then that part of the grid gets overloaded and then it's a domino effect that takes place. So the only way is to make sure

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that you have gas power, which can come on to the grid very quickly to be able to fill in that gap when the renewable power comes off the grid.

Moderator: The next question comes from the line of Shyam Maheshwari from Aditya Birla Mutual Fund.

Shyam Maheshwari: Congratulations on a brilliant set of results. A couple of questions from my side.. Firstly, on the domestic inflows. So while you're mentioning that the market looks to be a little dormant, this quarter, we have shown our best inflows for the last 9 quarters.

And this is coming in conjunction with probably Triveni reporting an inflow decline this quarter ex of the large order that we won. So was very curious to understand how we have been able to deliver 40% growth in domestic inflows this quarter. Was there a one-off large order here? Or is it largely steam turbine?

Nikhil Kumar: Well, we also got some orders from the domestic market for large 2 pole generators. That's also included 80-megawatt, 90-megawatt machines. That's not in the range that Triveni operates in. They do, but I think they didn't get these orders. So that adds to our numbers.

We got a couple

of motor orders from Nuclear Power Corporation in Q4, that has also added to domestic.

So if you take the generator sizes below 50 megawatt, So if you take the domestic market only

for the steam generators below 50 megawatt, I think our numbers would be following the trend what Triveni is reporting.

Shyam Maheshwari: Interesting. Interesting. And secondly, on the export side, obviously, gas turbine has been a big vector of growth for us. I wanted to understand what would be your current market share? You mentioned there are limited players here. What would be our current market?

Nikhil Kumar: In which segment??

Shyam Maheshwari: Gas turbines, generators.

Nikhil Kumar: Very small, less than 3%.

Shyam Maheshwari: Of the global market share.

Nikhil Kumar: Yes.

Shyam Maheshwari: Okay. And that probably with these machines up to 40 megawatts that we are trying to produce, that should ideally inch up over the next few years?

Nikhil Kumar: Yes. we have a lot of new products for the gas turbine market, which we'll be bringing in this year, we also have a new OEM, which we have signed up. We're also getting new orders from the new OEMs. So this year, we will be putting a lot of machines into the gas turbine business up to 25 megawatt, also putting in the trial orders, trial machines for the 40 to 45 megawatt.

The opportunity size is extraordinarily huge. So there's a lot of pressure on us also coming from our OEM customers to move faster. They want everything yesterday. There's also big opportunities coming from the gas engine side where, once again, there's some new products
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which are being developed exclusively for the data center market by our engine customers with big gigawatt size order commitments where we are the chosen generator manufacturer, which will start coming in on stream October, November, December this year and going well into next financial year.

So that's why we are very upbeat about revising our guidance upwards. We are extremely upbeat about it. We will be happy to report the better numbers in next quarter when we will talk once we see all these things gel together and come to the point where we can announce it to all of you, but the way things are going, it will gel together unless earthquake or something like that or some asteroid hits the earth. It's really going gang-busters right now.

Moderator: The next question comes from the line of Aman from Stallion Asset.

Aman: Yes. Sir, I request you to can you please give some more color on the domestic side of our business? What kind of headwinds we have been facing challenges? And what's the customer behavior there? And what is the sign we can track in order to see some recovery on that side?

Nikhil Kumar: We are a fairly well entrenched player on the domestic side. We have 2 major customers to whom we deliver our steam turbine generators. We have long-standing relationships with both of them. And so when the market turns and when the market picks up, they will get the business and we will correspondingly get the business.

It is practically impossible for any one of us, who are on this call to predict or to say what's going to happen in the next 6 months, next 1 year to the domestic market. So I don't have a better insight compared to all of you who are looking at indicators day in, day out and who are in the market day in, day out on the domestic side.

So I think you guys are the better experts compared to me. What I see is something like a conservative growth in the domestic market, which we have factored into the business plan. Of course, if things get better, we'll be happy that business will then come to us, we'll be happy to deliver to the domestic market. But at the moment, I'm being realistic about where we are.

Aman: Understood, sir. Sir, just one last question on the number side to just understand. So sir, historically, f

or the last 4, 5 years, we have been executing around 60% to 70% of the order book, which we have on the annual basis. So last year, on a INR1,189 crores of order book, you closed this year around INR1,278 crores, so which is around 110% execution on the order book. And currently as well, you are guiding around INR1,500 crores of revenue on INR1,368 crores of order book roughly. So which is again 110% of execution on the order book. Am I missing on something which is not recorded in the book? And how is this number I'm trying to understand.

Nikhil Kumar: Yes, I think the analysis is really good. That's realistic what you're looking at. That's what we have performed in the past, and that's a trend for the future. The upside potential will come based on whatever I spoke about earlier in this call. And we are confident that we have products, new products, new applications, which will then give us the opportunity to exceed the guidance, whatever we talked about.

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Generally, your analysis is correct, and this is something that we also do internally, just to say that we have a good analysis. This is something we also do when we do our analysis on the order book versus achievement and looking at the past 5 years and looking at the numbers..

Aman: Got it, sir. Understood. So this trend is going to continue going ahead as well. I just wanted to understand that.

Nikhil Kumar: Correct. Yes, yes. absolutely.

Moderator: We take the next question from the line of Himanshu Upadhyay from BugleRock Capital Private Limited.

Himanshu Upadhyay: My first question was on receivables to Varalakshmi. The trade receivables have gone to INR437 crores from INR300 crores last year. Can you give some aging of receivables in terms of how much is less than 90 days and how much is more than 90 days? And if anything is more than 180 days. Some color on that will be helpful. And secondly, what are we doing to improve the cash flow on the receivables side?

M. N. Varalakshmi: Almost 80% of the receivables are below 90 days.

Himanshu Upadhyay: And anything above 180 days.

M. N. Varalakshmi: There will be some small receivable maybe. Hardly 3% to 4% but they are all collectibles.

Himanshu Upadhyay: Okay. And the next question is we have nearly INR240 crores of cash on balance sheet, and we will be completing the new plant. Any plans on how to use cash? And any inorganic opportunities you will evaluate? And also the dividend payout ratio has been less than 20% for the last 5 years, okay. This year, it is around 11%. So what are your thoughts on payout dividends and cash flow usage in the near future?

Nikhil Kumar: Himanshu, we are investing heavily into the future for the company's growth, and that gives the best return to the shareholders. So, we have been steadily increasing the dividend as a percentage by something like 10%, 12% per year, and we will continue to do that.

But that's not the first priority. We are in an exciting growth stage. Looking at the way that the business is growing, it looks like the third plant also is going to be filled up fairly quickly. Then we need to again start building up cash for the next set of investments, right?

So we are definitely looking one step beyond the third plant also right now looking at funding that through internal accruals. And so if this trend continues like this, even after making efficiency improvements in the plant and everything, taking the existing plant utilization to INR2,200 crores, INR2,300 crores, at some point of time, we would need to again make investments. So that is our thinking that we are conserving our strength for the future.

Himanshu Upadhyay: Okay. And one last question. We had won an order for geothermal 3 and 43-megawatt plant in U.S. in Q2, okay? And that was Phase 1. We stated that the company is looking for Phase 2, which will be nearly 1,000 megawatts. What happened on th

at business? .

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Nikhil Kumar: We are still the preferred party. It's not yet finalized, but it will get finalized soon, I think, in the next 3 months, we should be able to deliver a good news to the market about this. Yes, it is definitely a very important project for us, on the radar screen, we're actively working with the customers. They've changed the configuration of the generator a number of times. So it is still under active discussion.

Moderator: The next question comes from the line of Krupa Desai from Electrum Capital.

Krupa Desai: Congratulations for your good set of numbers. Sir, my question was on the NPCIL order. So who are the other players in this space? What is the execution time line for this order and the opportunity size for this -- further opportunity size in this space?

Nikhil Kumar: NPCIL, of course, the biggest competitor is BHEL. But for these replacement motors, this is a specific market segment within NPCIL that we are pursuing. There's a lot of scope because all the existing nuclear power plants in India are with Russian equipment. There is a big market for it. I can't give you the exact size, but every year, we could be getting some good numbers from this business.

And of course, once you start doing more and more business on the refurbishment side, on the replacement side with NPCIL and you establish the performance of the machines in the existing plants, automatically for the new plants, you have the opportunity to deliver motors for the new plants, but the big, huge investments are taking place for the future for nuclear operations. So it will deliver steady revenues to the company year-on-year. Competition is BHEL.

Krupa Desai: Okay. Only BHEL right now?

Nikhil Kumar: Yes, at the moment.

Nikhil Kumar: The execution time line is next 12 months.

Krupa Desai: Okay. And what is the order value, if you can provide a number?

Nikhil Kumar: We gave that. We announced it already on the exchange when we got the order, I remember it to be somewhere around INR50 crores, It could be around plus/minus, but around INR50 crores.

Moderator: The next question comes from the line of Nupur Kogta from Naredi Investments.

Nupur Kogta: My question is regarding the promoter stake. As we see it has declined significantly from 58% in 2023 to around 33.2% in the recent quarter. We could also see a reduction of approximately 1.05% in the recent quarter. So can you please elaborate the reasons behind this reduction? Also, is there any possibility of further reduction going forward?

Nikhil Kumar: The reduction from 58% to 34% took place 2 years ago. So I think that's not something which is relevant for today. The recent reduction took place due to declassification of one of the promoters as non-promoter. So it's not that the shares were sold. The shares were only declassified. The shares are still intact. Future plans, I have to ask my co-promoters, what they want to do, but there's no plans right now.

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Moderator: The next question comes from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Congratulations on great set of numbers. So sir, my first question is, can you quantify the NPCIL order in terms of megawatt?

Nikhil Kumar: It's 3 megawatts, something 13 motors, it's whatever, 40 megawatt, anyway, whatever information it conveys, I don't know, but yes, that's the size.

Jainam Jain: Okay. And sir, what was the breakup of motor and generator business in the revenue during FY '25?

Nikhil Kumar: If you take only pure motor business, not including traction motors, it's something like 6%, 7%.

Jainam Jain: Sir, what is the average realization of megawatt we have currently? And how are we seeing increase in that going forward?

Nikhil Kumar: I don't have that information right now.

Moderator: The next question comes from the line of Kushal Goenk

a from Mangal Keshav Financial Institution.

Kushal Goenka: Congratulations on a good set of numbers. Sir, my first question was, as per my understanding, the current capacity can be around INR350 crores to INR360 crores per quarter. And only in H2 FY '26, we can see increase in quarterly revenue. Is my estimation correct?

Nikhil Kumar: Yes, approximately correct.

Kushal Goenka: Okay. And sir, second question was, sir, did you mention in your opening remarks that for FY '27, you are guiding for INR2,000 crores revenue?

Nikhil Kumar: I said that there is a path forward to INR2,000 crores with the new products and the export railway business and the new products that we are getting into, there is a clear path that we can see towards INR1,900 crores to INR2,000 crores. Yes, I'm confident that we will see the path there.

Kushal Goenka: Okay. So that can be achieved with the new capacity that is coming live?

Nikhil Kumar: We will not put any new capacity until about INR2,200 crores. We will optimize and we will make this existing capacity extremely efficient to produce more.

Kushal Goenka: Okay. Sir, but like before starting a new capacity, you would need time, right? So beyond INR2,200 crores also, like you will need to plan like before 1 year or something. So just wanted to get a sense.

Nikhil Kumar: Yes. We will of course, plan and we will do it. We will make sure we don't lose any opportunities. That's our job, and we'll keep the market informed.

Moderator: The next question comes from the line of Vinit from Plus91 Technologies.

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Vinit: Congratulations on great set of numbers this quarter. I actually have a couple of questions. You cited Ukraine was a good market for us and you have mentioned as a key export driver this quarter as well. What revenue did recognize from Ukraine this quarter? Do we have some numbers about it?

Nikhil Kumar: We don't give country-wise data, sorry.

Vinit: Okay. And as we see that 67% of our orders are coming from export. And do we expect this percentage share to be increasing or orders from domestic market will increase as well in the coming years?

Nikhil Kumar: Well, it depends on whether we win some of those large hydro orders or not from replacement and we take that out, then I think the ratio will be approximately the same, 65% to 70% will be export.

Moderator: The next question comes from the line of Kiran from Tabletree Capital.

Kiran: Congratulations on a great set of numbers. The first question is, I mean, I'm not looking for exact numbers per se, but U.S. approximately going by the past calls about 10% -- 8% of our revenue. Over the next 2 years, given the trend in data center, given the demand, would we expect U.S. business to go about 25% of our business because U.S. is a big deal, right, compared to Europe or are both similar market sizes. So those are the 2 sub-questions. U.S. will it go to 25% of our revenues

Nikhil Kumar: So 20%, 25% of the market of our total business coming from U.S. is definitely a very realistic possibility. We expect that to happen. And yes, the U.S. right now is a very big market, continues to be so. New stabilization units and everything from Europe is also a big market, but it's not going to move as fast because it's government investment driven, whereas in the U.S. market, it is completely private sector tech company-driven business. So it's a different thing. It's moving much faster. It's already moving. It's already an existing market.

Kiran: Super. Got it. And the second question that I have, Nikhil, is two sub-questions. One is this entry into two coal generator replacement market. I mean, going by your investor presentation, looks like a very, very huge market size. Is this opportunity restricted for us in India? Or is this a huge opportunity for us in the world? Or do we have to test it in India and two success and only then can it go t

o the world?

Vinay Hegde: So there is nothing to be tested as a prototype. So we have developed our own machines below 60-megawatt range for the replacement market. We don't have to restrict this only to India. We have the complete market open. And this is the first order we have received. There are many installations in India with the old Russian and Chinese machines as well as BHEL machines. So we are going after that. There is huge potential, not only in India, outside India as well.

Kiran: Got it. Sorry, my question was more what is our right to win because everything that we are targeting is a huge market, right? Geothermal is huge and everything else is huge. So is there a right to win for us after this installation or even before installation because of all other

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installations in the world, we have a right to win to install these two full generator replacement market?

Vinay Hegde: Yes, I got it. So basically, this will be the reference with our own design where we'll be replacing a competitor's machine. But we don't have to wait for the installation and go out of the market. There are three, four jobs we are already quoting and in the advanced stage of finalization. So we have the capabilities. We don't have to prove to the world that do the first installation and this is the reference.

So it is not like that before the installation of the machine itself, we are already in the market.

Only thing is the customer should have the machine, which has multiple failures and then he should make up his mind to go for a new one. So that is when we enter that and we give them the complete drop-in solution.

Kiran: Got it. Nikhil, other question that I had was you had any commentary around motors and how it's progressing other than saying it's according to plan. Any concrete commentary around any particular geographies we are targeting, any particular industries we are targeting to get to?

Nikhil Kumar: I mentioned we are targeting Middle East, we're targeting India. So it's going as per plan. I don't have to talk about it in great detail, but it's going as per plan. So I have nothing exceptional to report.

Kiran: Just industrial and synchronous.

Nikhil Kumar: Yes. I have nothing exceptional to report.

Moderator: We take the last question from the line of Akshay from Xponent Tribe.

Akshay: On the geothermal front, can you help us understand sort of for, say, 100-megawatt kind of a project, what is the size of work that we would do? Basically, if one had to try to size the opportunity for us, how should one think about it?

Nikhil Kumar: This is a very difficult question because it all depends on the geology of that particular site. It depends on how many wells they would need to dig for 100 megawatt. It depends on the size of the wells. It depends on the environmental conditions, whether there is a lot of H₂S gas over there, which needs equipment protection or not and what are the environmental regulations in that particular zone. It's almost impossible for me to answer your question.

Akshay: Sure. So maybe I can kind of put it in a different way while I hear you. Just for the projects that we have done in the U.S.,

Nikhil Kumar: I don't have the data for what is the total outlay for the investment. I'm sorry, I really can't help with that because the market is about whatever, 2, 3 gigawatts per year worldwide, 1 gigawatt or sometimes 2 gigawatts per year. It depends.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question, and we conclude the

question-and-answer session. I now hand the conference over to the management for their closing comments.

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Nikhil Kumar: Thank you, everybody, for this extremely thoughtful, insightful earnings call. We will be in touch with all of you. I hope to see some of you in some investor conferenc

e or face-to-face

meetings in the next course of time. Otherwise, we will connect with you at the end of the next quarter once again. Thank you very much, everybody, for your time today. Bye-bye.

Moderator: Thank you. On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 11, 2025

Dear Sir/Madam,

SUB: TRANSCRIPT OF EARNING CONFERENCE CALL – QUARTER ENDED JUNE 30, 2025.

In furtherance of our letter dated July 25, 2025, regarding intimation of earnings conference call, the transcript of Q1 FY 2026 earning conference call held on August 07, 2025, is enclosed and same has been uploaded on the website of the Company at www.tdps.co.in.

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

The Corporate Service
Department
BSE Limited
P J Towers, Dalal Street
Mumbai - 400 001
Scrip Code: 533553 The Listing Department
The National Stock Exchange of India
Ltd.
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
Mumbai - 400 051
Symbol: TDPOWERSYS

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Q1 FY '26 Earnings Conference Call"
August 07, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchanges on 07th August 2025 will prevail.

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR –
TD POWER SYSTEMS LIMITED
M S. M.N. VARALAKSHMI – CHIEF FINANCIAL
OFFICER – TD POWER SYSTEMS LIMITED
M R. VINAY HEGDE – GLOBAL HEAD, SALES AND
MARKETING – TD POWER SYSTEMS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of TD Power Systems Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

Before we begin, I would like to remind participants that this conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

With this, I now hand the conference over to Mr. Nikhil Kumar, Managing Director of TD Power Systems Limited. Thank you, and over to you, sir.

Nikhil Kumar: Thank you. Good morning, everybody. Thank you once again for joining us in our today's earnings call. I trust all of you would have received our results and investor presentation. Let me start now with the financial performance for the quarter ended 30th June, 2025.

Standalone first, our total income for Q1 on a standalone basis was INR 3.63 billion versus INR 2.66 billion over the same period previous year, an increase of 36%. EBITDA for the quarter is 18.7%, including other income, excluding exceptionals and treasury income versus 17.17% over the same period previous year.

Profit after tax and comprehensive income for the quarter was INR 471 million versus profit of INR 312 million over the same quarter last year, an increase of 51%. Order book for the manufacturing segment is INR 14.68 billion, out of which INR 10.8 billion is our generator and motor business, INR 3.48 billion is railways, spares and aftermarket business INR 0.11 billion, and INR 0.29 billion is the Turkey business.

Order inflow statistics. Order inflow during the quarter is INR 3.92 billion, an increase of 32% on a year-on-year basis. Order inflow from exports and deemed exports is INR 2.57 billion, compared to INR 2.14 billion previous year. 66% of our quarterly order inflow is from exports. 34% is domestic.

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Consolidated; our total income on a consol basis for Q1 is INR 3.76 billion versus

INR 2.77 billion, an increase of 36%. Profit after tax and comprehensive income for the quarter is INR 500 million versus INR 356 million, an increase of 40%. We continue to maintain a strong cash position of INR 2.3 billion.

Order book, market situation and guidance. Let me now go through this. The market conditions are fairly similar to the commentary given during the last earnings call. Of course, geopolitical situations have changed quite dramatically over the past one week, but I will be happy to discuss with you everything in the level of detail possible, to the extent possible given the information available at this point of time.

Let me now go through each segment and market in some level of detail. India, steam turbine market; India and steam turbine market export. This market continues to grow at the rate we predicted with no surprises both on the upside or the downside. The market is steady with around 10% to 12% growth taking place in the captive power plant business, biomass and waste heat recovery.

We have received a good number of orders for larger sized 4-pole machines in Q1 and there is a strong pipeline of similar orders in Q2. These orders are mainly domestic. In the export market, the pipeline is also strong. And overall, we expect the steam turbine business for us, domestic plus export to grow around 10% to 12%. We're getting steam turbine orders from all over the world and demand is strong

and steady.

Now coming to the international markets, gas turbine and gas engine. At first, I'd like to talk about the tariffs and the impact of tariffs on our business. I have been saying all along for quite a while that TDPS will have to move its production to Turkey in the event that the tariffs from India to the US becomes uncomfortably high.

I think we have reached that situation yesterday after the announcement of the additional 25% tariffs. And we will have to move part of our production to Turkey and do value addition over there to have the made in Turkey nameplate, which will then attract 15% duty, which is what Turkey has.

Last earnings call, I had mentioned that around 15% to 20% of our sales will be to the US. This should be further divided into two parts. Around three quarters of that, around 75% of this goes to European OEMs who, in turn, package the generator along with their engine or the gas turbine and do a lot of further value

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addition on the generator like adding protection panels, control systems. And these will then be re-exported as a turbine generator set or gas engine set to the US market, and these will then attract 15% duty, which is the duty which the European Union has now negotiated with the US.

The remaining 25% direct exports, that will have to be diverted to Turkey. That's about 4% or 5% of our overall business. And we have already been discussing with our customers over a period of time about this possibility that in the event that we have high tariffs, we will have to move to the situation. So they are well aware of our Plan B.

Now that we have a situation where Plan B might become the reality, we will still wait and see what happens till the end of August, whether this situation will actually continue or whether India will be able to come to a compromise deal with the US, we don't know. But at the moment, we are going full steam ahead with Plan B, and our customers are fully aware of that. Some negotiations, a lot of extra work is necessary for us to make this a reality, but no choice to protect our markets and our business, we will have to do what is required.

Now coming to the market itself, the demand forecast from the US and Europe are extremely high for both gas engine and gas turbine generators, and we are expecting a big uptick of orders currently. Even if the forecast are 80% correct, we expect to exceed the guidance made for this year and next year.

Currently, we have given a guidance of INR 15 billion consol for this year and INR 18 billion consol for next year. Looking at the way that the orders are flowing in and the forecast given by our OEMs, we will exceed these guidances. Order booking in Q2 continues to be very strong and we will end the quarter with extremely good order booking numbers.

During the next earnings call, we will provide a detailed upgrade on the guidance

for FY '26, which is this financial year and give a tentative guidance for FY '27. By that time, we expect all tariff-related questions to be answered, and we also expect to know where exactly we stand and where the market stands with respect to tariffs.

Hydro, we have achieved excellent order inflow in this segment, and next year will be one of the highest in the history of the company in hydro. We have also received a big refurbishment job in the last quarter. We are also bidding for further refurbishment projects in India.

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Even if we are successful in one or two, the order values and margins are very attractive, very large, and that will significantly give a big uptick to our domestic order inflow, as well as our overall order booking numbers. We are very optimistic about this particular segment. There are number of jobs in the market and TDPS is well placed to maybe get one or two large jobs.

Our motor business is gro

wing at the rate that we mentioned earlier. This year, we'll be still on track to achieve the targets what we have mentioned, which should be something like INR 1.5 billion. And next year, we're going to do INR 2-plus billion in the motor business. There are number of orders in the pipeline mainly for synchronous motors, induction motors for export. And in particular, there are a large number of orders in the synchronous motor segment, which will be finalized very shortly.

Railways, we have orders now for the US market, for the European market and the Russian market. We'll be supplying to all these three markets next year. And of course, the Alstom order for India still continues. So next year, we'll be supplying to all the four markets and we'll see a significant uptick in our railway business in the next financial year.

General guidance, as mentioned earlier, I still stick to INR 1,500 crores for this financial year with a certain upside potential and which will be confirmed in the next quarter, and margins will be maintained at the current levels plus/minus 0.5%. This brings me to the end of my initial remarks. I'll be now happy to address questions that you may have. Thank you.

Moderator: Thank you very much. The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Yes. Good morning, sir, and thanks for the opportunity.

Nikhil Kumar: Good morning.

Mohit Kumar: And congratulations on a very good quarter, order inflow and profitability. My question is...

Nikhil Kumar: Thank you.

Mohit Kumar: Given, of course, the tariff -- 25% tariff is imposed in July is going up to 50%. My question is, do you see the risk of delay or postponement on the existing orders?

And how do you mitigate that?

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Nikhil Kumar: As I said, there are two segments. So one is that 75% of our exports to the US is actually routed through the OEMs, which will go to Europe and then there will be value addition done over there and then from there, it gets re-exported.

The second part is the 25% which is direct exports, which, and for all the pending orders also, we will start now trying to convert as much as possible to redirecting that through our Turkish operation. And our customers are committed towards still continuing with the order inflow from us, because it is not easy for them or for us right now to backtrack from the commitments which already have been made. Most of these orders are already signed with the end users. And our name is there on those contracts. So, we have to find a way to ensure that the cost that we deliver finally to the end users is within the range of what we discussed earlier, which we had all expected to have a 25% tariff range. So we have to make sure that even if we deliver through a third country because we manufacture in the third country,

then the overall additional costs are not going to exceed that 25%, which is what we are planning to achieve.

So our turbine customers are fully aware of these calculations and fully aware of this, because we've been talking about this for quite a while. Ever since the first round of tariffs took place, say, about two weeks or three weeks ago, when the first 25% hit, I expected the worst, and we told our customers let's expect the worst. If things get better, it's great. But now the worst case situation has happened and people are fully aware and people are fully aligned with our plans.

So, yes, to answer your question, in a very, very long way, we don't expect any order delays or cancellations.

Mohit Kumar: My second question is, how much time...

Nikhil Kumar: Because people are fully aware of what we are doing.

Mohit Kumar: My second question is, how much time it will take to ramp up the Turkey production?

Nikhil Kumar: No. We are already producing in Turkey. It's not that the plant is idle. We have production in Q2 and Q3, both put together be

tween something like – EUR 4

million to EUR 5 million in Turkey in Q2 and Q3. So the plant is running right now. Now we have to beef up a little bit on the manpower. And we'll be doing mainly assembly and testing operations over there, so it's not a lot of manufacturing. And we'll be able to meet the requirements.

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So as I said, it's only something like 4% to 5% of our overall sales, which is going to go through Turkey. And that kind of capacity is already available for the US market. And as I said, hopefully, highly likely that we don't have to do all these things by the end of the month. But in the worst case, if we have to expand the operations over there, we will.

Moderator: Our next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Sir, question on the very strong commentary for exports and you have delivered good orders in export market also this quarter as well. Just wanted to understand a couple of things. Which key markets will drive the exports? Is it the same markets are getting better response or the demand scenario has changed?

And what has led to the demand scenario changing? Or is it the tariff which is kind of favorable to us versus other competition? So some sense on why the export market is growing for us? Is it product competitiveness or the market itself, if you could give some highlights and the key markets also?

Nikhil Kumar: Yes. Markets is the same. I mean, we have been working to develop these markets, Europe and US, for I would say, a decade. So this is not something that switches overnight. We have been working on developing these markets and penetrating these markets for a long period of time.

And as I have been saying for many quarters right now, the environment or the macro situation for power generation in both the US market and the European market, in general, is very favorable for us. One is because of the move towards renewables, then the move towards grid stabilization in the European market. Also data center market and AI is starting to pick up in the European market, too. US is driven mainly by data center and AI, which is a big boom, which is going to continue for some more time. And there is an overall shortage of power equipment in the world.

So as a part of this overall landscape, TDPS is very much a large participant in this market, and we have a big capacity, which is coming on stream. Our customers are fully aware of it and are banking on this capacity to meet the demand. We have to find a way to deliver the machines to them at a reasonable cost, and we have the flexibility of manufacturing in another country. So we will make sure that we protect our markets and deliver the numbers that we have committed.

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Amit Anwani: Second question on the domestic market where we have given a marginal growth

guidance for FY '26, barring that, if we get a large order from hydro refurbishment, this would be kind of lumpy order. But having said that, ex of that, what are the underlying reasons for marginal growth for domestic?

And is the market is kind of tepid in India or are particular sectors not growing, particular sectors growing? So if you could give some sense why we are factoring the marginal growth for domestic market?

Nikhil Kumar: No. I think again, I've been saying this for a few quarters. This is not something new I've been saying. I have been saying that the domestic market on the captive steam turbine side is growing steadily. I mean, I said if we have 10% to 12% steady growth year-on-year, it's much better way for the market to grow, a steady growth on a long-term basis rather than having a boom cycle of 25%-30% growth for one year or two years and then crashing to 0 after that. So, I'm happy with this, that it's growing steadily. We can depend on this growth. It's a steady growth. An

d it's a
broad-based growth.

So I would say this is a very positive situation from the domestic market. We can expect a steady growth taking place this year and next year, and I'm happy with it. But whether it satisfies the overall demand of growth for the company as a whole, it does not. That's why we have multiple products, multiple geographies.

And you can see that we have a very, very broad-based line of products, which overall delivers a much higher growth for the company in the region of 20% plus.

That's been our strategy. I would say, we have been talking about this for years right now, and now we're delivering on that strategy.

Amit Anwani: Sir, lastly, on the data center, we have been supplying to US directly to data centers, and you have been highlighting a strong growth there. Any sense on Indian market? Have we worked on the data center side? Or is there any pipeline for data centers, especially in the domestic market?

Nikhil Kumar: Data center market in India is also there. I mean, it's quite a big market at the moment. But you have to look at it from different segments. It's a data center market where you have storage of data. That's what the Indian market is right now where it's a big business. It's a huge business actually, but those are limited to smaller size backup power where you have 10-megawatt or 5-megawatt, maybe larger ones, the 15 megawatt, which is mainly met through diesel engines, which

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are supplied by Cummins or Caterpillar, those kind of machines, with TDPS is not in this market.

If India gets into putting in large AI server farms and things like that, then the power demand will go to 50-60 megawatts, even 100 megawatt per server farm.

That's when our business will then kick in for the Indian market. It's going to happen. At some point of time, India also is going to make investments in AI, having the servers located in our country.

So at that point of time, of course, the demand will go up. Those kind of 50-60 megawatts or 100 megawatts cannot be met by diesel engines, people will have to go for larger sized gas engines or gas turbines. And that's where we will then come in. But at the moment, the hottest market is the US market, I would say, followed by Europe and India is right now still in the talking stage.

Moderator: Our next question is from the line of Ganeshram from Unifi Capital.

Ganeshram: Congratulations for the results. And I must say you keep your introductory remarks concise and to the point, which is very helpful. So I would just like to follow up on some of this, right? The tariff situation is volatile and quite frankly, a bit

frustrating to watch because it keeps changing every now and then. I'm asking this question from a customer point of view, are you seeing any fatigue from their end? And are they saying, okay, let's wait and watch what happens. Are you seeing any scaling back in demand? And compared to other geographies where the tariffs also keep changing, are we still maintaining that arbitrage versus the other geographies?

Nikhil Kumar: I was recently in the US. I was there the whole of last week. My feeling is that the customers are prepared to pay between, let's say, 15% to 25% more for power generation products. I think they already baked those into the numbers. So I think the threshold is something like 25% to 30% additional cost on tariffs.

For power generation equipment, very little is manufactured in the US. Most of it is manufactured in Europe and to a smaller extent, manufactured in Japan. We are,

I would say, an outlier supplying generators from India. We are probably the only non-European or non-Japanese company, which is supplying to the US market in a big way.

So you already have 15% on European imports to the US. And I think the customers have reconciled themselves to that number. These investments are going to go on regardless, because

the power plant as a percentage of the overall

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investment rate in the AI server farm is something like 3% to 4%. So even if it's up at 25%, it's going to be something like 1% to 1.5% overall increase in cost, which is not significant from a point of view of someone like a large tech company putting up these kind of investments, someone like Microsoft or Meta or Google or whatever it is.

So we don't see any let up of demand. But we have to make sure, from TDPS point of view, we have to make sure that we are in that range where our products when delivered to the customers don't cross that threshold of pain. And that's why I'm saying again and again that for direct exports to the US, if this 50% tariff continues beyond August, we will have to manufacture our generators in another country to avail of the lower tariffs from that third country.

And for us, we have an existing plant in Turkey. So the fastest way for us to do this is to go to our existing plant in Turkey. So that's what probably we will do as a first step. And then if this thing continues to get dragged on for a longer time, we may look at another more efficient options in some other place. All those things are right now very fluid.

But at the moment, what we can respond to immediately is that we have always been talking about in this event we will go to Turkey. And that's what we have on hand right now, and the situation has now come to the point where we have to take that call, provided by end of August, we don't see any change in the current situation.

Ganeshram: And in Turkey, right, this geography tends to be a bit difficult to navigate for businesses. Last I saw on some other call, there were about 500 companies being bankrupt every month or so, right? What's going to be the challenges in scaling this up?

I know you have staff and you're already manufacturing some of it, but are there any other operational risks because this is a geography we once considered exiting, right? And what would be the financial impact on us because we have to read out production through Turkey now compared to just shipping out directly from India?

Nikhil Kumar: So we have been there for seven years already in Turkey, and we have good experience in managing and operating our plant in that region. So if we are doing dollar or euro-based sales, the situation is quite stable. But the moment you start doing Turkish lira kind of a business, then it becomes from a currency point of view, unstable.

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I don't expect any problems in manufacturing the smaller number of machines, which are now required, which are direct sales to the US. And as I said, the threshold is that we have to make sure that the additional cost to our customers doesn't cross that threshold of pain what I earlier mentioned.

It is going to cost something more to move the products to Turkey and to ship them there, ship the components over there, do the further manufacturing over there, reassemble them there, again ship it from there to the US. It's going to cost something more. But based on the calculation, what we have done, we can manage the cost to be within that threshold of pain so that our customers are not going to get turned off by those numbers.

Ganeshram: No. That makes a lot of sense, especially from the currency point of view. If I could just ask for one clarification. I'm sure you mentioned this before, but just to remind us or clarify. Status quo, what is our cost advantage versus Europe and

Japan? And with the tariffs and rerouting through Turkey, what will be the situation? If you could just give us a sense.

Nikhil Kumar: So, let's say, our product is 100. European or other products will be something like 125 or something like that, i.e., 25% more before tariffs. And then you have a 15% tariff on European products, it goes to

something like 150. Our 100 should be somewhere in the region of 125 or 130, at the maximum. So, we still maintain an arbitrage of around 20.

Ganeshram: Got it, sir. Got it, sir.

Nikhil Kumar: So, it comes down. And then definitely on an absolute number, the gap gets reduced to some extent, but not to an extent where it jeopardizes our cost advantage. There's still a significant gap.

Ganeshram: So you're saying after rerouting, you'll still be at 125, 130, which is -- although the gap is smaller, the gap exists and customers will take...

Nikhil Kumar: Europe is on 150 because they have the 15% duty. I mean that 20 gap is still there. This is a rough numbers, of course, plus/minus. But in general, arbitrage still remains.

Ganeshram: And last question, and I'll give chance to the others after that is, the increase in employee cost this quarter, I assume, is coming with the new sheds being commissioned. So are we on track with that?

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Nikhil Kumar: We are on track with that. There are some small delays, but we will start commissioning the third plant progressively from Q2 and it will go on in Q3. There are some small delays.

Moderator: Our next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congrats for decent numbers. Most of my questions are answered. Just one clarification. Like we are going to scale up our production in Turkey that we spoke about. Do you think like looking at the recent things happened between India and Turkey during the war season, do you believe like is it going to be a permanent solution for TD Power in longer term?

Nikhil Kumar: No. As I said, I just mentioned a little bit earlier that for the moment this is our fastest way to do this, and that's what we're going to do, because we have the plant running and this is 100% subsidiary of TDPS. So this is the fastest way for us to do it, we'll do it.

We need to breathe little bit right now, right? So we need to have something and start breathing. So once we have the flow of products going in through our Turkish operation and the situation stabilizes, of course, we're going to look at a more efficient solution and look at whether a more efficient, a more stable solution somewhere else.

We will look at it. We'll examine it and then we will take a call. But right now, I'm keeping this option open. I'm not committing myself that I'm going to go somewhere else. But like you are just saying, one has to evaluate the risks and we have to take a call and do what's best.

In general, I don't think that political differences between two governments really trickles down to business. I don't think that happens. At least it's not happening between India and Turkey.

Moderator: The next question is from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Congratulations on a great set of numbers. Sir, my question is on the pricing side for motors and generators. Sir, what is the average realization of motors and generators we have, maybe some broad range?

Nikhil Kumar: I can't give that number. Every motor is different, every generator is different. Sorry, I can't really give that number to you.

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Moderator: Our next question is from the line of Vinit Thakur from Plus91 AMC.

Vinit Thakur: Congratulations on amazing results. I had just one quick question regarding the

promoter holding decline has been...

Moderator: Vinit, sir. Sorry to interrupt, Vinit, sir, your voice is breaking a lot.

Vinit Thakur: Yes. I saw basic clarification.

Moderator: No, sir. Your voice is still breaking.

Vinit Thakur: Okay.

Moderator: I request you to rejoin the queue. Thank you. Our next question is from the line of Himanshu from BugleRock Asia.

Himanshu: Good set of numbers, but I had some confusion, okay, on the statement what you gave about US business, okay?

So if I look at our Annual Report of this year, INR

145 crores of sales was through US subsidiary and INR 216 crores is through German subsidiary, okay? So you are saying that out of this INR 216 crores, 3/4th goes to US when we repackage and that is what we will like to build in or bring it back to Turkey for manufacturing. Is that the way? Or how should we understand it?

Nikhil Kumar: No. It's far more complicated than that, Himanshu. I can't give you an explanation on the way that the European sales and US sales takes place in relation to whatever I have been talking to you. It can't be tied up one-to-one like that. So because there are so many other products that are sold through our US subsidiary, so many other products sold through our European subsidiary.

We do hydro, we do steam turbine, we do other products. We do geothermal. We do so many products through our other subsidiaries, so it's not possible to say that only data center business is being done, and therefore, you can do a one-to-one explanation in just a few sentences. I can't answer this question to you in a very simplified way, I'm sorry.

Himanshu: But would it be right to say that INR 150-type crores of sales is to US and a portion of that goes through Europe and that is what...

Nikhil Kumar: I said to you that about 15% to 20% of our overall sales is to the US market. So if we are going to do INR 1,500 crores, 20% of that will be INR 300 crores.

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Himanshu: And so nearly what the question comes that 3/4th can we -- so can the Turkey subsidiary scale up so quickly in next one year?

Nikhil Kumar: Yes. We have done in the past INR 120 crores of sales in one year, complete manufacturing in the Turkish unit. So here, we're not doing complete manufacturing. We're going to be doing a partial manufacturing. So, yes, it can take place.

Himanshu: And one last question, bookkeeping. What was the trade receivable at the end of the quarter, if Varalakshmi can give that number?

Nikhil Kumar: Varalakshmi, please.

M. N. Varalakshmi: Yes. It is INR 425 crores.

Himanshu: The whole quarter's sales number nearly is in that. Okay.

Moderator: Our next question is from the line of Aditya Trivedi from Nepean Capital.

Aditya Trivedi: So given TD Power's entry into long-duration energy storage, and this is, as I've seen on the investor presentation through the commissioning of a generator for energy dome in Italy, what is the potential market size for CO 2 battery storage plant globally? And what growth outlook do you foresee for similar projects for TD?

Nikhil Kumar: I don't have an answer for that in terms of what is the growth potential in terms of numbers. One of our major customers in India has also tied up with this company, and they are also going in a big way into the CO 2 market with the same company. And this Italian company is also licensing the technology to other companies all over the world.

I don't know, it could enter into hundreds of megawatts after some time, but it's very, very hard for us to say today with just the pilot plants being commissioned, whether how quickly this technology is going to be absorbed and rolled out across the world.

Normally, these things take a little bit of time, but it's really a very exciting technology, and it takes CO 2 from the air, from the atmosphere. So it's very, very environmentally friendly. I can expect this to be a very large business in the future. And as I said, one of our major Indian customers has also getting into this in a big

way, and we are working with them very closely on this. And I think that they will do very well in this segment.

Moderator: Our next question is from the line of Amit Agicha from HG Hawa.

Amit Agicha: Sir, what is the current size of the order book? And how much of it is executable in FY '26?

Nikhil Kumar: Vina

y, you are on this call, can you answer this? I think that we have INR 1,400 crores order book.

Vinay Hegde: Yes. We have executable order for this year, INR 1,450 crores. And as Nikhil said, there is an upward revenue possible, but we have given an indication of INR 1,500 crores. So, book and bill looks to be only INR 50 crores. So already, we are in a very, very comfortable situation for INR 1,500 crores.

Amit Agicha: And sir, second question was like out of the INR 40-45 crore capex plan for FY '26, how much is growth versus maintenance versus automation?

Nikhil Kumar: Varalakshmi, you can take this question, please.

M. N. Varalakshmi: Yes. See, replacement is around INR 20 crores, which is equal to the depreciation amount and the other is for the growth.

Moderator: Our next question is from the line of Akshay J. from Xponent Tribe.

Akshay J.: Sir, in the earlier questions, you spoke about the fact that when data centers become larger, the diesel genset backups are not useful and one needs to sort of put gas engines or gas turbines. Two questions here. One is that why is it that diesel gensets are not sort of usable? Is it that they cannot give high power requirement? And are gas engines and gas turbines interchangeable? Or are they part of the same product that we would do?

Nikhil Kumar: The largest diesel engines go up to maybe, I think, 2-3 megawatts based on the large manufacturers, whose names I mentioned a little bit earlier, 2-megawatt to 2.5 megawatts. So if you have 100 megawatts requirement, you can't have 50 engines running in parallel. It's very, very complicated and no one invests like that. You would prefer to have three or four machines of 25-megawatt size or 20-megawatt size. So that's how power plants are built. Nobody puts 50 engines or 100 engines running in parallel to meet a requirement of 100 megawatts.

Gas engines go up to 10 megawatts to 12 megawatts. So depending on the overall size, you have flexibility of which type of engine to use. And in general, it's not possible to burn diesel to meet environmental requirements in the Western countries. You have to use gas. So gas is the only solution for this kind of power generation in the Western countries.

Akshay J.: But when you're speaking about that in terms of an India capex build out, our expectation is that when we have much larger data centers sort of running in India that they would run on gas as backup and not on diesel. That's a fair assumption, right?

Nikhil Kumar: India is at the talking stage right now, okay? So I think let's see how it evolves. India need to first figure out how it's going to get power for basic infrastructure. And then we can talk about power for AI. For India, I mean, it's just a conversation that we can have. It's not done in reality right now. So I think it's not on my radar screen right now.

Akshay J.: The second is the center that we are developing in the UK for larger-sized products that you spoke about in the last call and in the Annual Report. Just can you help us understand maybe a little bit more detail what kind of products that we are not taking right now that we will end up sort of developing there? What is the opportunity we are seeing there? And when does it sort of start fructifying in terms of orders?

Nikhil Kumar: So, we are developing our own range of products for larger machines, say, 50 megawatt to 150 megawatt, our own design. And we need the design talent required to develop these products. The talent we have located in the UK and with UK nationals would like to work out of the UK. And that's the reason why we have

selected these people and created the infrastructure for them to work for us out of the UK.

The products I've already mentioned and this business above 50 megawatt is a very large business worldwide. So far, we have worked with as a license partner to a large company, wh

ich has a lot of restrictions. And now we have come to the end of that contract and developing our own products and which can address a much, much larger market.

So this is something for our growth, which we are looking at '28 onwards, but we're building the foundation right now. We have to build in the design capability, manufacturing capability and then go out in the market in a big way with our own

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products. But all these things take time. And so we are looking at this to be a big area of our business '28 onwards.

Akshay J.: So even if you look at your history and how you kind of went from being a domestic focused company to a global -- much larger global business, it took us a while to build credibility and be able to sell to different markets, right? I mean, if I kind of take a few steps back and look at a 10-year kind of a period, right? Now for the newer larger products, would this journey be as long -- because you're saying '28, we see really short compared to at least what it may have taken in the past. So is this something that we think because of the delivery we've generated so far that the speed to market for larger product will be, say, in three years of such time?

Nikhil Kumar: Yes. Yes. Of course. We're not an unknown entity in the market right now as we were 10 years ago. So we are a known entity, and therefore, it will take less time.

Moderator: Our next question is from the line of Soham Dhingra from Phillip Capital.

Soham Dhingra: So my question was with respect to the recent talks that the government -- that there have been rumors about private sector participation in the nuclear sector in India. So what kind of tailwinds do you see specifically for the company in case this actually happens and private sector is allowed to participate in the nuclear sector?

Nikhil Kumar: Yes. We will certainly see a lot of increase in motor business.

Soham Dhingra: Sorry, sir? A lot of?

Nikhil Kumar: We see a lot of increase in the motor business.

Soham Dhingra: And on the generator side?

Nikhil Kumar: No. Those will be way beyond our sizes still. So we are not going to be participating in the generative side. We are not going to be making 300-400-megawatt machines. So that's not going to be our target and even for the smaller nuclear power plant, which will be in the private sector. But there will be a lot required in each and every plant, and that's what we are targeting.

Moderator: Our next question is from the line of Karthik from Suyash Advisors.

Karthik: I just wanted to clarify the example you gave earlier of the cost differential between India and European manufacturers. So you said 100 going to say, 125 to 130. I'm

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assuming that the 100 already embeds the 10% tariff being imposed by the US. So would be -- so can you split the remaining 30% into, say, 15% of incremental duty and 15%? How that would be paid? What I'm trying to really understand is how different would be the cost structure for doing stuff in Turkey versus India?

Nikhil Kumar: Yes. So these are ballpark numbers. So 100 cost goes to 115 and 115 will then have a duty on top of that. So we go to 130, somewhere around 130. That's approximately where it's going to be.

Karthi: So what I wanted to understand is, is the cost of doing things, how is it different in Turkey versus India? So like-to-like, would Turkey be more...

Nikhil Kumar: Cost of 100 which was earlier of cost of 100 from India would become 115 in Turkey, approximately.

Karthi: Sir, how much of that would be freight? I know you answered it, but...

Nikhil Kumar: I can't give you all the numbers. I'm sorry, I can't give you all those numbers.
Moderator: Our next question is from the line of Naman Parmar from Niveshaay Investments.
Naman Parmar: Firstly, I wanted to understand with the current facility, how much revenue

potential can you do? And the third plant will be commissioning by?

Nikhil Kumar: The third plant will be progressively commissioned, as I said, in Q2 and Q3. Initially, we will have an additional capacity to take us to around INR 2,000 crores, but we are already working on optimization and better manufacturing, lean manufacturing and other things like that. So, we easily see a potential to take this to INR 2,300-2,400 crores. So we will not be making further investment, large investment at least for the next two years, and we want to utilize our assets in a much better way.

Naman Parmar: And secondly, on the order book side, can you just give the breakup of how much is from the generator and the motors?

Nikhil Kumar: Yes. I don't have the number with me, but we can give it to you offline.

Naman Parmar: And lastly, on the labor sourcing side, as you mentioned earlier that the manufacturing -- major manufacturing is not happening in the Turkey. But don't you think the sourcing of the labor is a very key challenge in the Turkey region? So how you will manage that risk, sir?

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Nikhil Kumar: We need some 5 or 10 people. It's not a big deal. We don't need 500 people. We need maybe 10 people.

Naman Parmar: And lastly, on the tariff side, so current situation, what is perceiving in the US, like you are getting a major order and all the impact of the tariff has been borne by the customer only, right? You are not bearing any impact on the tariff. And as you mentioned that the other competitor in the Europe and Japanese are mostly costly, above around INR 20 if your product cost around INR 100.

Nikhil Kumar: Yes. I have already given the numbers on all this. Please excuse me, I don't want to repeat it the third time.

Moderator: Our next question is from the line of Balasubramanian from Arihant Capital Markets Limited.

Balasubramanian: Sir, that UK design center is majorly focused on develop larger generators like 40 to 100 megawatt. So what is the capex for this initiative? And what is the expected timeline for commissioning this 100-megawatt generators? Is there any requirement JV with OEM for this initiative?

Nikhil Kumar: We have already made the manufacturing investment a long time ago, and we don't have to make major investments to do this.

Balasubramanian: When we can expect commercialization, sir?

Nikhil Kumar: We have just started the design center. We will update you on the progress in the upcoming quarters. We just started to design and it will take time. We will get back to you.

Moderator: Our next follow-up question is from the line of Ganeshram from Unifi Capital.

Ganeshram: Just some book-keeping questions. If you could just clarify the situation on working capital, such as receivables, payables and inventory? And on other income, what's the extent of forwards you've booked? And how should we see this pan out? What's the sensitivity to forex here?

Nikhil Kumar: Varalakshmi, can you take this question?

M. N. Varalakshmi: Yes. Working capital, actually, it is running around 120 days, and this is what it will be because the revenues are also towards the end of the quarter, there is very high billings and all, so it comes into the data. So 120 days is what you can

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estimate. And the forward booking of euros we have done for this year, and we are quite well placed on those numbers.

Ganeshram: I'm just trying to get a sense of where this other income number is going to land up and if there's anything that we should know from the forex point of view because it was quite elevated last year? That's the reason.

M. N. Varalakshmi: It will have to be taken on a quarter-on-quarter basis, depending on the movement of euros between the quarter and what we have booked. It will have to be reviewed on a quarter-on-quarter basis only. It's difficult to make any c

ommitment for the full year right now.

Ganeshram: And currently, how many people do we have employed in Turkey for manufacturing staff?

Nikhil Kumar: About five to six.

Ganeshram: Right. Okay. 10 more people from here. Understood. Okay.

Nikhil Kumar: Let's not make a big deal about this.

Ganeshram: Understood. Understood.

Nikhil Kumar: I mean.

Ganeshram: Understood

Nikhil Kumar: I'm talking about it really.

Moderator: Our next question is from the line of Kiran from Table Tree Capital.

Kiran: Sir, my question is more on the promoter selling that's happened. So in terms of further selling or is it -- I mean, because we have been -- promoter shareholding is lower as it is, so there's been further selling that has happened over the past, what, three months back or two months back. So in terms of any -- is there any assurances that there's not going to be any more promoter selling or there's nothing of that sort? If you could just give some clarity on that, that would be great.

Nikhil Kumar: There is nothing of that sort planned at least for the next two to three years. At this point of time, I can say that we are not at all looking at that for the next 24 months at least.

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Moderator: Our next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Yes. Just one follow-up, sir, on the aftermarket and spares. If you could give some sense for aftermarket and spares business growth from here for us? Will it be at company rate? And second, are we doing this -- is there any possibility of market expansion? Are we doing aftermarkets? And there also, are we seeing the opportunity in export market? Some color on the aftermarket and spares business for next two years?

Nikhil Kumar: Vinay, can you answer this?

Vinay Hegde: Yes. Aftermarket business, as we told in the last quarter also, we are focusing more on that. And as a result of that, we have got a very big orders in the last quarter for the refurbishment job, mainly in the hydro. So this aftermarket business is mainly coming from the hydro market.

Also, we are looking for aftermarket business outside India, and we also participated in one big exhibition in the US last to last week. And yes, it is going to grow. And there are good number of orders. We are participating in the tenders. And if they get converted into orders, those are going to be big numbers.

Amit Anwani: Yes. So what is the current contribution? And will it grow faster than the products business?

Vinay Hegde: It will not grow faster than the product business. New product is the main growing business for us. Because in generators, our own generator fleets are quite young, and we are not targeting our own fleet of generators. We are targeting all our competitors' machines as well. One is the replacements business and other one is the refurbishment business.

Nikhil Kumar: So we said that our aftermarket business will be something like 6%, 7% of sales, and we'll stick to that.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to Mr. Nikhil Kumar, Managing Director of TD Power Systems Limited, for closing comments. Thank you, and over to you, sir.

Nikhil Kumar: Thank you, everybody, for joining our call. If you have any further questions, please feel free to get in touch with us. We look forward to interacting with you or seeing you personally at some upcoming investor conference in August and September. Thank you.

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Moderator: Thank you. On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 05, 2025

Dear Sir/Madam,

SUB: TRANSCRIPT OF EARNING CONFERENCE CALL – QUARTER ENDED
SEPTEMBER 30, 2025.

In furtherance of our letter dated October 18, 2025, regarding intimation of earnings conference call, the transcript of Q2 FY 2026 earning conference call held on October 31, 2025, is enclosed and same has been uploaded on the website of the Company at www.tdps.co.in.

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

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Scrip Code: 533553 The Listing Department
The National Stock Exchange of India
Ltd.
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
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Symbol: TDPOWERSYS

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(CIN -L31103KA1999PLC025071)

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"TD Power Systems Limited
Q2 and H1 FY '26 Earnings Conference Call"
October 31, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchanges on 31st October 2025 will prevail.

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR –
TD POWER SYSTEMS LIMITED
M S. M.N. VARALAKSHMI – CHIEF FINANCIAL
OFFICER – TD POWER SYSTEMS LIMITED
M R. VINAY HEGDE – GLOBAL HEAD, SALES AND
MARKETING – TD POWER SYSTEMS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call of TD Power Systems Limited. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded. Before we begin, I would like to remind participants that this conference call may contain forward-looking statements about the company, which are based on the beliefs and opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the call over to Mr. Nikhil Kumar, Managing Director of TD Power Systems. Thank you, and over to you, sir.

Nikhil Kumar: Thank you. Good morning, and thank you all for joining us today on this call to discuss the financial results of TD Power Systems for the 6-month period ended 30th September 2025. I have my colleagues, M.N. Varalakshmi and Vinay Hegde, Head of Marketing and Sales on this call.

Moving on to the financial performance of the company for 6 months period stand-alone basis. Our total income for H1 on a stand-alone basis was INR 7.64 billion versus INR 5.77 billion over the same period last year, an increase of 33%.

EBITDA for H1 is 18.42%, including other income and excluding exceptional and treasury income, versus 18.04% over the same period in the previous year. Profit after tax and comprehensive income for H1 is INR 989 million versus a profit of INR 720 million for the same period previous year, an increase of 37%.

Order book of manufacturing segment is INR 15.87 billion, out of which INR 12.35 billion is generator business and motor business INR 3.16 billion in the railway business, and spares & aftermarket business is INR 0.07 billion and INR 0.29 billion in the Turkey business.

Exports and deemed exports, excluding railway order, growth is 8%. Order inflow during the quarter is INR 5.24 billion, an increase of 45% Q-on-Q basis. The order inflow for the H1 basis was INR 9.16 billion for this half H1 versus previous H1 is INR 6.58 billion, an increase of 39%. Order inflow from direct and deemed exports is INR 6.95 billion compared to INR 4.78 billion in the previous year. 76% of our H1 order inflow is exports and 24% is domestic. Consolidated, our total income for 6 months on a consol basis is INR 8.33 billion versus INR 5.89 billion, increase of 42% and profit after tax and comprehensive income for H1 is INR 1.108 billion versus a profit of INR 764 million, an increase of 45%. We continue to maintain a strong cash balance of INR 1.93 billion.

Order book, market situation and guidance. The market conditions are similar in all segments as compared to the last quarter except for the gas turbine and gas engine business, which is completely turbocharged and demand has increased dramatically.

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Let me go through each segment and market in some level of detail. In India, the steam turbine business, the market continues to grow at the rate that we said earlier with no surprises both on the upside and downside. The market is steady with around 10% to 12% growth taking place in captive power plant business, biomass and waste heat recovery. We have received a large number of orders for larger size coal units and we expect further orders to continue in the upcoming quarters also for larger machines for steam turbine generators. In the export market, the pipeline is also strong and overall, we expect on the export market also 10% to 12% increase in steam turbine business. We're getting stea

m turbine orders from all over the world and demand is strong and steady.

Now coming to the gas turbine and gas engine business. The demand and forecast on US and Europe are extremely high and we're experiencing a very large uptick in orders. The forecast made by our prime mover partners are extremely high and are exceeding expectations. Based on the surge in orders in this segment, we increased our guidance this financial year to INR 18 billion and over INR 20 billion for next financial year. Order booking in Q3 continues to be very strong and we will end this quarter with extremely strong, good order booking numbers.

Currently, what we are seeing is that we are seeing that we have ramped up our order booking to an average of INR 550 crores per quarter, which we will sustain into next year. This gives us an indication of what could be the expected business on a minimum basis for next financial year. We're getting orders from, as I said, all markets and particularly from the US market despite the duties and we expect further order inflows once the trade deal between India and the US materializes sometime in November and December.

Hydro, we have achieved excellent order inflow in this segment and next year will be one of the highest in the history of our company for hydro. And as mentioned in the last quarter, we're also bidding for large refurbishment projects. None of them have fructified so far. But even then, we are hopeful that we'll be successful in a few of them.

Our motor business is growing at the rate that we earlier mentioned. We don't have anything special to report in the motor business. We'll be on track with our plans. The railway business is also going on track. We are producing the trial units for both the US market and the Europe market.

Both these trial units for both these jobs should be handed over to the customer by the end of this quarter, that's Q3. Qualification will take place early in Q4 and we'll start producing volume production in Q1 next year. Similarly, for the Russian traction motors, we have offered our motors to the Russian customer as qualification units.

After they will test the motors, say, in Q4 next year, we should see a ramp-up taking place in the railway business for Europe, US and Russia. General guidance, as mentioned earlier, our revised

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guidance for the current year is INR 1,800 crores and initial guidance for next year is over INR 2,000 crores.

This brings me to the end of my initial remarks. I'll now be happy to answer any questions that you may have. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Mihir Manohar from Trust Fund.

Mihir Manohar: Congratulations on a great set of numbers and also providing the guidance. Largely wanted to know on the capacity expansion side, because when we see, again, end of this quarter or the start of the next quarter, we are expecting capacity to kick in. Now if I recollect, I mean even after debottlenecking and all, our overall potential comes out to be INR 2,300 crores, INR 2,400 crores and it takes us roughly 9 to 12 months for the capacity to come in.

So I mean will we be looking at capacity expansion because if the demand is so strong beyond the level, we will end up having constraints on capacity. So what is your thought around this particular topic as to when will you look to expand capacity further from here on?

Nikhil Kumar: Yes. We will never be in a situation that we will be short of capacity. So we will not let that happen. The current capacity, we constantly find ways to push our capacity. So for example, we have already -- without the third plant being fully operational, we already ramped up our production fairly significantly.

The third plant will be fully commissioned in this quarter and it will be fully in production and we will see a

ramp-up in our production and sales in Q4 further compared to what we're expecting in Q3. And there is a lot of scope for us to push this number even beyond INR 2,400 crores, INR 2,500 crores.

We've done a lot of capacity analysis once again with some further debottlenecking. We don't expect to make any major investments up to FY '28. Of course if the demand further pushes the requirement to go beyond INR 3,000 crores, then we have enough of land, we have enough buildings also.

We have created 25% extra space in each building so that we can expand capacity, we can put in more machines up to 25% in the existing buildings. So we don't have to create new buildings.

We have taken that buffer space in our existing new factories. So I don't see a problem of capacity, honestly speaking, and that's the last thing on my mind right now.

Mihir Manohar: Okay. Understood. So basically all 3 plants put together, I mean the overall max potential can be INR2,500 crores, INR2,600 crores. Is that a fair number to look at?

Nikhil Kumar: Yes, that is the goal with some incremental investments, but we don't have to do the bulk investments.

Mihir Manohar: Understood. Second question was on the order inflow side, let's say, in 1H. For the first half, what was the order inflow from the US and what was that number, let's say, for '25?

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Nikhil Kumar: We don't give market-wise breakup like that. We don't give customer-wise breakup and we don't give market-wise breakup.

Mihir Manohar: Sure. No issues. And third question was just on the GP side. I mean when I see the GPs for the 1H or even second quarter as well as the first half...

Nikhil Kumar: I'll answer this question and then he can go. I know your question. Why the GP went down by 250 basis points compared to...

Mihir Manohar: Right.

Nikhil Kumar: Yes. Varalakshmi, you can take this question.

M. N. Varalakshmi: This is mainly because of the product mix. We had some services and spares jobs that we had done in Q1 and we will be getting back to the normal GP range in Q3 and Q4.

Nikhil Kumar: Yes, we are very confident that we will get back to our earlier numbers of GP by the end of Q4. We have some excellent orders in the next 2 quarters, in this quarter and next quarter. We will get back our numbers.

M. N. Varalakshmi: And also it's good to look at the GP on an annual basis rather than quarter or H1, H2 basis.

Moderator: The next question is from the line of Mohit Surana from Monarch Network Capital.

Mohit Surana: Congratulations on a great set of results. My first question is with respect to the overall industry dynamics. I believe overall, the demand for turbines and the generators are very strong in almost all the segments and particularly in the gas engine particularly for the data centers and grid stabilization.

In this scenario, do we expect some kind of realizations improvement over the next 1 or 2 years?

And as you said, the volume would remain strong, but any thoughts or any comments on the realizations front? That is my first question.

Nikhil Kumar: Yes. So this question about the demand from the US and data centers and there's a lot of newspaper articles about the AI bubble and everything. But those who have access to the Wall Street Journal, I would recommend you to read an article which was published yesterday and the headline goes as follows, I'm referring to this article, big tech spending more than ever in AI and it is still not enough is the headline. And Meta, Alphabet, Microsoft and Amazon also said they will increase spending in 2026.

So I think that there's no doubt that this spending and this investment in data centers and this AI boom is going to continue for some more time. Investments which are being announced right now will fructify after, say, about a year or so. The actual investments for power plants and everything will take place. Our OEM customers are al

ready talking about '27-'28 and increase

of demand, increase of capacities, talking to us about further demand, further capacities for '27 and '28, forget about '26.

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So I would say that while we obviously would be always keeping an eye on the market, at this point of time, we are really focused on execution and staying very closely connected to our customers and making sure that we deliver what is required by the market. This is what we're

doing right now. The second question you had was on margins, right?

Mohit Surana: No, sir. So I'm yet to ask, sir. So with respect to the first question, sir, I mean we have guided for a revenue of around INR 20 billion for FY '27 versus INR 18 billion for FY '26. Is it fair to say this is on the conservative side?

Nikhil Kumar: I said minimum INR 2,000 crores next year, minimum INR 20 billion next year. But I also mentioned to you that right now our order inflow rate is running something like INR 550 crores per quarter. So that gives an indication that we're going to be somewhere around INR 2,000 crores, INR 2,200 crores next year at the minimum level. So there is an upside potential on top of this and we will only guide and project what we can do for sure. And as and when the upside potential materializes, we will announce it to the market.

Mohit Surana: Got it, sir. Sir, last question with respect to the cash conversion. This time our CFO to EBITDA conversion has been less than 10%, similar to same period last year. Just wanted to have an understanding will this reverse course going forward and what was the reason for low EBITDA conversion?

Nikhil Kumar: The reason is obvious, right? We are ramping up our production so rapidly and we need to buy a lot of material and we are ramping up 30%. So we need inventory, we need to buy material and that's what we're doing. So in a period where you have flat sales or low growth or even declining growth, that's when you start having very strong free cash flow. But at this point of time, all our retained earnings are going back into inventory because of buying more material. And if this growth rate continues, we will continue to grow our business and you need working capital. And while we're not borrowing from the market, obviously we are using our own funds for working capital. It affects the cash flows for a short period of time. And as long as we have this high growth, I don't see us generating huge amounts of free cash flow, but it may change in the future if the growth rate tapers off.

Moderator: The next question is from the line of Sandeep Tulsian from Sundaram Alternates.

Sandeep Tulsian: First question was on the overall order inflows that you're seeing. Now you're touching roughly INR 550 crores of quarterly run rate in inflows. Were you planning further capacity expansion? How do you envisage this number going forward?

Nikhil Kumar: I just spoke about capacity 2 questions ago so I'm not going to repeat it again.

Sandeep Tulsian: So the idea is to just understand how are you thinking of this number moving forward of, let's say, INR 550 crores growing by 25%, 30% going forward? And are you being selective in booking orders because there are just much more orders than what you can service over the next 2 years? Or you will rather find ways to expand capacity and just taking whatever orders come in and the growth can continue in excess of 20%, 25% or so?

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Nikhil Kumar: Yes, obviously that is the answer. We're not going to be selective. We are here to grow our business. We have a third plant. We have space in the third plant to expand. We have -- our buildings are larger than what we need right now. We have space within the existing buildings to grow. We have empty land where we can double what we have already created. And we are here to grow our business. We're not her

e to be selective.

Sandeep Tulsian: Got it. Second question was on the OEM relationship that you have. Are there any further new relationships that you're developing in the US or it's more from rising demand from existing relationships that's driving this order inflows?

Nikhil Kumar: Yes. In the US, even overall worldwide if you look at the large players, it's a highly concentrated market. There's a lot of concentration of power from the prime mover side. There are just 4 or 5 companies that dominate the entire worldwide market for gas engines and gas turbines. And we are working with all the big ones except for one.

Sandeep Tulsian: Okay. So they will continue to outsource the generator part and are there any plans of any of these large OEMs to do some portion of these generators in-house as well?

Nikhil Kumar: No, of course not. Why would they do that?

Moderator: The next question is from the line of Aniket Jain from YES Securities.

Aniket Jain: I just had 1 question on data center. So data center is seeing increasing traction in India as well. So are you seeing some kind of inquiries or any increase in inquiries from Indian data center players? And what kind of addressable market would be there in India for you? And probably another one would be whether Indian market will rely more on the diesel engines or more on gas turbines? So what would be your sense on that? And that's it from me.

Nikhil Kumar: No, actually we hear something in the news, but we don't see any actual ground level, I would say, investment taking place for large AI data centers or something server farms in India right now. Diesel is not an option. If you're talking about 100 megawatt, 150 megawatt per site, it's not an option. You can't run those things with diesel. What kind of fuels will be used as an

alternative? You can't use renewables so gas is the only solution.

How are we going to get gas into India? How are we going to make sure gas is available for power generation for data centers is a question mark? And until that problem is solved, I think the investment reemergence for data centers in India would be a big question mark I feel because they are so power intensive and you need reliable power, you need 24/7 power, you need clean power. So I think that problem has to be addressed and we don't really see clarity on that right now.

Moderator: The next question is from the line of Abhijeet Singh from Systematix.

Abhijeet Singh: Congratulations on a very strong set of results. First question is on the peak revenue that we can achieve from the current capacity and what is the current capacity in terms of megawatt? And in a typical data center, let's say for export application in US and Europe, is that the case that every

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data center is going for gas as their main power source? So if you can give a rough split between different data centers using different power sources of energy.

And in a typical project for data center, what is the cost of a generator as a percentage of overall cost of the project? And lastly, sir, if you could talk about competition in the international space that we face and how are we placed in terms of competing with the other larger players across the globe and where the competition is currently?

Nikhil Kumar: I don't know. I can't keep track of it. I mean it's difficult for me you have asked so many questions. I mean it's hard for me to answer everything because -- so just in general. I mean data centers run in Europe and in the US are primarily being fueled by gas and they can be either used for primary power or for backup power or both, right? So you could have gas turbines and gas engines for primary power and you will have a similar amount for backup power.

The economics of the data center is beyond my scope. I don't know. I don't know what is the percentage of generator in the overall data center cost because

it varies on what kind of

configuration and it varies on lots of things. So I don't have an idea about that number. And then what were your other questions? I mean you asked so many questions. I'm sorry, I lost track.

Abhijeet Singh: Sir, the first question was the peak revenue that we should achieve from the capacity and what is the capacity right now?

Nikhil Kumar: That I already answered. See, I already answered this capacity question. The first question which was put to me. I already answered this capacity question. So I'm not going to keep answering it again and again and again. Please forgive me.

Abhijeet Singh: Sure, sir. And lastly, sir, the competition that you face in the international markets. If you can talk about...

Nikhil Kumar: The competition that we faced in international markets. In the generator business, our competitors are large multinational companies, all the big names are there. And we have certainly our own -- I mean people have advantages coming to us. We have a lower cost. But everyone has a lot of business, everyone is full. So I think that right now, the situation is that those who have capacity, those who can deliver faster are getting more business.

Moderator: The next question is from the line of Deval Shah from 360 ONE.

Deval Shah: First question is any update on the large generators of 50 megawatts to 150 megawatts where you are setting up the design center in U.K. So any update on that front?

Nikhil Kumar: Yes, we have an update. This machine will be offered to the customer by end of December, early Jan. And once the testing is complete and the qualification is complete, we expect to start getting larger orders by second half of '26 and it could be another big business or it will be another big business for TDPS. If this works out well, multi-hundred crores opportunity is there in front of us.

Deval Shah: Understood. So this would be in that 50 megawatt to 100-megawatt range?

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Nikhil Kumar: Yes.

Deval Shah: And sir, second on the traction motors exports opportunity. So we were securing some orders in US, Europe. So any update on that front? Any new orders or opportunity we are looking at and ramp up in second half of '26 or FY '27?

Nikhil Kumar: No, we're not looking at any new opportunities and the status of the existing projects I already mentioned it during my earnings call speech. So forgive me, I'm not going to repeat it. Please

get back to the earnings call speech, it's written over there clearly what I said.

Moderator: The next question is from the line of Ganeshram from Unifi Capital.

Ganeshram: Nikhil and team, congratulations on your performance. Indeed, I can imagine how tough it would have been to execute. I just have 1 bookkeeping question and maybe another strategic one. The bookkeeping question, if you can hear me clearly, is I just want to understand on a constant currency basis, maybe Varalakshmi can take this, but I mean this quarter's top line was INR450 crores, comparable period last year was INR300 crores. So on a constant currency basis, what would have been our revenue this quarter?

Nikhil Kumar: I don't think we've done that calculation, Ganesh.

Ganeshram: Okay. No problem. I'll follow up with you later on that. And okay, that will be it.

Moderator: The next question is from the line of Pritesh from Lucky.

Pritesh: My question is on the hydro generator side. Is there any comments on the market? Is there any comments on the pickup in the hydro generators India, internationally, if you could give some comments there?

Nikhil Kumar: Yes. Vinay, could you please take this question?

Vinay Hegde: Yes. So already Nikhil told in the opening meeting. So we are getting very good orders and mainly from the outside India market. There are 2 big markets, which is Nepal and Vietnam.

And in India it has not picked up really, but there are a few projects in India, but there are

some

refurbishment jobs going on in India. Those are government jobs and we got 1 order in the last quarter, which we have already mentioned. But as Nikhil said in the beginning, we are going to have one of the best years for the hydro segment business FY '27.

Pritesh: Okay. This best year, is it linked to activity in India or a large activity in India?

Vinay Hegde: No, it is all outside India.

Pritesh: Outside India. Any activity that you see happening in the PSP pumps, PSP hydro projects?

Vinay Hegde: Yes, it is happening, but those are larger capacity machines. So pump storage, those are huge larger capacity machines. We are not really in that segment. We are mainly into the power generation segments.

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Nikhil Kumar: [inaudible 0:32:00] 100 megawatt, 200 megawatt.

Vinay Hegde: Does it answer your question? Okay.

Moderator: The next question is from the line of Prathamesh Rane from Elara Securities.

Prathamesh Rane: Congratulations on a decent quarter. Just 1 question from my side. Like India has a hydro evacuation plan of 6.6 trillion odd from CY '25 to '27 per se. Do you see any opportunities in that space? Hydro density. So India wants to evacuate like some gigawatts from the Brahmaputra Basin. So are you seeing any traction like what sort of...?

Vinay Hegde: As I told you, these are all large hydropower plants and we are in medium hydropower plant segment that is up to 50 megawatts. And this is what you're talking about, Brahmaputra, these are coming under the large power plants, we are not in that segment.

So whatever is there in India, there are some projects coming in the range of 10 megawatts to 20 megawatts where we are very much there and we have got some of the orders, but it is not to the extent of what we expect. But if you see in the total sales of hydro business, the contribution from the Indian market is less than 10% of our total turnover in hydro.

Moderator: The next question is from the line of Salil Desai from Marcellus Investment Managers.

Salil Desai: Nikhil, my first question, in your opening remarks, you mentioned about the US trade deal that could kind of be a little more positive for you. Does it mean that the INR2,000 crores minimum revenue is if the deal gets done or if the deal gets done, you could do far, far higher than that?

Nikhil Kumar: The number that we have put on the table is given things will not change because we also believe that if things don't change between India and the US and a lot of customers will go for the Turkey option that we already placed in front of them.

And that's what they have also told us that in case the India trade deal does not materialize by end of December, then a lot of production for us will start getting shifted to Turkey and they have accepted that plan that we have offered to them.

So people are waiting. So number that I put INR 2,200 crores will be on the basis of the current status. If we have a good trade deal with something like 15% to 20% import duties, then I expect this our business to go further up.

Salil Desai: All right. And second is on supplies to the Middle East and especially on the API compliant or on the API certified products. In the current quarter, you had one of the first supplies to ADNOC, right? So is this a part of that ramp-up or you think that there's more to go before you see Middle East really scaling up in terms of what revenues you do from that region?

Nikhil Kumar: Vinay, you can answer this question. I believe it's very early stages...

Vinay Hegde: This is the first order we have got from the oil and gas segment from ADNOC. So the first machine has been built and it has been tested and cleared for dispatch. And there are a couple of

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more machines coming in the quarter 3. And we have also got 1 more order, which is a new order, which for execution it

will be coming in the next year.

See, now we are approved by ADNOC and it depends on the success of the first machine and successfully the first machine has been tested and cleared by them. And there are a lot of initiatives we have already taken. This segment definitely is going to increase because this first reference what we are going to have.

Salil Desai: And typically, after the first delivery, it would take, what, 12-odd months before you think that...

Nikhil Kumar: Yes. This ramp-up is not going to happen overnight. Basically any ramp-up with any new market, any new customer takes 2 to 3 years. So we have put the initial machines in, they have to work.

We already started getting orders even though the first few machines are not yet fully commissioned, but the real ramp-up takes place after the first few units are commissioned and the customer is happy. So that will take 6 to 8 months.

Moderator: The next question is from the line of C.A. Garvit Goyal from Nvest Analytics.

C.A. Garvit Goyal: Congrats for a good set of numbers. I have 1 question. I just want to understand more on our target addressable market from here and the sustainability of demand for our products because our growth trajectory is upward in last 3 years that we understand. But if I look at a bit longer history of 10 years, our sales has grown by 3x only.

So can you please spend some minutes on explaining like what exactly has changed for us in last 2 years like what are the key areas from where we are getting the demand and how sustainable it is? And why only TD Power, sir? What is the edge here because of which the large export orders are coming to us? So that's my first question.

Nikhil Kumar: We have been building up our TDPS brand name in the international market since 2012, '13. And it's been a long road, a long hard road for the company to establish its product into international markets. Acceptance also was very slow during the initial years and it's only, say, around 2018-'19, '19-'20 that we started seeing the acceptance of our products increasing in the international markets.

And now we're seeing it's like a hockey stick curve where you suddenly see that there's more acceptance and then we get on the approved vendor list for larger projects, more prestigious projects, larger customers, and that's how you build up the market share.

So we are offering high quality product at very competitive prices to our international competitors and basically we are in a situation where we are addressing a larger part of the market. In terms of our overall scope to grow, we have still something like single-digit market share on a global basis.

So we have a lot of potential to grow. And in this current environment where all generator manufacturers, at least all the big major generator manufacturers worldwide are full, I think it's

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a great opportunity for us to actually get more market share because we have taken the decision to put up the third plant new capacity where we know that our competitors have not done that. So they're well behind the curve in terms of adding capacity. So we are in a situation where we've been really aggressive to take more market share. And I think that this is one of the key reasons why we're seeing a big increase in our orders because we have the capacity. And today, the market is in a situation where they are hungry for capacity. And the decision that we took last year to put the plant has been the very correct decision for our company and for the shareholders.

C.A. Garvit Goyal: Got it. And sir, just a follow-up. You mentioned about the market share. So can you give some rough idea like what is the relevant TAM as of now and how fast is it growing? Because competitors will also -- like right now they may be are behind in terms of the capacity, but they must be doing the capex, right?

Nikhil Kumar: Yes, they do the

capex and it may take a little bit of time for them to get ready, but we would entrench ourselves. And it's hard then for anyone to push out a competitor who's offering high quality products, the same quality products or better quality product at lower prices. It's hard to push you. It's hard to push a competitor like that out of the way. So as I said, we have single-digit market share still worldwide and we have a lot of space to grow and we will grow.

C.A. Garvit Goyal: Any rough idea of the TAM?

Nikhil Kumar: I'm going to give my guidance year-on-year basis.

C.A. Garvit Goyal: No, sir, actually I was asking about the market size not the guidance on a year-on-year basis.

Nikhil Kumar: Yes, I think that we should have a one-on-one investor meet for an hour to look at the entire business. These are not the kind of questions to be asked on an earnings call. Forgive me, please, but these are not the kind of questions for an earnings call. If you have interest in our company, please contact our Investor Relations team and we'll be happy to give you a complete presentation about our business.

Moderator: The next question is from the line of Himanshu Upadhyay from Stanford Investment Managers.

Himanshu Upadhyay: Congrats on the good set of results. See, 1 question, which was last quarter a lot of discussion happened was on scaling up of operations in Turkey and transferring some business of US to Turkey. Any updates on that front you would like to give? Means in the intermediate till the deal gets done or does not happen, are you getting more manufacturing done in Turkey or manufacturing currently is only in India?

Nikhil Kumar: No, we are prepared, Himanshu. We are prepared to do that. So we have used the past few months, last 3 months, to prepare ourselves to create and there's a certain amount of cost also which is going to come; not a very big amount, but there's going to be a certain amount of cost which is coming to being prepared for the worst-case situation where India and US don't have a trade deal by end of this year.

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And then the Turkey facility will be used for the US market for all our direct exports to the US market. So we're preparing ourselves for that is all I can say. We have offered this solution to our customers. Customers have accepted the solution. But our -- customers and us are hoping that we will have a trade deal with the US by the end of this year and they don't have to buy this machine through Turkey.

So that's where it is. So at the moment, everyone is just keeping the status quo. Right now the business is such that there is extreme high demand situation and people are paying 50% duty. I don't believe it is sustainable beyond next 6 months or so. And if we don't have a trade deal, then we will fall back on Turkey and that's what our customers also have told us. So that's where it stands.

We have plan B in place. And it could be that we do have a trade deal by the end of this year, in which case, the Turkish facility will be -- whatever money we have spent to be prepared will not be in place. So it's not a big amount of money, it's like INR 1 crores or INR 2 crores.

Himanshu Upadhyay: Okay. And the second question was we had spoken about a large generator development of 40 megawatt, 45 megawatt with deliveries in FY '26 and expected large potential in FY '27 onwards.

Can you give some update on that? And some of the orders when we see in Q2, which are 50 megawatts and 60 megawatts. So are those...

Nikhil Kumar: Those are one-off orders so those are not the ones that we are targeting. The ones -- I had given an update about 2 or 3 questions ago that this machine is going to be offered to our customer in end of December and January will be after qualification. It's a multi-hundred crores opportunity for TDPS. If everything goes well, we will report to the market, say, maybe in February what

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he status is, next earnings call and when the business is going to pick up and how we see the track for this business. As I said, it's a multi-hundred crores opportunity and we are extremely focused on making that happen.

Himanshu Upadhyay: And this is the same as what we have spoken in annual report of 40 megawatt to 45 megawatt with delivery starting in '26 or it's a separate business.

Nikhil Kumar: Correct. Yes, that is the same one. It's a 2 pole generator for larger gas turbine. And then there's another larger -- one size higher gas turbine, 60 to 70 megawatts, which we are also targeting. And so first, we'll do 40 to 50 and then we'll do the 60 to 70 after that.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Congratulations for a good set of numbers. Sir, for Energy Dome CO 2 battery project, our role is for only forward supplying or is there any potential for deeper technology partnership or IP sharing? And secondly, CO 2 what is the addressable market for long duration energy storage side and what is our scope of work over next 5 to 10 years, especially for generator side?

Nikhil Kumar: Vinay, please answer this question. I think Vinay may have some connection problems. We are in this energy dome CO 2 storage. We are supplying the generator and there's also a large motor.

So we're supplying the generator and the motor. We're not interested in getting into any further

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scope on these projects. One of our very close long-term customers is deeply involved with this and we will supply to them.

Balasubramanian: Okay, sir. And sir, we are shifting US-bound production to Turkey to mitigate tariff impacts. So what is the quantified operational logistics cost associated with this shift? And especially for the gas segment, I think you mentioned about 50% of cost arbitrage over European or Japanese competitors. This arbitrage is sustainable if raw material cost prices or if European competitors also move production to low cost regions.

Nikhil Kumar: The first question regarding the Turkey facility, I will give the updates next year in the next earnings call in November. By that time, everything is going to be clear. So I think I'm not in a position to give you any further updates other than what I've already spoken right now.

Regarding the cost arbitrage with our international competitors; yes, if they do manufacture in India, the cost arbitrage will come down. Then it would be their Indian factory versus our Indian factory, their overheads versus our overheads, who has the lower cost structure. And definitely, if people put up large manufacturing facilities in India to compete against us, our situation will become more competitive. That's for sure.

Moderator: The next question is from the line of Ashwani Sharma from Emkay Global Financial Services.

Ashwani Sharma: Congratulations for a great set of performance. Nikhil, basically wanted some inputs on growth in the domestic market. You did allude it in your opening remarks, but some more granularity will help us in this.

Nikhil Kumar: The Indian market is for us occupying and getting to be a smaller and smaller percentage of the overall business. It's also a single dimensional market in turbines. Whereas in international markets, we deal with multiple fuels, multiple prime movers, hydro, gas engine, gas turbine, geothermal.

So we have far more applications and we're dealing with multiple OEMs all over the world.

Indian market, as I mentioned to you, is growing at around 10%, 12% per year and it's a steady growth. It's a healthy situation, but that's where it is. I don't know what further information I can give you, Ashwani, but what exactly would you like to know?

Ashwani Sharma: No, that's helpful. Secondly, on your revised guidance, what would be the breakup in terms of generators and motors now?

Nikhil Kumar:

The motor business will still remain around INR 150 crores. The rest will all be generators.

Ashwani Sharma: Okay. Thirdly, just a bookkeeping question. If I look at the employee cost, this was up by around 35% during the quarter on a Y-o-Y basis and 11% on a quarter-on-quarter. So I understand there's a commissioning of new facility. So this will be the run rate going ahead?

Nikhil Kumar: Further increases may take place. It is not just that we are not increasing the capacity or adding people for the third plant, but we have also -- if you have been noticing, various updates have been given to the exchange from the company. We have also been hiring at the top management

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level. And we'll continue to keep hiring at the top management level because we need more management capability also for the larger operations.

Moderator: The next question is from the line of Rucheeta Kadge from I-Wealth.

Rucheeta Kadge: Sir, my question was on the sales side. So if you could give a bifurcation of how much was export and how much was domestic sales for us during the quarter?

Nikhil Kumar: Varalakshmi, can you give export/deemed export sales? I don't have that number with me right now compared to domestic.

M. N. Varalakshmi: So the exports was 66% for H1.

Rucheeta Kadge: Okay. And on the capex part of it, right? So on the CWIP, we have around INR50 crores. So this quarter have we commissioned some part of the plant or it's going to come from the next quarter?

M. N. Varalakshmi: It will come in the next quarter.

Nikhil Kumar: Yes. Q3 is something like 30%. So already we have commissioned something like 30%. We have 3 large sheds over there. One is completely commissioned. Second one will be commissioned by end of November. Third one will be commissioned by end of December. The plant will be fully commissioned by end of December and will be in full operational capability

in middle of Jan.

Rucheeta Kadge: So in this quarter, the new plant was not commissioned, right?

Nikhil Kumar: It's commissioned, it is running -- partly running. So 33% is completely operational, 3 shifts a day.

Rucheeta Kadge: In September '25, 33% of the new plant was commissioned, right?

Nikhil Kumar: Yes, yes. I would say not exactly September. I would say maybe partly September. In October, you can say it is fully operational. That 33% is fully operational in October.

Moderator: The next question is from the line of Kiran D from TableTree Capital.

Kiran D: Congrats on a very good set of numbers and continued growth, Nikhil. Couple of questions, 1 business, 1 financial. On the business side, I know we are laser focused on the large execution in gas turbines and gas engines apart from super traction on other lines of business.

On the motors, which is probably more sustainable beyond data centers, right, are we continuing to focus on growing motors to a substantial part of our portfolio to INR 500 crores or has that taken a backseat given the data center demand and obviously the people bandwidth?

Nikhil Kumar: No, we have a separate team for the motor group. It's a separate group of people. It's a separate -- also separated out the production facility for the motors. They have a different focus and their focus is definitely to grow this business to INR 500 crores and so we are not taking our attention

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off that. So as I said, the groups are separate, they have the separate targets and they are focusing on their own business.

Kiran D: Got it. Okay. And do we see that large traction coming in for motors, Nikhil, or not yet and it's still in a ramp-up phase and will take a couple of years before starting to ramp up?

Nikhil Kumar: It's still very much in the initial stages, ramp-up stages. It will take a little bit more time. But yes, you're right. If you look from -- you're totally right. If you look fro

m a 5-6-year perspective, we have to grow this business and we will grow it.

Kiran D: Perfect. That makes sense. Second, on the financial question, Nikhil. We have grown quite substantially, right, from INR 1,000 crores sales over the last couple of years. Now we will probably reach INR 1,800 crores and probably much more than INR 2,000 crores next year. I understand your previous answer on focusing on market share so the 35% gross margin makes sense. But we are still not seeing the improvement into EBITDA, right? So are you kind of seeing through FY '27, do you see the EBITDA margin moving to 20% plus or you still don't see that coming through?

Nikhil Kumar: I see it, I don't want to give a commitment on it, but the plan is to get there, okay? Because if the third plant is running at full capacity, the ramp-up has taken place, the costs are fully absorbed, running at full capacity, we will get there. So I mean we will discuss that in more detail in February next year. But most certainly, that is the goal of the management.

Moderator: In the interest of the time, we will take the last question from V.P. Rajesh from Banyan Capital.

V.P. Rajesh: Congratulations on excellent numbers, Nikhil and team. Just 2 quick questions. Any update on the railway business? And secondly, on the order book that we booked this quarter, how much was domestic versus export?

Nikhil Kumar: Rajesh, I answered both the questions in my earnings call speech, but since this is the last question, I'll repeat it. Railway business update is too long. I mean I've already given it so I'm not going to give it once again. What's the breakup, Varalakshmi, of the order inflow? Order inflow of H1, I think export is 74% and domestic is 26%. Correct, Varalakshmi?

M. N. Varalakshmi: Correct, sir.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand over the conference to the management for closing comments.

Nikhil Kumar: Thank you very much for all the questions and I look forward to seeing many of you during one of the many upcoming investor conferences in November. Thank you very much, all of you for your time and look forward to seeing you in person in the future. Bye-bye.

M. N. Varalakshmi: Thank you.

Moderator: Thank you. On the behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

February 04, 2026

Dear Sir/Madam,

SUB: TRANSCRIPT OF EARNING CONFERENCE CALL – QUARTER ENDED DECEMBER 31, 2025.

In furtherance of our letter dated January 20, 2026, regarding intimation of earnings conference call, the transcript of Q3 FY 2026 earning conference call held on January 30, 2026, is enclosed and same has been uploaded on the website of the Company at www.tdps.co.in.

Kindly take the above on record.

Yours faithfully,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

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Department
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Mumbai - 400 001
Scrip Code: 533553 The Listing Department
The National Stock Exchange of India Ltd .
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
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Symbol: TDPOWERSYS

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Q3 and nine months FY '26 Earnings Conference Call"
January 30, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchanges on 30th January 2026 will prevail.

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR –
TD POWER SYSTEMS LIMITED
M R. VINAY HEGDE – GLOBAL HEAD-SALES &
MARKETING – TD POWER SYSTEMS LIMITED
M S. M N VARALAKSHMI – CHIEF FINANCIAL OFFICER
– TD POWER SYSTEMS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and nine months FY '26 Earnings Conference Call of TD Power Systems Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

Before we begin, I would like to point out that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations on the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Nikhil Kumar, Managing Director of TD Power Systems Limited. Thank you, and over to you, sir.

Nikhil Kumar: Thank you. Good morning, everybody. Thank you once again for joining us today on our earnings call. I trust all of you would have received our results and investor presentation. Now I'd like to move on to discuss with you TDPS's financial performance for the nine months ending 31st December 2025.

Stand-alone. Our total income for nine months on a stand-alone basis was INR 11.94 billion versus INR 9.02 billion over the same period in the previous year, an increase of 32%. EBITDA for nine months is 18.33%, including other income, excluding exceptional and treasury income, versus 17.45% over the same period in the previous year. Profit after tax and comprehensive income for nine months is INR 1.54 billion versus a profit of INR 1.09 billion over the same period in the previous year, an increase of 41%.

The order book for the Manufacturing segment is INR 18.45 billion, out of which INR 15.6 billion is the manufacturing business, INR 2.85 billion is the railway business. INR 2.85 billion railway business is further divided into INR 1.87 billion would be the Indian locomotive business and INR 0.98 billion would be the new orders. Spares and Aftermarket is INR 0.1 billion and INR 0.72 billion is the Turkey business. Exports and deemed exports, excluding railway orders on the pending order basis is 75%.

Order inflow during the quarter is INR 6.56 billion, an all-time record, an increase of 61% on a Y-on-Y basis. Export order inflow, including deemed export during the quarter is 84% at INR 5.1 billion. Nine-month order inflow from direct and deemed exports is INR 12.05 billion compared to INR 7.52 billion in the previous year, a growth of 62%. 79% of our nine-month order inflow is exports and only 21% is domestic.

We would like to point out that the growth in the pending order for nine months FY '26 for Generators and Motors excluding railways the growth is 54% compared to nine months FY '25 and 120% for nine months FY '24. This shows that the pending order has more than doubled in the past 24 months.

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Consolidated. Our total income for nine months period on a consol basis is INR 12.8 billion versus INR 9.34 billion an increase of 36%. Profit after tax and other comprehensive income for nine months is INR 1.66 billion versus the profit of INR 1.21 billion, an increase of 37%. We continue to maintain a strong cash position of INR 1.93 billion. Coming to market conditions and guidance. The market conditions continue to be very strong for TDPS in all segments of the business. And the gas turbine and gas engine business continue to be the strongest segment with the highest growth and the highest growth potential in the years to come.

Before going on to the individual segments, I'd like to add a few words about our third plant and capacity. In the past two quarters, we have achieved a sales of

around INR 450 crores per quarter, which is around INR 1,800 crores on an annualized basis. This shows that we have really pushed our capacity utilization to a level beyond what we expected.

We declared our third plant as operational on 18th December, so we really have not felt the impact of this new capacity on our sales. We have already seen increases in the factory expenses in Q3 due to additions of manpower, but also in other areas of existing plants to support the higher production that will follow in Q4 and quarters to come.

We also had some one-off shifting charges in Q3, while we shifted some critical machinery like robots from our existing units to the new factory. In Q4, we'll ramp up to INR 550 crores to INR 575 crores per quarter production and sales and then move to around INR 600 crores per quarter in Q1 onwards. This will be in line with the expected order inflow that we see in the pipeline.

We have started a number of activities to further make our production more efficient, and we will not add bulk capacity for sales up to FY '28. However, investments will take place for 2-pole generator production and for motors, which will be a major thrust area for the company in FY '28 onwards. Meanwhile, we'll continue to invest in automation and lean manufacturing. Now let me go through the segments one by one. India steam turbines, the market continues to grow at the rate that we mentioned a little earlier. There is no surprises on the upside or downside. The market is steady with around 10% to 12% growth taking place in the captive power plant business, biomass and waste heat recovery. The export market pipeline is also strong. And overall, we expect 10% to 12% growth in steam turbine market. We're getting steam turbine orders from all over the world and demand is steady.

Gas engine generators and gas turbine generators. The demand we forecast in Europe and in U.S. continue to be very, very high and experiencing a big uptake of orders. There's an increasing trend for all data centres to use only captive power and not be grid dependent. The huge power consumption of grid power for data centres has increased grid power prices, and this is the reason for data centres to move towards having their own power. This increases the opportunity size for TDPS.

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The forecast given to us by our prime mover customers shows a huge increase year-on-year until 2030 and the demand is not only coming from data centres. Big demand is also forecast to come from grid stabilization, synchronous condensers and other applications. This is a real demand, and this is also good from a risk spreading perspective. In other words, we are not being dependent on a single market and a single segment to drive our growth.

Hydro, we have achieved excellent order inflow in this segment and next year will be the highest in the history of the company for hydro. In particular, TDPS is very active in the refurbishment business in India and abroad. This segment is growing and will become a large vertical for TDPS within hydro.

Our motor business is growing at the rate we mentioned earlier. This year, we will still be on track to achieve around INR 150 crores top line. The number of orders in the pipeline for synchronous motors, induction motors and export for all types of motors, in particular, the number of orders in synchronous motor segment that will be finalized very shortly.

Railways, we have orders from the U.S. market, Europe market and Russian markets. We'll be supplying all three markets next year, and one includes India then 4 markets.

General guidance, we will cross INR 1,800 crores this financial year, and we give an upward guidance for FY '27 at INR 2,200-plus crores. This is a conservative guidance based on the ramp-up of the order booking that we're seeing, which is around INR 575 crores to INR 600 crores per quarter, we see an extr

emely high probability to increase our guidance further.

This brings me to the end of my initial remarks. I'll be now happy to answer your questions.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Ganeshram with Unifi Capital. Please go ahead.

Ganeshram: Congratulations on the results. I have two questions. The first question is generally what is happening in the domestic market? Do we have any capacity constraints? Are we being selective with orders? Or do we expect any large orders to be finalized in the coming quarters, just in context of the sequential movement of domestic orders downwards? Just trying to understand that portion?

Nikhil Kumar: I will ask my colleague, Vinay Hegde who is sitting with me to answer this question.

Vinay Hegde: So domestic sector, as Nikhil told in the beginning, we are expecting a moderate growth of 10% to 12%. And the sizes of the machines are on the bigger side, beyond 20-25 megawatts. So, we are expecting some number of orders in the steam turbine segment from the steel plants, mainly from the steel industry.

And also, the hydro segment in India is opening up, and we are already seeing good order input from the hydro segment from the Indian market as well. So, as I said, the two major

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segments for us in India is the steam turbine and the hydro turbine. Both the segments are doing moderate, say that around 10% to 12% growth year-on-year.

Nikhil Kumar: And we are not losing any orders because of capacity or we are not running away any orders. Whatever business that is there in the market, we're taking and we are accepting all the business in the domestic market.

Ganeshram: That is very clear. And just if you could clarify this, there was some news a few weeks back that there might be some relaxations on Chinese equipment coming to India. Would there be any impact to the segment from that or too early to say?

Nikhil Kumar: In the captive power plant business up to 100 megawatts, we don't see any impact of any Chinese equipment coming into the country. They can come into the country even now.

There's no restrictions for Chinese equipment to come into the country even now. There's no special import licenses or anything required. They can come in even now.

Ganeshram: Okay, Nikhil. That's very clear. And the second is just on the book-keeping side. If you could help us understand with the new facility coming in and ramp up to INR 600 crores per quarter, what would be the incremental overheads that we'll incur? And in terms of how the commodities basket has been moving, if you could just refresh how you're sort of dealing with that and if you're seeing any cost pressures and how you mitigate that?

Nikhil Kumar: Yes. So, most of the increase in cost for the new plant, we're seeing most of it already coming into Q3. And we don't expect a dramatic increase taking place from this point onwards in Q4, there could be further increases but not to the extent that we have seen in Q3. So, you could take another, let's say, another 5% increase on the costs that we have seen already.

Now coming to the second question, commodity prices, yes, copper prices have gone up drastically. We are renegotiating all our prices with all our customers, and we will ensure that we pass on the price increases or cost increases to our customers. We have absolutely no problem in getting the price increases to what we need.

In the meanwhile, whatever copper that we have in the pipeline, we will insulate that for some time. And after that, the price increases will kick in and those will cover the costs.

Ganeshram: Got it. And last question, if I may, is just any updates on what customers are saying with the U.S. tariff situation staying where it is over the last two quarters. I know you've clarified this multiple times, but just

to stay updated on, if there is any change that we should be aware of?

Nikhil Kumar: No, I think people are disappointed that there's no India-U.S. trade deal. People have more or less resigned themselves to the fact that there's probably not going to be a trade deal. And none of our customers right now are insisting that we move our production into Turkey just because of the additional risk perception and also the extra lead time that's required.

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So right now, everything is being produced out of India and we're getting our order inflows that we're seeing right now. There's no stoppage. There's no let-up. There's no hesitation. It's going at full swing.

Ganeshram: Okay Nikhil. Thank you, very much and good luck.

Moderator: Thank you. The next question comes from the line of Mohit Surana with Monarch Network Capital. Please go ahead.

Mohit Surana: Thank you for the opportunity. Congratulations on the great set of numbers. Sir, my first question is with respect to the global demand for gas turbines and gas engines. As you mentioned and also confirmed by various news flow, it remains very strong. And fair to say until 2030, we have good visibility. On those lines, is it fair to say that our guidance of INR 2,200 crores for FY '27, that could be on the conservative side?

Nikhil Kumar: Yes, I mentioned that already during the opening speech that this is a conservative guidance of INR 2,200 crores. I also hinted that; not hinted, it is pretty obvious that I said that the expected quarterly inflow will be something in the region of INR 575 crores to INR 600 crores and the production rate would be matching that order inflow. So that's what we would broadly expect the numbers to be next year.

And then further upside potential whatever is there, that is in the second half of the year, we will be happy to further give an upside. But right now, we say INR 2,200 crores plus and that's a conservative estimate, yes, knock, knock, your question is correct.

Mohit Surana: Just one more question. Have there been any new customer addition? I mean, apart from the already set of customers that we have the global OEMs because this time we have got some -- a couple of marquee breakthrough orders. Just wanted to understand how big these can be in the future?

Nikhil Kumar: Yes. So we do have one customer acquisition, which is in the U.S. market for gas turbine, which is right now in engineering order stage. It is there in the presentation also, which will be converted into a machine order by the next couple of weeks and then the big forecast that they have for next year. We can't name the customer, but we are very close to acquiring a big new customer in the U.S. market.

Mohit Surana: Understood, sir. That's very helpful. That's all from my end.

Moderator: Thank you. The next question comes from the line of Garvit Goyal with Serene Alpha. Please go ahead.

Garvit Goyal: Congrats for a good set of numbers. Just one question in reference to the earlier participant, like all commodities are firing and you also mentioned you will be trying to renegotiate the prices with the end customers. So how should we interpret it like, will it take some time and maybe for near term, we can expect a little bit pressure on our margins?

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Nikhil Kumar: No, because we have a certain pipeline of booked copper at the lower prices, so those will be consumed by the time new copper prices kick in.

Garvit Goyal: Your voice is not clear, sorry.

Nikhil Kumar: So, I said no, we have a certain pipeline of previously booked copper at lower prices. And by the time that's fully consumed, expect new prices to kick in.

Garvit Goyal: And sir, secondly, on the domestic side, in the PPT you mentioned there is a big demand that you are anticipating in the domestic market from the hydro segment. So, can you put so

me

colour on that, like what is driving this demand? What kind of structural changes are taking place? And how long do you see this kind of visibility in domestic market for the hydro segment?

Nikhil Kumar: I'll hand over this question to my colleague, Vinay.

Vinay Hegde: Yes, Hydro segment was not very active for the last four, five years, mainly -- when I say Hydro segment, there are investments happening on the large hydro. But as you know, we are in the small hydro segment that is up to 45 megawatts. And we have recently got a couple of orders. And also, now we are focusing on the refurbishment market. And there are some government jobs coming up.

And in the last quarter, we have received a big order for the refurbishment business and also there are a couple of tenders. So that is why I said in the domestic market, the hydro segment is also picking up.

Nikhil Kumar: And there is a good visibility at least for the next two, three years in the hydro segment because these projects tend to be long gestation projects and there are a large number of inquiries in the pipeline. I'm not worried about the sustainability of the hydro order inflow at all.

Garvit Goyal: Got it. And when compared with the turbines, when compared with the data centre demand, what kind of margin profile difference do we generally see in the hydro segment, sir?

Nikhil Kumar: Generally, we talk about the margin profile across all products being approximately the same. But of course, when we are dealing with foreign currencies in the current environment with

either dollar or the euro, we do see upside potential in margins due to the depreciation of the rupee. And in the current situation, in the case of euro, it's been quite extreme. So, it's very positive for the company.

You will see those numbers flowing into the bottom line from Q4 itself, definitely to a major extent in Q1. And the dollar also has moved to INR 91, INR 92, that also really benefits -- it helps us in the bottom line. So that would be the big difference on the margin profile, let's say, between rupee-based order and forex-based orders.

Garvit Goyal: Got it, sir. That's it from my side and all the best for the future.

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Moderator: Thank you. The next question comes from the line of Kiran with TableTree Capital. Please go ahead.

Kiran: Thank you for the opportunity. Many congratulations on a great set of results and revised outlook, sir. So, a couple of questions from my side. There has been a massive talk in the U.S. around slowing down AI investments, not getting enough return on AI investments. Obviously, power is basically the infrastructure that drives all these investments.

So, I just wanted to kind of get your sense on the commentary that's going on in the U.S. around AI investments per se vis-a-vis what you are seeing on the power sector for the next two, three years? I mean, do they continue -- are you seeing any slowdown for the -- because these orders are long dated as well? Any slowdown that you see in the two, three-year time frame from an order book perspective?

Nikhil Kumar: Absolutely not. Absolutely not. I don't know how else to answer this question.

Kiran: So, you are seeing only acceleration in terms of getting the power thing getting done and the AI investment slowdown is upwards to the value chain. Is that how I should understand?

Nikhil Kumar: I don't see any slowdown in any AI investments taking place. I don't know where this information is coming from. As far as I know, all the tech companies have increased their AI spending. Nobody is cutting it down.

Yesterday, you might have seen the Microsoft results and seen the massive spend that they have on AI. Of course, the reaction from the market may not be very positive to what they're doing, but they're spending. In the end, that's what matters.

Kiran: So, this is -- I should think of this as a slightly lo

nger term than immediate one time bump up
in orders?

Nikhil Kumar: Yes. Look, just a few minutes earlier, another investor has said that there's a clear demand situation up to 2030. I fully agree with that. And there is a clear demand profile, demand situation forecast, firm forecast from OEMs up to 2030.

This trend or this backlog, what they're seeing was the way the market is being backlog on the prime mover side, turbine side and engine side is growing up to 2030. That's a good visibility that we have right now, four years. More than that, I don't think anyone can expect in the capital goods business.

Kiran: Second question, sir, is around, on the copper pricing, I'm sure other investors also asked. So, do we -- should we look that our existing copper inventory will help us sustain these margins and any new orders that we book from here on will have new copper pricing incorporated and therefore, no hit to margins?

Nikhil Kumar: I think I answered that question a number of times already, twice already. So, I'll just stick to my earlier answer. Obviously, all new orders will go to the new prices. Obviously, we will renegotiate, we have been renegotiating with all our customers.

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Kiran: Any last update on motors, how the traction is happening? Is there any increased traction or is it continuing as it is?

Nikhil Kumar: It's continuing, not at an exceptional rate. It's continuing at the rate that we had earlier projected. So, as I mentioned last earnings call also, and I'm again repeating it, right now, the entire company is highly occupied with dealing with the massive increase in the generator business, and it's not just data centres. It's across the board. We have a number of new products in the pipeline. We are also acquiring new customers, developing new products to customers. So, our capacities are fully booked in this part of the business right now and it's delivering high growth. So, we are focusing more on the generator business right now. We've not completely

forgotten about the motor business, but it is not having the same priority at the moment. It will grow, but it is not going to grow at some exceptional rate, maybe 10%, 15% per year.

Kiran: Got it. Thank you so much for the answers.

Moderator: Thank you. The next question comes from the line of Piyush with Sundaram Alternates. Please go ahead.

Piyush: Thank you for the opportunity and congrats for a good set of numbers. So, we have been hearing some of our customers talking about capacity additions even beyond CY '28 and CY '30. So, any plans do we have to further expand our capacity?

Nikhil Kumar: I mentioned in my opening remarks that we will flog our existing assets until FY '28 and yes, we have to add more capacity, we have more than adequate land in our first plant. We can duplicate our investment once again. And I will take that call if we have to make any bulk investments, I will take that call sometime next year around this time.

Piyush: Thank you, sir. That's it from my side.

Moderator: Thank you. The next question comes from the line of Rohit with Ithought PMS. Please go ahead.

Rohit: Congratulations on a stellar quarter. So, Nikhil, just most of the questions have been already answered. I just wanted to understand from you about the railway business, so both in India and I think we also won something outside India. And I think a few years back, you talked about it also?

So, I mean just wanted to get your sense about how -- is that a decent opportunity outside India and also like in India, what is happening? I saw -- you did win something directly, but it's been a bit slow. So, if you can uprise on that?

Nikhil Kumar: Yes, I think it's growing at whatever earlier rate that we said is going to happen earlier. So earlier, we said that the Indian Railway contract is going to expire by FY '28 and going to expire. And then it's going to be r

eplaced by some export contract. Those export contracts we already have started taking orders.

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And at the moment, we see a transition moving from the Indian business to the export business, but there's going to be no massive growth taking place in the segment. We will have a steady state situation for the next few years over here.

Rohit: Okay. And so, I think -- so in the export business, is there an opportunity to get other customers also beyond what we have or is that an opportunity or...

Nikhil Kumar: Opportunities are there. We're not pursuing the railway business, motors business from that perspective. And there are very limited opportunities because most railway manufacturers, locomotive manufacturers make their own motors. So, because the motor is a very integral part of the entire drive system. There are opportunities, and I would say that we are not focusing on that right now.

What we have on hand is what we are executing. And as I said, we have a steady state situation for the next couple of years. And after that, we will see.

Rohit: Got it.

Moderator: Mr. Rohit, I would request you to please come back in the queue for further questions. The next question comes from the line of Salil Desai with Marcellus Investment Managers. Please go ahead.

Salil Desai: Nikhil, one question following up from what you were responding on the railways business. In this quarter's presentation, you have split the railway business into something called as a new railway business. So, what exactly is this?

Nikhil Kumar: Yes. Varalakshmi will explain.

M. Varalakshmi: Yes, we just split the entire railway orders of INR 2.85 billion because the orders kept filling this year, some order that we have from the Indian market will close in '27-'28. So, we wanted to tell the market what is the balance in that and what is the new orders that we got in this segment.

Salil Desai: Okay. I see. But this would be domestic, I assume, right, the new business and the railways?

M. Varalakshmi: INR 1.87 billion is domestic. The rest is export.

Salil Desai: Understood, thanks. And secondly, again, one clarification on refurbishment. This I'm assuming is agnostic of the -- who the original equipment supplier was, right? Or are you doing it just for TD Power or OEMs that you have worked with earlier?

Nikhil Kumar: No, it will be totally agnostic.

Salil Desai: Got it. Thank you.

Moderator: Thank you. The next question comes from the line of Ganeshram with Unifi Capital. Please go ahead.

Ganeshram: I think we've understood the existing parts fairly well. I just wanted to talk a little bit more about medium to longer term. The new initiatives, right, the 20, 40 and up to 100-megawatt generators and the motors business. If you could just give us a sense as to how they're progressing? Any shipments done in the 20 megawatts now and how the motors business, you're thinking of, will shape in the next two to three years?

Nikhil Kumar: I think I already answered the question on the motor business. On the larger generator business, we are delivering the first unit this month and there could be some testing. I've always maintained that we will ramp-up in this business in '27, calendar '27, and we still stick to that schedule.

Ganeshram: Okay, Nikhil. And just on foreign -- on FX, how far out are we hedged right now?

Nikhil Kumar: Sorry...

M. Varalakshmi: How far?

Ganeshram: How far out are we hedged?

Nikhil Kumar: We have only hedges; we are hedged only...

M. Varalakshmi: Very small volume. 10% of our business.

Nikhil Kumar: We took a conscious decision to stop hedging about six months ago because we were seeing a rapid depreciation of the Indian rupee and we decided to stop hedging and that was a correct decision because we locked in rates that are -- the spot rates have now gone way be

low that.

So, the correct decision that we took to stop and I think we're going to see the big benefit coming in from that.

Ganeshram: Yes. The way it's going absolutely, yes. And last, if you have this data, in the order inflow that we're getting now of INR 650-odd crores, would you know by chance how much of this would be data centre driven?

Nikhil Kumar: No, we're not going to give that information, Ganesh.

Ganeshram: Understood. I respect it. Thank you.

Moderator: Thank you. The next question comes from the line of Ankur Kumar with Alpha Capital. Please go ahead.

Ankur Kumar: Thank you for taking my question. Sir, given our new capacity is coming, what will be our peak revenue after that capacity comes?

Nikhil Kumar: Yes, it's a really good question. I generally mentioned we're not going to make any bulk investments until FY '28. So, I think somewhere between INR 2,600 crores and INR 2,800 crores, we will not make any further bulk investments. And then after that, around next year this time, we're going to be looking at what's going to be happening in FY '29 and FY '30. If

the market is going to continue to grow at the same rate, then we will have to add capacity. So that's a decision I will take around this time next year.

Ankur Kumar: And sir, on the tariff side there is no stoppage, orders are coming in. So, the customer is paying for the tariff right now? And how are we getting so much order -- we're supplying directly from India only and they are paying the tariff, is that so?

Nikhil Kumar: Yes. Yes.

Ankur Kumar: And sir, on the gross margin side, given you have already answered this to a couple of guys, we should expect this gross margin to sustain here at around 35%?

Nikhil Kumar: Yes.

Ankur Kumar: Thank you and all the best for the upcoming quarters.

Moderator: Thank you. The next question comes from the line of Basant Bansal at NBG Investment. Please go ahead.

Basant Bansal: So, my question is on this Chinese issue. While answering one of the participant question, you said that the Chinese can come and set up a shop in India. So, what is the new thing which is being talked right now?

Nikhil Kumar: Sorry, I couldn't understand your question. Could you repeat your question.

Basant Bansal: My question is that Chinese people can come and set up shop in India. So now recently, this news came that government will allow China. So, what is the new thing which government is planning to do?

Nikhil Kumar: Anybody can set up shop in India.

Basant Bansal: That's true. So, what is the new thing which is...

Nikhil Kumar: Indian government hasn't restricted any particular country from setting up shop in India. This has been a situation for a long time.

Basant Bansal: Yes, yes. That I understand. So now what is the new thing which is coming up...

Nikhil Kumar: Something I cannot understand.

Basant Bansal: Sir, my question is that if they can come and set up the shop in India, what is the new -- how it is happening basis earlier discussion

Moderator: Hello, sir, can you hear us.

Basant Bansal: Yes, I can hear you.

Moderator: Yes, sir. Just a second.

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Basant Bansal: I think management is not able to hear me.

Nikhil Kumar: I don't know whether my answer was audible to everybody, but I will answer once again.

Basant Bansal: Sorry. I didn't get you.

Nikhil Kumar: Anybody can import power equipment into India.

Basant Bansal: But that means they...

Nikhil Kumar: You are not very clear for some reason, sir. Can you get -- please come back on the landline or something where...

Basant Bansal: Yes, I will come back.

Nikhil Kumar: But anyway, I just want to say something. Anybody can set up shop in India to make any type of power equipment. Anybody can import from any country, any type of power equipment. So, I don't see why this suddenly becomes

an issue. What has changed? Why has it suddenly become an issue?

Moderator: Yes, sir. We'll move on to the next question. It's from the line of Mohit Surana with Monarch Network Capital. Please go ahead.

Mohit Surana: Sir, my question is our guidance for FY '27, does that take only volume growth into account? Or there is some pricing growth element as well in that? Because the global commentary according to that, the global OEMs are increasing their prices for turbines and gas engine.

Moderator: Mohit, sorry to interrupt. Could you please repeat your question?

Mohit Surana: Sure. So, the guidance for FY '27, I wanted to understand, is there a volume growth angle only or we have baked in some price increases as well for our products?

Nikhil Kumar: Both.

Mohit Surana: Sir, can you give us some indication of what kind of price growth has been built in just in case if you can share?

Nikhil Kumar: No.

Mohit Surana: Understood sir. Thank you. That's all from my end.

Nikhil Kumar: The previous question, I didn't answer maybe or I didn't answer it correctly but maybe can come back into the queue and ask the question, we can go for that.

Moderator: Yes, sir. Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for closing comments.

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Nikhil Kumar: Yes. Thank you, everyone, for joining us on this call, and we will look forward to meeting many of you face-to-face in the upcoming investor meeting. Otherwise, we will talk to you again at the end of next quarter. Thank you very much for your time today. Bye-bye.

Moderator: Thank you. On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

May 19, 2026

The Corporate Service
Department
BSE Limited
P J Towers, Dalal street
Mumbai – 400 001
Scrip Code: 533553 The Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, Bandra - Kurla Complex
Bandra (East)
Mumbai 400 051
Symbol: TDPOWERSYS

Dear Sir/Madam,

SUB: TRANSCRIPT OF EARNING CONFERENCE CALL – QUARTER AND YEAR ENDED
MARCH 31, 2026.

In furtherance of our letter dated May 06, 2026, regarding intimation of earnings conference call, the transcript of Q4 FY 2026 earning conference call held on May 15, 2026, is enclosed and same has been uploaded on the website of the Company at www.tdps.co.in.

Kindly take the above on record.

Yours faithfully ,
For TD Power Systems Limited

Bharat Rajwani
Company Secretary & Compliance Officer

Encl: A/a

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

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“TD Power Systems Limited
Q4 & FY26 Earnings Conference Call ”
May 15, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 15th May 2026 will prevail.

MANAGEMENT : MR. NIKHIL KUMAR – MANAGING DIRECTOR –
TD POWER SYSTEMS LIMITED
MRS. M. N. VARALAKSHMI – CHIEF FINANCIAL
OFFICER – TD POWER SYSTEMS LIMITED
MR. VINAY HEGDE – TD POWER SYSTEMS LIMITED

TD Power Systems Limited
May 15, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call of TD Power Systems Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. Before we begin, I would like to point out that this conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Nikhil Kumar , Managing Director of TD Power Systems Limited. Thank you, and over to you, sir.

Nikhil Kumar: Thank you. Good morning, everybody. Thank you once again for joining us on today's call. I trust all of you would have received our results and investor presentation. Now let's move on to discuss the financial performance of TDPS for the year ended 31st March 2026.

Stand -alone. Our full year total income on a stand -alone basis was INR17.37 billion versus INR12.88 billion over the same period in the previous year, an increase of 35%. EBITDA on an annual basis is 18.14%, including other income, excluding exceptional and treasury income versus 17.46% over the same period in the previous year.

Profit after tax and comprehensive income is INR2.18 billion versus profit of INR1.53 billion in the same period in the previous year, an increase of 42%. During the year, the company has provided for the investment for the value of, INR30 million from the subsidiary, DFPS. And with this, the company has provided for 100% of the investment value in its subsidiary.

Order book for the Manufacturing segment is INR19.73 billion, out of which INR16.77 billion is the generator business, INR2.47 billion is railway business and spares and aftermarket business is INR0.2 billion, Turkey is INR0.29 billion. Export and deemed exports, excluding railway order continues to be around 76%.

Order inflow statistics. Order inflow during the quarter is INR6.66 billion, an increase of 61% on a Q -on-Q basis on the previous year. Current year, the order inflow is INR22.38 billion versus the previous year INR14.78 billion, which is an increase of 51%. Export order inflow, including deemed exports during the quarter, is 80% of our total, which is INR5.28 billion.

Full year order inflow from direct and deemed exports is INR17.33 billion compared to INR9.85 billion in the previous year, growth of 76%. 79% of our total order inflow for the year is exports,

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while 21% is domestic. An important point to note is the growth in the pending order for the year FY '26 for generators and motors is 66% compared to FY '25.

Consolidated basis. Our total income on a consol basis is INR18.78 billion versus INR13.02 billion, an increase of 44%. Profit after tax and comprehensive income for the year is INR2.36 billion versus a profit of INR1.73 billion, an increase of 36%. We continue to maintain a strong cash position of INR1.99 billion.

Now I'll come to the order book, market situation and guidance. Market conditions and guidance. In general, we see a very buoyant market for TDPS in all segments of the business. The basic factors that are driving growth continue to play out, AI data centers, grid stabilization, basic power generation, push towards renewables, which drive demand for geothermal, hydro and waste-to-energy, et cetera. With all sectors in full force, we see a very strong order inflow situation continuing,

and the focus right now is on execution.

While our manufacturing plants in India are not affected by the war, since we do not import from the Middle East and most of our contracts for our completed products are ex works, unfortunately, one of our contracts in Turkey got affected by severe shipping delays of one lot of components on one ship from India to Turkey, and we had to take a high LD penalty on one of our contracts.

This has reduced the margins for our consol. This is a one-off event where the customer also was exceptionally brutal with us. However, we put that behind us, and now we are heavily focused on Q1 execution, where based on the progress so far, we see that we will do better than Q4 of last financial year.

Now let me come to the segments one by one. Steam Turbine. The market continues to grow at the rate that we predicted with no surprises both on the upside or the downside. The market is steady with around 10%, 12% growth taking place in captive power plant business, biomass and waste heat recovery.

Gas Turbine and Gas Engine business. The massive growth in this segment continues to roll on without pause. As mentioned in the investor presentation, we're getting large volume orders and the forecast for next year continue to show strong upward growth. When I say next year, I mean not just this year, but also for next financial year, which is FY '28. Growth is expected since our engine and turbine customers are also adding capacity, and these incremental numbers are resulting in demand for more generators. Notable orders are delivery to projects such as SpaceX, amongst others.

Hydro. We have a busy year ahead of us. This year will be one of the highest years for TDPS in Hydro. TDPS is very active in the refurbishment business in India and abroad. This segment will result in some high-value order wins for TDPS in this quarter and next.

Motors. The motor business remains a key focus area for us. However, during the year, last year, we prioritized high-volume generator opportunities, given strong export demand. We are now

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separating manufacturing lines, which will improve focus and execution. We expect the Motor segment to stabilize and we see improved traction going forward.

Railway. We have nothing new to report. We have orders from the U.S. market, Europe market and Russian market. In addition to the Indian market, we'll be supplying to all the 3 markets next year and if one includes India, its 4 markets.

Finally, I'll come to the guidance. We've revised our guidance for FY '27 at INR2,400-plus crores with an extremely high probability to increase our guidance further to match the rate of order inflow that we saw in Q4 and what we expect in this financial year from Q1 to Q4.

This brings me to the end of my initial remarks. I'll now be happy to address any questions that you may have. Thank you.

Moderator: Thank you very much. We'll take a first question from the line of Mihir Manohar: from Trust Mutual Fund. Please go ahead.

Mihir Manohar: Congratulations on great set of numbers, fantastic numbers, too. I really wanted to understand on the generator side, large generators. We are talking over here, we have talked about capacity

expansion over here. If you can provide some details as to which will be the end user application areas?

And what sort of customers would be there? Would this business be having higher margins? Because typically, large generators would end up having more people on the competition side. So some color on that will be helpful. And when we say capex, how large would be this capex? And what kind of potential revenue can one expect from large generator business?

Nikhil Kumar: These are very good questions, and I'm afraid I'm not going to be able to give you detailed answers for all these questions, but all the questions are very valid questions.

And I think in

about 2 or 3 months from now, I will be happy to answer all these questions in full detail. In general, what I can say right now, and that also alludes to the comments that I made in the investor presentation is that we are now putting a lot of focus on the large generator business, where we see our projections.

And our demand situation and our positioning in this market improving to the point where we need to take decisions to add capacity. And when I say this, when we put up the large generator capability in 2012, '13, we had put up the complete capacity for manufacturing the stator line, but we had limited the investments in the rotor side because of the drop in the market demand 15 years ago. Now we need to make up that gap.

So we need to invest heavily in manufacturing the rotors completely. We need big machining capabilities, especially for larger machines, maybe all the way up to 200-megawatt size. And this total amount of investment, we will discuss it in about 2 or 3 months. We're putting together the business plan, the numbers, but we just wanted to give an advanced information to the market that this is going to happen from TDPS side. It's an initial intimation that's going to happen. Details will be given later.

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End-user markets, I can just generally talk about it. It's going to be mainly export. And this would range once again, the basic end markets will be the same as what it is for our larger generator, let's say, 40-, 50-megawatt size. So once again, we'll be focusing on power generation. We're focusing on larger AI data centers where we see a lot of demand now in the future, it will shift to the larger sizes because definitely it's more efficient. We're also looking at combined cycle applications where large gas turbines would need a steam turbine for the combined cycle for higher efficiency.

So now we are in a fairly strong position in terms of taking those decisions that, yes, we need to put the money on the table to put up the capacity and the market is large. Exactly what we can do and what we expect in terms of our ramp-up on the business plan, all these questions will be answered in the next quarter. But yes, as I said, all the questions are good ones. And I'm sorry, today, I'm not going to be able to address these with specific answers, but the situation is looking good for the company.

Mihir Manohar: Sure. No, fair point. And just last question on the gross margin side. Gross margins contracted Q-o-Q, Y-o-Y. I mean you mentioned there was some one-off. If you can clarify it, and will we see reverting back margins, gross margins once you get to 35%, 36% kind of levels?

Nikhil Kumar: See, our gross contribution margin on a consol basis has been hovering between 33% and 34% on an average, let's say, 34% on an average. So we are about 3% down from that in this last quarter. We had a one-off event where we had a big contract from Turkey where we delayed generators because of component deliveries from India, which got stuck midway and could not get delivered for almost 1.5 months.

So we took a big hit. We put that behind us. The customer also was pretty brutal with us, but it's a one-off event. We don't have this kind of shipping in our scope in the future. So we don't expect this to happen once again. Yes, and you can expect gross contribution levels to move back to the average historical levels.

Moderator: Next question is from the line of Mohit Surana from Monarch Network Capital.

Mohit Surana: Just one follow-up question to the previous one. Sir, which are the large players already in the global market who are manufacturing these larger capacity generators?

Nikhil Kumar: Siemens is the global leader by far. Then you have Baker Hughes after the acquisition of Brush. They are very big in this business. These are the 2 big players on the Western side.

And then

you have on the Japanese side, of course, you have Mitsubishi, Fuji Electric, Toshiba. So all these players are big players, the big energy companies, yes.

Mohit Surana: Got it. And sir, our move to enter into this larger capacity generators, will this also serve the nuclear power segment, this SMRs, small modular reactor, where the generators will also be

required? Will this cater to that segment as well?

Nikhil Kumar: It will definitely. The sizes would be appropriate to that segment. I mean, it depends what you classify as being small. Right now, people are talking about 250 megawatt to be small. We are

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focusing our business around, say, we're capping it around 200 -megawatt range. So if SMR comes in 200 -megawatt range, yes.

Moderator: We'll take a next question from the line of Saif Sohrab Gujar from ICICI Prudential AMC.

Saif Sohrab Gujar: Thank you for the Opportunity, sir, just one question, on the capacity front. Considering our order book has been growing more towards the export piece of it and focusing on gas direct, considering that, from the current capacity, how much of peak revenue would the current facilities generate?

Nikhil Kumar: So this year, we have a plan to invest around another INR50 crores in capex, okay, in addition to whatever we did previously. And this INR50 crores once again will go towards adding incremental capacity in certain areas, which we consider to be bottlenecks and we'll be investing approximately the same amount next year also in a little bit more automation and again, debottlenecking certain capacities and adding small capacities in certain areas.

So INR50 crores plus INR50 crores, you can say this year and next financial year. This is not including the investment that we will have to make for the larger generators. That will be taken as a separate piece.

But now coming to your question, we believe that we can go up to about INR30 billion to INR32 billion with our current capacities and with these incremental investments made this year and next year. So we are basically covering what we believe we can do as sales for up to FY '28.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Nikhil, just on the supply chain part, like, for example, you gave one of your plant example. On this data center opportunity, where are you seeing the execution delays, let's say, from turbine makers? I'm just trying to understand that given the demand is so high, and you have given the guidance for this year. But generally, do you see any supply chain challenges? Any issues from the turbine makers are taking more time. So eventually 1, 2 quarters, there might be some delays in the revenue side or the supply chain challenges side. If you can throw some light on that.

Nikhil Kumar: No. Actually, it's just the opposite of what you're saying, completely the opposite of what you're saying. It's been 180 degrees reverse. We have our turbine customers and our engine customers monitoring on twice a week basis our deliveries, and are taking the machines as soon as they're ready. So we are being very, very stringently monitored on execution.

And even like a 3 -day delay, 4 -day delay is being severely questioned by our customer. So it's a totally reverse situation. There's a lot of execution pressure from our side, and we are not having a single machine sitting in our shop waiting for it to move to the customer on the gas side.

Nitin Arora: Got it. Great to hear that. And just last question from my side. On the client addition part, barring, let's say, the Baker Hughes or GE, how do you see the pipeline here? I mean, do you see more outsourcing going forward given global guys are getting choked-a-blocked completely? Do you see that case of upsizing only over the next 2 years? Or do you think now whatever the orders

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have been come -- have come, they will also see how the ramp -up happens and the next cycle of ordering starts happening after 1 year? Just on the direction side for the next 2, 3 years, how are you seeing it?

Nikhil Kumar: First of all, there are limited number of prime mover manufacturers in this business, right? And there's no possibility for new entrants in this business. So this market is now completely determined by the capacity on the prime mover side. When I say prime mover, I mean engine and turbine side. So if, let's say, there are x number of engines, then you need x number of generators. So if it becomes x plus something, then you need x plus something on generators. So this is what's happening.

Now our turbine customers, engine customers are, on an average, planning to double capacity by 2030, some a little bit more, some a little bit less. But you can say everyone is doubling capacity by 2030 and bring it in doing new steps. So we'll be seeing this incremental -- from this point of time, we'll be seeing incremental improvements in our outputs also to match with the larger number of turbines and generators, which are coming -- sorry, turbines and engines which

are coming into the market. So this is, in general, as what I can say is a trend.

Of course, on a year -by-year basis, there could be a little bit ups and downs. But in terms of the investment decisions and the momentum of this whole capacity addition on the prime mover side, that's something which is already in play. And I don't think that that's going to come to an end because -- or that's not going to stop because there's such -- these are huge companies, very large organizations. And once they start doing something, they don't stop. They just go through it.

Moderator: Next question is from Ganeshram from Unifi Capital.

Ganeshram: Congratulations to the team on the performance. So Nikhil, just to be clear, because of the escalating commodity prices and because of -- in certain auto ancillaries, for example, there have been some disruptions because of gas availability, etcetera. Just to be sure, are we facing any impacts from this? And do we have to do anything to mitigate it?

Nikhil Kumar: So one is increase in commodity prices. It's been pretty drastic on copper. So our hedges are now running out. So we are in this phase over period where there are new prices with some of our customers are kicking in, some of the prices are not kicking in. But overall, I think our margins are going to be generally stable because also with the high export exposure that we have, there's a certain amount of benefit that we also get from the devaluation of the rupee to the extent of maybe the value addition that takes place in India because we also import a lot of materials. So those are kind of currency -neutral from our point of view because we import in dollars and euros and then we have to export in dollars and euros. So overall, I would say neutral, Ganesh. But there is no doubt that commodity prices are like -- say, copper at \$14,000 is high. And the increases in prices that we have now talking to some of our customers are also now approaching double -digit levels. So let's see how it plays out. But for the next 2, 3 quarters, I don't see any major disruption to our margin guidance.

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Ganeshram: Okay, Nikhil. That's very helpful. And we've already ramped up production to about INR590 crores this quarter. But when I look at the employee expenses, they've been largely stable quarter -on-quarter. So I just wanted to get an understanding on how we should expect this to move next year as you ramp up?

Nikhil Kumar: We have largely employed everyone that we want to. There could be incremental increases, but no major increases taking place from this point onwards.

Ganeshram: Okay. That's clear.

And just my last question is, I think the last time we discussed that you were in conversations with a larger OEM, and there was also a prototype submitted on the higher megawatt. I know we're not expecting revenues anytime soon. But any updates on how the prototypes are performing and how the conversations are evolving?

Nikhil Kumar: No, I'm not going to answer that specific question, but I think you have to refer to the overall remarks that I made about the larger generator business in the earlier part of this call, Ganesh. So I think you have to look at it from that perspective instead of a specific customer perspective. We are taking those -- we are going to be making the investments to get into this market in a big way and start supplying into this market in a big way.

The only thing I can say, which I did not say a little bit earlier, which I have to give a little bit of caution is that, the investments that we have to put in for large machining capabilities, let's say, large lakes or large machining centers and so on and so forth, those take 15 months right now under the current environment to buy and to install, between 15 to 16 months because, as I mentioned a little bit earlier, everyone is expanding, right? Everyone on the prime mover side is expanding. So all the machine tool manufacturers worldwide are full with orders.

So we are basically coming into this capacity expansion thing on our larger generators a little bit late compared to others. We have to wait. So the earliest that we can put in our complete capacity would be something like in calendar '27.

And so we'll be looking at the big ramp -up taking place in our large generator business only in calendar '28. Meanwhile, we'll continue to supply with whatever existing capacity that we have, but we have started making commitments to the market on our larger numbers from calendar '28 onwards, which will basically be FY '29.

Moderator: Next question is from the line of Mayank Chaturvedi from HSBC.

Mayank Chaturvedi: Congratulations on a great set of numbers. On this larger generator piece, is the technology and the capability being driven by the U.K. R&D centers that we had set up -- started setting up year back?

Nikhil Kumar: Yes, yes, very much.

Mayank Chaturvedi: Okay. So will there be any royalty or any sort of payments to that entity?

Nikhil Kumar: No. It's our 100% subsidiary company.

Mayank Chaturvedi: All right. And does the customer profile change for these larger generators?

Nikhil Kumar: Yes and no. I mean it's the same set of customers buying larger machines. See, everyone prefers to buy a larger -- basically, end users prefer larger machines because they are more efficient. But today, there's a limited number of larger machines available. So that's why they are forced to buy the smaller machines. But in general, larger machines are more efficient, far more efficient than smaller machines. So that's the preference on the customer side always.

Moderator: We'll go to our next question from the line of Karan from Jetha.

Karan: Okay. So one of the large customers of generators being INNIO that works with VoltaGrid recently filed a prospectus. And in the prospectus, they said they want to triple capacity.

Karan: Yes. So they said they want to triple capacity. I just wanted to understand how that dovetails with your plans. I think you said double capacity by 2030,

Nikhil Kumar: Yes. So what I said exactly, Karan, was I said that on an average, it is double, some more and some less is what I said, okay? So I know about INNIO's plans to triple. But I didn't mention any specific customer. I said on an average, it's double, and I said some are more and some are less.

Karan: Okay. And your share of wallet on average across the doubling of capacity that is happening in India seem to be going up?

Nikhil Kumar:

We have a very specific forecast and a capacity agreement signed with INNIO, where it goes up to 2030. I'm not going to disclose those numbers with you, but it's extremely exciting for us, and we are very deeply plugged in with this customer.

Karan: I guess my broader question is, are you gaining share across the group? And if so, why? What would be the reason?

Nikhil Kumar: I'm not going to answer that question. We are deeply plugged in with INNIO in their capacity expansion. We have a capacity commitment agreement signed with them, and the numbers are extremely good for us.

Moderator: Next question is from Aditya Trivedi from Nepean Capital.

Aditya Trivedi: So the question I had was that with global gas turbine -- all the gas turbine OEMs taking price hikes given the kind of demand that they have in order backlogs, are you seeing that kind of pricing power emerge in the specialized generators? And could that lead to sustainable gross margin expansion for TD Power?

Nikhil Kumar: We have, it's difficult for us to get better pricing than what we currently have, Aditya. We have decent pricing. We have currency tailwinds. We have price variation clauses for raw material variations. So we are not going to make the same kind of money that the turbine guys make. That's clear.

Aditya Trivedi: Okay. And another question I had was on the nuclear side. You all have got orders from NPCIL for induction motors in India for 100 gigawatt nuclear target by 2047. So what is the competitive landscape in terms of OEMs that have qualified to supply induction motors to NPCIL? And do you see this as a big revenue growth vector for TD Power going forward?

Nikhil Kumar: NPCIL ordering, while there's a huge number in terms of gigawatts, which is planned, the actual ordering and implementation is slow, and it tends to be choppy. So I can't put a number on it because the process for nuclear power plant construction is very slow. So new capacities will come online. It's not going to happen in with a big bang approach. The market is large. But there is also domestic competition. There's BHEL, there's Crompton and there are also imports. So it's not like that we have a monopoly in this sector. It's competitive.

Moderator: Next question is from Akshay Jogani from Xponent Tribe.

Akshay Jogani: Congratulations on a great set of numbers. So what I wanted to better understand, you spoke about aeroderivative engines or you wrote about it in the last presentation on a prototype version with one of the customers. Could you give some update on what's happening there in terms of what is the progress we have made?

Nikhil Kumar: Yes. So I think Ganesh asked the same question a few minutes ago.

Akshay Jogani: My apologies.

Nikhil Kumar: I just answered the exact same question. So I'll stick to whatever I told Ganesh a little earlier.

Moderator: Next question is from the line of CA Garvit Goyal from Serene Alpha.

Garvit Goyal: Congrats for a good set of numbers. First question is on the trade receivables part. So we are seeing the growth in the trade receivables is outpacing the top line growth. Is there any specific reason for that? And how much of the outstanding trade receivables on 31st March are recovered till now, sir?

Nikhil Kumar: Varalakshmi, can you take this question, please?

M. N. Varalakshmi Yes, the outstanding creditors have been completely covered.

Garvit Goyal: INR700 crores which was due was completely covered, that's what you are saying, right?

M. N. Varalakshmi Yes.

Garvit Goyal: Understood. Understood. And secondly, on the EBITDA into CFO [inaudible 0:33.48] how is it going to be going ahead? Like most part of the billing will be end of the financial year itself or we will be looking to improve?

M. N. Varalakshmi No, actually, can you clarify your question because your question, I don't

understand it.

Garvit Goyal: I was trying to understand the conversion of EBITDA into CFO, and it is 21%. So how we are looking to improve the thing, that's what I'm asking?

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M. N. Varalakshmi Yes, that will happen. See, we are growing, so we need to build in inventories and all, and those inventories will get built during the quarter. And these are short-term size -- orders, so we need to have a lot of inventories. They get converted into cash flows in the next quarter.

Nikhil Kumar: I mean I think you just have to look from the perspective that we did INR18 billion last year.

Now we are projecting INR2,400 -- sorry, INR24 billion plus, so at least INR33 billion. So it's taking -- all our retained earnings are basically going into working capital.

Moderator: Next question is from the line of Ayush D. from Shravas Capital.

Ayush D.: Congrats on the good set of numbers. I just had one question on the domestic steam turbine segment. If you could just give us some color on what would be the growth for this year in terms of the commentary you have had with the customer?

Nikhil Kumar: Vinay, can you take this question, please?

Vinay Hegde Yes. Ayush, I'm Vinay. So domestic steam turbine market is growing steadily. And as we have told in the presentation, we are expecting 10% to 12% growth. The sizes of the machines are shifting to the largest from 30 megawatt up to 60 -megawatt range. So we are seeing a steady growth of 12% for the year.

Ayush D.: And also, if you could just help us with what percentage of revenue comes from this segment?

Vinay Hegde This segment, on the overall turnover of TDPS?

Ayush D.: Yes.

Vinay Hegde Steam turbine is around 25%.

Moderator: Next question is from the line of Soumil Jain from Lucky Investments.

Soumil Jain: Just a clarification, did you mention that 25% of revenues come from steam turbines? Sorry to be repeating on this?

Vinay Hegde: Yes, you're right.

Soumil Jain: Okay. And could you give similar numbers for gas turbines and gas engines, each of them?

Nikhil Kumar: No. Generally, we don't give a split because it changes year -to-year, quarter -to-quarter and we do not know, from the customers we could have it skewed. So we don't want to give explanations every quarter as to why something we did more or something we did less. Generally, we don't prefer to give these numbers.

Soumil Jain: Absolutely. And on the large generator side, is there a particular anchor customer that you have very high confidence on

Nikhil Kumar: All questions are questions after 3 months, please. I'm not going to be able to give more details than what I gave, except that we are going ahead with this plan.

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Soumil Jain: Sure. In the presentation, you mentioned that you received volume orders for gas turbines. This will be small generative,

Nikhil Kumar: These would be below 50 -megawatt range, yes.

Soumil Jain: Okay. And finally, can you give us a broad sense of what your typical RM basket looks like, just a broad sense?

Nikhil Kumar: RM basket, copper, forgings, electrical steel, mild steel, insulating materials.

Soumil Jain: What will be the share of copper

Nikhil Kumar: I'm extremely sorry, we can't.

Moderator: Next question is from the line of Vivek Gautam from GS Investment.

Vivek Gautam: Congratulations for excellent numbers. And there are many investors who have just started tracking the company. So don't mind the question, sir. Just wanted to understand the opportunity size and for our success, especially in AI and data center play. And how long can it go up? And how sustainable are the numbers, sir? And how differentiated, sir, especially the Japanese collaboration we started out and how is it differentiating us?

Nikhil Kumar: So the AI data center market, the power requirement of t

he data center market for U.S. alone is

projected to be somewhere around 100 gigawatts in size. And the expected time frame to address installation of this capacity is going to take 5 to 7 years. And this is only the U.S. market, and there's other parts of the world, which are also going to be adding data center capacity. So this number could well go up to at least double the size. So there's going to be a fairly long cycle in terms of capacity or the power requirements from the AI side. This is only AI.

And of course, there is the traditional power generation, there's oil and gas, there's renewables, waste-to-heat energy, there's hydro, there's geothermal. So there are a lot of opportunities right now for the company in different segments of the business. Today, of course, AI is the most exciting part of the market, but we're not ignoring other parts of the market.

Vivek Gautam: And our differentiators, sir?

Nikhil Kumar: Well, we have been working with these engine and turbine OEMs for a long time, so when this boom started and our turbine and engine customers were in the middle of it, getting large amount of orders since we had established long relationships with them, we also were in a position to get benefited from this boom, let me put it that way. So what is our differentiators?

We have had long relationships with these customers and our differentiators is high quality, on-time deliveries, extremely good service network. And of course, we offer very competitive pricing. So we have built these relationships over a decade or more, and we continue to grow and deepen our relationships with these customers.

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Vivek Gautam: And how about Turkey plant, is it helping us out in any way due to the big demand? So earlier we were planning to...

Nikhil Kumar: It is only for Turkey, and we have small orders over there, and we'll continue to use that plant primarily to make these small machines only for the Turkish market. And as a backup, it also serves as a service shop for us in case we need to use that facility to address our larger population of machines in the European market.

Moderator: I request you to join back the queue, please. Next question is from the line of Nishita Shanklesha from Sapphire Capital.

Nishita Shanklesha: So I had a question on the order book. So currently, we have around INR19.7 billion worth of order book. What would be the execution time line for this? And how do we see order book growth in FY '27?

Nikhil Kumar: Vinay, can you take this question, please?

Nikhil Kumar: Okay. Then I will -- all the INR2,000 crores or whatever is there in the pending order will be executed this year. And order book growth, we have not given the guidance for next financial year, which is FY '28 as yet. But I will give the -- we're seeing a growth in our quarter-on-quarter inflow numbers. And it will grow. Maybe I think on an average, we can say conservatively, we'll definitely be able to grow 20% to 25% even next year over this year.

Nishita Shanklesha: Okay. Understood. And then I just wanted a clarification on the revenue guidance. I don't know whether I heard it correctly. So you mentioned that in FY '27, we can do around INR24 billion of revenue and by FY '28, we can reach INR32 billion. Is that correct?

Nikhil Kumar: I said that we have a capacity to address INR32 billion for FY '28, yes, but that is where management is also expecting numbers to be on a conservative basis, yes.

Nishita Shanklesha: Okay. And INR24 billion for FY '27, right?

Nikhil Kumar: Yes, that's the number for FY'27, INR2,400 -plus crores.

Nishita Shanklesha: Perfect. And our margins would be in line with what we've done in FY '26, just better excluding the one-off event in Turkey?

Nikhil Kumar: Yes.

Moderator: Next question is from the line of Nakul Gupta from Shikherjee Advisors.

Nakul Gupta: R

really congratulations for a great set of numbers. My only question would be like what are the major challenges you faced in the business? Like what are the major risks you see going forward that would be detrimental to get us achieve the numbers?

Nikhil Kumar: Well, we are under tremendous execution pressure at the moment. So the factory is running very full. And this kind of very high capacity utilization always presents the risk that if there are

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breakdowns in any of the production equipment, then you would have production delays because we have a lot of total preventive maintenance, and we have a lot of things that we do in our factory to avoid those kinds of things.

But if you ask me about the risks, high factory utilization is always a high -pressure event for everybody. And that's where we are, and that's where we will continue to be. We don't see the situation changing for us at all. So this is a new normal for us, and we have to deliver and we will deliver.

Moderator: Next question is from the line of Mohit Surana from Monarch Network Capital.

Mohit Surana: Sir, one basic question with respect to how many generators are required per turbine. Is it always a 1:1 ratio or every turbine can have, say, more than 2, 3 generators? And what's the general industry trend?

Nikhil Kumar: One turbine, one generator; one engine, one generator.

Mohit Surana: Understood. Sir, next question is with respect to your hiring of a new CEO for the first time in TD Power. Sir, what capabilities he brings to the table? And what kind of vision we have? I think it's mainly with respect to the larger capacity generators, right, if I'm not wrong, sir?

Nikhil Kumar: Deepak is here on this call. So maybe it's a good time to introduce Deepak. Deepak has joined as the -- he's on this call. He's joined as the CEO of the company. He's not been brought in just to look after the large generators. Of course, he's come from L & T Mitsubishi, which makes the large generators in Gujarat. So he has a strong background with the large grading machines. But previously, he's worked in GE, and he's got extensive experience also with the smaller machines. So Deepak is going to come in as the number two in the company and his role is to be in charge of all the activities of the organization and to assist me with the growth of the organization. And I'm really happy to have him onboard. And Deepak, if you maybe would like to say a few words right now, it's a good time since people have asked about you.

Nikhil Kumar: Okay. Deepak is not on the call. Right. So maybe he logged out. So yes, that's the background about Deepak. And as I have been saying this in various investor meetings one -on-one basis, TDPS is definitely moving towards professionalizing its management. As we grow, as we scale up, as we get into different kinds of businesses, we need to have top professionals in our organization to manage the business in the future.

And increasingly, we will see more professionals coming in, high -quality, highly capable people coming in at the senior management level to take on larger roles in the organization, to build the systems, to make the company more efficient and to organize ourselves better for the growth that's taking place.

This is a process which is going to accelerate as far as we are concerned. And you will see in the future that we'll be doing this more. That's the direction in which the management is going to go. It's going to become a professionally managed organization in the future.

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Moderator: Next question is from the line of CA Garvit Goyal from Serene Alpha.

Garvit Goyal: Sir, although you answered it before, but maybe I missed that. On the margins front, considering the cost impact we are seeing right now on the commodity side, although you me

ntioned 2 to 3

quarters, we will not be seeing any impact. But structurally, how is it going to impact our margins? Have you any view on that, sir?

Nikhil Kumar: We have built in protections into our margin as much as we can. That means one is through hedges, raw material hedges, through price variation clauses with our customers. But when there's a sudden spurt in commodity prices, like, say, in a week or 10 days, it goes up by, let's say, 10% or 15%, whatever you do is not going to be enough to protect yourselves against those spurts. So customers are not going to react by changing prices like in a week or 10 days, but you have to buy materials.

But the hedges will give you some kind of buffer for some time. But then at some point of time, if the prices persist in the market, then once the hedges run out, then you need the higher prices from the customers. As I said that there could be some small lag, but I also said that we have some tailwinds from the foreign exchange side. So overall, I expect us to be fairly neutral, and I

don't expect a big impact on the margins. But if the commodity prices again go up in a big way, another 20%, 30%, then we have to see what we have to do.

Garvit Goyal: So the current situation is manageable, that's what you say?

Nikhil Kumar: Yes, correct situation is manageable.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Nikhil Kumar: Thank you, everyone, for joining us on this call. If you have any further questions, please feel free to get in touch with our management team. And I look forward to interacting with you and meeting many of you face -to-face in some investor conference. Thank you very much.

Moderator: Thank you. On behalf of TD Power Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.